

Risk and Capital

- Information according to Pillar 3

2022

This is **Handelsbanken**

Handelsbanken was founded in 1871. Today, a little over 150 years later, we are one of the world's strongest banks.

Our idea of how to run our Bank is based on trust and respect for individuals, both customers and employees. At Handelsbanken, we strive to evolve and improve, so that we can be the best possible bank for our customers. We create value in each customer meeting.

Handelsbanken's ambition is to provide the best banking experience within financing, savings and advisory services. We see potential for continued strong business development and profitable growth at a low risk, facilitated by satisfied customers. The Bank's home markets are Sweden, Norway, the UK and the Netherlands, with business also conducted in Luxembourg and the USA.

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Introduction

Handelsbanken provides this information in compliance with Part Eight of Regulation (EU) No 575/2013 (CRR) and the Swedish Financial Supervisory Authority's regulations (FFFS 2014:12) regarding prudential requirements and capital buffers.

The disclosures pursuant to CRR can be found in this report in the form of quantitative and qualitative information to be provided as stipulated in the Commission Implementing Regulation (EU) 2021/637. For additional information regarding Handelsbanken, please see the Annual and Sustainability Report 2022.

Svenska Handelsbanken AB (publ) is the parent institution in Handelsbanken's consolidated situation. For Handelsbanken, the conglomerate rules mean that the capital requirements for the consolidated situation and the capital requirement for the insurance operations are combined.

Companies that are part of the consolidated situation and that are thus covered by the capital adequacy requirements according to the capital adequacy regulations are listed in table EU LI3. All subsidiaries which are subject to the regulations are included in the consolidated situation. Handelsbanken has no subsidiaries in which the actual own funds are less than the prescribed own funds. For additional information regarding related party disclosures, own funds and capital requirements, please see the Annual and Sustainability Report 2022 notes G50 and G52.

For periodic information, for which Handelsbanken has identified a need to submit information more often than once a year, please refer to the Bank's interim reports and quarterly Pillar 3 reports. Information to be provided on a quarterly basis as stipulated in the CRR is published on Handelsbanken's website.

The information is presented as at 31 December 2022, and the comparative figures as at 31 December 2021 unless otherwise specified. The amounts in parentheses are the figures for the preceding year.

Key metrics and overview of risk-weighted exposure amount

Template (KM1) shows Key metrics related to risk-based capital ratios, leverage ratio and liquidity standards and provides a set of key metrics covering the Bank's available capital (including buffer requirements and ratios). KM1 encompasses total risk-weighted assets, leverage ratio, Liquidity Coverage Ratio (LCR) and Net Stable Funding Ratio (NSFR). KM1 consist of the information on the impact of the Bank's regulatory capital and leverage ratios compared to the Bank's capital and leverage.

EU KM1 Key metrics

Key metrics 2022			
SEK m		2022	2021
Available own funds (amounts)			
1	Common Equity Tier 1 (CET1) capital	158 551	149 709
2	Tier 1 capital	174 134	163 222
3	Total capital	193 186	180 458
Risk-weighted exposure amounts			
4	Total risk-weighted exposure amount	810 144	773 158
Capital ratios (as a percentage of risk-weighted exposure amount)			
5	Common Equity Tier 1 ratio (%)	19.6%	19.4%
6	Tier 1 ratio (%)	21.5%	21.1%
7	Total capital ratio (%)	23.8%	23.3%
Additional own funds requirements to address risks other than the risk of excessive leverage (as a percentage of risk-weighted exposure amount)			
EU 7a	Additional own funds requirements to address risks other than the risk of excessive leverage (%)	2.1%	1.9%
EU 7b	of which: to be made up of CET1 capital (percentage points)	1.3%	1.2%
EU 7c	of which: to be made up of Tier 1 capital (percentage points)	1.6%	1.5%
EU 7d	Total SREP own funds requirements (%)	10.1%	9.9%
Combined buffer requirement (as a percentage of risk-weighted exposure amount)			
8	Capital conservation buffer (%)	2.5%	2.5%
EU 8a	Conservation buffer due to macro-prudential or systemic risk identified at the level of a Member State (%)	-	-
9	Institution specific countercyclical capital buffer (%)	1.0%	0.1%
EU 9a	Systemic risk buffer (%)	3.2%	3.0%
10	Global Systemically Important Institution buffer (%)	-	-
EU 10a	Other Systemically Important Institution buffer	1.0%	1.0%
11	Combined buffer requirement (%)	7.7%	6.6%
EU 11a	Overall capital requirements (%)	17.8%	16.5%
12	CET1 available after meeting the total SREP own funds requirements (%)	13.7%	13.9%
Leverage ratio			
13	Total exposure measure	3 341 332	3 232 291
14	Leverage ratio (%)	5.2%	5.0%
Additional own funds requirements to address risks of excessive leverage (as a percentage of leverage ratio total exposure amount)			
EU 14a	Additional own funds requirements to address the risk of excessive leverage (%)	-	-
EU 14b	of which: to be made up of CET1 capital (percentage points)	-	-
EU 14c	Total SREP leverage ratio requirements (%)	3.0%	3.00%
Leverage ratio buffer and overall leverage ratio requirement (as a percentage of total exposure measure)			
EU 14d	Leverage ratio buffer requirement (%)	-	-
EU 14e	Overall leverage ratio requirements (%)	-	-
Liquidity Coverage Ratio			
15	Total high-quality liquid assets (HQLA) (Weighted value -average)	885 096	778 654
EU 16a	Cash outflows - Total weighted value	645 218	595 289
EU 16b	Cash inflows - Total weighted value	83 191	68 295
16	Total net cash outflows (adjusted value)	562 026	526 994
17	Liquidity coverage ratio (%)	159%	149%
Net Stable Funding Ratio			
18	Total available stable funding	2 036 932	2 026 413
19	Total required stable funding	1 793 937	1 774 542
20	NSFR ratio (%)	114%	114%

EU KM2 Key metrics - MREL and, where applicable, G-SII requirement for own funds and eligible liabilities

Presentation in accordance with the implementing technical standards for the application of Regulation (EU) No 575/2013 and Directive 2014/59/EU with regards to the supervisory reporting and public disclosure of the minimum requirement for own funds and eligible liabilities. Excluded rows are deemed not relevant for Handelsbanken at present.

Key metrics - MREL and, where applicable, G-SII requirement for own funds and eligible liabilities 2022		Minimum requirement for own funds and eligible liabilities (MREL)
Own funds and eligible liabilities, ratios and components		
1	Own funds and eligible liabilities	357 687
EU-1a	Of which own funds and subordinated liabilities	239 486
2	Total risk exposure amount of the resolution group (TREA)	810 144
3	Own funds and eligible liabilities as a percentage of the TREA	44.15%
EU-3a	Of which own funds and subordinated liabilities	29.56%
4	Total exposure measure (TEM) of the resolution group	3 341 332
5	Own funds and eligible liabilities as percentage of the TEM	10.70%
EU-5a	Of which own funds or subordinated liabilities	7.17%
Minimum requirement for own funds and eligible liabilities (MREL)		
EU-7	MREL expressed as a percentage of the TREA	19.86%
EU-8	Of which to be met with own funds or subordinated liabilities	13.50%
EU-9	MREL expressed as a percentage of the TEM	5.00%
EU-10	Of which to be met with own funds or subordinated liabilities	5.00%

EU OV1 Overview of total risk exposure amounts

The table shows risk exposure amounts (REA) for credit, counterparty, market and operational risk at the end of the previous and current period. Credit risk is calculated by the Standardised approach, the Foundation IRB approach and the Advanced IRB approach. Market risk and operational risk is calculated by the standardised approach. REA for credit risk and counterparty credit risk is in line with previous period. REA for market risk has increased compared to the previous period.

Overview of total risk exposure amounts 2022		Total risk exposure amounts (TREA)	Total risk exposure amounts (TREA)	Total own funds requirements
SEK m		2022	2021	2022
1	Credit risk (excluding CCR)	692 006	684 075	55 361
2	Of which the standardised approach	182 775	178 552	14 622
3	Of which the Foundation IRB (F-IRB) approach	51 700	48 100	4 136
4	Of which slotting approach	-	-	-
EU 4a	Of which equities under the simple riskweighted approach	2 108	3 427	169
5	Of which the Advanced IRB (A-IRB) approach	221 403	224 096	17 712
5a	Of which risk weight floors	234 020	229 900	18 722
6	Counterparty credit risk – CCR	11 833	12 255	947
7	Of which the standardised approach	8 255	8 924	660
8	Of which internal model method (IMM)	-	-	-
EU 8a	Of which exposures to a CCP	174	212	14
EU 8b	Of which credit valuation adjustment - CVA	2 802	2 614	224
9	Of which other CCR	602	505	48
10	Not applicable			
11	Not applicable			
12	Not applicable			
13	Not applicable			
14	Not applicable			
15	Settlement risk	-	15	-
16	Securitisation exposures in the non-trading book (after the cap)	-	-	-
17	Of which SEC-IRBA approach	-	-	-
18	Of which SEC-ERBA (including IAA)	-	-	-
19	Of which SEC-SA approach	-	-	-
EU 19a	Of which 1 250 %	-	-	-
20	Position, foreign exchange and commodities risks (Market risk)	34 654	7 145	2 772
21	Of which standardised approach	34 654	7 145	2 772
22	Of which IMA	-	-	-
23	Operational risk	71 651	69 668	5 732
EU 23a	Of which basic indicator approach	-	-	-
EU 23b	Of which standardised approach	71 651	69 668	5 732
EU 23c	Of which advanced measurement approach	-	-	-
24	Amounts below the thresholds for deduction (subject to 250 % risk weight)	-	-	-
25	Not applicable			
26	Not applicable			
27	Not applicable			
28	Not applicable			
29	Total	810 144	773 158	64 812

EU INS1 Insurance participations

Insurance participations 2022		Exposure value	Risk-weighted exposure amount
SEK m			
1	Own fund instruments held in insurance or re-insurance undertakings or insurance holding company not deducted from own funds	6 254	15 636

EU INS2 Financial conglomerates information on own funds and capital adequacy ratio

Financial conglomerates information on own funds and capital adequacy ratio 2022			
SEK m			
1	Supplementary own fund requirements of the financial conglomerate (amount)		10 759
2	Capital adequacy ratio of the financial conglomerate (%)		130.00%

EU OVC ICAAP information

Article 438(a) CRR

Approach to assessing the adequacy of the internal capital.

In addition to the regulatory capital and buffer requirements, the Bank performs internal capital adequacy assessments in which all risks and capital requirements are assessed. The Bank's assessment is based on an economic capital (EC) model and conservative stress tests. The EC model is calibrated to a confidence level of 99.97% over a one-year horizon. The stress tests cover a five-year horizon and affirm that the capital supply in a normal business cycle should be sufficient to cover potential losses and capital requirement changes which may occur under stressed conditions.

Article 438(c) CRR

Upon demand from the relevant competent authority, the result of the institution's internal capital adequacy assessment process.

Provided upon demand from the relevant competent authority.

Risk management policies and objectives

Handelsbanken's restrictive approach to risk means that the Bank deliberately avoids high-risk transactions. The risk strategy is founded on a strong risk culture that is sustainable in the long term and applies to all areas of the Group. The Bank is characterised by a clear division of responsibility where each part of the business operations bears full responsibility for its business and risk management. The decentralised business model is combined with strong centralised controls. The same principles for the Bank's approach to risk apply in all countries where the Bank operates.

EU OVA - Institution risk management approach

Point (f) of Article 435(1) CRR

Disclosure of concise risk statement approved by the management body.

Risk statement

Handelsbanken's business goal is to have higher profitability than the average of peer competitors in our home markets. This goal is mainly to be achieved by having more satisfied customers and lower costs than those of competitors. Handelsbanken is a bank with a strong local connection and a decentralised way of working.

The Bank's overall risk profile is that risks are to be kept low. The Group must also be well capitalised at all times in relation to the risks, fulfil all requirements imposed by the authorities, and hold liquid assets so that it can meet its payment obligations, including in situations of financial stress in the short and long term. The risk strategy and Bank's overall risk profile support Handelsbanken's aim to have a business model that is independent of changes in the business cycle.

The Bank has, and will maintain, a low level of credit risk. This is achieved by such measures as its strong local connection and close customer relations. The quality of credits must never be neglected in favour of achieving higher volume or a higher margin. The Bank is selective when choosing customers with the requirement that borrowers have a good repayment capacity. As a consequence of this, the credit portfolio has a clear concentration on risk classes where the probability of loss is low. This consistent approach is reflected in the Bank's low credit losses over time. In 2022, credit losses were 0.00% (0.00) of lending.

To ensure that the Bank is well capitalised in relation to the risks and has a good liquidity situation, the Board stipulates the Bank's risk tolerance for capitalisation and liquidity. When the risk tolerance for capitalisation is decided, the capital measure is set partly in relation to the statutory requirements and partly in relation to Handelsbanken's assessed capital requirement based on the Bank's model for Economic Capital (EC), which encompasses all of the Group's risks in one single metric. The risk tolerance for the Bank's liquidity risk is decided on the one hand through requirements that the Bank, under stressed circumstances, must have a sufficiently large liquidity reserve in the form of liquid assets and assets which can be pledged, and also liquidity-generating measures to be able to continue its operations during determined time periods, and on the other hand through requirements regarding the accumulated net amount of incoming and outgoing cash flows in different time intervals.

The Board has determined that the common equity tier 1 ratio must, under normal circumstances, be between 1 and 3 percentage points above the total common equity tier 1 capital requirement communicated to the Bank by the Swedish Financial Supervisory Authority. With regard to the leverage ratio, this must exceed the total capital requirement communicated to the Bank by the Swedish Financial Supervisory Authority by at least 0.6 percentage points.

The Bank's assessment of the Swedish Financial Supervisory Authority's common equity tier 1 capital requirement at year-end 2022 was 14.5% (13.9), including the Swedish Financial Supervisory Authority's guidance of 1% within the framework of Pillar 2. Similarly,

the Bank's assessment of the leverage ratio requirement was 3.45%, including the Swedish Financial Supervisory Authority's guidance of 0.45% within the framework of Pillar 2. The Board has also determined that the ratio between AFR (Available Financial Resources) and EC must exceed 120%.

At the end of 2022, the common equity tier 1 ratio was 19.6% (19.4) and the AFR/EC ratio was 413% (384). The Board has stipulated the goal that the Bank must have accumulated positive net cash flows over a period of at least one year, taking into account the liquidity reserve, and with the assumption that parts of the non-fixed-term deposits from households and companies disappear during the first month. With Handelsbanken's total liquidity reserve including liquidity-generating measures, the liquidity requirement would be covered for over three years during such stressed conditions.

The Bank's risk profile is in accordance with the risk strategy established by the Board.

Point (b) of Article 435(1) CRR

Information on the risk governance structure for each type of risk.

The Board is responsible for the Bank's organisation and manages the Bank's affairs on behalf of its shareholders.

The Board is to continuously assess the Bank's financial situation and ensure that the Bank is organised in such a way that the accounting records, management of funds and other aspects of the Bank's financial circumstances are satisfactorily controlled. The Board establishes policies and instructions on how this is to be executed, and establishes a work procedure for the Board and also instruction for the CEO. These central policy documents state how responsibility and authority are allocated among the Board as a whole and the committees, and also between the Chairman of the Board and the CEO. The appointments made by the Board include the CEO, Executive Vice Presidents and the CRO, the Chief Compliance Officer and the Chief Audit Executive, and the Board also stipulates the employment terms for these persons. The Chairman is responsible for evaluating the Board's work and informs the nomination committee of the results of this evaluation.

The Board's risk committee monitors the effectiveness of the Handelsbanken Group's risk control and risk management.

The committee prepares decisions regarding the Bank's risk strategy, risk tolerance, etc., and examines reports from Group Compliance and Group Risk Control.

The committee also makes decisions independently, including decisions on the significant parts of the Bank's risk classification and estimation processes linked to the IRB approach.

The Risk and Compliance Committee has been set up by the CEO for follow-up of risk management within several areas and for in-depth discussions regarding the Bank's overall risk situation prior to such matters being addressed by the risk committee and the Board (up until 3 July 2022, the matters were dealt with in the former Risk Forum). As well as the CEO, the Risk and Compliance Committee includes the CFO, CRO, Chief Compliance Officer, Chief Strategy Officer, Chief Credit Officer, Chief Information Officer, Head of Financial Crime Prevention, Head of Group Capital Markets, Head of Group Products and Offerings and Chief Legal Officer.

RISK MANAGEMENT POLICIES AND OBJECTIVES

Responsibility for fulfilling organisational requirements in order to ensure internal control, risk control and regulatory compliance within each respective unit has been delegated from the CEO to managers who report directly to the CEO. In turn, these managers have delegated operational responsibility for meeting these requirements to managers who report to them. Among other things, this responsibility means that suitable instructions and procedures for the operations must be in place, and compliance with these procedures must be monitored regularly. Thus, internal control, risk control and compliance are integral parts of managerial responsibility at all levels in the Bank.

The subsidiaries' control functions are, in most cases, an integral part of the Group's control functions. The subsidiaries must incorporate the Handelsbanken Group's governing policies into their own corresponding documents unless local or sector specific requirements give rise to deviations. In certain cases, control activities are fulfilled via an outsourcing agreement between a subsidiary and the Bank.

The Bank's policies and guidelines also include rules regarding the conduct of employees. Examples of such conduct rules are that Handelsbanken's employees must not be in a position where they may be suspected of taking improper advantage of knowledge about the financial markets which they obtain in the course of their work, must be familiar with legislation concerning trading in financial instruments and observe the Bank's rules for employees' private securities and currency transactions. Furthermore, in their work at the Bank and in their private affairs, employees must refrain from business transactions that violate the Bank's rules and refrain from transactions or other commitments that could seriously jeopardise their personal financial position. Employees are not permitted to process transactions in which they, or persons closely associated with them, have a personal interest – this also applies to companies in which employees, or persons closely associated with them, are involved. Employees must notify the Bank of assignments outside the Bank and obtain approval to engage in these – this also applies to secondary occupations and certain posts in clubs, societies and the like.

An employee who discovers or suspects irregularities or other unacceptable conditions within the Group must report this to their line manager or to a senior manager within their own or another unit. Handelsbanken's separate whistleblowing system provided by an external supplier may be used as well as these reporting channels.

Group Compliance

Group Compliance is an independent control function that identifies, measures, analyses and reports on compliance risks within the Group. This also includes checking and assessing the suitability and effectiveness of the procedures in place and actions taken to minimise the risk of non-compliance with applicable rules. Another important duty is to provide advice and support about compliance to employees, the CEO and Board, and continually inform the units concerned about the risks which may arise in the operations due to inadequate compliance. Group Compliance also monitors the risk level relative to the risk tolerance defined by the Board, and is responsible for the Group's contacts with public authorities regarding supervision of the Group's licensed operations.

The function also includes specifically defined roles such as the Appointed Officer according to the applicable money laundering and terrorist financing regulations, and the Data Protection Officer (DPO) according to the applicable regulations on data protection and personal data processing.

The Chief Compliance Officer is appointed by the Board and reports directly and regularly to the CEO on matters regarding compliance in the Group, as well as quarterly to the risk committee and the Board.

Group Risk Control

Group Risk Control is an independent control function that identifies, measures, analyses and reports all the Group's material risks.

This includes monitoring and checking the Group's risk management and assessing that Handelsbanken's risk management framework is fit for purpose and efficient. Group Risk Control also checks that the risks

and risk management comply with the Bank's risk strategy, and fall within the risk tolerance thresholds established by the Board.

The Chief Risk Officer is appointed by the Board and reports directly and regularly to the CEO. The Chief Risk Officer also reports regularly to the Board's risk committee and quarterly to the Board as a whole.

Group Audit

Group Audit is the Board's controlling body. The Chief Audit Executive is appointed by and reports to the Board.

Group Audit is tasked with performing an independent, impartial audit of the operations and financial reporting of the Group. This includes assessing and verifying processes for risk management, internal control and corporate governance. Their assignment is based on a policy established by the Board and is performed on the basis of a risk-based methodology in accordance with internationally accepted standards issued by the Institute of Internal Auditors (IIA). The planned auditing activities are documented every year in an audit plan which is established by the Board. Group Audit's conclusions, the actions to be taken and their status, are reported regularly to the audit committee and every year to the Board as a whole. The Chief Audit Executive is also a recipient of reports made via Handelsbanken's separate system for whistleblowing.

Group Audit is regularly subject to independent external quality reviews. In addition, the Bank's external auditors perform an annual quality review of the work of Group Audit.

Policy Documents

The policy for compliance establishes the principles for compliance applicable in the Group, and describes the duties of Group Compliance. Compliance refers to the observation of and compliance with external and internal rules and regulations, accepted market practice and standards that are together applicable to the Bank's licensed operations. Handelsbanken has a low tolerance of compliance risks. Group Compliance is to adopt a risk-based way of working to support and verify regulatory compliance, as well as analyse deficiencies and risks relating to compliance.

The policy for risk control presents the basic principles for the Bank's independent risk control function. The risk control function must verify that all material risks to which the Group is exposed, or may be exposed in the future, are identified and managed by the relevant functions, and must also supervise and monitor the Group's risk management. In addition, the function must identify risks arising as a result of deficiencies in the Group's risk management. The risk control function must also verify that every business unit monitors all its material risks in an efficient manner.

The policy for Audit stipulates that Group Audit must evaluate the efficiency and appropriateness of the Group's processes for risk management, internal governance and control. The audit function must impartially and independently examine the Group's operations, accounts and governance process, ensure that material risks are identified and managed in a satisfactory manner, and ensure that material financial information is reliable, correct and delivered on time.

Through the Financial policy, the Board establishes the framework for financial operations in Handelsbanken. This includes the general establishment of measurement methods for financial risks. 'Financial risks' here refers to market risks and liquidity risks. Market risks are in turn divided into interest rate risks, equity price risks, foreign exchange risks and commodity price risks. Financial risks shall only occur as a natural step in customer business, in connection with Handelsbanken's funding and liquidity management, and in its role as a market maker. The purpose of the Group's funding and liquidity management is to ensure that Handelsbanken is able to meet its payment obligations in the short and long term. The Group's funding must be well diversified in terms of markets, currencies and maturities. Handelsbanken must have an adequate liquidity reserve to be able to continue its operations for predetermined periods of time, without new funding in the financial markets. This requirement must also be fulfilled in times of financial strain.

The credit policy describes the Bank's risk tolerance and risk strategy for credit risk, as well as how such risks are to be followed up. Handelsbanken has a low tolerance of credit risks and strives to maintain its historically low level of credit losses compared to other banks.

The policy for operational risk describes the Bank's tolerance of operational risks and provides comprehensive guidance on the management of such risks. Operational risk refers to the risk of loss due to inadequate or failed internal processes, human error, erroneous systems or external events. Legal risks, as well as IT risks and information security risks, are also included. Handelsbanken has a low tolerance of operational risks and, as far as possible, must endeavour to prevent these risks and to reduce the losses in this area.

For a detailed description of the Bank's management of market risk, liquidity risk, credit risk (including counterparty risk) and operational risk see, EU MRA, EU LIQA, EU CRA and EU ORA.

Point (e) of Article 435(1) CRR.

Declaration approved by the management body on the adequacy of the risk management arrangements

Risk declaration

Handelsbanken has satisfactory arrangements for risk management which are fit for purpose in relation to the Bank's business goal, overall risk profile and the risk strategy which the Board has decided for the operations.

Point (c) of Article 435(1) CRR

Disclosure on the scope and nature of risk disclosure and/or measurement systems.

In 2022, the CRO reported the Group's risks to the CEO, the risk committee and the Board at least quarterly. The Chief Compliance Officer reported the Group's compliance risks in a corresponding manner. The Risk and Compliance Committee (up until 3 July 2022, the matters were dealt with in the former Risk Forum) has been set up by the CEO for follow-up of risk management within several areas and for in-depth discussions regarding the Bank's overall risk situation prior to such matters being addressed by the risk committee and the Board. As well as the Chief Executive Officer, the Risk and Compliance Committee includes the CFO, Chief Risk Officer, Chief Compliance Officer, Chief Strategy Officer, Chief Credit Officer, Chief Information Officer, Head of Financial Crime Prevention, Head of Group Capital Markets, Head of Group Products and Offerings and Chief Legal Officer.

The risk committee, chaired by the Bank's CRO, met on 11 occasions in 2022.

For a more detailed description of the Bank's scope and nature of risk disclosure and/or measurement systems for market risk, liquidity risk, credit risk (including counterparty risk) and operational risk see, EU MRA, EU LIQA, EU CRA and EU ORA.

Point (c) of Article 435(1) CRR

Disclose information on the main features of risk disclosure and measurement systems.

The Board evaluates the Bank's risk tolerance and risk strategy on a regular basis and, if needed, implements updates.

The Bank's risk tolerance and risk strategy are expressed mainly through the Credit policy, Policy for operational risks, Capital policy, Financial policy, Policy for remuneration, Policy for compliance, Policy on measures against financial crime, Policy for products and services and Policy for sustainability. Furthermore the Board has established limits for financial risks and norm risk within the Bank's insurance operations.

In accordance with the Policy for risk control, Policy for compliance and the Policy for Group Audit the control functions are responsible for monitoring that the risk management is expedient and effective and that the risks are within the risk tolerance adopted by the Board.

Group Risk Control reports all the Group's material risks at an aggregated level on a regular basis to the Board's risk committee with an assessment of whether the risks are within the risk tolerance established by the Board. The Board is presented with a proposal to approve the Bank's internal capital- and liquidity adequacy assessment and thereby confirm that the risks are within the risk tolerance for capital and liquidity adopted by the Board.

Group Risk Control's assessment of the expediency and efficiency of the framework for risk management is presented in "Assessment of the Bank's framework for risk management" on an annual basis.

Point (a) of Article 435(1) CRR

Strategies and processes to manage risks for each separate category of risk.

Handelsbanken's Board has overall responsibility for the Bank's risk management and establishes internal rules for this. The Board establishes policy documents and the CEO establishes guidelines describing how various risks should be managed and reported.

The Board's *Financial policy for the Handelsbanken Group* states that Handelsbanken has a low risk tolerance.

In order to ensure the low tolerance of liquidity risks, both at aggregate level and in each individual currency, the Bank aims to have good access to liquidity, a low level of variation in results and a considerable capacity to meet customers' funding needs, even in difficult times. This is achieved by maintaining a good matching of incoming and outgoing cash flows over time in all currencies essential to the Bank and by maintaining large liquidity reserves of good quality. The Bank thus minimises the economic risks in funding and can thereby maintain stable and long-term funding for the business-operating units.

The restrictive view of market risks means that, essentially, market risks in the banking operations are only taken as part of meeting customers' investment and risk management needs. Market risks must be limited by matching cash flows and interest-rate adjustment periods, hedging open positions and taking other actions to limit risk. Market risks at Handelsbanken are thus very low. One result of the low market risks is that a small fraction of the Bank's earnings comes from net gains/losses on financial transactions.

The Board's steering documents, as well as internal instructions, reflect the Group's risk tolerance and risk strategy for credit risks. Handelsbanken's risk tolerance for credit risk includes restrictions within a number of areas i.e. Geographical focus, Portfolio composition, Repayment capacity, Concentration, Counterparty risks and Collateral. Handelsbanken has a low credit risk tolerance, and the Bank's business model focuses on credit risks being taken and managed in the business operations. While business decisions in Handelsbanken are decentralised, the Bank's credit process is centralised.

In order to maintain the Group's low risk tolerance for credit risks, credit decisions must be made according to the limitation in place for the respective decision levels, as stipulated in the delegation procedure determined by the Board and described in the credit instructions for the Handelsbanken Group.

Handelsbanken has a low tolerance for operational risks, although these risks are inevitable components in the Bank's operations. As far as possible, Handelsbanken must endeavour to prevent these risks and to reduce the losses. An operational risk which could lead to a material deterioration of the Group's profit in the event of an incident must be reduced to a lower risk level. Risk reduction measures must be taken so that the risk is made acceptable.

The Bank also has a low risk tolerance for compliance risks and, as far as possible, must prevent such risks. A risk is beyond risk tolerance if Group Compliance assesses the risk as being major or critical, and considers that there is no adequate action plan or that there are material deviations from an action plan.

The Bank's principles for remuneration to employees are long established. In general, Handelsbanken has a low tolerance of risk and holds the opinion that fixed remuneration contributes to healthy operations. This is, therefore, the main principle. The Board decides on the remuneration policy.

Points (a) and (d) of Article 435(1) CRR

Information on the strategies and processes to manage, hedge and mitigate risks, as well as on the monitoring of the effectiveness of hedges and mitigants.

Handelsbanken has a low risk tolerance, and the Bank's business model focuses on risks being taken and managed in business operations. The local connection, coupled with internal control, promotes low risks. Among other things, the restrictive approach to risk means that the Bank deliberately avoids high-risk transactions, even if the expected financial reward may be high at that time.

The Board's risk tolerance in each of the Bank's risk areas is expressed through decisions regarding limits for financial risks in the Group, and norm risk in the insurance operations, approval of the Bank's internal capital adequacy and liquidity assessment process, and the Board's adoption of policy documents i.e. mainly the Credit policy for the Handelsbanken Group, the Capital policy for the Handelsbanken Group, the Financial policy for the Handelsbanken Group, Policy for Compliance in the Handelsbanken Group and the Policy for operational risk in the Handelsbanken Group.

Together with the CFO, the CRO compiles documentation for the Board's evaluation of risk tolerance and risk strategy. In this, the CRO and CFO evaluate and assess whether there is a need to update the risk tolerance of the Handelsbanken Group.

Handelsbanken's Board has overall responsibility for the Bank's risk management and establishes internal rules for this. The CEO issues guidelines for how responsibilities are to be allocated and work carried out in the various parts of the Group's operations. These guidelines may complement the policies that have been issued by the Board, or otherwise deal with areas where the CEO deems it appropriate to provide guidelines for the operations. The next level of steering documents is the Group-wide instructions, which are to be issued by the relevant senior managers responsible at Group level.

The risk control function at Handelsbanken is independent of the functions that are to be monitored. The risk control function verifies that all material risks to which the Group is exposed, or may be

exposed in the future, are identified and managed by the relevant functions. The risk control function monitors and verifies the Group's risk management. It ensures that relevant internal rules, processes and procedures concerning risk management are followed, while also ensuring that the risks fall within the risk tolerance established by the Board, and that management has reliable information to use as a basis for managing risks in critical situations. Its responsibilities also include monitoring the limits for market, liquidity and counterparty risks, and operational risk, and evaluating breaches of these limits and credit limits. The risk control function must also evaluate the risk analysis performed in the operations for new and materially changed products and services, markets, processes and IT systems, and in conjunction with significant changes to the operations or organisation.

As business decisions become more decentralised, the need for monitoring of the risk and capital situation increases. Risk control is therefore a natural and vital component of the Bank's business model. Group Risk Control is responsible for continually reporting the current risk situation in the Group to the Bank's management and Board and for ensuring that risks are measured in a fit-for-purpose and consistent manner across the Group.

The Bank has a strong capital and liquidity situation and maintains continuous access to the financial markets via its short-term and long-term funding programmes. The Bank also has a large and high-quality liquidity reserve, which provides a high degree of resistance to possible disruptions in the financial markets. Group Treasury's liquidity portfolio, which is part of the Bank's liquidity reserve, has a low risk profile and consists mainly of balances with central banks, government bonds and covered bonds. In addition, there is a comprehensive unutilised issue amount for covered bonds at Stadshypotek. Liquidity reserves are kept in all currencies that are important to the Bank. The total liquidity reserve covers the Bank's liquidity requirements for more than three years in a stressed scenario, entirely without access to new market funding. Operations can also be maintained for a considerable period of time even in an extreme situation when the foreign exchange markets are closed.

The Bank's capital situation remains strong. Good earnings and low credit losses during the year have contributed to this.

EU OVB - Disclosure on governance arrangements

Point (a) of Article 435(2) CRR

The number of directorships held by members of the management body.

Name	Position and significant board assignments	Background	Education
Pär Boman Chairman	Chairman of Svenska Cellulosa AB SCA and Essity AB, Deputy Chairman of AB Industrivärden and Board Member of Skanska AB.	2006–2015 President and CEO of Handelsbanken.	Engineer and Business/Economics degree, PhD (Econ) h.c.
Fredrik Lundberg Deputy Chairman	President and CEO of L E Lundbergföretagen AB, Chairman of Holmen AB, Hufvudstaden AB, AB Industrivärden, Board Member L E Lundbergföretagen AB and Skanska AB.	President of L E Lundbergföretagen AB since 1981, active at Lundbergs since 1977.	Graduate in Business Administration and Master of Engineering, PhD (Econ) h.c. and PhD (Tech) h.c.
Jon Fredrik Baksaas Board member	Chairman of DNV and Board member Telefonaktiebolaget LM Ericsson.	2008–2016 GSM Association member, Chairman 2013–2016, 2002–2015 Telenor Group, President and CEO, 1989–2002 Telenor Group, various positions within finance, financial control and management, 1988–1989 Aker AS, 1985–1988 Stolt Nielsen Seaway AS, 1979–1985 Det Norske Veritas, Norway and Japan.	Graduate in Economics/Business Administration and PED from IMD.
Hélène Barnekow Board member	Board member of GN Store Nord, Voyado and Schibsted ASA.	2018–2022 CEO of Microsoft Sweden, 2014–2018 CEO and various management roles, Telia Sverige, 2009–2014 Various market leader roles, EMC Corporation (UK and USA), 2001–2009 Various market leader roles, etc., Sony Ericsson Mobile Communications (USA, UK and Sweden), 1999–2001 Market leader, Novo Nordisk (Denmark), 1995–1999 Various management roles, Ericsson, 1993–1995 Market leader, Microsoft Corporation (Malta), 1991–1993 Project manager/consultant, Dagligvaruleverantörers förbund, DLF, Sweden.	Graduate in Economics/business administration
Stina Bergfors Board member	Board member H&M Hennes & Mauritz and Tele2.	2013 – 2018 Co-founder and CEO and other roles, United Screens, 2008 – 2013 Country Director, Google and Youtube, 2004 – 2007 CEO and other roles, Carat, 2000 – 2004 Director and other roles, OMD Worldwide, 1999 – 1999 Account Manager, TV3 Sweden, Modern Times Group.	Graduate in Economics/Business Administration, PhD (Philosophy) h.c.
Hans Biörck Board member	Chairman of Skanska AB and Trelleborg AB.	2001–2011 Skanska, Executive Vice President and CFO, 1998–2001 Autoliv, CFO, 1997–1998 Self-employed, 1977–1997 Various positions in Esselte.	Graduate in Economics/Business Administration.
Kerstin Hessius Board member	Board member Hemsö Fastighets AB.	2004–2022 CEO of AP3, Third Swedish National Pension Fund, 2001–2004 Stockholm Stock Exchange, CEO, 1999–2000 Sveriges Riksbank, Deputy Governor of the central bank, 1998 Danske Bank, CEO Asset Management, 1990–1997 ABN Amro Bank/ Alfred Berg, 1989–1990 Finanstidningen , 1986–1989 Swedish National Debt Office, 1985–1986 Sveriges Riksbank (Swedish central bank), 1984–1985 Swedish Agency for Public Management.	Graduate in Economics/Business Administration.
Ulf Riese Board Member	-	Various positions at Handelsbanken, 2016–2018 Senior Advisor, 2007–2016 CFO, 2004–2007 Head of Handelsbanken Asset Management, 2004 Executive Vice President of Handelsbanken, Employed by Handelsbanken since 1983.	Graduate in Economics/Business Administration.
Arja Taaveniku Board member	Chairman of Svenska Handelsfastigheter AB, Polarn Holding AB and Polarn BidCo AB, Board member Dunelm plc and Handelsbanken plc.	2015–2019 Chief Offer and Supply Chain Officer, Kingfisher plc, CEO of subsidiary of Kingfisher plc, 2012– 2015 President and CEO, Ikano Group, 2005–2012 Global Business Area Director, IKEA Group, 1989–2005 Various positions within the IKEA Group.	Graduate in Economics/Business Administration.
Carina Åkerström Board member	President and CEO of Handelsbanken, Chairman of the Swedish Bankers' Association and Board member of World Childhood Foundation	2016–2019 Executive Vice President, Deputy President of Handelsbanken, 2010–2019 Executive Vice President, Head of Regional Bank Stockholm, 2008–2010 Executive Vice President, Head of Regional Bank Eastern Sweden, Employed by Handelsbanken since 1986.	Master of Laws.
Anna Hjelmberg Employee representative	Chair of Financial Sector Union of Sweden's Handelsbanken union club.	Insurance Officer at Handelsbanken Liv and union roles in Handelsbanken Group	Economics Programme at upper secondary school.
Lena Renström Employee representative	Chair of Financial Sector Union of Sweden's Swedish branch operations union club.	Advisory services in Handelsbanken's branch operations	Graduate in Economics/Business Administration.
Stefan Henricson Employee representative, Deputy member	Member of Financial Sector Union of Sweden's Swedish branch operations union club.	Managerial and advisory services at branches and regional head offices at Handelsbanken	Economics Programme at upper secondary school.
Charlotte Uriz Employee representative, Deputy member	Chair of Akademikerföreningen (Association for graduate professionals) at Handelsbanken.	Specialist, business and operations developer at Cash Management, Digital meeting places and Trading.	BA

Point (b) of Article 435(2) CRR

Information regarding the recruitment policy for the selection of members of the management body and their actual knowledge, skills and expertise.

In the Bank's recruitment and diversity-related work, the nomination committee takes into account matters relating to diversity on the Board, including gender distribution. Handelsbanken's Board has adopted a policy to promote diversity on the Board.

The policy stipulates that, in order to promote independent opinions and critical questioning, it is desirable that the Board should be characterised by appropriate diversity in terms of age, gender, geographical origin, and also educational and professional background. The proportion of women on the Board of the Bank is 50 per cent of the elected members, and the proportion who are nationals of or have geographical origin in a country other than the one where Handelsbanken is domiciled is 20 per cent.

In compiling its proposal for the AGM, the nomination committee considers relevant parts of the policy adopted by the Board regarding suitability assessment of board members and Chief Executive Officer. The nomination committee also considers the evaluation of the Board carried out by the Chairman of the Board. Please also see table in point a) above.

Point (c) of Article 435(2) CRR

Information on the diversity policy with regard of the members of the management body.

In the Bank's recruitment and diversity-related work, the nomination committee takes into account matters relating to diversity on the Board, including gender distribution. Handelsbanken's Board has adopted a policy to promote diversity on the Board.

The policy stipulates that, in order to promote independent opinions and critical questioning, it is desirable that the Board should be characterised by appropriate diversity in terms of age, gender, geographical origin, and also educational and professional background. The proportion of women on the Board of the Bank is 50 per cent of the elected members, and the proportion who are nationals of or have geographical origin in a country other than the one where Handelsbanken is domiciled is 20 per cent. In compiling its proposal for the AGM, the nomination committee also considers the evaluation of the Board carried out by the Chairman of the Board.

Point (d) of Article 435(2) CRR

Information whether or not the institution has set up a separate risk committee and the frequency of the meetings.

The Board's risk committee monitors risk control and risk management in the Handelsbanken Group. The committee prepares decisions regarding the Bank's risk strategy, risk tolerance, etc., and examines reports from Group Compliance and Group Risk Control.

In 2022, the risk committee had nine meetings.

Point (e) Article 435(2) CRR

Description on the information flow on risk to the management body.

The President and Chief Executive Officer, the risk committee and the Board must be kept regularly informed of material risks and of situations with particular development of risks.

Every quarter, the Chief Risk Officer must submit an overall Group risk report to the President and Chief Executive Officer, the risk committee, and the Board. The report must also be presented by the Chief Risk Officer to the risk committee and to the Board.

The Group risk report must contain a description of the Group's material risks and deficiencies, including the Group's material deficiencies in risk data aggregation and the Handelsbanken Group's ability to compile risk data reports for the Board, management and authorities. This report shall cover:

1. impact analysis and proposals for action
2. follow-up of previously reported risks and deficiencies
3. follow-up of measures adopted
4. forward-looking risk assessments

The report must enable an assessment of whether Handelsbanken is fulfilling the risk strategy and remaining within the risk tolerance decided by the Board.

Once a year, or at the request of the risk committee, the Board or the President and Chief Executive Officer, the Chief Risk Officer, together with the Chief Financial Officer, must evaluate and make an assessment of whether there is a need to update the Handelsbanken Group's risk tolerance.

The result of the evaluation of methods used for the calculation and application of limits, capital requirements, economic capital and stress tests must be reported to the risk committee on an annual basis.

The Chief Risk Officer must be present at meetings when the risk control function's reports or area of responsibility are considered. Group Finance and other departments that have a need for the report must gain access to it.

Scope of application

EU LI1 Differences between accounting and regulatory scopes of consolidation and mapping of financial statement categories with regulatory risk categories

The table shows which regulatory framework is used to calculate the capital requirement for each asset type in the balance sheet. Derivatives, repos and securities lending capital requirements are calculated according to both the CCR framework and the market risk framework.

Differences between accounting and regulatory scopes of consolidation and mapping of financial statement categories with regulatory risk categories 2022		Carrying values of items						
		Carrying values as reported in published financial statements	Carrying values under scope of regulatory consolidation ¹	Subject to the credit risk framework	Subject to the CCR framework	Subject to the securitisation framework	Subject to the market risk framework	Not subject to own funds requirements or subject to deduction from own funds
SEK m								
1	Assets							
2	Cash and balances with central banks	475 868	475 882	475 882	-	-	-	-
3	Other loans to central banks	4 604	32 620	32 620	-	-	-	-
4	Interest-bearing securities available as collateral with central banks	132 778	132 778	132 492	5	-	281	-
5	Loans to other credit institutions	9 411	9 284	9 284	-	-	-	-
6	Loans to the public	2 315 818	2 470 461	2 449 321	19 636	374	-	1 130
7	Value change of interest-hedged item in portfolio hedge	-16 616	-16 616	-16 616	-	-	-	-
8	Bonds and other interest-bearing securities	32 697	32 697	29 848	-	-	2 849	-
9	Shares and participating interests	12 813	7 112	444	666	-	6 668	-
10	Investments in associates	561	6 819	6 752	-	-	-	68
11	Assets where the customer bears the value change risk	212 966	2 512	2 512	-	-	-	-
12	Derivative instruments	36 261	36 261	-	36 261	-	7 414	-
13	Reinsurance assets	-	-	-	-	-	-	-
14	Intangible assets	8 402	8 338	-	-	-	-	8 338
15	Property and equipment	4 914	5 321	5 321	-	-	-	-
16	Current tax assets	160	425	425	-	-	-	-
17	Deferred tax assets	1 589	1 589	-29	-	-	-	1 618
18	Pension assets	12 875	12 869	-	-	-	-	12 869
19	Assets held for sale	191 916	310	310	-	-	-	-
20	Other assets	14 720	14 616	14 616	-	-	-	-
21	Prepaid expenses and accrued income	1 979	1 979	1 979	-	-	-	-
22	Total assets	3 453 716	3 235 254	3 145 161	56 568	374	17 212	24 023
1	Liabilities							
2	Liabilities to credit institutions	81 693	82 372	-	-	-	-	-
3	Deposits and borrowing from the public	1 325 061	1 386 510	-	-	-	-	-
4	Liabilities where the customer bears the value change risk	212 966	2 512	-	-	-	-	-
5	Issued securities	1 474 801	1 474 801	-	-	-	-	-
6	Derivative instruments	29 040	29 040	-	-	-	9 226	-
7	Short positions	1 939	1 939	-	-	-	1 858	-
8	Insurance liabilities	405	-	-	-	-	-	-
9	Current tax liabilities	217	169	-	-	-	-	-
10	Deferred tax liabilities	5 614	5 954	-	-	-	-	-
11	Provisions	591	785	-	-	-	-	-
12	Pension obligations	-	-	-	-	-	-	-
13	Liabilities related to assets held for sale	68 938	-	-	-	-	-	-
14	Other liabilities	10 451	10 746	-	-	-	-	-
15	Accrued expenses and deferred income	3 565	3 786	-	-	-	-	-
16	Subordinated liabilities	42 404	42 404	-	-	-	-	-
17	Total liabilities	3 257 686	3 041 019	-	-	-	11 084	

¹ Carrying values under scope of regulatory consolidation are shown prior to the reclassification of the disposal group Finland to Assets held for sale and Liabilities held for sale, as in the published financial statements.

EU LI2 Main sources of differences between regulatory exposure amounts and carrying values in financial statements

The table shows the difference between the carrying amount under the scope of regulatory consolidation and exposures considered for regulatory purposes.

Main sources of differences between regulatory exposure amounts and carrying values in financial statements 2022		Items subject to				
		Total	Credit risk framework	CCR framework	Securitisation framework	Market risk framework
SEK m						
1	Assets carrying value amount under the scope of regulatory consolidation (as per template EU LI1)	3 219 315	3 145 161	56 568	374	17 212
2	Liabilities carrying value amount under the regulatory scope of consolidation (as per template EU LI1)	11 084	-	-	-	11 084
3	Total net amount under the regulatory scope of consolidation	3 204 561	3 145 161	56 568	374	2 458
4	Off-balance-sheet amounts	505 033	505 033	-	-	-
5	Differences in valuations	-	-	-	-	-
6	Differences due to different netting rules, other than those already included in row 2	-11 031	-	-11 031	-	-
7	Differences due to consideration of provisions	2 201	2 201	-	-	-
8	Differences due to the use of credit risk mitigation techniques (CRMs)	-25 437	10 103	-35540	-	-
9	Differences due to credit conversion factors	-283 901	-283 901	-	-	-
10	Differences due to Securitisation with risk transfer	-	-	-	-	-
11	Other differences	21 014	-	21 014	-	-
12	Exposure amounts considered for regulatory purposes	3 412 440	3 378 597	31 011	374	2 458

EU LIA Explanations of differences between accounting and regulatory exposure amounts**Article 436(b) CRR**

Differences between columns (a) and (b) in template EU LI1.

The regulatory consolidation (consolidated situation) consists of the parent company, subsidiaries and associates that are also included in the consolidated Group accounts reported in published financial statements, as shown in table EU LI3. The companies that are included in the consolidated accounts but are excluded from the consolidated situation are also shown in table EU LI3. Just as in the consolidated accounts, associates are consolidated using the equity method in the regulatory consolidated situation. All subsidiaries which are subject to the regulations are included in the consolidated situation.

Article 436(d) CRR

Qualitative information on the main sources of differences between the accounting and regulatory scope of consolidation shown in template EU LI2.

The main sources of differences between regulatory exposure amounts and carrying values in financial statements are the off balance sheet exposures reported under the credit risk framework, the differences due to the use of credit risk mitigation techniques and the reporting of derivative exposures under both the market risk and the counterparty credit risk framework.

EU LI3 – Outline of the differences in the scopes of consolidation (entity by entity)

The table outlines the scopes of consolidation for the companies included in the consolidated situation at year-end.

Outline of the differences in the scopes of consolidation (entity by entity) 2022		Method of regulatory consolidation							Description of the entity
Name of the entity	Corporate identity number	Ownership share %	Method of accounting consolidation	Full consolidation	Proportional consolidation	Equity method	Neither consolidated nor deducted	Deducted	
Handelsbanken AB (publ)	502007-7862	N/A	Parent company	N/A					Credit institution
Handelsbanken Finans AB	556053-0841	100.00	Full consolidation	X					Credit institution
Stadshypotek AB	556459-6715	100.00	Full consolidation	X					Credit institution
Svenska Intecknings Garanti AB Sigab (inactive)	556432-7285	100.00	Full consolidation	X					Non-financial corporation
Handelsbanken Fondbolagsförvaltning AB	556070-0683	100.00	Full consolidation	X					Financial corporations other than credit institutions
Handelsbanken Fonder AB	556418-8851	100.00	Full consolidation	X					Financial corporations other than credit institutions
AB Handel och Industri	556013-5336	100.00	Full consolidation	X					Non-financial corporation
Ecster AB	556993-2311	100.00	Full consolidation	X					Credit institution
Handelsbanken Plc	11305395	100.00	Full consolidation	X					Credit institution
Handelsbanken Wealth and Asset Management Limited	04132340	100.00	Full consolidation	X					Financial corporations other than credit institutions
Heartwood Nominees Limited (inactive)	2299877	100.00	Full consolidation	X					Non-financial corporation
Heartwood Second Nominees Limited (inactive)	3193458	100.00	Full consolidation	X					Non-financial corporation
Heartwood ACD Limited	4332528	100.00	Full consolidation	X					Non-financial corporation
Svenska Property Nominees Limited (inactive)	2308524	100.00	Full consolidation	X					Non-financial corporation
Optimix Vermogensbeheer N.V.	33194359	100.00	Full consolidation	X					Financial corporations other than credit institutions
Add Value Fund Management B.V.	19196768	80.00	Full consolidation	X					Financial corporations other than credit institutions
Optimix Beheer en Belegging B.V. (inactive)	33186584	100.00	Full consolidation	X					Non-financial corporation
Handelsbanken Markets Securities, Inc.	11-3257438	100.00	Full consolidation	X					Financial corporations other than credit institutions
Handelsbanken Rahoitus Oy	0112308-8	100.00	Full consolidation	X					Financial corporations other than credit institutions
Handelsbanken Fastigheter AB	556873-0021	100.00	Full consolidation	X					Non-financial corporation
Rådstuplass 4 AS	910508423	100.00	Full consolidation	X					Non-financial corporation
Handelsbanken Ventures AB	556993-9357	100.00	Full consolidation	X					Non-financial corporation
Bidtruster AB	556993-9084	100.00	Full consolidation	X					Non-financial corporation
Gröna stugan i Stockholm AB	559311-4712	100.00	Full consolidation	X					Non-financial corporation
Bankomat AB	556817-9716	20.00	Equity method			X			Non-financial corporation
BGC Holding AB	556607-0933	25.54	Equity method			X			Non-financial corporation
Torig AB	556564-5404	100.00	Equity method			X			Non-financial corporation
Finansiell ID-teknik BID AB	556630-4928	28.30	Equity method			X			Non-financial corporation
USE Intressenter AB	559161-9464	24.48	Equity method			X			Non-financial corporation
Getswish AB	556913-7382	20.00	Equity method			X			Non-financial corporation
P 27 Nordic Payments Platform AB	559198-9610	16.70	Equity method			X			Non-financial corporation
Invidem AB	559210-0779	16.70	Equity method			X			Non-financial corporation
Tibern AB	559384-3542	14.30	Equity method			X			Non-financial corporation
Handelsbanken Liv Försäkrings AB (group excl. Handelsbanken Fastigheter AB)	516401-8284	100.00	Full consolidation					X	Insurance company
Svenska Re S.A.	RCS Lux B-32053	100.00	Full consolidation					X	Insurance company
Handelsbanken Skadeförsäkrings AB	516401-6767	100.00	Full consolidation					X	Insurance company
SHB Liv Försäkringsaktiebolag	2478149-7	100.00	Full consolidation				X		Insurance company
Svenska RKA International Insurance Services AB (inactive)	556324-2964	100.00	Full consolidation				X		Insurance company
Dyson Group plc	00163096	27.00	Equity method				X		Non-financial corporation
Dyson Industries Ltd	1187031	100.00					X		Non-financial corporation
Beepart Ltd	177682	100.00					X		Non-financial corporation
Pickford Holland & Company Ltd	128414	100.00					X		Non-financial corporation
Millennium Materials Inc	-	100.00					X		Non-financial corporation
Dyson US holdings Inc	-	100.00					X		Non-financial corporation
EFN Ekonomikanalen AB	556930-1608	100.00					X		Non-financial corporation

SCOPE OF APPLICATION

EU LIB Other qualitative information on the scope of application

Article 436(f) CRR

Impediment to the prompt transfer of own funds or to the repayment of liabilities within the group.

For the Bank's risk management, it is important that in risk terms, both the Group and the regulatory consolidation can be viewed as one unit. To enable efficient risk management in the Group, capital may need to be re-allocated among the various companies in the Group. In general, Handelsbanken is able to reallocate capital among the Group companies, to the extent that is permitted by legislation, for example, with reference to capital adequacy requirements and restrictions in corporate law. The Bank sees no other material or legal obstacles to a rapid transfer of funds from own funds, or repayment of liabilities between the parent company and its subsidiaries.

Article 436(g) CRR

Subsidiaries not included in the consolidation with own funds less than required.

Handelsbanken has no subsidiaries where the actual own funds are less than the prescribed own funds.

Article 436(h) CRR

Use of derogation referred to in Article 7 CRR or individual consolidation method laid down in Article 9 CRR.

Not applicable.

Article 436(g) CRR

Aggregate amount by which the actual own funds are less than required in all subsidiaries that are not included in the consolidation.

Handelsbanken has no subsidiaries where the actual own funds are less than the prescribed own funds.

EU PV1 Prudent valuation adjustments (PVA)

Prudent valuation adjustments (PVA) 2022		Risk category					Category level AVA - Valuation uncertainty		Total category level post- diversification		
		Equity	Interest Rates	Foreign exchange	Credit	Commodities	Unearned credit spreads AVA	Investment and funding costs AVA		Of which: Total core approach in the trading book	Of which: Total core approach in the banking book
SEK m											
Category level AVA											
1	Market price uncertainty	0	209	-	18	-	-	0	113	59	54
2	Set not applicable in the EU										
3	Close-out cost	0	0	3	2	0			4	4	0
4	Concentrated positions	-	-	-	29	-	N/A	N/A	29	29	
5	Early termination	-	-	-	-	-	N/A	N/A	-	-	-
6	Model risk	5	-	-	-	-	104	15	68	57	11
7	Operational risk	0	10	0	1	0	N/A	N/A	12	6	5
8	Set not applicable in the EU										
9	Set not applicable in the EU										
10	Future administrative costs	-	43	-	-	-	N/A	N/A	43	42	1
11	Set not applicable in the EU										
12	Total Additional Valuation Adjustments (AVAs)								380	199	182

Regulatory own funds

The disclosed regulatory adjustments comprise deductions from own funds and prudential filters as referred to in points (a), (d), (e) and (f) of Article 437 of Regulation EU 575/2013. The right hand column of this template shows the source of every major input, which is cross-referenced to the corresponding rows in template EU CC2.

EU CC1 Composition of regulatory own funds

Presentation in accordance with the requirements of Commission Implementing Regulation (EU) No 2021/637. Excluded rows are deemed not relevant for Handelsbanken at present.

Composition of regulatory own funds 2022		Amount at disclosure date	Source based on reference numbers/ letters of the balance sheet under the regulatory scope of consolidation amount of regulation (EU) No 575/2013
SEK m			
Common equity tier 1 capital: instruments and reserves			
1	Capital instruments and the related share premium accounts	11 827	E - 2, E - 4
	of which: share capital	11 827	E - 2, E - 4
2	Retained earnings	144 055	E - 7
3	Accumulated other comprehensive income (and any other reserves)	17 782	E - 6
5a	Independently reviewed interim profits net of any foreseeable charge or dividend	4 727	E - 8
6	Common equity tier 1 (CET1) capital before regulatory adjustments	178 392	
Common equity tier 1 (CET1) capital: regulatory adjustments			
7	Additional value adjustments (negative amount)	-380	
8	Intangible assets (net of related tax liability) (negative amount)	-8 405	A - 18
11	Fair value reserves related to gains or losses on cash flow hedges of financial instruments that are not valued at fair value	307	E - 6
12	Negative amounts resulting from the calculation of expected loss amounts	-517	
14	Gains or losses on liabilities valued at fair value resulting from changes in own credit standing	-144	
15	Defined benefit pension fund assets (negative amount)	-10 218	A - 24
16	Direct, indirect and synthetic holdings by an institution of own CET1 instruments (negative amount)	-484	
19	Direct, indirect and synthetic holdings by the institution of the CET1 instruments of financial sector entities where the institution has a significant investment in those entities (amount above 10% threshold and net of eligible short positions) (negative amount)	-	
20a	Exposure amount of the following items which qualify for a RW of 1250%, where the institution opts for the deduction alternative	-	
20c	of which: securitisation positions (negative amount)	-	
21	Deferred tax assets arising from temporary differences (amount above 10% threshold, net of related tax liability where the conditions in Article 38 (3) are met) (negative amount)	-	
22	Amount exceeding the 17.65% threshold (negative amount)	-	
23	of which: direct, indirect and synthetic holdings by the institution of the CET1 instruments of financial sector entities where the institution has a significant investment in those entities	-	
25	of which: deferred tax assets arising from temporary differences	-	
25a	Losses for the current financial year (negative amount)	-	
25b	Foreseeable tax charges relating to CET1 items except where the institution suitably adjusts the amount of CET1 items insofar as such tax charges reduce the amount up to which those items may be used to cover risks or losses (negative amount)	-	
27	Qualifying AT1 deductions that exceed the AT1 capital of the institution (negative amount)	-	
28	Total regulatory adjustments to common equity tier 1 (CET1) capital	-19 841	
29	Common equity tier 1 (CET1) capital	158 551	
Additional tier 1 (AT1) capital: instruments			
30	Capital instruments and the related share premium accounts	15 583	L - 19
32	of which: classified as liabilities under applicable accounting standards	15 583	L - 19
33	Amount of qualifying items referred to in Article 484 (4) and the related share premium accounts subject to phase-out from AT1		
36	Additional tier 1 (AT1) capital before regulatory adjustments	15 583	L - 19
Additional tier 1 (AT1) capital: regulatory adjustments			
37	Direct, indirect and synthetic holdings by an institution of own AT1 instruments (negative amount)	-	
40	Direct, indirect and synthetic holdings by the institution of the AT1 instruments of financial sector entities where the institution has a significant investment in those entities (net of eligible short positions) (negative amount)	-	
42	Qualifying (T2) deductions that exceed the T2 capital of the institution (negative amount)	-	
43	Total regulatory adjustments to additional tier 1 (AT1) capital	-	
44	Additional tier 1 (AT1) capital	15 583	
45	Tier 1 capital (T1 = CET1 + AT1)	174 134	

Composition of regulatory own funds 2022		Amount at disclosure date	Source based on reference numbers/ letters of the balance sheet under the regulatory scope of consolidation amount of regulation (EU) No 575/2013
SEK m			
Tier 2 (T2) capital: instruments and provisions			
46	Capital instruments and the related share premium accounts	28 509	L - 20
50	Credit risk adjustments	22	
51	Tier 2 (T2) capital before regulatory adjustments	28 531	L - 20
Tier 2 (T2) capital: regulatory adjustments			
52	Direct, indirect and synthetic holdings by an institution of own T2 instruments and subordinated loans (negative amount)	-8 351	
55	Direct, indirect and synthetic holdings of the T2 instruments and subordinated loans of financial sector entities where the institution has a significant investment in those entities (net of eligible short positions) (negative amounts)	-1 129	A - 5
57	Total regulatory adjustments to tier 2 (T2) capital	-9 480	A - 5
58	Tier 2 (T2) capital	19 052	
59	Total capital (TC = T1 + T2)	193 186	
60	Total risk-weighted assets	810 144	
Capital ratios and requirements including buffers			
61	Common equity tier 1 capital (as a percentage of total risk exposure amount)	19.6	
62	Tier 1 capital (as a percentage of total risk exposure amount)	21.5	
63	Total capital (as a percentage of total risk exposure amount)	23.8	
64	Institution CET1 overall capital requirements	13.4	
65	of which: capital conservation buffer requirement	2.5	
66	of which: countercyclical buffer requirement	1.0	
67	of which: systemic risk buffer requirement	3.0	
67a	of which: Global Systemically Important Institution (G-SII) or Other Systemically Important Institution (O-SII) buffer requirement	1.0	
67b	of which: additional own funds requirements to address the risks other than the risk of excessive leverage	1.3	
68	Common Equity Tier 1 capital (as a percentage of risk exposure amount) available after meeting the minimum capital requirements	13.6	
Amounts below the thresholds for deduction (before risk weighting)			
72	Direct and indirect holdings of the capital of financial sector entities where the institution does not have a significant investment in those entities amount below 10% threshold and net of eligible short positions)	0	
73	Direct and indirect holdings by the institution of the CET1 instruments of financial sector entities where the institution has a significant investment in those entities (amount below 17.65% thresholds and net of eligible short positions)	6254	
75	Deferred tax assets arising from temporary differences (amount below 17.65% threshold, net of related tax liability where the conditions in Article 38 (3) are met)	0	
Applicable caps on the inclusion of provisions tier 2 capital			
76	Credit risk adjustments included in T2 in respect of exposures subject to standardised approach (prior to the application of the cap)	-	
77	Cap on inclusion of credit risk adjustments in T2 under standardised approach	2 288	
78	Credit risk adjustments included in T2 in respect of exposures subject to internal ratings-based approach (prior to the application of the cap)	-	
79	Cap for inclusion of credit risk adjustments in T2 under internal ratings-based approach	3 108	

EU CC2 Reconciliation of regulatory own funds to balance sheet in the audited financial statements

Reconciliation of regulatory own funds to balance sheet in the audited financial statements 2022		Balance-sheet as in published financial statements	Under regulatory scope of consolidation	Reference
SEK m				
ASSETS				
A – 1	Cash and balances with central banks	475 868	475 882	
A – 2	Other loans to central banks	4 604	32 620	
A – 3	Interest-bearing securities available as collateral with central banks	132 778	132 778	
A – 4	Loans to other credit institutions	9 411	9 284	
A – 5	Loans to the public	2 315 818	2 470 461	55, 57
A – 6	Value change of interest-hedged item in portfolio hedge	-16 616	-16 616	
A – 7	Bonds and other interest-bearing securities	32 697	32 697	
A – 8	<i>of which interest-bearing instruments classified as fair value through other comprehensive income (carrying amount)</i>	9 882	9 882	
A – 9	<i>of which interest-bearing instruments classified as fair value through other comprehensive income, accumulated value change</i>	-121	-121	
A – 10	Shares and participating interests	12 813	7 112	
A – 11	<i>of which shares classified as fair value through other comprehensive income (carrying amount)</i>	544	444	
A – 12	<i>of which shares classified as fair value through other comprehensive amount, accumulated value change</i>	259	259	
A – 13	Investments in associates	561	6 819	
A – 14	Assets where the customer bears the value change risk	212 966	2 512	
A – 15	Derivative instruments	36 261	36 261	
A – 16	<i>of which cash flow hedges</i>	-	-	
A – 17	Reinsurance assets	0	0	
A – 18	Intangible assets	8 402	8 338	8
A – 19	Property and equipment	4 914	5 321	
A – 20	Current tax assets	160	425	
A – 21	Deferred tax assets	1 589	1 589	
A – 22	<i>of which related to cash flow hedges</i>	80	80	
A – 23	<i>of which related to interest-bearing instruments classified as fair value through other comprehensive income</i>	24	24	
A – 24	Pension assets	12 875	12 869	15
A – 25	Assets held for sale	191 916	310	
A – 26	Other assets	14 720	14 616	
A – 27	Prepaid expenses and accrued income	1 979	1 979	
A – 28	Total assets	3 453 716	3 235 254	
LIABILITIES AND EQUITY				
L – 1	Liabilities to credit institutions	81 693	82 372	
L – 2	Deposits and borrowing from the public	1 325 061	1 386 510	
L – 3	Liabilities where the customer bears the value change risk	212 966	2 512	
L – 4	Issued securities	1 474 801	1 474 801	
L – 5	Derivative instruments	29 040	29 040	
L – 6	<i>of which cash flow hedges</i>	307	307	
L – 7	Short positions	1 939	1 939	
L – 8	Insurance liabilities	405	0	
L – 9	Current tax liabilities	217	169	
L – 10	Deferred tax liabilities	5 614	5 954	
L – 11	<i>of which related to cash flow hedges</i>	-	-	
L – 12	<i>of which related to shares classified as fair value through other comprehensive income</i>	38	38	
L – 13	Provisions	591	785	
L – 14	Pension obligations	0	0	
L – 15	Liabilities related to assets held for sale	68 938	-	
L – 16	Other liabilities	10 451	10 746	
L – 17	Accrued expenses and deferred income	3 565	3 786	
L – 18	Subordinated liabilities	42 404	42 404	
L – 19	<i>of which tier 1 capital loans</i>	15 583	15 583	30, 32, 36
L – 20	<i>of which loans with remaining time to maturity > 5 yrs</i>	28 509	28 509	46, 51
L – 21	<i>of which loans with remaining time to maturity < 5 yrs</i>	-	-	
L – 22	<i>of which other loans</i>	-	-	
L – 23	Total liabilities	3 257 686	3 041 019	
E – 1	Minority interest	3	3	
E – 2	Share capital	3 069	3 069	1
E – 3	<i>Holdings of own shares</i>	-62	-62	
E – 4	Share premium reserve	8 758	8 758	
E – 5	<i>of which equity from compound financial instruments</i>			
E – 6	Other reserves	17 891	17 782	3, 11
E – 7	Retained earnings	144 841	144 055	2
E – 8	Profit for the year (belonging to shareholders of Svenska Handelsbanken AB)	21 468	20 568	5a
E – 9	Total equity	196 030	194 235	
LE - 1	Total liabilities and equity	3 453 716	3 235 254	

EU CCA Main features - regulatory own funds instruments, CET1

Presentation in accordance with the requirements of Commission Implementing Regulation (EU) No 2021/637. For meeting own funds and eligible liabilities requirements.

Main features - regulatory own funds instruments, CET1			
1	Issuer	Svenska Handelsbanken AB	Svenska Handelsbanken AB
2	Unique identifier (eg CUSIP, ISIN or Bloomberg identifier for private placement)	SE0007100599	SE0007100607
EU-2a	Public or private placement	Public	Public
3	Governing law(s) of the instrument	Swedish law	Swedish law
3a	Contractual recognition of write-down and conversion powers of resolution authorities	N/A	N/A
	<i>Regulatory treatment</i>		
4	Current treatment taking into account, where applicable, transitional CRR rules	Common equity tier 1 capital	Common equity tier 1 capital
5	Post-transitional CRR rules	Common equity tier 1 capital	Common equity tier 1 capital
6	Eligible at solo/(sub)consolidated/solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated
7	Instrument type (types to be specified by each jurisdiction)	Share capital, class A	Share capital, class B
8	Amount recognised in regulatory capital or eligible liabilities (currency in million, as of most recent reporting date)	SEK 11 616m	SEK 211m
9	Nominal amount of instrument	SEK 3 014m	SEK 55m
EU-9a	Issue price	SEK 11 616m	SEK 211m
EU-9b	Redemption price	N/A	N/A
10	Accounting classification	Equity	Equity
11	Original date of issuance	1871	1990
12	Perpetual or dated	Perpetual	Perpetual
13	Original maturity date	N/A	N/A
14	Issuer call subject to the previous supervisory approval	N/A	N/A
15	Optional call date, contingent call dates and redemption amount	N/A	N/A
16	Subsequent call dates, if applicable	N/A	N/A
	<i>Coupons/dividends</i>		
17	Fixed or floating dividend/coupon	N/A	N/A
18	Coupon rate and any related index	N/A	N/A
19	Existence of a dividend stopper	N/A	N/A
EU-20a	Fully discretionary, partially discretionary or mandatory (in terms of timing)	N/A	N/A
EU-20b	Fully discretionary, partially discretionary or mandatory (in terms of amount)	N/A	N/A
21	Existence of step-up or other incentive to redeem	No	No
22	Non-cumulative or cumulative	Non-cumulative	Non-cumulative
23	Convertible or non-convertible	Non-convertible	Non-convertible
24	If convertible, conversion trigger(s)	N/A	N/A
25	If convertible, fully or partially	N/A	N/A
26	If convertible, conversion rate	N/A	N/A
27	If convertible, mandatory or optional conversion	N/A	N/A
28	If convertible, specify instrument type convertible into	N/A	N/A
29	If convertible, specify issuer of instrument it converts into	N/A	N/A
30	Write-down features	No	No
31	If write-down, write-down trigger(s)	N/A	N/A
32	If write-down, full or partial	N/A	N/A
33	If write-down, permanent or temporary	N/A	N/A
34	If temporary write-down, description of write-up mechanism	N/A	N/A
34a	Type of subordination (only for eligible liabilities)	N/A	N/A
EU-34b	Ranking of the instrument in normal insolvency proceedings	1	1
35	Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument)	Lowest, next senior is additional tier 1 capital	Lowest, next senior is additional tier 1 capital
36	Non-compliant transitioned features	No	No
37	If yes, specify non-compliant features	N/A	N/A
EU-37a	Link to the full term and conditions of the instrument (signposting)		

EU CCA Main features - regulatory own funds instruments, AT1

Presentation in accordance with the requirements of Commission Implementing Regulation (EU) No 2021/637. For meeting own funds and eligible liabilities requirements.

Main features - regulatory own funds instruments, AT1				
1	Issuer	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB
2	Unique identifier (eg CUSIP, ISIN or Bloomberg identifier for private placement)	XS1952091202	XS2233263404	XS2233263586
EU-2a	Public or private placement	Public	Public	Public
3	Governing law(s) of the instrument	Mainly English law, Swedish insolvency law	Mainly English law, Swedish insolvency law	Mainly English law, Swedish insolvency law
3a	Contractual recognition of write-down and conversion powers of resolution authorities	Yes	Yes	Yes
	<i>Regulatory treatment</i>			
4	Current treatment taking into account, where applicable, transitional CRR rules	Additional tier 1 capital	Additional tier 1 capital	Additional tier 1 capital
5	Post-transitional CRR rules	Tier 1 capital	Tier 1 capital	Tier 1 capital
6	Eligible at solo/(sub)consolidated/solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated
7	Instrument type (types to be specified by each jurisdiction)	Additional tier 1 capital	Additional tier 1 capital	Additional tier 1 capital
8	Amount recognised in regulatory capital or eligible liabilities (currency in million, as of most recent reporting date)	SEK 5 208m	SEK 5 191m	SEK 5 185m
9	Nominal amount of instrument	USD 500m	USD 500m	USD 500m
EU-9a	Issue price	100%	100%	100%
EU-9b	Redemption price	100%	100%	100%
10	Accounting classification	Liability – amortised cost	Liability – amortised cost	Liability – amortised cost
11	Original date of issuance	22 Feb 2019	6 Oct, 2020	6 Oct, 2020
12	Perpetual or dated	Perpetual	Perpetual	Perpetual
13	Original maturity date	No maturity date	No maturity date	No maturity date
14	Issuer call subject to the previous supervisory approval	Yes	Yes	Yes
15	Optional call date, contingent call dates and redemption amount	1 Mar 2024, Tax/Regulatory call, 100% of nominal amount Callable each subsequent interest reset date after first redemption date	1 Mar 2027, Tax/Regulatory call, 100% of nominal amount Callable each subsequent interest reset date after first redemption date	1 Mar 2031 Tax/Regulatory call, 100% of nominal amount Callable each subsequent interest reset date after first redemption date
16	Subsequent call dates, if applicable			
	<i>Coupons/dividends</i>			
17	Fixed or floating dividend/coupon	Fixed	Fixed	Fixed
18	Coupon rate and any related index	6.25%	4.375%	4.75%
19	Existence of a dividend stopper	No	No	No
EU-20a	Fully discretionary, partially discretionary or mandatory (in terms of timing)	N/A	N/A	N/A
EU-20b	Fully discretionary, partially discretionary or mandatory (in terms of amount)	N/A	N/A	N/A
21	Existence of step-up or other incentive to redeem	No	No	No
22	Non-cumulative or cumulative	Non-cumulative	Non-cumulative	Non-cumulative
23	Convertible or non-convertible	Convertible	Convertible	Convertible
24	If convertible, conversion trigger(s)	Common equity tier 1 ratio 8% consolidated, 5.125% parent company	Common equity tier 1 ratio 8% consolidated, 5.125% parent company	Common equity tier 1 ratio 8% consolidated, 5.125% parent company
25	If convertible, fully or partially	Fully	Fully	Fully
26	If convertible, conversion rate	The greater of the current market price of an ordinary share on the conversion date translated into USD at the prevailing exchange rate, and the SEK equivalent of the floor price (USD 7.58) on the conversion date. The floor price may not be lower than the quota value (Sw: kvotvärde) of the share.	The greater of the current market price of an ordinary share on the conversion date translated into USD at the prevailing exchange rate, and the SEK equivalent of the floor price (USD 7.58) on the conversion date. The floor price may not be lower than the quota value (Sw: kvotvärde) of the share.	The greater of the current market price of an ordinary share on the conversion date translated into USD at the prevailing exchange rate, and the SEK equivalent of the floor price (USD 7.58) on the conversion date. The floor price may not be lower than the quota value (Sw: kvotvärde) of the share.
27	If convertible, mandatory or optional conversion	Mandatory	Mandatory	Mandatory
28	If convertible, specify instrument type convertible into	Share capital, class A	Share capital, class A	Share capital, class A
29	If convertible, specify issuer of instrument it converts into	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB
30	Write-down features	No	No	No
31	If write-down, write-down trigger(s)	N/A	N/A	N/A
32	If write-down, full or partial	N/A	N/A	N/A
33	If write-down, permanent or temporary	N/A	N/A	N/A
34	If temporary write-down, description of write-up mechanism	N/A	N/A	N/A
34a	Type of subordination (only for eligible liabilities)	N/A	N/A	N/A
EU-34b	Ranking of the instrument in normal insolvency proceedings	3	3	3
35	Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument)	Subordinate to all instruments except shares, next in priority are subordinated loans	Subordinate to all instruments except shares, next in priority are subordinated loans	Subordinate to all instruments except shares, next in priority are subordinated loans
36	Non-compliant transitioned features	N/A	N/A	N/A
37	If yes, specify non-compliant features	N/A	N/A	N/A
EU-37a	Link to the full term and conditions of the instrument (signposting)			

EU CCA Main features - regulatory own funds instruments, T2

Presentation in accordance with the requirements of Commission Implementing Regulation (EU) No 2021/637. For meeting own funds and eligible liabilities requirements.

Main features - regulatory own funds instruments, T2				
1	Issuer	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB
2	Unique identifier (eg CUSIP, ISIN or Bloomberg identifier for private placement)	XS1875333178	XS2486857431	XS2523511165
EU-2a	Public or private placement	Public	Public	Public
3	Governing law(s) of the instrument	Mainly English law. Swedish insolvency law	Mainly English law. Swedish insolvency law	Mainly English law. Swedish insolvency law
3a	Contractual recognition of write-down and conversion powers of resolution authorities	Yes	Yes	Yes
	<i>Regulatory treatment</i>			
4	Current treatment taking into account, where applicable, transitional CRR rules	Tier 2 capital	Tier 2 capital	Tier 2 capital
5	Post-transitional CRR rules	Tier 2 capital	Tier 2 capital	Tier 2 capital
6	Eligible at solo/(sub)consolidated/solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated
7	Instrument type (types to be specified by each jurisdiction)	Subordinated loan	Subordinated loan	Subordinated loan
8	Amount recognised in regulatory capital or eligible liabilities (currency in million, as of most recent reporting date)	SEK 8 345m	SEK 5 548m	SEK 6 266m
9	Nominal amount of instrument	EUR 750m	EUR 500m	GBP 500m
EU-9a	Issue price	99.962%	99.914%	99.934%
EU-9b	Redemption price	100%	100%	100%
10	Accounting classification	Liability – amortised cost	Liability – amortised cost	Liability – amortised cost
11	Original date of issuance	5 Sep 2018	1 Jun 2022	23 Aug 2022
12	Perpetual or dated	Dated	Dated	Dated
13	Original maturity date	5 Mar 2029	1 Jun 2033	23 Aug 2032
14	Issuer call subject to the previous supervisory approval	Yes	Yes	Yes
15	Optional call date, contingent call dates and redemption amount	5 Mar 2024. Tax/Regulatory call. 100% of nominal amount	1 Jun 2028. Tax/Regulatory call. 100% of nominal amount	23 Aug 2027. Tax/Regulatory call. 100% of nominal amount
16	Subsequent call dates, if applicable	N/A	N/A	N/A
	<i>Coupons/dividends</i>			
17	Fixed or floating dividend/coupon	Fixed	Fixed	Fixed
18	Coupon rate and any related index	1.625%	3.25%	4.625%
19	Existence of a dividend stopper	No	No	No
EU-20a	Fully discretionary, partially discretionary or mandatory (in terms of timing)	Mandatory	Mandatory	Mandatory
EU-20b	Fully discretionary, partially discretionary or mandatory (in terms of amount)	Mandatory	Mandatory	Mandatory
21	Existence of step-up or other incentive to redeem	No	No	No
22	Non-cumulative or cumulative	Non-cumulative	Non-cumulative	Non-cumulative
23	Convertible or non-convertible	Non-convertible	Non-convertible	Non-convertible
24	If convertible, conversion trigger(s)	N/A	N/A	N/A
25	If convertible, fully or partially	N/A	N/A	N/A
26	If convertible, conversion rate	N/A	N/A	N/A
27	If convertible, mandatory or optional conversion	N/A	N/A	N/A
28	If convertible, specify instrument type convertible into	N/A	N/A	N/A
29	If convertible, specify issuer of instrument it converts into	N/A	N/A	N/A
30	Write-down features	No	No	No
31	If write-down, write-down trigger(s)	N/A	N/A	N/A
32	If write-down, full or partial	N/A	N/A	N/A
33	If write-down, permanent or temporary	N/A	N/A	N/A
34	If temporary write-down, description of write-up mechanism	N/A	N/A	N/A
34a	Type of subordination (only for eligible liabilities)	N/A	N/A	N/A
EU-34b	Ranking of the instrument in normal insolvency proceedings	4	4	4
35	Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument)	Subordinate to all senior lending	Subordinate to all senior lending	Subordinate to all senior lending
36	Non-compliant transitioned features	No	No	No
37	If yes, specify non-compliant features	N/A	N/A	N/A
EU-37a	Link to the full term and conditions of the instrument (signposting)			

Eligible liabilities

Handelsbanken's eligible liabilities instruments within the meaning of Article 72b CRR are disclosed in the below tables, CCA.

EU CCA Main features - eligible liabilities instruments, EMTN

Presentation in accordance with the requirements of Commission Implementing Regulation (EU) No 2021/637

Main features - regulatory own funds instruments, EMTN 1(5)				
1	Issuer	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB
2	Unique identifier (eg CUSIP, ISIN or Bloomberg identifier for private placement)	XS2013536029	XS2156510021	XS2049582542
EU-2a	Public or private placement	Public	Public	Public
3	Governing law(s) of the instrument	Mainly English law, Swedish insolvency law	Mainly English law, Swedish insolvency law	Mainly English law, Swedish insolvency law
3a	Contractual recognition of write-down and conversion powers of resolution authorities	Yes	Yes	Yes
	<i>Regulatory treatment</i>			
4	Current treatment taking into account, where applicable, transitional CRR rules	N/A	N/A	N/A
5	Post-transitional CRR rules	Eligible liabilities	Eligible liabilities	Eligible liabilities
6	Eligible at solo/(sub)consolidated/solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated
7	Instrument type (types to be specified by each jurisdiction)	Senior	Senior preferred	Senior non-preferred liabilities
8	Amount recognised in regulatory capital or eligible liabilities (currency in million, as of most recent reporting date)	SEK 11 135m	SEK 13 919m	SEK 8 352m
9	Nominal amount of instrument	EUR 1 000m	EUR 1 250m	EUR 750m
EU-9a	Issue price	99.856%	99.386%	99.805%
EU-9b	Redemption price	1	1	1
10	Accounting classification	Liability – amortised cost	Liability – amortised cost	Liability – amortised cost
11	Original date of issuance	18 June 2019	15 Apr 2020	03 Sep 2019
12	Perpetual or dated	Dated	Dated	Dated
13	Original maturity date	18 June 2024	15 Apr 2025	03 Sep 2026
14	Issuer call subject to the previous supervisory approval	No	No	No
15	Optional call date, contingent call dates and redemption amount	N/A	N/A	N/A
16	Subsequent call dates, if applicable	N/A	N/A	N/A
	<i>Coupons/dividends</i>			
17	Fixed or floating dividend/coupon	Fixed	Fixed	Fixed
18	Coupon rate and any related index	0.125%	1.00%	0.05%
19	Existence of a dividend stopper			
EU-20a	Fully discretionary, partially discretionary or mandatory (in terms of timing)	Mandatory	Mandatory	Mandatory
EU-20b	Fully discretionary, partially discretionary or mandatory (in terms of amount)	Mandatory	Mandatory	Mandatory
21	Existence of step-up or other incentive to redeem	No	No	No
22	Non-cumulative or cumulative	Cumulative	Cumulative	Cumulative
23	Convertible or non-convertible	Non-convertible	Non-convertible	Non-convertible
24	If convertible, conversion trigger(s)	N/A	N/A	N/A
25	If convertible, fully or partially	N/A	N/A	N/A
26	If convertible, conversion rate	N/A	N/A	N/A
27	If convertible, mandatory or optional conversion	N/A	N/A	N/A
28	If convertible, specify instrument type convertible into	N/A	N/A	N/A
29	If convertible, specify issuer of instrument it converts into	N/A	N/A	N/A
30	Write-down features	No	No	No
31	If write-down, write-down trigger(s)	N/A	N/A	N/A
32	If write-down, full or partial	N/A	N/A	N/A
33	If write-down, permanent or temporary	N/A	N/A	N/A
34	If temporary write-down, description of write-up mechanism	N/A	N/A	N/A
34a	Type of subordination (only for eligible liabilities)	Contractual	Contractual	Contractual
EU-34b	Ranking of the instrument in normal insolvency proceedings			
35	Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument)	Indebtedness entitled to preference under Swedish law	Indebtedness entitled to preference under Swedish law	Subordinated to senior
36	Non-compliant transitioned features	No	No	No
37	If yes, specify non-compliant features	N/A	N/A	N/A
EU-37a	Link to the full term and conditions of the instrument (signposting)	emtn_345_isin_xs2013536029 (alertir.com)	AODocument (alertir.com)	emtn_346_isin_xs2049582542 (alertir.com)

ELIGIBLE LIABILITIES

Main features - eligible liabilities instruments, EMTN page 2(5)

1	Issuer	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB
2	Unique identifier (eg CUSIP, ISIN or Bloomberg identifier for private placement)	XS2404629235	CH1184694714	XS2551280436	XS2551374254
EU-2a	Public or private placement	Public	Public	Public	Public
3	Governing law(s) of the instrument	Mainly English law, Swedish insolvency law	Mainly English law, Swedish insolvency law	Mainly English law, Swedish insolvency law	Mainly English law, Swedish insolvency law
3a	Contractual recognition of write-down and conversion powers of resolution authorities	Yes	Yes	Yes	Yes
	<i>Regulatory treatment</i>				
4	Current treatment taking into account, where applicable, transitional CRR rules	N/A	N/A	N/A	N/A
5	Post-transitional CRR rules	Eligible liabilities	Eligible liabilities	Eligible liabilities	Eligible liabilities
6	Eligible at solo/(sub)consolidated/solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated
7	Instrument type (types to be specified by each jurisdiction)	Senior preferred	Senior preferred	Senior preferred	Senior preferred
8	Amount recognised in regulatory capital or eligible liabilities (currency in million, as of most recent reporting date)	SEK 11 135m	SEK 3 962m	SEK 8 352m	SEK 1 138m
9	Nominal amount of instrument	EUR 1000m	CHF 350m	EUR 750m	USD 109m
EU-9a	Issue price	99.751%	100.012%	99.821%	100%
EU-9b	Redemption price	1	1	1	1
10	Accounting classification	Liability – amortised cost	Liability – amortised cost	Liability – amortised cost	Liability – amortised cost
11	Original date of issuance	03 Nov 2021	24 May 2022	01 Nov 2022	10 Nov 2022
12	Perpetual or dated	Dated	Dated	Dated	Dated
13	Original maturity date	03 Nov 2026	24 May 2027	01 Nov 2027	10 Nov 2027
14	Issuer call subject to the previous supervisory approval	No	No	No	No
15	Optional call date, contingent call dates and redemption amount	N/A	N/A	N/A	N/A
16	Subsequent call dates, if applicable	N/A	N/A	N/A	N/A
	<i>Coupons/dividends</i>				
17	Fixed or floating dividend/coupon	Fixed	Fixed	Fixed	Floating
18	Coupon rate and any related index	0.125%	1.25%	3.75%	SOFR + 1.25% quarterly
19	Existence of a dividend stopper				
EU-20a	Fully discretionary, partially discretionary or mandatory (in terms of timing)	Mandatory	Mandatory	Mandatory	Mandatory
EU-20b	Fully discretionary, partially discretionary or mandatory (in terms of amount)	Mandatory	Mandatory	Mandatory	Mandatory
21	Existence of step-up or other incentive to redeem	No	No	No	No
22	Non-cumulative or cumulative	Cumulative	Cumulative	Cumulative	Cumulative
23	Convertible or non-convertible	Non-convertible	Non-convertible	Non-convertible	Non-convertible
24	If convertible, conversion trigger(s)	N/A	N/A	N/A	N/A
25	If convertible, fully or partially	N/A	N/A	N/A	N/A
26	If convertible, conversion rate	N/A	N/A	N/A	N/A
27	If convertible, mandatory or optional conversion	N/A	N/A	N/A	N/A
28	If convertible, specify instrument type convertible into	N/A	N/A	N/A	N/A
29	If convertible, specify issuer of instrument it converts into	N/A	N/A	N/A	N/A
30	Write-down features	No	No	No	No
31	If write-down, write-down trigger(s)	N/A	N/A	N/A	N/A
32	If write-down, full or partial	N/A	N/A	N/A	N/A
33	If write-down, permanent or temporary	N/A	N/A	N/A	N/A
34	If temporary write-down, description of write-up mechanism	N/A	N/A	N/A	N/A
34a	Type of subordination (only for eligible liabilities)	Contractual	Contractual	Contractual	Contractual
EU-34b	Ranking of the instrument in normal insolvency proceedings				
35	Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument)	Indebtedness entitled to preference under Swedish law	Indebtedness entitled to preference under Swedish law	Indebtedness entitled to preference under Swedish law	Indebtedness entitled to preference under Swedish law
36	Non-compliant transitioned features	No	No	No	No
37	If yes, specify non-compliant features	N/A	N/A	N/A	N/A
EU-37a	Link to the full term and conditions of the instrument (signposting)	Document (alertir.com)	AODocument (alertir.com)	AODocument (alertir.com)	Svenska Handelsbanken Pricing Supplement EMTN 361 (alertir.com)

Main features - eligible liabilities instruments, EMTN page 3(5)

1	Issuer	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB
2	Unique identifier (eg CUSIP, ISIN or Bloomberg identifier for private placement)	XS2265968284	XS1835013050	XS1865236100	XS2345317510
EU-2a	Public or private placement	Public	Private	Private	Public
3	Governing law(s) of the instrument	Mainly English law, Swedish insolvency law	English law	Mainly English law, Swedish insolvency law	Mainly English law, Swedish insolvency law
3a	Contractual recognition of write-down and conversion powers of resolution authorities	Yes	Yes	Yes	Yes
	<i>Regulatory treatment</i>				
4	Current treatment taking into account, where applicable, transitional CRR rules	N/A	N/A	N/A	N/A
5	Post-transitional CRR rules	Eligible liabilities	Eligible liabilities	Eligible liabilities	Eligible liabilities
6	Eligible at solo/(sub)consolidated/solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated
7	Instrument type (types to be specified by each jurisdiction)	Senior non-preferred liabilities	Senior	Senior	Senior preferred
8	Amount recognised in regulatory capital or eligible liabilities (currency in million, as of most recent reporting date)	SEK 5 568m	SEK 1 670m	SEK 1 044m	SEK 11 135m
9	Nominal amount of instrument	EUR 500m	EUR 150m	USD 100m	EUR 1 000m
EU-9a	Issue price	99.958%	99.856%	100%	99,714%
EU-9b	Redemption price	1	1	1	1
10	Accounting classification	Liability – amortised cost	Liability – amortised cost	Liability – amortised cost	Liability – amortised cost
11	Original date of issuance	02 Dec 2020	12 Jun 2018	14 Aug 2018	06 Sep 2021
12	Perpetual or dated	Dated	Dated	Dated	Dated
13	Original maturity date	02 Dec 2027	12 Jun 2028	14 Aug 2028	06 Sep 2028
14	Issuer call subject to the previous supervisory approval	No	No	No	No
15	Optional call date, contingent call dates and redemption amount	N/A	N/A	N/A	N/A
16	Subsequent call dates, if applicable	N/A	N/A	N/A	N/A
	<i>Coupons/dividends</i>				
17	Fixed or floating dividend/coupon	Fixed	Fixed	Fixed	Fixed
18	Coupon rate and any related index	0,01%	1.26%	3.678%	0.05%
19	Existence of a dividend stopper				
EU-20a	Fully discretionary, partially discretionary or mandatory (in terms of timing)	Mandatory	Mandatory	Mandatory	Mandatory
EU-20b	Fully discretionary, partially discretionary or mandatory (in terms of amount)	Mandatory	Mandatory	Mandatory	Mandatory
21	Existence of step-up or other incentive to redeem	No	No	No	No
22	Non-cumulative or cumulative	Cumulative	Cumulative	Cumulative	Cumulative
23	Convertible or non-convertible	Non-convertible	Non-convertible	Non-convertible	Non-convertible
24	If convertible, conversion trigger(s)	N/A	N/A	N/A	N/A
25	If convertible, fully or partially	N/A	N/A	N/A	N/A
26	If convertible, conversion rate	N/A	N/A	N/A	N/A
27	If convertible, mandatory or optional conversion	N/A	N/A	N/A	N/A
28	If convertible, specify instrument type convertible into	N/A	N/A	N/A	N/A
29	If convertible, specify issuer of instrument it converts into	N/A	N/A	N/A	N/A
30	Write-down features	No	No	No	No
31	If write-down, write-down trigger(s)	N/A	N/A	N/A	N/A
32	If write-down, full or partial	N/A	N/A	N/A	N/A
33	If write-down, permanent or temporary	N/A	N/A	N/A	N/A
34	If temporary write-down, description of write-up mechanism	N/A	N/A	N/A	N/A
34a	Type of subordination (only for eligible liabilities)	Contractual	Contractual	Contractual	Contractual
EU-34b	Ranking of the instrument in normal insolvency proceedings				
35	Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument)	Subordinated to senior	Indebtedness entitled to preference under Swedish law	Indebtedness entitled to preference under Swedish law	Indebtedness entitled to preference under Swedish law
36	Non-compliant transitioned features	No	No	No	No
37	If yes, specify non-compliant features	N/A	N/A	N/A	N/A
EU-37a	Link to the full term and conditions of the instrument (signposting)	Document (alertir.com)	N/A	N/A	Document (alertir.com)

Main features - eligible liabilities instruments, EMTN page 4(5)

1	Issuer	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB
2	Unique identifier (eg CUSIP, ISIN or Bloomberg identifier for private placement)	XS1909084375	XS0994979044	XS1016849462	XS2447983813
EU-2a	Public or private placement	Private	Public	Public	Public
3	Governing law(s) of the instrument	Mainly English law, Swedish insolvency law	English law	English law	Mainly English law, Swedish insolvency law
3a	Contractual recognition of write-down and conversion powers of resolution authorities	Yes	No	No	Yes
	<i>Regulatory treatment</i>				
4	Current treatment taking into account, where applicable, transitional CRR rules	N/A	N/A	N/A	N/A
5	Post-transitional CRR rules	Eligible liabilities	Eligible liabilities	Eligible liabilities	Eligible liabilities
6	Eligible at solo/(sub)consolidated/solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated
7	Instrument type (types to be specified by each jurisdiction)	Senior	Senior	Senior	Senior non-preferred
8	Amount recognised in regulatory capital or eligible liabilities (currency in million, as of most recent reporting date)	SEK 1 044m	SEK 1 169m	SEK 501m	SEK 11 135m
9	Nominal amount of instrument	USD 100m	EUR 105m	EUR 45m	EUR 1000m
EU-9a	Issue price	100%	100%	100%	99.874%
EU-9b	Redemption price	1	1	1	1
10	Accounting classification	Liability – amortised cost	Liability – amortised cost	Liability – amortised cost	Liability – amortised cost
11	Original date of issuance	15 Nov 2018	20 Nov 2013	17 Jan 2014	23 Feb 2022
12	Perpetual or dated	Dated	Dated	Dated	Dated
13	Original maturity date	15 Nov 2028	20 Nov 2028	17 Jan 2029	23 Feb 2029
14	Issuer call subject to the previous supervisory approval	No	No	No	No
15	Optional call date, contingent call dates and redemption amount	N/A	N/A	N/A	N/A
16	Subsequent call dates, if applicable	N/A	N/A	N/A	N/A
	<i>Coupons/dividends</i>				
17	Fixed or floating dividend/coupon	Fixed	Fixed	Fixed	Fixed
18	Coupon rate and any related index	3.983%	3.08%	3.08%	1.375%
19	Existence of a dividend stopper				
EU-20a	Fully discretionary, partially discretionary or mandatory (in terms of timing)	Mandatory	Mandatory	Mandatory	Mandatory
EU-20b	Fully discretionary, partially discretionary or mandatory (in terms of amount)	Mandatory	Mandatory	Mandatory	Mandatory
21	Existence of step-up or other incentive to redeem	No	No	No	No
22	Non-cumulative or cumulative	Cumulative	Cumulative	Cumulative	Cumulative
23	Convertible or non-convertible	Non-convertible	Non-convertible	Non-convertible	Non-convertible
24	If convertible, conversion trigger(s)	N/A	N/A	N/A	N/A
25	If convertible, fully or partially	N/A	N/A	N/A	N/A
26	If convertible, conversion rate	N/A	N/A	N/A	N/A
27	If convertible, mandatory or optional conversion	N/A	N/A	N/A	N/A
28	If convertible, specify instrument type convertible into	N/A	N/A	N/A	N/A
29	If convertible, specify issuer of instrument it converts into	N/A	N/A	N/A	N/A
30	Write-down features	No	No	No	No
31	If write-down, write-down trigger(s)	N/A	N/A	N/A	N/A
32	If write-down, full or partial	N/A	N/A	N/A	N/A
33	If write-down, permanent or temporary	N/A	N/A	N/A	N/A
34	If temporary write-down, description of write-up mechanism	N/A	N/A	N/A	N/A
34a	Type of subordination (only for eligible liabilities)	Contractual	Contractual	Contractual	Contractual
EU-34b	Ranking of the instrument in normal insolvency proceedings				
35	Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument)	Indebtedness entitled to preference under Swedish law	Indebtedness entitled to preference under Swedish law	Indebtedness entitled to preference under Swedish law	Subordinated to senior
36	Non-compliant transitioned features	No	No	No	No
37	If yes, specify non-compliant features	N/A	N/A	N/A	N/A
EU-37a	Link to the full term and conditions of the instrument (signposting)	N/A	FINAL TERMS (alertr.com)	emtn_322_isin_xs1016849462.pdf (alertr.com)	-

Main features - eligible liabilities instruments, EMTN page 5(5)

1	Issuer	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB
2	Unique identifier (eg CUSIP, ISIN or Bloomberg identifier for private placement)	XS2527451905	XS2121207828	XS1904734495	XS2530441109
EU-2a	Public or private placement	Public	Public	Private	Public
3	Governing law(s) of the instrument	Mainly English law, Swedish insolvency law	Mainly English law, Swedish insolvency law	Mainly English law, Swedish insolvency law	Mainly English law, Swedish insolvency law
3a	Contractual recognition of write-down and conversion powers of resolution authorities	Yes	Yes	Yes	Yes
	<i>Regulatory treatment</i>				
4	Current treatment taking into account, where applicable, transitional CRR rules	N/A	N/A	N/A	N/A
5	Post-transitional CRR rules	Eligible liabilities	Eligible liabilities	Eligible liabilities	Eligible liabilities
6	Eligible at solo/(sub)consolidated/solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated
7	Instrument type (types to be specified by each jurisdiction)	Senior preferred	Senior non-preferred liabilities	Senior	Senior non-preferred liabilities
8	Amount recognised in regulatory capital or eligible liabilities (currency in million, as of most recent reporting date)	SEK 8 352m	SEK 11 135m	SEK 668m	SEK 1 670m
9	Nominal amount of instrument	EUR 750m	EUR 1000m	EUR 60m	EUR 150m
EU-9a	Issue price	99.358%	99.602%	100%	100%
EU-9b	Redemption price	1	1	1	1
10	Accounting classification	Liability – amortised cost	Liability – amortised cost	Liability – amortised cost	Liability – amortised cost
11	Original date of issuance	5 Sep 2022	18 Feb 2020	12 Nov 2018	12 Sep 2022
12	Perpetual or dated	Dated	Dated	Dated	Dated
13	Original maturity date	5 Sep 2029	18 Feb 2030	12 Nov 2031	12 Sep 2034
14	Issuer call subject to the previous supervisory approval	No	No	No	No
15	Optional call date, contingent call dates and redemption amount	N/A	N/A	N/A	N/A
16	Subsequent call dates, if applicable	N/A	N/A	N/A	N/A
	<i>Coupons/dividends</i>				
17	Fixed or floating dividend/coupon	Fixed	Fixed	Fixed	Fixed
18	Coupon rate and any related index	2.625%	0.5%	1.563%	3.696%
19	Existence of a dividend stopper				
EU-20a	Fully discretionary, partially discretionary or mandatory (in terms of timing)	Mandatory	Mandatory	Mandatory	Mandatory
EU-20b	Fully discretionary, partially discretionary or mandatory (in terms of amount)	Mandatory	Mandatory	Mandatory	Mandatory
21	Existence of step-up or other incentive to redeem	No	No	No	No
22	Non-cumulative or cumulative	Cumulative	Cumulative	Cumulative	Cumulative
23	Convertible or non-convertible	Non-convertible	Non-convertible	Non-convertible	Non-convertible
24	If convertible, conversion trigger(s)	N/A	N/A	N/A	N/A
25	If convertible, fully or partially	N/A	N/A	N/A	N/A
26	If convertible, conversion rate	N/A	N/A	N/A	N/A
27	If convertible, mandatory or optional conversion	N/A	N/A	N/A	N/A
28	If convertible, specify instrument type convertible into	N/A	N/A	N/A	N/A
29	If convertible, specify issuer of instrument it converts into	N/A	N/A	N/A	N/A
30	Write-down features	No	No	No	No
31	If write-down, write-down trigger(s)	N/A	N/A	N/A	N/A
32	If write-down, full or partial	N/A	N/A	N/A	N/A
33	If write-down, permanent or temporary	N/A	N/A	N/A	N/A
34	If temporary write-down, description of write-up mechanism	N/A	N/A	N/A	N/A
34a	Type of subordination (only for eligible liabilities)	Contractual	Contractual	Contractual	Contractual
EU-34b	Ranking of the instrument in normal insolvency proceedings				
35	Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument)	Indebtedness entitled to preference under Swedish law	Subordinated to senior	Indebtedness entitled to preference under Swedish law	Subordinated to senior
36	Non-compliant transitioned features		No	No	No
37	If yes, specify non-compliant features		N/A	N/A	N/A
EU-37a	Link to the full term and conditions of the instrument (signposting)	-	Microsoft Word - ICM-#34696691-v6-SHB_Senior MTN Trade - Feb 2020 - Final Terms (alterir.com)	N/A	

ELIGIBLE LIABILITIES

EU CCA Main features - eligible liabilities instruments, AMTN

Presentation in accordance with the requirements of Commission Implementing Regulation (EU) No 2021/637

Main features - eligible liabilities instruments, AMTN

1	Issuer	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB
2	Unique identifier (eg CUSIP, ISIN or Bloomberg identifier for private placement)	AU3CB0287605	AU3CB0236123	AU3FN0058632	AU3CB0278232	AU3FN0067476
EU-2a	Public or private placement	Private	Private	Private	Private	Private
3	Governing law(s) of the instrument	Mainly NSW law, Swedish insolvency law	Australian law	Mainly NSW law, Swedish insolvency law	Mainly NSW law, Swedish insolvency law	Mainly NSW law, Swedish insolvency law
3a	Contractual recognition of write-down and conversion powers of resolution authorities	Yes	Yes	Yes	Yes	Yes
	<i>Regulatory treatment</i>					
4	Current treatment taking into account, where applicable, transitional CRR rules	N/A	N/A	N/A	N/A	N/A
5	Post-transitional CRR rules	Eligible liabilities	Eligible liabilities	Eligible liabilities	Eligible liabilities	Eligible liabilities
6	Eligible at solo/(sub)consolidated/solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated
7	Instrument type (types to be specified by each jurisdiction)	Senior preferred	Senior	Senior preferred	Senior preferred	Senior preferred
8	Amount recognised in regulatory capital or eligible liabilities (currency in million, as of most recent reporting date)	SEK 2 836m	SEK 886m	SEK 2 836m	SEK 1 418m	SEK 709m
9	Nominal amount of instrument	AUD 400m	AUD 125m	AUD 400m	AUD 200m	AUD 100m
EU-9a	Issue price	99.869 %	99.796 %	100%	99.915 %	100%
EU-9b	Redemption price	100%	100%	100%	100%	100%
10	Accounting classification					
11	Original date of issuance	24 Mar 2022	02 Mar 2016	04 Mar 2021	04 Mar 2021	24 Mar 2022
12	Perpetual or dated	Dated	Dated	Dated	Dated	Dated
13	Original maturity date	24 Mar 2025	02 Mar 2026	04 Mar 2026	04 Mar 2026	24 Mar 2027
14	Issuer call subject to the previous supervisory approval	No	No	No	No	No
15	Optional call date, contingent call dates and redemption amount	N/A	N/A	N/A	N/A	N/A
16	Subsequent call dates, if applicable	N/A	N/A	N/A	N/A	N/A
	<i>Coupons/dividends</i>					
17	Fixed or floating dividend/coupon	Fixed	Fixed	Floating	Fixed	Floating
18	Coupon rate and any related index	2.95% s.a	4.00% s.a	90 days BBSW+ 0.45%	1.20% s.a	90 days BBSW + 1.10% qa
19	Existence of a dividend stopper	No	No	No	No	No
EU-20a	Fully discretionary, partially discretionary or mandatory (in terms of timing)	Mandatory	Mandatory	Mandatory	Mandatory	Mandatory
EU-20b	Fully discretionary, partially discretionary or mandatory (in terms of amount)	Mandatory	Mandatory	Mandatory	Mandatory	Mandatory
21	Existence of step-up or other incentive to redeem	No	No	No	No	No
22	Non-cumulative or cumulative	Cumulative	Cumulative	Cumulative	Cumulative	Cumulative
23	Convertible or non-convertible	Non-convertible	Non-convertible	Non-convertible	Non-convertible	Non-convertible
24	If convertible, conversion trigger(s)	N/A	N/A	N/A	N/A	N/A
25	If convertible, fully or partially	N/A	N/A	N/A	N/A	N/A
26	If convertible, conversion rate	N/A	N/A	N/A	N/A	N/A
27	If convertible, mandatory or optional conversion	N/A	N/A	N/A	N/A	N/A
28	If convertible, specify instrument type convertible into	N/A	N/A	N/A	N/A	N/A
29	If convertible, specify issuer of instrument it converts into	N/A	N/A	N/A	N/A	N/A
30	Write-down features	No	No	No	No	No
31	If write-down, write-down trigger(s)	N/A	N/A	N/A	N/A	N/A
32	If write-down, full or partial	N/A	N/A	N/A	N/A	N/A
33	If write-down, permanent or temporary	N/A	N/A	N/A	N/A	N/A
34	If temporary write-down, description of write-up mechanism	N/A	N/A	N/A	N/A	N/A
34a	Type of subordination (only for eligible liabilities)	Contractual	Contractual	Contractual	Contractual	Contractual
EU-34b	Ranking of the instrument in normal insolvency proceedings					
35	Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument)	Indebtedness entitled to preference under Swedish law	Indebtedness entitled to preference under Swedish law	Indebtedness entitled to preference under Swedish law	Indebtedness entitled to preference under Swedish law	Indebtedness entitled to preference under Swedish law
36	Non-compliant transitioned features	No	No	No	No	No
37	If yes, specify non-compliant features	N/A	N/A	N/A	N/A	N/A
EU-37a	Link to the full term and conditions of the instrument (signposting)	N/A	N/A	N/A	N/A	N/A

EU CCA Main features - eligible liabilities instruments, 144A

Presentation in accordance with the requirements of Commission Implementing Regulation (EU) No 2021/637

Main features - eligible liabilities instruments, 144A

1	Issuer	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB
2	Unique identifier (eg CUSIP, ISIN or Bloomberg identifier for private placement)	US86959LAG86	US86959LAJ2	US86959LAK9	US86959LAL7	US86959LAH69
EU-2a	Public or private placement	Public	Public	Public	Public	Public
3	Governing law(s) of the instrument	New York law	Mainly New York law, Swedish insolvency law	Mainly New York law, Swedish insolvency law	Mainly New York law, Swedish insolvency law	Mainly New York law, Swedish insolvency law
3a	Contractual recognition of write-down and conversion powers of resolution authorities	Yes	Yes	Yes	Yes	Yes
	<i>Regulatory treatment</i>					
4	Current treatment taking into account, where applicable, transitional CRR rules	N/A	N/A	N/A	N/A	N/A
5	Post-transitional CRR rules	Eligible liabilities	Eligible liabilities	Eligible liabilities	Eligible liabilities	Eligible liabilities
6	Eligible at solo/(sub)consolidated/solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated
7	Instrument type (types to be specified by each jurisdiction)	Senior preferred	Senior preferred	Senior preferred	Senior preferred	Senior non-preferred
8	Amount recognised in regulatory capital or eligible liabilities (currency in million, as of most recent reporting date)	SEK 13 049m	SEK 8 873m	SEK 3 654m	SEK 8 351m	SEK 10 439m
9	Nominal amount of instrument	USD 1,250m	USD 850m	USD 350m	USD 800m	USD 1,000m
EU-9a	Issue price	99.923%	99.89%	100%	99.852%	100%
EU-9b	Redemption price	100%	100%	100%	100%	100%
10	Accounting classification					
11	Original date of issuance	11 Jun 2021	10 Jun 2022	10 Jun 2022	10 Jun 2022	11 Jun 2021
12	Perpetual or dated	Dated	Dated	Dated	Dated	Dated
13	Original maturity date	11 Jun 2024	10 Jun 2025	10 Jun 2025	10 Jun 2027	11 Jun 2027
14	Issuer call subject to the previous supervisory approval	No	No	No	No	Yes*
15	Optional call date, contingent call dates and redemption amount	N/A	N/A	N/A	N/A	11 Jun 2026
16	Subsequent call dates, if applicable	N/A	N/A	N/A	N/A	N/A
	<i>Coupons/dividends</i>					
17	Fixed or floating dividend/coupon	Fixed	Fixed	Floating	Fixed	Fixed rate reset note
18	Coupon rate and any related index	0.550% s.a	3.65% s.a	SOFR + 0.91% quarterly	3.95% s.a	1.418% s.a
19	Existence of a dividend stopper	No	No	No	No	No
EU-20a	Fully discretionary, partially discretionary or mandatory (in terms of timing)	Mandatory	Mandatory	Mandatory	Mandatory	Mandatory
EU-20b	Fully discretionary, partially discretionary or mandatory (in terms of amount)	Mandatory	Mandatory	Mandatory	Mandatory	Mandatory
21	Existence of step-up or other incentive to redeem	No	No	No	No	No
22	Non-cumulative or cumulative	Cumulative	Cumulative	Cumulative	Cumulative	Cumulative
23	Convertible or non-convertible	Non-convertible	Non-convertible	Non-convertible	Non-convertible	Non-convertible
24	If convertible, conversion trigger(s)	N/A	N/A	N/A	N/A	N/A
25	If convertible, fully or partially	N/A	N/A	N/A	N/A	N/A
26	If convertible, conversion rate	N/A	N/A	N/A	N/A	N/A
27	If convertible, mandatory or optional conversion	N/A	N/A	N/A	N/A	N/A
28	If convertible, specify instrument type convertible into	N/A	N/A	N/A	N/A	N/A
29	If convertible, specify issuer of instrument it converts into	N/A	N/A	N/A	N/A	N/A
30	Write-down features	No	No	No	No	No
31	If write-down, write-down trigger(s)	N/A	N/A	N/A	N/A	N/A
32	If write-down, full or partial	N/A	N/A	N/A	N/A	N/A
33	If write-down, permanent or temporary	N/A	N/A	N/A	N/A	N/A
34	If temporary write-down, description of write-up mechanism	N/A	N/A	N/A	N/A	N/A
34a	Type of subordination (only for eligible liabilities)	Contractual	Contractual	Contractual	Contractual	Contractual
EU-34b	Ranking of the instrument in normal insolvency proceedings					
35	Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument)	Indebtedness entitled to preference under Swedish law	Indebtedness entitled to preference under Swedish law	Indebtedness entitled to preference under Swedish law	Indebtedness entitled to preference under Swedish law	Subordinated to senior preferred notes and 3a2 notes
36	Non-compliant transitioned features	No	No	No	No	No
37	If yes, specify non-compliant features	N/A	N/A	N/A	N/A	N/A
EU-37a	Link to the full term and conditions of the instrument (signposting)	N/A	N/A	N/A	N/A	N/A

ELIGIBLE LIABILITIES

EU CCA: Main features - eligible liabilities instruments, Samurai

Presentation in accordance with the requirements of Commission Implementing Regulation (EU) No 2021/637

Main features - eligible liabilities instruments, Samurai		
1	Issuer	Svenska Handelsbanken AB
2	Unique identifier (eg CUSIP, ISIN or Bloomberg identifier for private placement)	JP575214BF94
EU-2a	Public or private placement	Private
3	Governing law(s) of the instrument	Japanese law
3a	Contractual recognition of write-down and conversion powers of resolution authorities	Yes
	<i>Regulatory treatment</i>	
4	Current treatment taking into account, where applicable, transitional CRR rules	N/A
5	Post-transitional CRR rules	Eligible liabilities
6	Eligible at solo/(sub)consolidated/solo & (sub)consolidated	Solo & (sub)consolidated
7	Instrument type (types to be specified by each jurisdiction)	Senior
8	Amount recognised in regulatory capital or eligible liabilities (currency in million, as of most recent reporting date)	SEK 364m
9	Nominal amount of instrument	JPY 4600m
EU-9a	Issue price	100%
EU-9b	Redemption price	100%
10	Accounting classification	Liability – amortised cost
11	Original date of issuance	03 Sep 2015
12	Perpetual or dated	Dated
13	Original maturity date	03 Sep 2025
14	Issuer call subject to the previous supervisory approval	No
15	Optional call date, contingent call dates and redemption amount	N/A
16	Subsequent call dates, if applicable	N/A
	<i>Coupons/dividends</i>	
17	Fixed or floating dividend/coupon	Fixed
18	Coupon rate and any related index	0.734% s.s
19	Existence of a dividend stopper	No
EU-20a	Fully discretionary, partially discretionary or mandatory (in terms of timing)	Mandatory
EU-20b	Fully discretionary, partially discretionary or mandatory (in terms of amount)	Mandatory
21	Existence of step-up or other incentive to redeem	No
22	Non-cumulative or cumulative	Cumulative
23	Convertible or non-convertible	Non-convertible
24	If convertible, conversion trigger(s)	N/A
25	If convertible, fully or partially	N/A
26	If convertible, conversion rate	N/A
27	If convertible, mandatory or optional conversion	N/A
28	If convertible, specify instrument type convertible into	N/A
29	If convertible, specify issuer of instrument it converts into	N/A
30	Write-down features	No
31	If write-down, write-down trigger(s)	N/A
32	If write-down, full or partial	N/A
33	If write-down, permanent or temporary	N/A
34	If temporary write-down, description of write-up mechanism	N/A
34a	Type of subordination (only for eligible liabilities)	Contractual
EU-34b	Ranking of the instrument in normal insolvency proceedings	
35	Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument)	Indebtedness entitled to preference under Swedish law
36	Non-compliant transitioned features	No
37	If yes, specify non-compliant features	N/A
EU-37a	Link to the full term and conditions of the instrument (signposting)	N/A

EU TLAC1 Composition - MREL

Presentation in accordance with the implementing technical standards for the application of Regulation (EU) No 575/2013 and Directive 2014/59/EU with regards to the supervisory reporting and public disclosure of the minimum requirement for own funds and eligible liabilities. Excluded rows/column are deemed not relevant for Handelsbanken at present.

Composition - MREL 2022		Minimum requirement for own funds and eligible liabilities (MREL)
SEK m		
Own funds and eligible liabilities and adjustments		
1	Common Equity Tier 1 capital (CET1)	158 551
2	Additional Tier 1 capital (AT1)	15 583
6	Tier 2 capital (T2)	19 052
11	Own funds for the purpose of Articles 92a of Regulation (EU) No 575/2013 and 45 of Directive 2014/59/EU	193 186
Own funds and eligible liabilities: Non-regulatory capital elements		
12	Eligible liabilities instruments issued directly by the resolution entity that are subordinated to excluded liabilities (not grandfathered)	46 300
EU-12a	Eligible liabilities instruments issued by other entities within the resolution group that are subordinated to excluded liabilities (not grandfathered)	0
EU-12b	Eligible liabilities instruments that are subordinated to excluded liabilities issued prior to 27 June 2019 (subordinated grandfathered)	0
EU-12c	Tier 2 instruments with a residual maturity of at least one year to the extent they do not qualify as Tier 2 items	0
13	Eligible liabilities that are not subordinated to excluded liabilities (not grandfathered pre-cap)	116 531
EU-13a	Eligible liabilities that are not subordinated to excluded liabilities issued prior to 27 June 2019 (pre-cap)	1 670
14	Amount of non subordinated eligible liabilities instruments, where applicable after application of Article 72b (3) CRR	118 202
17	Eligible liabilities items before adjustments	164 501
EU-17a	Of which subordinated liabilities items	46 300
Own funds and eligible liabilities: Adjustments to non-regulatory capital elements		
18	Own funds and eligible liabilities items before adjustments	357 687
19	(Deduction of exposures between multiple point of entry (MPE) resolution groups)	0
20	(Deduction of investments in other eligible liabilities instruments)	0
22	Own funds and eligible liabilities after adjustments	357 687
EU-22a	Of which: own funds and subordinated liabilities	239 486
Risk-weighted exposure amount and leverage exposure measure of the resolution group		
23	Total risk exposure amount (TREA)	810 144
24	Total exposure measure (TEM)	3 341 332
Ratio of own funds and eligible liabilities		
25	Own funds and eligible liabilities as a percentage of TREA	44.15%
EU-25a	Of which own funds and subordinated liabilities	29.56%
26	Own funds and eligible liabilities as a percentage of TEM	10.70%
EU-26a	Of which own funds and subordinated liabilities	7.17%
27	CET1 (as a percentage of the TREA) available after meeting the resolution group's requirements	13.73%

EU TLAC3b Creditor ranking - resolution entity

Presentation in accordance with the implementing technical standards for the application of Regulation (EU) No 575/2013 and Directive 2014/59/EU with regards to the supervisory reporting and public disclosure of the minimum requirement for own funds and eligible liabilities. Excluded rows are deemed not relevant for Handelsbanken at present.

Creditor ranking - resolution entity 2022		Insolvency ranking						
SEK m		1 (most junior)	2	3	4	5	6	7 (most senior)
1	Description of insolvency rank	Common Equity Tier 1 Capital	Fines and penalties	Additional Tier 1 capital instruments	Tier 2 capital instruments	Other Sub-ordinated debt	Senior non-preferred debt	Senior unsecured debt
5	Own funds and liabilities potentially eligible for meeting MREL	158 551	-	15 583	19 052	-	46 300	118 202
6	of which residual maturity ≥ 1 year < 2 years	-	-	-	-	-	-	24 184
7	of which residual maturity ≥ 2 year < 5 years	-	-	-	-	-	22 358	68 434
8	of which residual maturity ≥ 5 years < 10 years	-	-	-	13 504	-	22 271	25 584
9	of which residual maturity ≥ 10 years, but excluding perpetual securities	-	-	-	5 548	-	1 670	-
10	of which perpetual securities	158 551	-	15 583	-	-	-	-
								174 134

Countercyclical capital buffers

EU CCyB1 Geographical distribution of credit exposures relevant for the calculation of the countercyclical buffer

The table shows the geographical breakdown of credit exposures relevant for the calculation of the countercyclical capital buffer.

Geographical distribution of credit exposures relevant for the calculation of the countercyclical buffer 2022		General credit exposures		Relevant credit exposures – Market risk		Own funds requirements								
				Sum of long and short positions of trading book exposures for SA	Value of trading book exposures for internal models	Securitisation exposures Exposure value for non-trading book	Total exposure value	Relevant credit risk exposures - Credit risk	Relevant credit exposures – Market risk	Relevant credit exposures – Securitisation positions in the non-trading book	Total	Risk-weighted exposure amounts	Own fund requirements weights (%)	Counter-cyclical buffer rate (%)
		Exposure value under the standardised approach	Exposure value under the IRB approach											
SEK m		Exposure value under the standardised approach	Exposure value under the IRB approach	Sum of long and short positions of trading book exposures for SA	Value of trading book exposures for internal models	Securitisation exposures Exposure value for non-trading book	Total exposure value	Relevant credit risk exposures - Credit risk	Relevant credit exposures – Market risk	Relevant credit exposures – Securitisation positions in the non-trading book	Total	Risk-weighted exposure amounts	Own fund requirements weights (%)	Counter-cyclical buffer rate (%)
010	Breakdown by country													
	Sweden	23 548	1 744 046	5	-	-	1 767 598	31 081	5	-	31 086	388 573	57.9%	1.0%
	Norway	1 550	350 516	0	-	-	352 066	6 928	0	-	6 928	86 599	12.9%	2.0%
	Other countries	348 740	175 342	4	-	-	524 087	15 638	4	-	15 642	195 528	29.2%	0.7%
020	Total	373 838	2 269 904	9	-	-	2 643 751	53 647	9	-	53 656	670 700	100.0%	

EU CCyB2 Amount of institution -specific countercyclical capital buffer

The table shows the total amount for the institution-specific countercyclical capital buffer.

Amount of institution-specific countercyclical capital buffer 2022		
SEK m		
10	Total risk exposure amount	810 144
20	Institution specific countercyclical buffer rate	1.0%
30	Institution specific countercyclical buffer requirement	8 358

Leverage ratio

EU LRA Disclosure of LR qualitative information

Article 451.1 d CRR.

Description of the processes used to manage the risk of excessive leverage

The Bank's capital requirement is reported weekly to the CFO and the CEO and at least quarterly to the Board. In cases where various thresholds are exceeded, or if the Head of Group Capital Management or the CFO deems it appropriate for some other reason, proposals for appropriate measures are presented to the CEO. The capital situation in a medium- and long-term perspective is summarised quarterly by the capital committee. Group Capital Management performs a complete update of the capital forecast on a quarterly basis, or when there are significant changes in conditions.

Description of the factors that had an impact on the leverage Ratio during the period to which the disclosed leverage Ratio refers

Major changes to leverage exposures.

The leverage ratio increased during the year from 4.9% to 5.2%. Both the nominator (Tier 1 capital) and the denominator (Exposures Measure) increased during the year. The increase in exposures was the smaller of the two, causing an increase in the ratio. The Exposure Measure increase is mainly due to increased lending to the public. The increase in tier 1 capital can to a large extent be explained by net profit.

EU LR1 LRSum: Summary reconciliation of accounting assets and leverage ratio exposures

The table shows the summary reconciliation of accounting assets and leverage ratio exposures. The leverage ratio total exposure measure has increased compared to the previous period.

LRSum: Summary reconciliation of accounting assets and leverage ratio exposures 2022		Applicable amount
SEK m		
1	Total assets as per published financial statements	3 235 254
2	Adjustment for entities which are consolidated for accounting purposes but are outside the scope of prudential consolidation	218 462
3	(Adjustment for securitised exposures that meet the operational requirements for the recognition of risk transference)	-
4	(Adjustment for temporary exemption of exposures to central banks (if applicable))	-
5	(Adjustment for fiduciary assets recognised on the balance sheet pursuant to the applicable accounting framework but excluded from the total exposure measure in accordance with point (i) of Article 429a(1) CRR)	-
6	Adjustment for regular-way purchases and sales of financial assets subject to trade date accounting	-
7	Adjustment for eligible cash pooling transactions	-
8	Adjustment for derivative financial instruments	2 515
9	Adjustment for securities financing transactions (SFTs)	12 405
10	Adjustment for off-balance sheet items (ie conversion to credit equivalent amounts of off-balance sheet exposures)	126 599
11	(Adjustment for prudent valuation adjustments and specific and general provisions which have reduced Tier 1 capital)	-380
EU-11a	(Adjustment for exposures excluded from the total exposure measure in accordance with point (c) of Article 429a(1) CRR)	-
EU-11b	(Adjustment for exposures excluded from the total exposure measure in accordance with point (j) of Article 429a(1) CRR)	-
12	Other adjustments	-253 522
13	Total exposure measure	3 341 332

LEVERAGE RATIO

EU LR2 LRCom: Leverage ratio common disclosure

The table shows the leverage ratio for the current and previous period. The exposures are specified for the categories on-balance, derivatives, securities finance and off-balance. The leverage ratio is calculated as tier 1 capital divided by the total exposures. The leverage ratio has increased compared to the previous year.

LRCom: Leverage ratio common disclosure 2022		2022	2021
SEK m			
On-balance-sheet exposures (excluding derivatives and SFTs)			
1	On-balance-sheet items (excluding derivatives, SFTs and fiduciary assets, but including collateral)	3 177 755	3 390 339
2	Gross-up for derivatives collateral provided, where deducted from the balance sheet assets pursuant to the applicable accounting framework	-	-
3	(Deductions of receivables assets for cash variation margin provided in derivatives transactions)	-6 483	-16 130
4	(Adjustment for securities received under securities financing transactions that are recognised as an asset)	-	-
5	(General credit risk adjustments to on-balance sheet items)	-	-
6	(Asset amounts deducted in determining Tier 1 capital)	-19 841	-24 547
7	Total on-balance sheet exposures (excluding derivatives and SFTs)	3 151 432	3 349 662
Derivative exposures			
8	Replacement cost associated with SA-CCR derivatives transactions (ie net of eligible cash variation margin)	14 235	39 034
EU-8a	Derogation for derivatives: replacement costs contribution under the simplified standardised approach	-	-
9	Add-on amounts for potential future exposure associated with SA-CCR derivatives transactions	21 967	22 166
EU-9a	Derogation for derivatives: Potential future exposure contribution under the simplified standardised approach	-	-
EU-9b	Exposure determined under Original Exposure Method	-	-
10	(Exempted CCP leg of client-cleared trade exposures) (SA-CCR)	-	-
EU-10a	(Exempted CCP leg of client-cleared trade exposures) (simplified standardised approach)	-	-
EU-10b	(Exempted CCP leg of client-cleared trade exposures) (Original Exposure Method)	-	-
11	Adjusted effective notional amount of written credit derivatives	2 574	3 048
12	(Adjusted effective notional amounts and add-on deductions for written credit derivatives)	0	-30
13	Total derivatives exposures	38 777	64 217
Securities financing transaction (SFT) exposures			
14	Gross SFT assets (with no recognition of netting), after adjustment for sales accounting transactions	21 237	48 274
15	Netted amounts of cash payables and cash receivables of gross SFT assets)	1	624
16	Counterparty credit risk exposure for SFT assets	4 085	7 745
EU-16a	Derogation for SFTs: Counterparty credit risk exposure in accordance with Articles 429e(5) and 222 CRR	-	-
17	Agent transaction exposures	-	-
EU-17a	(Exempted CCP leg of client-cleared SFT exposure)	-	-
18	Total securities financing transaction exposures	25 322	56 643
Other off-balance-sheet exposures			
19	Off-balance sheet exposures at gross notional amount	504 914	520 334
20	(Adjustments for conversion to credit equivalent amounts)	-378 315	-385 535
21	(General provisions deducted in determining Tier 1 capital and specific provisions associated associated with off-balance sheet exposures)	-	-
22	Off-balance sheet exposures	126 599	134 799
Excluded exposures			
EU-22a	(Exposures excluded from the total exposure measure in accordance with point (c) of Article 429a(1) CRR)	-	-35
EU-22b	(Exposures exempted in accordance with point (j) of Article 429a(1) CRR (on and off balance sheet))	-	-
EU-22c	(Excluded exposures of public development banks (or units) - Public sector investments)	-	-
EU-22d	(Excluded exposures of public development banks (or units) - Promotional loans)	-	-
EU-22e	(Excluded passing-through promotional loan exposures by non-public development banks (or units))	-	-
EU-22f	(Excluded guaranteed parts of exposures arising from export credits)	-797	-871
EU-22g	(Excluded excess collateral deposited at triparty agents)	-	-
EU-22h	(Excluded CSD related services of CSD/institutions in accordance with point (o) of Article 429a(1) CRR)	-	-
EU-22i	(Excluded CSD related services of designated institutions in accordance with point (p) of Article 429a(1) CRR)	-	-
EU-22j	(Reduction of the exposure value of pre-financing or intermediate loans)	-	-
EU-22k	(Total exempted exposures)	-797	-906
Capital and total exposure measure			
23	Tier 1 capital	174 134	174 121
24	Total exposure measure	3 341 332	3 604 416
Leverage ratio			
25	Leverage ratio (%)	5.2%	4.8%
EU-25	Leverage ratio (excluding the impact of the exemption of public sector investments and promotional loans) (%)	5.2%	4.8%
25a	Leverage ratio (excluding the impact of any applicable temporary exemption of central bank reserves) (%)	5.2%	4.8%
26	Regulatory minimum leverage ratio requirement (%)	3.0%	3.0%
EU-26a	Additional own funds requirements to address the risk of excessive leverage (%)	-	-
EU-26b	of which: to be made up of CET1 capital	-	-
27	Leverage ratio buffer requirement (%)	3.0%	3.0%
EU-27a	Overall leverage ratio requirement (%)		
Choice on transitional arrangements and relevant exposures			
EU-27b	Choice on transitional arrangements for the definition of the capital measure	NA	NA
Disclosure of mean values			
28	Mean of daily values of gross SFT assets, after adjustment for sale accounting transactions and netted of amounts of associated cash payables and cash receivables	31 284	35 584
29	Quarter-end value of gross SFT assets, after adjustment for sale accounting transactions and netted of amounts of associated cash payables and cash receivables	21 237	48 898
30	Total exposure measure (including the impact of any applicable temporary exemption of central bank reserves) incorporating mean values from row 28 of gross SFT assets (after adjustment for sale accounting transactions and netted of amounts of associated cash payables and cash receivables)	3 351 379	3 591 101
30a	Total exposure measure (excluding the impact of any applicable temporary exemption of central bank reserves) incorporating mean values from row 28 of gross SFT assets (after adjustment for sale accounting transactions and netted of amounts of associated cash payables and cash receivables)	3 351 379	3 591 101
31	Leverage ratio (including the impact of any applicable temporary exemption of central bank reserves) incorporating mean values from row 28 of gross SFT assets (after adjustment for sale accounting transactions and netted of amounts of associated cash payables and cash receivables)	5.2%	4.9%
31a	Leverage ratio (excluding the impact of any applicable temporary exemption of central bank reserves) incorporating mean values from row 28 of gross SFT assets (after adjustment for sale accounting transactions and netted of amounts of associated cash payables and cash receivables)	5.2%	4.9%

EU LR3 LRSpl: Split-up of on balance sheet exposures (excluding derivatives, SFTs and exempted exposures)

The table specifies on-balance-sheet exposures excluding derivatives, SFTs, and exposures exempt from the leverage ratio calculation. The total exposure has increased compared to the previous period.

LRSpl: Split-up of on balance sheet exposures (excluding derivatives, SFTs and exempted exposures) 2022		CRR leverage ratio exposures
SEK m		
EU-1	Total on-balance sheet exposures (excluding derivatives, SFTs, and exempted exposures), of which:	3 198 195
EU-2	Trading book exposures	47 869
EU-3	Non-trading book exposures, of which:	3 150 327
EU-4	Covered bonds	24 417
EU-5	Exposures treated as sovereigns	649 199
EU-6	Exposures to regional governments, MDB, international organisations and PSE not treated as sovereigns	0
EU-7	Institutions	7 944
EU-8	Secured by mortgages of immovable properties	2 179 143
EU-9	Retail exposures	35 924
EU-10	Corporates	228 284
EU-11	Exposures in default	4 151
EU-12	Other exposures (e.g. equity, securitisations, and other non-credit obligation assets)	21 265

Funding and liquidity Risk

Liquidity risk is the risk that the Bank will not be able to meet its payment obligations as they fall due without being affected by unacceptable costs or losses.

The Bank has a low tolerance of liquidity risks, both at aggregate level and in each individual currency. The aim is to have good access to liquidity, a low level of variation in results and a considerable capacity to meet customers' funding needs, even in difficult times. This is achieved by maintaining a good matching of incoming and outgoing cash flows over time in all currencies essential to the Bank and by maintaining large liquidity reserves of high quality.

EU LIQA Liquidity risk management

In accordance with Articles 435(1) and 451a(4) CRR.

Strategies and processes in the management of the liquidity risk, including policies on diversification in the sources and tenor of planned funding.

Handelsbanken's Board has overall responsibility for the Bank's risk management and establishes internal rules for this. The Board establishes policy documents and the CEO establishes guidelines describing how various risks should be managed and reported.

Handelsbanken has a low tolerance of liquidity risks, both at aggregate level and in each individual currency. The aim is to have good access to liquidity, a low level of variation in results and a considerable capacity to meet customers' funding needs, even in difficult times. This is achieved by maintaining a good matching of incoming and outgoing cash flows over time in all currencies essential to the Bank and by maintaining large liquidity reserves of good quality. The Bank thus minimises the economic risks in funding and can thereby maintain stable and long-term funding for the business-operating units. Furthermore, the Bank aims for breadth in its funding programmes and their use. This ensures that the Bank can keep its core business intact for a long period of time, even if there is extensive disruption in the financial markets. The result of this work is a well-matched balance sheet, where illiquid assets are financed using stable funding.

Good diversification between different types of funding sources in various markets, currencies and forms of funding instruments is a key component of the funding strategy. This reduces the significance of individual markets or sources of funding.

Structure and organisation of the liquidity risk management function (authority, statute, other arrangements).

Handelsbanken's Board has overall responsibility for the Bank's liquidity risk management and establishes internal rules for this. The Board establishes policy documents for funding and liquidity management and decides on limits. The financial policy describes the Bank's risk tolerance and risk strategy, and applies to the entire Group. Guidelines from the CEO and instructions from the CFO provide further details and guidance. The CFO issues instructions for funding and liquidity management that are approved by the Board's risk committee. These instructions include details of risk management and strategy such as further limits, the composition of the funding, and benchmarks in the case of disruptions in the funding markets. Group Risk Control has the responsibility for risk measurement and methodology.

The CFO has the function responsibility for liquidity and funding, while the Head of Group Treasury, who reports to the CFO, is responsible for the Group's liquidity and funding. This responsibility includes managing the Group's liquidity, foreign exchange and interest rate risks in its banking operations. The Head of Group Treasury then allocates the limits between the different business-operating units. Group Risk Control monitors business operations' risk management. Exceeded limits and objectives are identified and reported by Group Risk Control.

A description of the degree of centralisation of liquidity management and interaction between the group's units.

Handelsbanken has a decentralised business model, as part of which the Bank's liquidity monitoring takes place locally and close to the business, but all funding and liquidity risk management in the Group is centralised to Group Treasury where all liquidity risk limits are channelled to the operations. Group Treasury is also responsible for the Bank's liquidity reserve, including the pledged assets that must be kept in different payment and clearing systems, and monitors liquidity flows during the day to ensure that the Bank has sufficient collateral in its payment systems at any given time to meet the Bank's payment obligations.

Scope and nature of liquidity risk reporting and measurement systems.

Limit utilisation for liquidity risks is compiled and checked on a daily basis by Group Risk Control. Exceeded limits are immediately reported to the person who makes the decision about the limits. The liquidity risk is summarised by Group Risk Control and reported daily to the CFO, weekly to the CEO and to the Board at every regular Board meeting. The liquidity committee, chaired by the Head of Group Treasury, acts in an advisory capacity to the CFO and meets before each regular Board meeting and on other occasions when necessary. At these committee meetings, reports are presented on the current liquidity situation, on results of stress tests, scenario analysis, and other information which is relevant for the assessment of the Group's liquidity situation.

Policies for hedging and mitigating the liquidity risk and strategies and processes for monitoring the continuing effectiveness of hedges and mitigants.

In order to limit risk in liquidity management, the Bank has a robust risk tolerance framework including both limits and qualitative targets for liquidity risk. Group Risk Control is responsible for measuring risks and reports risk utilisation daily to the CFO, weekly to the CEO, and on a regular basis to the Board. Liquidity planning is based on an analysis of cash flows for the respective currency. As a general rule, a larger exposure is permitted in currencies with high liquidity than in currencies where the liquidity is low. The funding strategy is that illiquid assets are financed with stable, long-term funding, and that a positive liquidity position (cash flow plus liquid assets) must be maintained – even in stressed conditions. This gap analysis is supplemented by scenarios, in which the effect on liquidity is further stressed and analysed using various assumptions.

An outline of the Bank's contingency funding plans.

Handelsbanken maintains a contingency funding plan in the event of a liquidity shortfall (*Group Contingency Plan for Managing a Liquidity Crisis*). The plan specifies responsibilities, sets out practical steps and considerations needed in order to implement various contingency actions, and describes their estimated impacts. It also determines a set of indicators to be used to help identify when it is appropriate to take contingency actions. A traffic light system is adopted, where each indicator has a baseline level and (up to three) trigger levels with predescribed escalation and reporting processes.

The focus is on being proactive rather than reactive, to ensure continued access to liquidity – and continued confidence in the Bank – in times of crisis.

The indicators cover the Bank's short-term and long-term liquidity positions, counterbalancing capacity, dependence on wholesale markets (including the cost of wholesale funding) and retail deposits. They also distinguish between key currencies.

Each indicator is monitored at the applicable level of periodicity, i.e. from daily to quarterly, depending on the indicator and the current business state. Indicators are evaluated and discussed by the Liquidity Committee and the CRO's Risk Committee on a monthly basis and trigger levels are recalibrated if necessary. An annual review of the indicator framework is conducted.

All indicators are monitored over time, e.g. by including historic values, and hence trending information is an integral part of the reporting conducted within the Bank's general risk management framework. An escalation process is associated with all indicators, regardless of type. Pre-determined levels activate an escalation process to predefined decision-making bodies.

Group Risk Control and Group Treasury follow the liquidity metrics on a daily basis. If any of the metrics are in jeopardy, it is the responsibility of the Head of Group Treasury to take remedial action. Remedial actions may be to use non-encumbered assets (most likely mortgages) in secured financing transactions, selling assets in the liquidity reserve and utilising the funding programmes. In a very severe crisis measures such as withholding dividends, or reduced lending to the public would also be available. In such cases the CEO and the Board are involved in the decision-making.

An explanation of how stress testing is used.

The governance of the Bank's liquidity situation is based on stress tests, which are performed at an aggregate level and also individually for the currencies that are essential to the Bank. The stress tests ensure that the Bank has sufficient liquidity, from both a short-term and long-term perspective, in various stressed scenarios and with various liquidity-generating actions. The stress tests are carried out with the application of both market wide and idiosyncratic stress, on a regular basis and an ad hoc basis. These are also supplemented with scenario analyses which consider substantial falls in housing prices. In these stress tests, it is assumed that the Bank does not have access to market funding, at the same time as some deposits from households and companies gradually disappear in the first month. It is further assumed that the Bank will continue to conduct its core activities, that loans to households and companies will be renewed at maturity and that customers will partly utilise issued commitments and credit facilities. The stress tests assume that the cash assets in the liquidity reserve are used and that securities can immediately supply liquidity if provided as collateral, primarily in the market and as a last resort with central banks. In addition, the Bank can generate liquidity through the unutilised issue amount for covered bonds and by implementing other liquidity-generating measures to gradually provide the Bank with liquidity. The volume and quality of unutilised collateral must be such that in a crisis situation it can provide the Bank with the necessary liquidity.

A declaration approved by the management body on the adequacy of liquidity risk management arrangements of the institution providing assurance that the liquidity risk management systems put in place are adequate with regard to the institution's profile and strategy.

Handelsbanken has satisfactory arrangements for risk management which are fit for purpose in relation to the Bank's business goal, overall risk profile and the risk strategy which the Board has decided for the operations.

A concise liquidity risk statement approved by the management body succinctly describing the institution's overall liquidity risk profile associated with the business strategy.

This statement shall include key ratios and figures (other than those already covered in the EU LIQ1 template under this ITS) providing external stakeholders with a comprehensive view of the institution's management of liquidity risk, including how the liquidity risk profile of the institution interacts with the risk tolerance set by the management body.

Please also see the Board's complete risk statement in EU OVA.

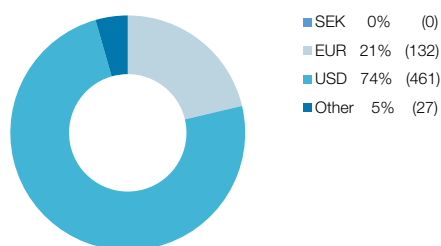
To ensure that the Bank has a good liquidity situation, the Board stipulates the Bank's risk tolerance for liquidity. Handelsbanken has a low risk tolerance. The structural risk in the balance sheet must promote stable, long-term profit growth and not be so high as to prevent Handelsbanken from being able to, in the short and long term, fulfil the requirements set by supervisory authorities. Financial risks shall only occur as a natural step in customer business, in connection with the Handelsbanken Group's funding and liquidity management, and in its role as a market maker. The Group's risks must be limited through the good matching of both cash flows and interest-fixing periods, the hedging of open positions, and the use of collateral, netting agreements and other risk mitigation measures. In addition, the Group should avoid business proposals and trading in products that appear to be complicated or difficult to understand.

The purpose of the Group's funding and liquidity management is to ensure that Handelsbanken is able to meet its payment obligations in the short and long term. A further aim is that the Group should have better access to the capital markets and a lower funding cost than the average for peer banks. In addition, Handelsbanken should continue to have a high rating from the most important rating agencies in comparison with peer banks.

To achieve this goal Handelsbanken maintains loan programmes in all currencies and instruments that are important to the Bank. The target intervals for the Bank's short- and long-term market funding are also established by the management body.

Short-term market funding by currency 2022

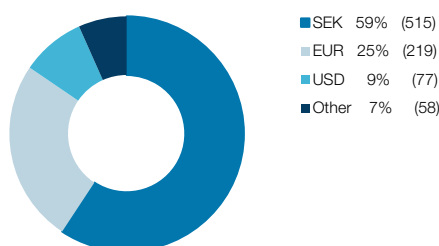
Refers to the currency breakdown as at 31 December 2022 for issued securities with a short-term¹ original time to maturity. Amounts in parentheses SEK billion.



¹Short-term maturity corresponds to a maturity of less than one year and one month.

Long-term market funding by currency 2022

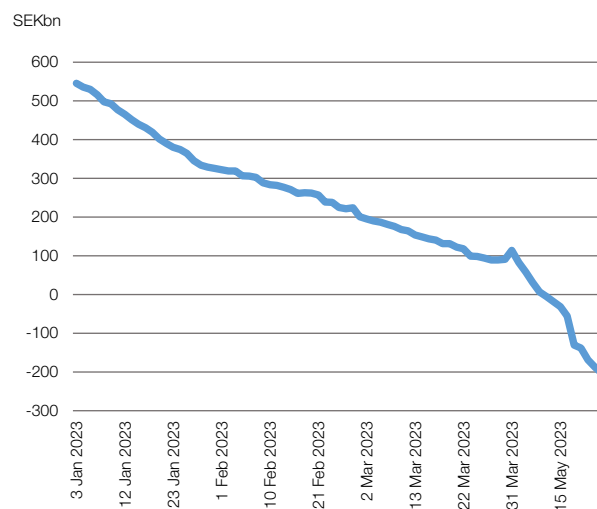
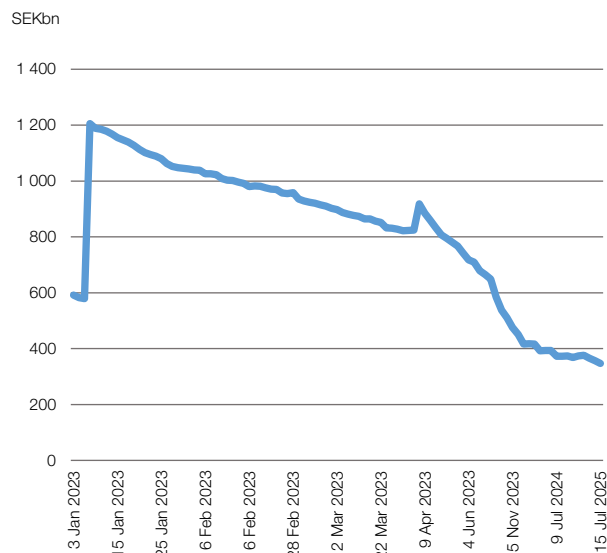
Refers to the currency breakdown as at 31 December 2022 for issued securities with a long-term¹ original time to maturity. Amounts in parentheses in SEK billion.



¹Long-term maturity corresponds to a maturity equal to or exceeding one year and month.

Handelsbanken must have a good match of maturities for liabilities and assets, and positive structural net funding that comprises the difference between stable funding and illiquid assets. Handelsbanken's illiquid assets are risk weighted and consist of lending to households and companies, and other assets requiring stable funding. Handelsbanken's stable funding is risk weighted and consists of shareholders' equity, deposits from households and companies, and other funding with sufficiently long residual maturity or quality to withstand a protracted liquidity crisis. In addition, Handelsbanken must have adequate liquidity in the form of cash available from central banks and assets that are liquid and can be pledged, to be able to continue its operations for pre-determined periods of time, without new funding on the financial markets. This requirement must also be fulfilled in times of financial strain. In addition, the Bank must have the liquidity-generating capacity to cope with a lengthy period of financial strain without requiring new funding on the financial markets.

The maturity mismatch of assets and liabilities is monitored through internal short- and long-term stress tests, as described above in the section regarding stress testing. The mismatch analysis also includes effects from off-balance sheet items, such as increased cash collateral requirements and increased utilisation of outstanding credit (and liquidity) facilities.

Short term stress test of liquidity – accumulated liquidity position**Long term stress test of liquidity, including liquidity generating measures - accumulated liquidity position**

EU LIQ1 Quantitative information of LCR

The following table shows weighted and unweighted components and levels for the liquidity coverage ratio (LCR) where the values presented are simple averages of month-end observations over the 12 months preceding the end of each quarter.

LCR disclosure template Consolidated situation		Total unweighted value (average)				Total weighted value (average)			
SEK m		31 Dec 22	30 Sep 22	30 Jun 22	31 Mar 22	31 Dec 22	30 Sep 22	30 Jun 22	31 Mar 22
Number of data points used in the calculation of averages		12	12	12	12	12	12	12	12
HIGH-QUALITY LIQUID ASSETS									
1	Total high-quality liquid assets (HQLA)					885 096	860 570	815 978	784 150
CASH – OUTFLOWS									
2	Retail deposits and deposits from small business customers, of which:	775 811	774 292	760 959	743 803	69 611	68 989	67 253	65 146
3	Stable deposits	362 247	363 304	358 896	353 067	18 112	18 165	17 945	17 653
4	Less stable deposits	413 564	410 988	402 063	390 735	51 499	50 824	49 308	47 493
5	Unsecured wholesale funding	925 225	922 679	886 581	864 819	484 637	481 592	453 745	448 307
6	Operational deposits (all counterparties) and deposits in networks of cooperative banks	381 165	387 328	386 394	378 832	92 300	93 807	93 595	91 804
7	Non-operational deposits (all counterparties)	452 316	441 699	417 316	405 230	300 593	294 133	277 278	275 746
8	Unsecured debt	91 744	93 652	82 871	80 757	91 744	93 652	82 871	80 757
9	Secured wholesale funding					12 121	12 793	10 957	9 685
10	Additional requirements	491 326	487 629	487 091	486 754	72 285	65 453	63 251	63 037
11	Outflows related to derivative exposures and other collateral requirements	24 482	17 523	15 295	15 113	23 558	16 697	14 458	14 277
12	Outflows related to loss of funding on debt products	-	-	-	-	-	-	-	-
13	Credit and liquidity facilities	466 844	470 106	471 796	471 640	48 727	48 756	48 793	48 760
14	Other contractual funding obligations	6 640	5 016	4 345	3 892	5 321	4 099	3 834	3 766
15	Other contingent funding obligations	65 267	67 313	69 450	71 970	1 242	1 188	1 134	1 090
16	TOTAL CASH OUTFLOWS	-	-	-	-	645 218	634 114	600 174	591 031
CASH – INFLOWS									
17	Secured lending (e.g. reverse repos)	38 728	42 253	42 946	43 807	10 316	11 426	13 011	14 905
18	Inflows from fully performing exposures	69 455	63 330	63 837	63 112	42 097	37 115	38 151	37 912
19	Other cash inflows	30 778	25 080	21 040	17 148	30 778	25 080	21 040	17 148
EU-19a	(Difference between total weighted inflows and total weighted outflows arising from transactions in third countries where there are transfer restrictions or which are denominated in non-convertible currencies)	-	-	-	-	-	-	-	-
EU-19b	(Excess inflows from a related specialised credit institution)	-	-	-	-	-	-	-	-
20	TOTAL CASH INFLOWS	138 961	130 663	127 824	124 067	83 191	73 621	72 202	69 965
EU-20a	Fully exempt inflows	-	-	-	-	-	-	-	-
EU-20b	Inflows subject to 90% cap	-	-	-	-	-	-	-	-
EU-20c	Inflows subject to 75% cap	138 961	130 663	127 824	124 067	83 191	73 621	72 202	69 965
21	LIQUIDITY BUFFER					885 096	860 570	815 978	784 150
22	TOTAL NET CASH OUTFLOWS					562 026	560 493	527 972	521 066
23	LIQUIDITY COVERAGE RATIO (%)					159%	154%	156%	151%

EU LIQ2 Net Stable Funding Ratio

The following template shows weighted and unweighted components and level for the Net Stable Funding Ratio (NSFR) at the end of the fourth quarter 2022 in accordance with Article 451a(3) CRR a. The main driving forces for the NSFR are issued debt and the deposit base. Group Treasury monitors the deposit base and manages the maturity structure of the issued debt to ensure a stable NSFR. The structure of the liability side should be based on the composition of the assets in order to maintain a sound structural liquidity position. The more long-term lending and other illiquid assets, the more stable financing is required. During the last year the NSFR has continued to be stable. The deposit base, and lending to the public, have increased at a steady pace and the management of the long term issued debt has followed the established plan.

b. Handelsbanken does not have interdependent assets and liabilities at the reporting period.

Net Stable Funding Ratio 2022		Unweighted value by residual maturity				
SEK m		No maturity	< 6 months	6 months to < 1yr	≥ 1yr	Weighted value
Available stable funding (ASF) Items						
1	Capital items and instruments	193 975	0	0	20 159	214 134
2	Own funds	193 975	0	0	20 159	214 134
3	Other capital instruments		0	0	0	
4	Retail deposits		748 741	25 558	10 354	724 112
5	Stable deposits		333 887	3 892	5 490	326 380
6	Less stable deposits		414 855	21 665	4 864	397 732
7	Wholesale funding:		1 239 288	203 913	708 659	1 092 732
8	Operational deposits		342 133	0	0	171 066
9	Other wholesale funding		897 155	203 913	708 659	921 666
10	Interdependent liabilities		0	0	0	0
11	Other liabilities:	8 088	48 608	0	5 954	5 954
12	NSFR derivative liabilities	8 088				
13	All other liabilities and capital instruments not included in the above categories		48 608	0	5 954	5 954
14	Total available stable funding (ASF)					2 036 932
Required stable funding (RSF) Items						
15	Total high-quality liquid assets (HQLA)					4 918
EU-15a	Assets encumbered for more than 12m in cover pool		0	0	568 887	483 554
16	Deposits held at other financial institutions for operational purposes		0	0	0	0
17	Performing loans and securities:		323 720	241 474	1 352 983	1 232 720
18	Performing securities financing transactions with financial customers collateralised by Level 1 HQLA subject to 0% haircut		2 256	0	0	0
19	Performing securities financing transactions with financial customer collateralised by other assets and loans and advances to financial institutions		22 994	187	8 213	9 657
20	Performing loans to non- financial corporate clients, loans to retail and small business customers, and loans to sovereigns, and PSEs, of which:		150 640	124 726	399 105	471 670
21	With a risk weight of less than or equal to 35% under the Basel II Standardised approach for credit risk		6 342	3 656	28 685	23 969
22	Performing residential mortgages, of which:		147 639	116 282	941 171	747 316
23	With a risk weight of less than or equal to 35% under the Basel II Standardised approach for credit risk		145 569	111 354	923 201	728 543
24	Other loans and securities that are not in default and do not qualify as HQLA, including exchange-traded equities and trade finance on-balance sheet products		190	279	4 493	4 077
25	Interdependent assets		0	0	0	0
26	Other assets:		32 611	490	47 129	48 935
27	Physical traded commodities				0	0
28	Assets posted as initial margin for derivative contracts and contributions to default funds of CCPs		0	0	7 845	6 668
29	NSFR derivative assets		0			0
30	NSFR derivative liabilities before deduction of variation margin posted		20 229			1 011
31	All other assets not included in the above categories		12 382	490	39 284	41 255
32	Off-balance sheet items		476 220	0	0	23 811
33	Total RSF					1 793 937
34	Net Stable Funding Ratio (%)					114%

EU LIQB on qualitative information on LCR, which complements template EU LIQ1

In accordance with Article 451a(2) CRR.

Explanations on the main drivers of LCR results and the evolution of the contribution of inputs to the LCR's calculation over time.

The main drivers of the LCR are issued unsecured debt, non-operational deposits and central bank placements. The goal is to manage these three inputs so that they are highly correlated as regards to volume changes. By controlling these inputs, the Bank has achieved a relatively stable LCR over time.

Explanations on the changes in the LCR over time.

The LCR has been quite stable over time. However, given the nature of the measure there are inevitable fluctuations caused by slight changes in the maturity structure of Handelsbanken's issued debt and also from client activities (e.g. deposits, loans issued/repaid). Changes also occur due to the nature of LCR being a fraction where equal increases, or decreases, in outflows and liquid assets will incur a change in the LCR. The high LCR reading at december 31st was due to such a "fraction-effect" as the short-term dollar deposits from financials and the corresponding placement at the FED were smaller than usual.

Explanations on the actual concentration of funding sources.

The actual concentration follows from the Bank's funding strategy. The strategy aims for well-diversified funding in terms of currencies, investors, debt types and geographic breakdown. The strategy is long-term and has been followed for many years. The result is a funding structure that is relatively stable over time. The most important sources of funding are deposits from households and companies as well as covered and senior bonds. The short-term funding mainly comprises deposits from financial companies and institutions as well as issues of commercial papers and certificates of deposit.

High-level description of the composition of the institution's liquidity buffer.

The liquidity reserve is built up by several different parts. Cash, central bank balances and liquid securities (government bonds, covered bonds and other securities of very high credit quality). Holdings which can provide Handelsbanken with almost immediate liquidity in normal and stressed situations in the relevant currencies for Handelsbanken.

Derivative exposures and potential collateral calls.

Cash flows stemming from derivative exposures and potential collateral calls are reported in row 11 and 19, where row 11 also includes outflows from the impact of an adverse market scenario on derivatives transactions (the historical look back approach) as well as material outflows due to deterioration of own credit quality.

Currency mismatch in the LCR.

The Bank holds large and relevant liquidity reserves to match the outflows and inflows of LCR in all currencies of relevance for Handelsbanken. The Swedish Financial Supervisory Authority also stipulates a 100% LCR in EUR, USD and 75% LCR in all other significant currencies for Handelsbanken within the framework of the supervisory review and evaluation process in Pillar 2 which the Bank is also obligated to fulfil.

Other items in the LCR calculation that are not captured in the LCR disclosure template but that the institution considers relevant for its liquidity profile.

Not applicable.

ENCUMBERED AND UNENCUMBERED ASSETS

EU AE1 Encumbered and unencumbered assets

The following table shows encumbered and unencumbered assets. The information is presented as quarterly medians over the previous 12 months.

Encumbered and unencumbered assets 2022		Carrying amount of encumbered assets		Fair value of encumbered assets		Carrying amount of unencumbered assets		Fair value of unencumbered assets	
		of which notionally eligible EHQLA and HQLA		of which notionally eligible EHQLA and HQLA		of which EHQLA and HQLA		of which EHQLA and HQLA	
SEK m		010	030	040	050	060	080	090	100
010	Assets of the reporting institution	748 704	13 282			2 643 552	719 447		
030	Equity instruments	10 350	0			4 971	0		
040	Debt securities	12 956	12 935	12 956	12 935	151 414	150 946	151 414	150 946
050	of which: covered bonds	1 731	1 731	1 731	1 731	27 566	26 767	27 566	26 767
060	of which: asset-backed securities	0	0	0	0	0	0	0	0
070	of which: issued by general governments	10 663	10 663	10 663	10 663	17 801	17 801	17 801	17 801
080	of which: issued by financial corporations	1 916	1 916	1 916	1 916	33 398	33 194	33 398	33 194
090	of which: issued by non-financial corporations	0	0	0	0	2 856	478	2 860	478
120	Other assets	729 321	357			2 492 750	566 953		

EU AE2 Collateral received and own debt securities issued

The following table shows collateral received. The information is presented as quarterly medians over the previous 12 months.

Collateral received and own debt securities issued 2022		Fair value of encumbered collateral received or own debt securities issued		Unencumbered	
		of which notionally eligible EHQLA and HQLA		Fair value of collateral received or own debt securities issued available for encumbrance	
SEK m		010	030	040	060
130	Collateral received by the disclosing institution	15 122	6 217	36 817	33 023
140	Loans on demand	0	0	0	0
150	Equity instruments	8 169	0	3 524	0
160	Debt securities	6 217	6 217	33 023	33 023
170	of which: covered bonds	1 519	1 519	23 391	23 391
180	of which: asset-backed securities	0	0	0	0
190	of which: issued by general governments	4 493	4 493	7 371	7 223
200	of which: issued by financial corporations	1 725	1 725	24 777	24 777
210	of which: issued by non-financial corporations	0	0	0	0
220	Loans and advances other than loans on demand	0	0	0	0
230	Other collateral received	0	0	0	0
240	Own debt securities issued other than own covered bonds or asset-backed securities	0	0	0	0
241	Own covered bonds and securitisation issued and not yet pledged			0	0
250	Total assets, collateral received and own debt securities issued	767 295	26 424		

EU AE3 Sources of encumbrance

The following table shows sources of encumbrance. The information is presented as quarterly medians over the previous 12 months.

Sources of encumbrance 2022		Matching liabilities, contingent liabilities or securities lent	Assets, collateral received and own debt securities issued other than covered bonds and ABSs encumbered
SEK m		010	030
010	Carrying amount of selected financial liabilities	660 335	748 736

EU AE4 Accompanying narrative information

In accordance with Article 443 CRR.

General narrative information on asset encumbrance, including:

An important part of Handelsbanken's liquidity management is to retain significant volumes of unutilised collateral that can be used in the event of disruptions in the financial markets. One prerequisite for being able to pledge additional collateral is for the Bank to have unutilised collateral at its disposal from the outset. The Bank therefore retains substantial volumes of non-encumbered assets that could be used as collateral in the issue of covered bonds. Furthermore, the Bank holds liquid securities with very high credit ratings which can be used as collateral in repo-transactions.

The Bank is restrictive with entering into agreements (such as CSA agreements) with other parties than credit institutions, that stipulate that the Bank, according to certain criteria, may be forced to provide collateral to a counterparty.

To assess the degree of subordination between investors of unsecured funding and secured funding, the volume and credit quality of the non-encumbered assets are important factors. The Bank's low risk tolerance ensures that the non-encumbered assets are of a high quality. Since Handelsbanken wishes to have a balanced utilisation of covered and senior bonds, there is a large volume of mortgage loans which are not encumbered. Other non-encumbered loans are also of a good credit quality and thus available for contingent purposes.

a) an explanation of any difference between the regulatory consolidation scope used for the purpose of the disclosures on asset encumbrance and the scope retained for the application of the liquidity requirements on a consolidated basis as defined in Chapter 2 of Title I of Part Two CRR, which is used to define (E)HQLA eligibility;

There are no differences.

b) an explanation of any difference between, on the one hand, pledged and transferred assets in accordance with the applicable accounting frameworks and as applied by the institution and, on the other hand, encumbered assets and an indication of any difference of treatment of transactions, such as when some transactions are deemed to lead to pledge or transfer of assets but not to encumbrance of assets, or vice versa;

There are no differences.

c) the exposure value used for the purposes of disclosure and how median exposure values are derived.

The exposure value used for the purposes of disclosure is based on the accounting balances of each counterparty and quarter.

Narrative information relating to the impact of the institution's business model on its level of encumbrance and the importance of encumbrance on the institution's funding model, including the following:

a) the main sources and types of encumbrance, detailing, where applicable, encumbrance due to significant activities with derivatives, securities lending, repos, covered bonds issuance and securitisation;

Encumbrance is primarily a product of covered bonds issuance and to a lesser extent derivatives trading and banking book hedging.

b) the structure of encumbrance between entities within a group, and especially whether the encumbrance level of the consolidated group stems from particular entities and whether there is significant intragroup encumbrance;

The majority of the encumbered assets consist of Stadshypotek's cover pools, which comprise mortgage loans provided as collateral for outstanding covered bonds. There is no significant intragroup encumbrance.

c) information on over-collateralisation, especially regarding covered bonds and securitisations, and the incidence of over-collateralisation on the levels of encumbrance;

The majority of the encumbered assets consist of Stadshypotek's cover pools, which comprise mortgage loans provided as collateral for outstanding covered bonds. The Bank also has voluntary OC (over-collateralisation – extra assets in addition to those which are needed to cover the issued bonds, and in addition to the 2% statutory requirement) of 8% which is included in the pool.

d) additional information on encumbrance of assets, collateral and off-balance sheet items and the sources of encumbrance by any significant currencies other than the reporting currency as referred to in Article 415(2) CRR;

The main source of encumbrance in significant currencies other than the reporting currency is from the Norwegian cover pool in NOK, approximately 9.9% of encumbered assets. There is also a small proportion of other significant currencies, approximately 3%. Out of those currencies, EUR accounts for 55% and GBP for 28%.

e) a general description of the proportion of items included in column 060 'Carrying amount of unencumbered assets' in Template EU AE1 that the institution would not deem available for encumbrance in the normal course of its business (e.g. intangible assets, including goodwill, deferred tax assets, property, plant and other fixed assets, derivative assets, reverse repo and stock borrowing receivables);

The proportion of items included in column 060 'Carrying amount of unencumbered assets' in Template EU AE1 that the Bank deem as not available for encumbrance in the normal course of business amounts to approximately 2.4%. This consist of intangible assets such as goodwill, deferred tax assets, property, plant and other fixed assets, derivative assets, reverse repo and stock borrowing receivables. As a result of the previous communicated divestment of Finland, a decision was made that this part of the Bank's balance sheet is not to be considered available for encumbrance. These assets account for 7.3% of the available assets.

f) the amount of underlying assets and of cover pool assets of retained securitisations and retained covered bonds, and whether those underlying and cover pool assets are encumbered or unencumbered, along with the amount of associated retained securitisations and retained covered bonds;

The Bank does not have any retained securitisations nor retained covered bonds.

g) where relevant for explaining the impact of their business model on their level of encumbrance, details (including quantitative information if relevant) on each of the following:

Not relevant.

h) where relevant in the context of their use of encumbrance in relation to their business model, additional information on the breakdown of the following rows in the templates EU AE1, EU AE2 and EU AE3:

Not relevant.

Market risk

Handelsbanken aims to have low market risks and low volatility in its earnings. Market risks mainly arise in Handelsbanken Capital Markets as a result of customer-driven transactions, in its role as market maker and in connection with the Bank's funding and liquidity management. In addition, market risks arise in the pension system. Market risks arise from price and volatility changes in the financial markets. Market risks are divided into interest rate risk, equity price risk, foreign exchange risk and commodity price risk.

EU MRA Qualitative disclosure requirements related to market risk

Points (a) and (d) of Article 435 (1) CRR

A description of the institution's strategies and processes to manage market risk, including:

- *An explanation of management's strategic objectives in undertaking trading activities, as well as the processes implemented to identify, measure, monitor and control the institution's market risks*
- *A description of their policies for hedging and mitigating risk and strategies and processes for monitoring the continuing effectiveness of hedges*

Handelsbanken has a restrictive view of market risks. Essentially, market risks in the banking operations are only taken as part of meeting customer's investment and risk management needs. Market risks must be limited by matching cash flows and interest rate adjustment periods, hedging open positions and taking other actions to limit risk. Market risks at Handelsbanken are thus very low. One result of the low market risks is that a small fraction of the Bank's earnings comes from net gains/losses on financial transactions.

In Handelsbanken's operations, market risks arise when the Bank's customers request services for which the Bank must have flexible funding. The Bank can also obtain funding on other markets than those where it has its lending so that it can diversify its sources of funding. The funding can also have different interest rate adjustment periods than the assets which it finances. In addition, market risks can arise in Group Treasury's liquidity portfolio, which can be converted into liquidity at short notice in conjunction with possible disruptions in the markets where the Bank conducts its operations. The portfolio secures the Group's payments in the daily clearing operations and forms part of the Bank's liquidity reserve. Market risks also arise in Capital Markets to meet customers' demand for financial instruments with exposure to the fixed income, foreign exchange, equity or commodity markets. As a consequence, it may be necessary for the Bank to hold certain positions. This situation arises, for example, when the Bank has undertaken to quote prices in its role as a market maker. Market risks in the Bank's business operations arise – and thus are managed – mainly at Group Treasury and Handelsbanken Capital Markets. In addition, market risks also arise as part of Handelsbanken Liv's operations and in the Bank's pension system.

The Bank's limit system restricts the size of the exposure to market risks. Measurement methods and limits are established by the Board. The CFO has the functional responsibility for liquidity and funding, while the Head of Group Treasury, who reports to the CFO, is responsible for the Group's liquidity and funding. This responsibility includes managing the Group's liquidity, foreign exchange and interest rate risks in its banking operations. The limits for interest rate, foreign exchange and liquidity risk are allocated by the CEO and CFO to the Head of Group Treasury, who in turn allocates these to the business-operating units. Limits for equity price risk and commodity price risk are allocated directly to Capital Markets by the CFO. The CEO and the CFO also decide on supplementary risk measures, intraday limits and detailed guidelines. The supplementary limit measures aim to reduce the Bank's sensitivity to volatility changes in the financial markets, and to limit the risks of specific holdings and the liquidity risk per currency. These measures also limit the risks from a maturity

perspective. The CFO, CEO and Board continually receive reports on the market risks and utilisation of the limits.

Market risks are measured using several different methods. The sensitivity measures used show which changes in value would occur in the event of predefined changes in prices and volatilities. Position-related risk measures and probability-based Value at Risk models (VaR) are also used.

Point (b) of Article 435 (1) CRR

A description of the structure and organisation of the market risk management function, including a description of the market risk governance structure established to implement the strategies and processes of the institution discussed in row (a) above, and that describes the relationships and the communication mechanisms between the different parties involved in market risk management.

Handelsbanken's Board has overall responsibility for the Bank's management of market risks and establishes policy documents for this. The financial policy describes the Bank's risk tolerance and risk strategy, and applies to the entire Group. Guidelines from the CEO and instructions from the CFO make these policies concrete. These instructions include details of risk management and strategy. Within this structure, each part of the business operations bears the responsibility for its own business activities and its management of all risks. However, the risks that arise in conjunction with funding and liquidity management are centralised to Group Treasury under the CFO, and Capital Markets manages the majority of the risks in the trading book. The control functions monitor to ensure that the operations are conducted within the limits of the Bank's risk tolerance and reports on the risks to the Board and senior management.

The Board sets total limits for the entire Handelsbanken Group for each type of risk. The limits for market risks that are allocated by the Board to the CEO are further delegated to the CFO. The CFO in turn allocates the limits and decision-making power concerning limits within the business operations. The limits for interest rate risk, foreign exchange risk and liquidity risk are delegated to the Head of Group Treasury, who has overall responsibility for these Asset Liability Management (ALM) risks. The Head of Group Treasury then allocates the limits between the different business-operating units. Limits for equity price risk and commodity price risk are allocated directly to Capital Markets by the CFO. The CFO also issues supplementary restrictions and regulations in a limit decision for derivatives trading within the investment bank.

Point (c) of Article 435 (1) CRR

Scope and nature of risk reporting and measurement systems

The Bank's limit system restricts the size of the exposure to market risks. Measurement methods and limits are established by the Board. The CFO has the functional responsibility for liquidity and funding, while the Head of Group Treasury, who reports to the CFO, is responsible for the Group's liquidity and funding. This responsibility includes managing the Group's liquidity, foreign exchange and interest rate risks in its banking operations. The limits for interest rate, foreign exchange and liquidity risk are allocated by the CEO and CFO to the Head of Group Treasury, who in turn allocates these to the business-operating units. Limits for equity price risk and commodity price risk

are allocated directly to Capital Markets by the CFO. The CEO and the CFO also decide on supplementary risk measures, intraday limits and detailed guidelines. The supplementary limit measures aim to reduce the Bank's sensitivity to volatility changes in the financial markets, and to limit the risks of specific holdings and the liquidity risk per currency. These measures also limit the risks from a maturity perspective. The CFO, CEO and Board continually receive reports on the market risks and utilisation of the limits.

Market risks are measured using several different methods. Value at Risk (VaR) is calculated for the portfolios at Handelsbanken Capital Markets and Group Treasury that are classified as trading book. VaR is a probability-based measure and expresses the losses in Swedish kronor that may arise in risk positions due to movements in the underlying markets over a specified holding period and for a given confidence level.

General interest rate risk is measured daily, and limits are set as the absolute sum of the least favourable changes in fair value per currency in the case of substantial instantaneous upward or downward parallel shifts of one percentage point for all interest rates. Specific interest rate risk is measured and limits set using sensitivity to changes in credit spreads, that is, the difference between the interest on the current holding and the yield on a government bond with the same maturity. The risk is measured and limits set on the basis of different rating classes, calculated as the least favourable change in market value in the case of an upward or downward shift of one basis point in all credit spreads.

Risk such as yield curve twist risk and basis risk, which show changes in the risks in the case of hypothetical changes in various interest rate curves, are measured and followed up on a regular basis. The non-linear interest rate risk, for example, part of the risk in interest rate options, is measured and a limit set with pre-defined stress scenarios expressed in matrices. This means that the risk is measured as changes in underlying market interest rates and volatilities. VaR and

other risk measures are also used for the trading book, supplemented by various stress scenarios.

To estimate the effect of interest rate changes on the income statement, the net interest income effect is also measured. The net interest income effect when interest rates change is measured as the change in net interest income over a twelve-month period in the case of a general increase of market rates by one percentage point. This effect reflects the differences in interest rate adjustment periods and volume composition between assets, liabilities and derivatives outside the trading book, assuming that the size of the balance sheet is constant.

Equity price risk is measured as the market value change in the Bank's total equity positions in the case of an instantaneous change in equity prices of +/-10 % and in volatilities of +/-25 %.

The structural foreign exchange risk is managed by considering the trade-off between the respective impacts of foreign exchange movements on either capital ratios or equity. The Board has established the maximum impact on equity which the structural foreign exchange position is permitted to give rise to in the hedging of the common equity tier 1 ratio. The Board, the CEO and the CFO have also set VaR limits and position limits for foreign exchange risk for non-structural risk, i.e. in the trading and banking book operations.

Commodity price risk, both linear and non-linear, is measured as the absolute total of risk for all commodities to which the Bank is exposed.

EU MR1 Market risk under the standardised approach

The following table shows RWEAs for market risk according to the standardised approach at year-end 2022

Market risk under the standardised approach 2022		RWEAs
SEK m		
Outright products		
1	Interest rate risk (general and specific)	2 197
2	Equity risk (general and specific)	16
3	Foreign exchange risk	32 196
4	Commodity risk	4
Options		
5	Simplified approach	-
6	Delta-plus approach	-
7	Scenario approach	241
8	Securitisation (specific risk)	-
9	Total	34 654

IRRBB

EU IRRBBA Qualitative information on interest rate risks of non-trading book activities**Article 448(1), point (e)**

A description of how the institution defines IRRBB for purposes of risk control and measurement

Interest rate risk is defined as the risk of earnings and the economic value being affected in an adverse manner for the Bank, as a result of fluctuations in interest rates and volatilities. Exposure to interest rate risk in the banking book is divided into general and specific risk (credit spread risk). The general interest rate risk is measured as the change in the economic value of all interest rate risk sensitive items on and off the balance sheet given a momentaneous 100 bp change in interest rate curves. The specific interest rate risk is calculated as the changes in economic value for credit-sensitive securities given a one basis point parallel shift in the current credit spread. This is calculated by rating level, sector and by individual counterparty.

The regulatory capital requirement for interest rate risk is measured on the basis of the EBA guidelines. Model and parametric assumptions are different where the Swedish FSA has additional requirements (FI dnr 19-4434). The internal capital assessment for IRRBB is included in the Bank's model for economic capital. IRRBB in the economic capital model is based on empirical scenarios for general interest rate risk, credit spread risk and basis spread risk. Scenarios span from the 1980s to the present day and cover the Swedish banking crisis in the early 1990s, the financial crisis of 2008 and the Covid-19 pandemic.

Interest rate risk limit utilisation is measured daily. The regulatory capital requirement for IRRBB is calculated daily and reported quarterly to senior management and the Board. IRRBB in the economic capital model is calculated monthly but may be calculated on a daily basis if deemed necessary. Internal hedges and the boundary between the trading and the non-trading book are monitored and regularly evaluated.

Net interest income stress testing is included in Group-wide stress and scenario analysis. It provides forward-looking assessments of risk and provides indications of how much capital might be needed to absorb losses in adverse market conditions. The various scenarios are formulated by Group Risk Control and Group Capital Management. The selected scenarios all represent possible adverse economic trends for the Bank. Scenario analysis is conducted regularly, at least quarterly.

Article 448(1), point (f)

A description of the institution's overall IRRBB management and mitigation strategies.

The Board determines the overall market risk tolerance and sets limits for the entire Group within each type of risk. The Bank applies a hierarchical limit structure for financial risks where a set of limits is delegated from the Board to the CEO and, in turn, to the CFO. The CFO has the function responsibility for the Bank's liquidity and funding, and manages the Bank's interest rate risks in the banking operations in accordance with internal and external rules and regulations. The CFO allocates ALM-limits to the Head of Group Treasury, who is responsible for the management of ALM throughout the group and allocates ALM-limits to the various business units. Group Risk Control is responsible for identifying, measuring, analysing and reporting interest rate risks. Interest rate risks and limit utilisation for Handelsbanken Group Treasury, the mortgage loan business and other operations, are checked and summarised on a daily basis.

Group Risk Control calculates the capital requirement for IRRBB both according to regulatory requirements and according to the Bank's internal model for economic capital. The CRO, CFO, CEO and Board continually receive reports on the market risks, utilisation of the limits and capital requirements. Group Audit regularly reviews whether risk measurement and reporting are being undertaken in compliance with internal rules and regulatory requirements.

According to internal policies, the Bank's funding must be well-diversified in terms of markets, currencies and maturities. When the Bank obtains funding on markets other than those in which the primary lending currencies are used, foreign exchange risk arises. Derivatives are used to transform the duration and currency of assets and liabilities in order to reach a suitable match and ensure stable earnings. Derivatives in the banking book consist solely of vanilla instruments: interest rate swaps, cross currency basis swaps, FX-swaps and bond futures. In addition, there are also legacy holdings in interest rate options (caps) hedging mortgage loans with interest rate caps. The maturity profile of the funding is matched to that of the lending in order to restrict interest rate risk. In general, interest rate risk exposure is in markets which are characterised by good liquidity.

Article 448(1), points (e) (i) and (v); Article 448(2)

The periodicity of the calculation of the institution's IRRBB measures, and a description of the specific measures that the institution uses to gauge its sensitivity to IRRBB

Interest rate risk limit utilisation is evaluated daily. The regulatory capital requirement for IRRBB is calculated daily and reported quarterly to senior management and the Board. IRRBB in the Economic capital model is calculated monthly but may be calculated on a daily basis if deemed necessary. Internal hedges and the boundary between the trading and the non-trading book are monitored and regularly evaluated. Net interest income stress testing is conducted regularly and reported quarterly to senior management and the Board.

Article 448(1), point (e) (iii); Article 448(2)

A description of the interest rate shock and stress scenarios that the institution uses to estimate changes in the economic value and in net interest income (if applicable)

The general interest rate risk limit is measured as the change in profit and economic value of all interest rate risk sensitive items on and off the balance sheet when there is a 100 bp change in current interest rate levels. Non-parallel gap risk limit is measured in a steepening scenario (short rates fall and long rates increase), short rates down scenario, long rates down scenario, and mid rates down scenario. The specific interest rate risk limit is calculated as the changes in value for credit-sensitive holdings in the case of a one basis point parallel shift in current credit spreads.

The regulatory capital requirement for interest rate risk is measured based on the EBA guidelines. Model and parametric assumptions are detailed by the Swedish FSA (FI dnr 19-4434). The internal capital assessment for IRRBB is included in the Bank's model for economic capital. IRRBB in the economic capital model is purely based on empirical scenarios for general interest rate risk, credit spread risk and basis spread risk. Scenarios span from the 1980s to the present day and cover the Swedish banking crisis in the early 1990s, the financial crisis of 2008 and the Covid-19 pandemic. Net interest income stress testing includes various scenarios formulated by Group Risk Control and Group Capital Management. The selected scenarios all represent possible adverse economic trends for the Bank. Net interest income is also measured and reported for a 100 bp parallel shift of interest curves over a one year horizon.

Article 448(1), point (e) (ii); Article 448(2)

A description of the key modelling and parametric assumptions different from those used for disclosure of template EU IRRBB1 (if applicable)

The general interest rate risk limit is measured as the change in profit and economic value of all interest rate risk sensitive items on and off the balance sheet when there is a 100 bp change in current interest rate levels. Non-parallel gap risk limit is measured in a steepening scenario (short rates fall and long rates increase), short rates down scenario, long rates down scenario, and mid rates down scenario. The specific interest rate risk limit is calculated as the changes in value for credit-sensitive holdings in the case of a one basis point parallel shift in current credit spreads.

The regulatory capital requirement for interest rate risk is measured based on the EBA guidelines. Model and parametric assumptions are detailed by the Swedish FSA (FI dnr 19-4434). The internal capital assessment for IRRBB is included in the Bank's model for economic capital. IRRBB in the economic capital model is based on empirical scenarios for general interest rate risk, credit spread risk and basis spread risk. Scenarios span from the 1980s to the present day and cover the Swedish banking crisis in the early 1990s, the financial crisis of 2008 and the Covid-19 pandemic. Net interest income stress testing includes various scenarios formulated by Group Risk Control and Group Capital Management. The selected scenarios all represent possible adverse economic trends for the Bank. Net interest income is also measured and reported for a 100 bp parallel shift of interest curves over a one year horizon.

Article 448(1), point (e) (iv); Article 448(2)

A high-level description of how the bank hedges its IRRBB, as well as the associated accounting treatment (if applicable).

Interest rate risk in the banking book is generally hedged at portfolio level. Derivatives are used to transform the duration and currency of assets and liabilities in order to reach a suitable match and ensuring stable earnings. The Bank employs hedge accounting to hedges and hedged items.

Article 448(1), point (c); Article 448(2)

A description of key modelling and parametric assumptions used for the IRRBB measures in template EU IRRBB1 (if applicable)

Handelsbanken has been modelling the repricing maturity of non-maturity deposits (NMD) since 2015. The starting point of the model is to assign deposit customers into Retail-transactional, Retail-non-transactional and Wholesale. Within each category there are a number of deposits products. The repricing maturity of each product type is then determined based on historical Handelsbanken deposit rates, market rates and customer behavior. NMD from financial institutions are always assigned a zero repricing maturity.

Changes to net interest income in template EU IRRBB1 are calculated using Handelsbanken's internal measure for the net interest income effect. Handelsbanken discloses the internal measure for the net interest income effect in the Annual and Sustainability Report 2022, Note G2 Risk and capital management, Market risk section. Changes to net interest income in template EU IRRBB1 are calculated with a scenario where interest rate curves change 200 bp in parallel.

Article 448(1), point (d)

Explanation of the significance of the IRRBB measures and of their significant variations since previous disclosures

The regulatory capital requirement for IRRBB is calculated daily and reported quarterly to senior management and the Board. Regulatory capital is evaluated together with the internal capital requirement for IRRBB calculated in Handelsbanken's model for economic capital and with the results from internal models for IRRBB.

i) Any other relevant information regarding the IRRBB measures disclosed in template EU IRRBB1 (optional)

(1) (2) Article 448(1), point (g)

Disclosure of the average and longest repricing maturity assigned to non-maturity deposits

The Bank applies a duration of 0.26 years for non-maturity deposits on average and 5 years as the longest. The equivalent for core is 1.41 and 5.

EU IRRBB1 Interest rate risks of non-trading book activities 2022

Interest rate risks of non-trading book activities 2022		Changes of the economic value of equity		Changes of the net interest income	
Supervisory shock scenarios					
SEK m		Current period	Last period	Current period	Last period
1	Parallel up	-763	-982	3 269	2 046
2	Parallel down	1 090	1 200	-3 269	-2 046
3	Steepener	-272	531		
4	Flattener	101	-715		
5	Short rates up	-326	-1 095		
6	Short rates down	308	1 018		

Credit risk

Handelsbanken's low risk tolerance is maintained by means of a strong credit policy and credit culture. The Bank's credit policy states that credits must normally have satisfactory collateral. A weak repayment capacity can never be accepted on the grounds that good collateral has been offered to the Bank. The same principles for the Bank's approach to risks apply in all countries where the Bank operates and are sustainable over time. The decentralised working method combined with a local connection and the Bank's low risk tolerance are important reasons for the Bank reporting very low credit losses over a long period.

CREDIT QUALITY

EU CRA General qualitative information about credit risk

Institutions shall describe their risk management objectives and policies for credit risk by providing the following information:

In the concise risk statement in accordance with point (f) of Article 435(1) CRR, how the business model translates into the components of the institution's credit risk profile.

See EU OVA.

When discussing their strategies and processes to manage credit risk and the policies for hedging and mitigating that risk in accordance with points (a) and (d) of Article 435(1) CRR, the criteria and approach used for defining the credit risk management policy and for setting credit risk limits.

The Board has overall responsibility for the Bank's risk management and establishes internal rules for this. The Board establishes various steering documents and the CEO establishes guidelines describing how risks should be managed and reported.

The Bank's operations entail a variety of risks that are systematically identified, measured, managed and reported in all parts of the Group. Handelsbanken's restrictive approach to risk means that the Bank deliberately avoids high-risk transactions. This low risk tolerance is maintained through a strong risk culture that is sustainable in the long term and applies to all areas of the Group. The risk culture is an integral part of the Bank's work and is deeply rooted among the Bank's employees. The Bank is characterised by a clear division of responsibility where each part of the business operations bears full responsibility for its business and for risk management. As a consequence, there are strong incentives for high risk awareness and for prudence in business operations. However, the decentralised business model is combined with strong centralised controls. The same principles for the Bank's approach to risks apply in all countries where the Bank operates.

The credit policy and credit instructions describe the Bank's risk tolerance, including credit risk limits and risk strategy, and applies to the entire Group. These steering documents are evaluated and adopted by the Board on an annual basis. Handelsbanken has a low tolerance of credit risks and strives to maintain its historically low level of credit losses compared to other banks.

The branch has full financial responsibility for granted credits. Therefore, it addresses problems that arise when a customer has repayment difficulties and also bears any credit losses. If necessary, the local branch obtains support from the local head office and central departments. The Bank makes sure that all employees whose work involves transactions linked to credit risk acquire a solid and well-founded approach to this type of risk. This approach forms an important part of the Bank's culture. The working method and approach described are important reasons for the Bank reporting very low credit losses over a long period. Customer and credit responsibility lies with the branch manager or with the employees appointed by the manager of the local branch. In Handelsbanken's decentralised organisation, the documentation that forms the basis for credit decisions is always prepared by the branch responsible for the credit, regardless of whether the final decision is to be made at the branch, at local level, in the Board's credit committee or by the Board. The Bank

has an established method, including criteria for evaluating customers which is laid down by the Board in the credit policy. Branch managers and most branch staff have personal decision limits allowing them to decide on credits to the customers they manage. For decisions on larger credit limits, there are local and central decision levels. Each additional level of decision adds credit expertise and experience. Each decision level has the right to reject credit limits both within their own decision level and also credit limits which would otherwise have been decided at a higher level. All staff throughout the decision process who are responsible for granting credits, regardless of level, must be in agreement in order to positively decide on a credit limit. If there is the slightest doubt among any of these staff, the credit application is rejected. The largest credits are reviewed by Group Credits and decided by the Board or the credit committee set up by the Board. However, no credit application may be processed in the Bank without the recommendation of the branch manager who is responsible for the credit, with the exception of retail credit commitments made via automatic processes.

In Handelsbanken's decentralised organisation, where a large proportion of the credit and credit limit decisions are made by individual branches, a well-functioning review process is crucial for ensuring high-quality decision-making. The branch manager examines the quality of the staff's decisions and the local credit departments examine the quality of decisions made by branch managers. The purpose of the quality review is to ensure that the Bank's credit policy and internal instructions are complied with, that credit quality is maintained, and that credit and credit limit decisions show that there is good credit judgement and a sound business approach. A corresponding quality review is also performed for credit limit decisions made at higher levels in the Bank. Credit limits granted by local credit committees and national boards are examined by Group Credits, which also prepares and examines credit limits decided by the Board or the credit committee set up by the Board.

The Policy for risk control states that Handelsbanken should have a risk control function that is independent of the functions that are to be monitored. Risk control should be enforced regarding all material risks in Handelsbanken, with the exception of compliance risks, which are within the purview of Group Compliance. The risk control function should verify that all material risks to which the Group is exposed, or may be exposed to in the future, are identified and managed by the relevant functions, and should also supervise and monitor the Group's risk management. In addition, the function must identify risks arising as a result of deficiencies in the Group's risk management. The risk control function should also verify that every business unit monitors all its material risks in an efficient manner.

The Bank's credit policy states that credits must normally have satisfactory collateral. A weak repayment capacity can never be accepted on the grounds that good collateral has been offered to the Bank. Collateral may, however, substantially reduce the Bank's loss if the borrower cannot fulfil his or her obligations. Credits must therefore be adequately secured. The local branch's close contact with its customers enables the branch to quickly identify any problems and take action. In many cases, this means that the Bank can take action more rapidly than would have been possible with a more centralised management of problem loans. The Bank's measures to limit its credit

risk include the acceptance of collateral from customers. The primary means of reducing credit risk in the Bank is the pledging of immovable property, such as residential properties and other real estate, floating charges on assets, guarantees (including guarantor commitments) and the use of netting agreements.

The basic principle applied in property finance is that credits must be covered by collateral in the form of properties. For exposures with properties as collateral, a loan-to-value (LTV) ratio is calculated by dividing the credit exposure by the market value of the collateral. The Bank follows internal recommendations and external regulations which limit the maximum amount of a loan for which the collateral is property.

The value of collateral is reviewed in accordance with internal instructions, at least on an annual basis for commercial properties and at least every third year for residential properties, and is based on the estimated market value. If the market value is deemed to have declined and the value of the collateral has therefore diminished, reviews are carried out more often.

The size of counterparty exposures is restricted by credit limits in the regular credit process. The size of the exposures may vary substantially due to fluctuations in the price of the underlying asset. In order to take account of the risk that the exposure may increase, supplements are added to the value of the exposure when setting credit limits. These add-ons are calculated using standard amounts that depend on the type of contract and the time to maturity. The exposures are calculated and followed up daily. The counterparty risk in derivatives is reduced through close-out netting agreements, which involve offsetting positive values against negative values in all derivative transactions with the same counterparty. Netting agreements are supplemented with agreements for issuing collateral for the net exposure (Credit Support Annex, CSA), which further reduce the credit risk. The collateral for these transactions is mainly cash, but government securities are also used. Due to the high proportion of cash, the concentration risks in the collateral are limited. The majority of Handelsbanken's agreements include close-out netting, and the agreements with the largest exposures, which are to financial institutions, also include CSAs. Derivatives which are cleared via central counterparties also give rise to capital requirements. Central counterparties are clearing houses which act as the counterparty for both the buyer and seller in various transactions, and thus take over the responsibility for fulfilling the parties' obligations.

All parties which use a central counterparty must provide collateral for all transactions. In most cases the risk weight for centrally cleared derivatives is considerably lower than for other types of derivatives.

When informing on the structure and organisation of the risk management function in accordance with point (b) of Article 435(1) CRR, the structure and organisation of the credit risk management and control function.

At Handelsbanken, the credit process is based on a conviction that a decentralised organisation with local connection ensures high quality in credit decisions. The Bank is a relationship bank whose branches maintain regular contact with the customer. This gives the branch an in-depth knowledge of each individual customer and a continually up-to-date picture of the customer's financial situation.

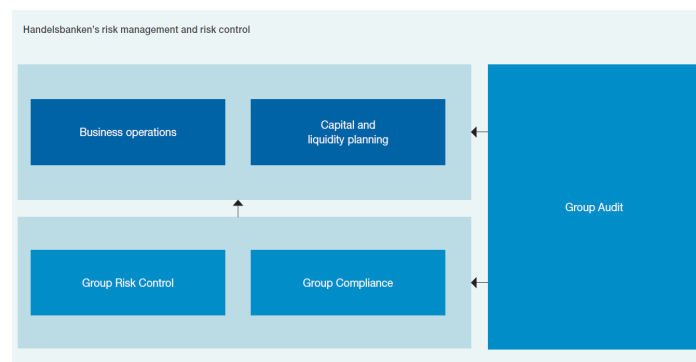
In Handelsbanken's decentralised organisation, a well-functioning review process, involving the local credit department and Group Credits, is crucial for ensuring high-quality decision-making. The branch manager examines the quality of the staff's decisions and the local credit departments examine the quality of decisions made by branch managers. A corresponding quality review is also performed for credit limit decisions made at higher levels in the Bank. The purpose of the quality review is to ensure that the Bank's credit policy and internal instructions are complied with, that credit quality is maintained, and that credit and credit limit decisions show that there is good credit judgement and a sound business approach. Credit limits granted by county or national credit committees and national boards are

examined by Group Credits, which also prepares and examines credit limits decided by the Board or the credit committee set up by the Board.

The Board's Policy for risk control states that the risk control should be independent from the functions it monitors.

Handelsbanken's framework for risk control also shows that the independent risk control and risk control units for subsidiaries are independent and organisationally separated from the units they monitor. Group Risk Control's role and independence from the operations under review is described in Handelsbanken's Corporate Governance Report, for example.

When informing on the authority, status and other arrangements for the risk management function in accordance with point (b) of Article 435(1) CRR, the relationships between credit risk management, risk control, compliance and internal audit functions.



Group Credits, part of the business operations and the first line of defence, bears the overall responsibility for the Bank's credit process, and for preparing every major credit case that the Board's credit committee or the Board as a whole decides on. The head of the department, Handelsbanken's Chief Credit Officer, reports to the CEO and is a member of the credit committee established by the Board. The Chief Credit Officer also reports to the Board about losses and risks in the credit portfolio.

Group Risk Control, the second line of defence, is responsible for independent monitoring and control of the credit risk management carried out by the business operations. Group Risk Control is further responsible for identifying, measuring, analysing and for continuously reporting the current credit risk situation in the Group to the Bank's management and Board internally at an aggregated level. The risk control function is also responsible for ensuring that the measurement methods used for the calculation of capital requirements are fit for purpose and also for regularly evaluating the IRB system. Group Risk Control reports continually to the CEO and on a regular basis to the risk committee and the Board.

Group Audit, the third line of defence, is governed by, and reports to, the Board. It performs independent periodic reviews and verifies that Group Risk Control, and Group Credits' and the business operations' risk management is adequate and compliant. The internal auditors are in turn evaluated by external auditors.

The primary responsibilities of the compliance function are to work actively to ensure a high level of compliance within the Group and to ensure that Handelsbanken's low risk tolerance regarding non-compliance is fulfilled. The compliance function is also responsible for the Group's contacts with public authorities regarding supervision of the Group's licensed operations. The compliance function is independent and organisationally separated from the functions and areas to be monitored and controlled. The Chief Compliance Officer reports regularly to the CEO, the risk committee and the Board on matters regarding compliance.

EU CRB Additional disclosure related to the credit quality of assets.

The scope and definitions of 'past-due' and 'impaired' exposures used for accounting purposes and the differences, if any, between the definitions of past due and default for accounting and regulatory purposes as specified by the EBA Guidelines on the application of the definition of default in accordance with Article 178 CRR.

"Past-due" is defined as a borrower having an unsettled, overdue payment (interest, repayment instalment or fee not paid by the due date). The definition of "impaired" is identical with the definition of default. There is no difference between the definitions of past due and default for accounting and regulatory purposes.

The extent of past-due exposures (more than 90 days) that are not considered to be impaired and the reasons for this.

There are some cases where exposures that are more than 90 days past due are not considered to be impaired. Those cases are: either the past-due amount is insignificant or the reason for the overdraft is technical, meaning that it has been caused by deficiencies in systems outside the control of the customer and the customer is not considered to be in default for any other reason. The definition of insignificant is:

For retail exposures (Private individuals and Small companies) default is reported when the unpaid, overdue amount exceeds the equivalent of

- 1) SEK 1000, and
- 2) 1% of the agreement's exposure

For corporate exposures (Corporate, Bank, Sovereign and Municipality), when the unpaid, overdue amount exceeds the equivalent of

- 1) SEK 5000, and
- 2) The relative threshold of 1% of the borrower's total exposure in Handelsbanken.

Description of methods used for determining general and specific credit risk adjustments.

In the Capital Requirements Regulation (CRR), credit risk adjustments are loss provisions that are divided into two categories: specific and general. The term 'Credit risk adjustments' in CRR corresponds to 'provisions' in accounting rules. Expected credit losses (ECL) determined in accordance with IFRS 9 correspond to Specific Credit Risk Adjustments in CRR.

The impairment rules presented in IFRS 9 apply to financial assets at amortised cost, financial assets at fair value through other comprehensive income, as well as financial guarantees and other irrevocable commitments, and are based on a model for the recognition of expected credit losses (ECL). The assets to be tested for impairment are divided into three stages, depending on the degree of credit impairment.

- Stage 1 comprises financial assets with no significant increase in credit risk since initial recognition.
- Stage 2 comprises financial assets with a significant increase in credit risk since initial recognition, but for which there is no objective evidence that the claim is credit impaired at the time of reporting.
- Stage 3 comprises financial assets for which objective circumstances have been identified indicating that the claim is credit-impaired.

Model-based calculation

The quantitative models which form the basis for the calculation of expected credit losses for agreements in Stage 1 and Stage 2 make use of several assumptions and assessments. One key assumption is that the quantifiable relationships between macroeconomic risk factors and risk parameters in historical data are representative of future events. The quantitative models applied are based on a history of approximately 10 years, although this history varies by product and

region due to inconsistency in the availability of historical outcomes. The quantitative models have been constructed with the help of econometric models, applying the assumption that the observations are independently conditioned by the risk factors. This means that the risk parameters can be predicted without distortion. Furthermore, a selection of the most significant macroeconomic risk factors is made on the basis of the macroeconomic risk factors' ability to demonstrate to individual risk parameters. The selection of the macroeconomic risk factors and specification of the model are based on achieving a balance between simplicity, demonstrative ability and stability.

Manual and expert-based calculation

As a rule, manual calculation is used for agreements in Stage 3, with the exception of a small portfolio of homogeneous claims in Stage 3. Expert-based calculation is carried out for model outcomes on agreements in Stage 1 and Stage 2, in order to incorporate the estimated impact of factors not deemed to have been considered in the model.

In order to cover the effects of the Covid-19 crisis on certain specific sectors, where the assessment was made that the effects were not fully captured in the models for calculating expected credit losses in stage 1 and stage 2, a "Covid add-on" was introduced during the period 2020-2021. During 2020 this add-on was dissolved as the risks now were considered to be covered within the bank's normal processes.

During 2022 an expert based calculation was made to incorporate the potential effects of the unstable world economy, partly caused by the war in Ukraine and subsequent disruption to delivery chains and lack of inputs, energy supplies and access to labour within certain sectors. The amount of the expert based calculated credit risk adjustment consists of the difference between the effects from a stressed scenario and the model based calculations for selected sub-portfolios. The adjustment complements the results from the model calculations.

The institution's own definition of a restructured exposure used for the implementation of point (d) of Article 178(3) CRR specified by the EBA Guidelines on default in accordance with Article 178 CRR when different from the definition of forbore exposure defined in Annex V to Commission Implementing Regulation (EU) 680/2014.

Forborne exposure is defined as debt contracts to which forbearance measures have been extended. Forbearance measures are concessions towards debtors facing, or about to face, difficulties in meeting their financial commitments. Pursuant to regulations from the EBA, the Bank is required to manage credit agreements where the borrower has insufficient payment capacity at an early stage. At the stage where there are already delays to payment for a credit agreement, or where there are suspicions that payment will be delayed, the Bank must take action. If changes to credit terms and conditions, or other terms and conditions affecting the credit agreement, are made by the Bank to facilitate payment, this is to be considered forbearance. However, it is important that the granting of forbearance does not delay the implementation of any further necessary measures, such as managing credit losses. Forbearance on a credit includes both concessions in terms and conditions for existing credits and concessions through the issuance of new credit used to fully or partially repay existing credits. For the concession to be considered forbearance, all of the following conditions must be met:

- The borrower has, or is going to have, financial difficulties.
- The borrower is no longer able to fulfil existing credit terms and conditions.
- The concession gives a benefit that the borrower would have been unable to attain without having, or being about to have, financial difficulties.

When assessing forbearance measures, a simultaneous assessment is to be made as to whether payment is unlikely, in which case default should be reported.

All contractual agreements including overdrafts, credit cards, loans and loan commitments (revocable and irrevocable) are considered credit agreements, as are debt instruments, although not when these are held by the Bank for trading purposes. Loan commitments refer to agreed or contracted loan facilities. Changes to credit terms and conditions for financially stable borrowers are not normally considered forbearance.

When the following indications are identified, default is set automatically.

- If the decided forbearance measures result in the classification of the concession as material.
- If a concession is granted to a customer who has one or more other agreements that are in default, the agreement with the concession is placed in default.
- If an agreement is 30 days late and has previously been in default, the agreement is placed in default because of the delay, even if it is only a matter of 30 days.
- If a new concession is granted to a customer that already has a concession, the agreement is placed in default (this is also how it is coded).
- If the agreement is in a trial period according to the regulations for 'non-performing' agreements and the customer is granted a concession, the agreement is placed in default and classified as a distressed restructuring.

EU CQ1 Credit quality of forborne exposures

Gross carrying amount of forborne exposures and the related accumulated impairment, provisions, accumulated change in fair value due to credit risk, and collateral and financial guarantees received, according to the scope of regulatory consolidation in accordance with Chapter 2 of Title II of Part One of the CRR.

Credit quality of forborne exposures 2022		Gross carrying amount/nominal amount of exposures with forbearance measures				Accumulated impairment, accumulated negative changes in fair value due to credit risk and provisions		Collateral received and financial guarantees received on forborne exposures	
		Non-performing forborne				On performing forborne exposures	On non-performing forborne exposures	Of which collateral and financial guarantees received on non-performing exposures with forbearance measures	
SEK m		Performing forborne		Of which defaulted	Of which impaired				
005	Cash balances at central banks and other demand deposits	-	-	-	-	-	-	-	-
010	Loans and advances	2 238	1 422	1 422	733	-13	-368	2 934	1 184
020	Central banks	-	-	-	-	-	-	-	-
030	General governments	-	-	-	-	-	-	-	-
040	Credit institutions	-	-	-	-	-	-	-	-
050	Other financial corporations	-	-	-	-	-	-	-	-
060	Non-financial corporations	1 388	712	712	491	-	-240	1 616	652
070	Households	850	710	710	242	-13	-128	1 318	531
080	Debt Securities	-	-	-	-	-	-	-	-
090	Loan commitments given	1 045	105	105	93	-	38	116	57
100	Total	3 282	1 526	1 526	826	-13	-407	3 050	1 241

EU CQ4 Quality of non-performing exposures by geography

Quality of non-performing exposures by geography 2022		Gross carrying/nominal amount				Provisions on off-balance- sheet commitments and financial guarantees given	Accumulated negative changes in fair value due to credit risk on non- performing exposures	
		Of which non-performing			Accumulated impairment			
SEK m				Of which defaulted		Of which subject to impairment		
010	On-balance-sheet exposures	2 501 519	4 606	4 473	2 352 919	-2 020	-	-
020	Sweden	1 757 106	2 424	2 338	1 625 981	-1 123	-	-
030	United Kingdom	324 908	592	584	324 908	-343	-	-
040	Norway	245 746	1 228	1 198	245 746	-310	-	-
060	Finland	9 364	265	259	9 364	-170	-	-
070	the Netherlands	97 606	12	12	97 606	-19	-	-
080	other countries	66 788	84	81	49 314	-55	-	-
090	Off-balance-sheet exposures	672 021	273	268	-	-	-	-
100	Sweden	423 582	136	135	-	-	-	-
110	United Kingdom	65 082	27	27	-	-	-	-
120	Norway	74 713	14	14	-	-	-	-
130	Denmark	34 149	96	92	-	-	-	-
140	Finland	4 645	0	0	-	-	-	-
150	the Netherlands	69 850	0	0	-	-	-	-
160	other countries	3 173 540	4 879	4 741	2 352 919	-2 020	-	-
170	Total	2 501 519	4 606	4 473	2 352 919	-2 020	-	-

EU CQ5 Credit quality of loans and advances by industry

Credit quality of loans and advances to non-financial corporations by industry 2022		Gross carrying amount					Accumulated negative changes in fair value due to credit risk on non-performing exposures
		Of which non-performing			Of which loans and advances subject to impairment	Accumulated impairment	
			Of which defaulted				
SEK m							
010	Agriculture, forestry and fishing	8 900	3	3	8 900	-29	-
020	Mining and quarrying	1 083	0	0	1 083	-3	-
030	Manufacturing	18 843	32	31	18 843	-150	-
040	Electricity, gas, steam and air conditioning supply	8 011	1	1	8 011	-7	-
050	Water supply	1 456	-	-	1 456	-1	-
060	Construction	43 227	112	112	43 227	-293	-
070	Wholesale and retail trade	27 540	65	64	27 540	-68	-
080	Transport and storage	6 362	233	233	6 362	-131	-
090	Accommodation and food service activities	7 865	23	13	7 865	-58	-
100	Information and communication	2 043	30	30	2 043	-33	-
110	Real estate activities	798 657	838	805	798 657	-227	-
120	Financial and insurance activities	19 344	6	4	19 344	-9	-
130	Professional, scientific and technical activities	78 398	31	29	78 398	-59	-
140	Administrative and support service activities	10 542	29	29	10 542	-35	-
150	Public administration and defence, compulsory social security	10	-	-	10	0	-
160	Education	1 554	2	2	1 554	-3	-
170	Human health services and social work activities	2 910	12	12	2 910	-5	-
180	Arts, entertainment and recreation	3 969	9	8	3 969	-10	-
190	Other services	14 540	36	46	14 540	-65	-
200	Total	1 055 254	1 462	1 423	1 055 254	-1 187	-

EU CQ7 Collateral obtained by taking possession and execution processes

Information on the instruments that were cancelled in exchange for the collateral obtained by taking possession and on the value of the collateral obtained by taking possession.

Collateral obtained by taking possession and execution processes 2022		Value at initial recognition	Accumulated negative changes
SEK m			
010	Property, plant and equipment (PP&E)	-	-
020	Other than PP&E	0	-
030	Residential immovable property	-	-
040	Commercial Immovable property	-	-
050	Movable property (auto, shipping, etc.)	0	-
060	Equity and debt instruments	-	-
070	Other	-	-
080	Total	0	-

EU CR1 Performing and non-performing exposures and related provisions

Gross carrying amount of performing and non-performing exposures and the related accumulated impairment, provisions, accumulated change in fair value due to credit risk, accumulated partial write-off, and collateral and financial guarantees received, according to the scope of regulatory consolidation in accordance with Chapter 2 of Title II of Part One of the CRR. Exposures in Finland are not included in this table as they have been moved to assets held for sale on the balance sheet.

Performing and non-performing exposures and related provisions 2022		Gross carrying amount/nominal amount						Accumulated impairment, accumulated negative changes in fair value due to credit risk and provisions						Collateral and financial guarantees received		
		Performing exposures		Non-performing exposures		Performing exposures accumulated impairment and provisions		Non-performing exposures – accumulated impairment, accumulated negative changes in fair value due to credit risk and provisions		Accumulated partial write off						
		Of which stage 1	Of which stage 2	Of which stage 2	Of which stage 3	Of which stage 1	Of which stage 2	Of which stage 2	Of which stage 3		On performing exposures	On non-performing exposures				
SEK m																
005	Cash balances at central banks and other demand deposits	477 317	477 317	-	-	-	-	0	0	-	-	-	-	-	-	-
010	Loans and advances	2 338 231	2 253 999	84 232	4 606	126	4 480	-1 120	-457	-663	-898	-6	-892	-	2 144 705	2 872
020	Central banks	4 604	4 604	-	-	-	-	0	0	-	-	-	-	-	-	-
030	General governments	3 412	3 406	6	0	-	0	-3	-3	0	-	-	-	-	2 833	-
040	Credit institutions	8 140	8 140	-	1	-	1	-2	-2	-	-1	-	-1	-	27	-
050	Other financial corporations	28 512	27 539	973	2	-	2	-4	-2	-1	-	-	-	-	16 768	2
060	Non-financial corporations	1 053 792	1 015 313	38 479	1 462	35	1 427	-732	-264	-468	-455	-3	-452	-	893 001	997
070	Of which SMEs	718 158	691 699	26 460	998	31	967	-534	-172	-362	-170	-2	-168	-	692 013	808
080	Households	1 239 771	1 194 997	44 775	3 141	91	3 050	-380	-187	-193	-442	-3	-438	-	1 232 077	1 872
090	Debt securities	158 682	10 082	-	-	-	-	-2	-2	-	-	-	-	-	786	-
100	Central banks	105 428	-	-	-	-	-	-	-	-	-	-	-	-	-	-
110	General governments	27 068	200	-	-	-	-	-	-	-	-	-	-	-	200	-
120	Credit institutions	26 186	9 882	-	-	-	-	-2	-2	-	-	-	-	-	585	-
130	Other financial corporations	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
140	Non-financial corporations	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
150	Off-balance-sheet exposures	520 253	314 142	13 415	273	5	268	271	103	168	82	1	82	-	172 126	125
160	Central banks	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
170	General governments	24 932	17 301	114	66	-	66	0	0	0	-	-	-	-	386	7
180	Credit institutions	8 727	7 076	7	0	-	0	0	0	0	-	-	-	-	8	0
190	Other financial corporations	22 207	13 288	471	-	-	-	1	1	1	-	-	-	-	454	-
200	Non-financial corporations	384 930	200 304	10 721	165	1	164	216	62	154	82	0	82	-	120 744	111
210	Households	79 458	76 174	2 102	41	4	37	53	40	14	1	1	0	-	50 533	7
220	Total	3 494 482	3 055 539	97 648	4 879	131	4 748	-1 393	-563	-831	-980	-7	-973	-	2 317 617	2 996

EU CR1-A Maturity of exposures

Maturity of exposures 2022		Net exposure value					
SEK m		On demand	< = 1 year	> 1 year < = 5 years	> 5 years	No stated maturity	Total
1	Loans and advances	18 872	454 491	642 969	1 342 069	31 622	2 490 023
2	Debt securities	-	108 561	58 144	3 380	-	170 084
3	Total	18 872	563 051	701 112	1 345 448	31 622	2 660 107

CREDIT RISK

EU CR2 – Changes in the stock of non-performing loans and advances

Changes in the stock of non-performing loans and advances 2022		
SEK m		Gross carrying amount
010	Initial stock of non-performing loans and advances	7 322
020	Inflows to non-performing portfolios	1 901
030	Outflows from non-performing portfolios	-2 439
040	Outflows due to write-offs	-2 439
050	Outflow due to other situations	-
060	Final stock of non-performing loans and advances	6 784

EU CQ3 Credit quality of performing and non-performing exposures by past due days

Credit quality of performing and non-performing exposures by past due days 2022		Performing exposures			Non-performing exposures								
Gross carrying amount/nominal amount						Unlikely to pay that are not past due or are past due ≤ 90 days	Past due > 90 days ≤ 180 days	Past due > 180 days ≤ 1 year	Past due > 1 year ≤ 2 years	Past due > 2 years ≤ 5 years	Past due > 5 years ≤ 7 years	Past due > 7 years	Of which defaulted
SEK m		Not past due or past due ≤ 30 days	Past due > 30 days ≤ 90 days										
005	Cash balances at central banks and other demand deposits	477 317	477 317	-	-	-	-	-	-	-	-	-	-
010	Loans and advances	2 338 231	2 337 087	1 144	4 606	3 067	277	417	328	322	77	118	4 480
020	Central banks	4 604	4 604	-	-	-	-	-	-	-	-	-	-
030	General governments	3 412	3 410	2	0	0	-	-	-	-	-	-	0
040	Credit institutions	8 140	8 139	0	1	-	-	-	-	-	-	1	1
050	Other financial corporations	28 512	28 507	5	2	2	1	-	-	-	-	-	2
060	Non-financial corporations	1 053 792	1 053 389	403	1 462	903	130	164	115	84	11	56	1 427
070	Of which SMEs	718 158	717 764	394	998	575	121	148	83	42	2	26	967
080	Households	1 239 771	1 239 038	733	3 141	2 162	147	253	213	238	66	62	3 050
090	Debt securities	158 682	158 682	-	-	-	-	-	-	-	-	-	-
100	Central banks	105 428	105 428	-	-	-	-	-	-	-	-	-	-
110	General governments	27 068	27 068	-	-	-	-	-	-	-	-	-	-
120	Credit institutions	26 186	26 186	-	-	-	-	-	-	-	-	-	-
130	Other financial corporations	-	-	-	-	-	-	-	-	-	-	-	-
140	Non-financial corporations	-	-	-	-	-	-	-	-	-	-	-	-
150	Off-balance-sheet exposures	520 253	-	-	273	-	-	-	-	-	-	-	268
160	Central banks	-	-	-	-	-	-	-	-	-	-	-	-
170	General governments	24 932	-	-	66	-	-	-	-	-	-	-	66
180	Credit institutions	8 727	-	-	0	-	-	-	-	-	-	-	0
190	Other financial corporations	22 207	-	-	-	-	-	-	-	-	-	-	-
200	Non-financial corporations	384 930	-	-	165	-	-	-	-	-	-	-	164
210	Households	79 458	-	-	41	-	-	-	-	-	-	-	37
220	Total	3 494 482	2 973 086	1 144	4 879	3 067	277	417	328	322	77	118	4 748

CREDIT RISK MITIGATION TECHNIQUES

EU CRC Qualitative disclosure requirements related to CRM techniques

Article 453 (a) CRR

A description of the core the policies and processes for on- and off-balance sheet netting and an indication of the extent to which institutions make use of balance sheet netting.

The Bank does not use on- or off-balance sheet netting as a credit risk mitigation technique.

Article 453 (b) CRR

The core features of policies and processes for eligible collateral evaluation and management eligible collateral evaluation and management.

The Bank follows up and regularly updates the market value of the collateral used for credit risk mitigation purposes. A control procedure is established whereby the market value is checked at least every third year for residential properties, and at least annually for other types of property. The value is checked more frequently when there are material changes in factors affecting the property market. For properties with an exposure exceeding EUR 3 million, a new valuation by an independent assessor is made at least every third year.

Article 453 (c) CRR

A description of the main types of collateral taken by the institution to mitigate credit risk.

The Bank has real estate collateral for a large majority of its exposures and a large majority of this collateral consists of residential properties.

Article 453 (d) CRR

For guarantees and credit derivatives used as credit protection, the main types of guarantor and credit derivative counterparty and their creditworthiness used for the purposes of reducing capital requirements, excluding those used as part of synthetic securitisation structures.

Guarantees from sovereigns with very high creditworthiness represent the type of guarantee with the largest impact on capital requirements. The Bank also has guarantees from a wide range of banks and corporate guarantors which have a lesser impact on capital requirements.

Article 453 (e) CRR

Information about market or credit risk concentrations within the credit mitigation taken.

The Bank monitors the credit risk concentrations, within the credit mitigation taken, as part of its process of monitoring large exposures. The effect of financial collateral received is measured and added to the relevant client's total exposure. The effect of credit risk mitigations taken is measured regularly and has only minor impact on the Bank's credit risk concentrations.

EU CR3 CRM techniques overview: Disclosure of the use of credit risk mitigation techniques

The table shows secured exposures and unsecured exposures. The outstanding secured exposures are broken down by amounts secured by collateral, guarantees and credit derivatives. Relations are in line with the previous period.

CRM techniques overview: Disclosure of the use of credit risk mitigation techniques 2022		Secured carrying amount				
		Unsecured carrying amount		Of which secured by financial guarantees		
				Of which secured by collateral	Of which secured by credit derivatives	
SEK m						
1	Loans and advances	672 577	2 147 577	2 128 906	18 671	-
2	Debt securities	157 894	786	-	786	-
3	Total	830 471	2 148 363	2 128 906	19 456	
4	Of which non-performing exposures	837	2 872	2 864	8	-
EU-5	Of which defaulted	837	2 872			

CREDIT RISK STANDARDISED APPROACH

EU CRD Qualitative disclosure requirements related to standardised model

Article 444 (a) CRR

Names of the external credit assessment institutions (ECAIs) and export credit agencies (ECAs) nominated by the institution, and the reasons for any changes over the disclosure period.

When calculating risk weights according to the standardised approach, information regarding the external rating from the external rating agency Standard & Poor's is used, where applicable.

Article 444 (b) CRR

The exposure classes for which each ECAI or ECA is used.

The Bank uses external ratings from Standard & Poor's for exposures to sovereigns, institutions and corporates.

Article 444 (c) CRR

A description of the process used to transfer the issuer and issue credit ratings onto comparable assets items not included in the trading book.

Not applicable.

Article 444 (d) CRR

The association of the external rating of each nominated ECAI or ECA (as referred to in row (a)) with the risk weights that correspond with the credit quality steps as set out in Chapter 2 of Title II of Part Three CRR (except where the institution complies with the standard association published by the EBA).

The Bank complies with the standard association in accordance with Commission Implementing Regulation (EU) 2016/1799 as illustrated below.

Credit quality steps and external credit ratings from Standard & Poor's

Credit quality steps 2022		Risk Weights (%)		
		Corporates	Institutions and regional and local authorities	Central governments and central banks
	S&P			
Step 1	AAA to AA-	20	20	0
Step 2	A+ to A-	50	50	20
Step 3	BBB+ to BBB-	100	100	50
Step 4	BB+ to BB-	100	100	100
Step 5	B+ to B-	150	100	100
Step 6	CCC+ and below	150	150	150
unrated		100	100	100

Article 444 (e) CRR

Exposure calculated according to standardised approach broken down into credit quality steps based on external ratings 2022

	Sovereign and central banks		Municipalities		Institutions		Corporate	
	Exposure	Exposure value	Exposure	Exposure value	Exposure	Exposure value	Exposure	Exposure value
SEK m								
Step 1	102 682	101 707	-	-	1 644	1 644	-	-
Step 2	-	-	-	-	173	170	1 065	687
Step 3	-	-	-	-	2	2	2 430	3
Step 4	-	-	-	-	-	-	2 273	529
Step 5	-	-	-	-	-	-	-	-
Step 6	-	-	-	-	509	509	1 854	-

EU CR4 Standardised approach - Credit risk exposure and CRM effects

The table shows exposures before and after credit conversion factors and credit risk mitigation, and risk exposure amounts and risk weights according to the standardised approach. The amounts and risk weights are specified by exposure class. The total exposures are in line with previous year.

Standardised approach - Credit risk exposure and CRM effects 2022		Exposures before CCF and before CRM		Exposures post CCF and post CRM		RWAs and RWA density	
SEK m		On-balance-sheet exposures	Off-balance-sheet exposures	On-balance-sheet exposures	Off-balance-sheet exposures	RWAs	RWA density, %
1	Central governments or central banks	101 171	1 216	101 508	243	-	-
2	Regional governments or local authorities	0	0	0	-	-	-
3	Public sector entities	1 027	-	1 027	-	-	-
4	Multilateral development banks	2 438	-	2 438	-	-	-
5	International organisations	-	-	-	-	-	-
6	Institutions	244	3	244	1	49	20.01%
7	Corporates	9 686	26 007	8 330	1 952	9 180	89.29%
8	Retail	7 860	11 615	5 758	2 296	5 980	74.25%
9	Secured by mortgages on immovable property	331 045	24 296	330 843	3 930	145 863	43.57%
10	Exposures in default	1 529	51	1 521	11	1 823	119.00%
11	Exposures associated with particularly high risk	878	564	878	8	1 328	150.00%
12	Covered bonds	-	-	-	-	-	-
13	Institutions and corporates with a short-term credit assessment	-	-	-	-	-	-
14	Collective investments undertakings	-	-	-	-	-	-
15	Equity	6 704	-	6 704	-	16 085	239.94%
16	Other items	13 683	60	11 172	17	2 467	22.05%
17	Total	476 265	63 812	470 422	8 457	182 775	38.17%

EU CR5 Standardised approach

The table below shows the EAD broken down by exposure class and risk weight. It comprises figures obtained using the standardised approach. Total EAD has increased compared with the previous period.

Standardised approach 2022		Risk weight															Total	Of which unrated
SEK m		0%	2%	4%	10%	20%	35%	50%	70%	75%	100%	150%	250%	370%	1 250%	Others		
1	Central governments or central banks	101 751	-	-	-	-	-	-	-	-	-	-	-	-	-	-	101 751	43
2	Regional government or local authorities	0	-	-	-	-	-	-	-	-	-	-	-	-	-	-	0	-
3	Public sector entities	1 027	-	-	-	-	-	-	-	-	-	-	-	-	-	-	1 027	1 027
4	Multilateral development banks	2 438	-	-	-	-	-	-	-	-	-	-	-	-	-	-	2 438	2 438
5	International organisations	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
6	Institutions	-	-	-	-	245	-	0	-	-	-	-	-	-	-	-	245	85
7	Corporates	-	-	-	-	0	-	687	-	-	9 595	-	-	-	-	-	10 282	9 591
8	Retail exposures	-	-	-	-	-	-	-	-	8 054	-	-	-	-	-	-	8 054	8 054
9	Exposures secured by mortgages on immovable property	-	-	-	-	-	235 805	21 182	-	228	77 558	-	-	-	-	-	334 773	334 268
10	Exposures in default	-	-	-	-	-	-	-	-	-	950	582	-	-	-	-	1 532	1 532
11	Exposures associated with particularly high risk	-	-	-	-	-	-	-	-	-	-	885	-	-	-	-	885	885
12	Covered bonds	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
13	Exposures to institutions and corporates with a short-term credit assessment	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
14	Units or shares in collective investment undertakings	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
15	Equity exposures	-	-	-	-	-	-	-	-	-	450	-	6 254	-	-	-	6 704	6 704
16	Other items	-	-	-	-	10 902	-	-	-	-	286	-	-	-	-	-	11 188	11 186
17	Total	105 216	-	-	-	11 147	235 805	21 869	-	8 282	88 838	1 467	6 254	-	-	-	478 879	375 814

CREDIT RISK IRB APPROACH**EU CRE Qualitative disclosure requirements related to IRB approach****Article 452 (a) CRR**

The competent authority's permission of the approach or approved transition

The Bank has had permission from the Swedish Financial Supervisory Authority to calculate the capital requirement for credit risk using the IRB approach since 2007. The permission applies to the consolidated situation, in which the parent company Svenska Handelsbanken AB (publ) is the ultimate parent, and to the companies Svenska Handelsbanken AB, Stadshypotek AB and Handelsbanken Finans AB. Ecster AB received permission to use the IRB approach in 2019.

Handelsbanken has eight rating systems (consolidated level): retail, retail Ecster, large corporates, medium-sized corporates, property companies, housing co-operative associations, institutions and central and regional governments.

Handelsbanken has approval to use own estimates of PD, LGD and CCF for the rating systems retail, retail Ecster, large corporates, medium-sized corporates, property companies, and housing co-operative associations whereas the capital requirement for the remaining rating systems is calculated without own estimates of LGD and CCF.

The Swedish Financial Supervisory Authority has also granted Handelsbanken permission to apply the standardised approach instead of the IRB approach for certain exposures in accordance with Article 150(1)(c) and 150(1)(e) of the CRR. These exceptions cover 'insignificant size' portfolios and 'intra group' exposures.

The majority of the exposures subject to sequential implementation in accordance with Article 148 of the CRR consists of exposures in Handelsbanken plc and retail exposures in the Netherland business.

Article 452 (c) CRR

The control mechanisms for rating systems at the different stages of model development, controls and changes, which shall include information on:

i) the relationship between the risk management function and the internal audit function;

Group Risk Control and the subsidiaries' risk control units (risk management function) are responsible for developing IRB-models and for the oversight, supervision, ongoing review and alterations of IRB-models. Furthermore Group Risk Control and the subsidiaries risk control units are responsible for the estimation and application of IRB credit risk models, while Group Risk Control has the overarching responsibility for the management of changes to the Bank's IRB approach.

Group Audit (the internal audit function) performs a general annual review of all aspects (including all rating systems) of the IRB approach to ensure compliance with the established principles and regulatory requirements. In addition, Group Audit reviews all IRB model applications. The Chief Audit Executive is appointed by the Board and reports regularly to the audit committee, orally and in writing, and also submits an annual summary report to the whole Board.

(ii) the rating system review;

Model validation forms part of the review of the rating systems. Over their lifecycles models are first subject to initial validation following model development. When the model has been approved, recurring validation is performed at least on an annual basis. The annual validation cycle consists of a planning, execution and post validation phases including recommendation follow-up. Validation is performed in accordance with predefined methods, which include a review of estimates, evaluation of the models' risk differentiating capabilities and

evaluation of representativeness in the light of the new data and other information that has become available.

(iii) procedure to ensure the independence of the function in charge of reviewing the models from the functions responsible for the development of the models;

The validation function and the unit responsible for IRB model development and calibration are divided into two different organisational units reporting separately to the same member of the senior management, the CRO.

(iv) the procedure to ensure the accountability of the functions in charge of developing and reviewing the models

Accountability of the functions in charge of developing and reviewing the models is ensured through delegation of responsibility through job descriptions. The CRO delegates responsibility to the Head of Group Credit Risk Control who in turn delegates relevant tasks to the head of the model development unit. Furthermore, the CRO delegates responsibility to the head of the validation function. Validation reports are also signed off by the head of the validation function.

Article 452 (d) CRR

The role of the functions involved in the development, approval and subsequent changes of the credit risk models;

The role of the model development unit involves the following:

To critically review decisions that affect the Bank's risk exposure and propose appropriate changes regarding relevant internal rules, processes and routines.

To ensure that the Bank's capital requirements for credit risk according to IRB are calculated based on models that are suitable for the purpose, that these models are maintained through ongoing review, that decided changes to the models used in the risk classification process are implemented, and that new models are developed based on the Bank's needs and authorities' requirements.

To be responsible for calculation of, and model development for, economic capital (EC) for credit risks.

To verify that the risk classification systems and changes in them are assessed and documented in accordance with the Bank's IRB Change instructions.

To ensure, within the unit's area of responsibility, that applicable regulations are complied with, that information requested by the Swedish FSA is prepared and submitted and also to otherwise ensure that the Bank's obligations to the Swedish FSA and other authorities are fulfilled.

To actively participate in the implementation and validation of the models used in the risk classification process.

To make sure that established rules and procedures are evaluated annually and document that the internal control within the unit is appropriate, and to ensure that necessary measures are implemented based on this together with reports from control functions.

To prepare and maintain appropriate information and reporting systems to ensure control over all significant risks in the relevant parts of the business.

The role of the model validation function is to perform initial validation of new models and validation of subsequent changes. This includes independently reviewing and assessing the main steps of model development, assessing whether models are fit for purpose and performing as intended, evaluating models against relevant regulatory requirements, assessing the implementation of models, assessing the usage of models, documenting validation results including observations and recommendations, following-up on issued

recommendations and reporting validation results to relevant stakeholders.

Article 452 (e) CRR

The scope and main content of the reporting related to credit risk models;

The scope and main content of the IRB report is a summary of the IRB evaluation report, validation of IRB-models, new estimates and material changes to the IRB approach. The objective is to provide a general understanding of the rating systems of the institution, and the report is addressed to the Board's Risk Committee annually, and summarised to the Board.

An *IRB evaluation report* is addressed to members of senior management annually. The scope of the report is the evaluation of the Bank's rating systems performance. The main content is areas needing improvement and the status of efforts to improve previously identified deficiencies in the rating system. The latter is also presented to the Risk Committee or the IRB Committee quarterly.

The report also encompasses the rating system's results at an overall level. This entails i.a. a comparison of realised default rates, realised LGDs and realised conversion factors against expectations, migration across grades and updating of estimates.

A *Credit Risk Report* is addressed to members of senior management on a monthly basis. The scope of the report is changes in the credit risk portfolio since the previous month. The main content related to IRB is migration of PD risk class, PD risk class distribution, defaults, lending to customers with high risk and property collaterals for corporates and private individuals.

The Group risk report includes a follow-up of the Bank's risk tolerance, the CRO's assessment of the Group's material risks and an assessment of whether there are significant deficiencies in the operation to report and address. The main content of the report related to IRB is the same as for the Credit risk report with the stress-test results and information on capital requirements calculation. The Group risk report is addressed to the Board, risk committee and CEO quarterly. The report is also presented to members of the senior management.

Validation of the Bank's IRB models is performed on an annual basis. The scope of the validation is the quality assurance of the models based on a number of predefined quantitative and qualitative tests. The conclusions, observations and recommendations are compiled into detailed *validation reports* which are distributed to Group Credit Risk Control and the CRO. Validation results are presented to the Board's risk committee and to members of senior management on an annual basis. Validation results are distributed in written form through the IRB report to the Board's risk committee, and through the IRB evaluation report to members of senior management, both on an annual basis.

Article 452 (f) CRR

A description of the internal ratings process by exposure class, including the number of key models used with respect to each portfolio and a brief discussion of the main differences between the models within the same portfolio, covering:

(i) the definitions, methods and data for estimation and validation of PD, which shall include information on how PDs are estimated for low default portfolios, whether there are regulatory floors and the drivers for differences observed between PD and actual default rates at least for the last three periods;

(ii) where applicable, the definitions, methods and data for estimation and validation of LGD, such as methods to calculate downturn LGD, how LGDs are estimated for low default portfolio and the time lapse between the default event and the closure of the exposure;

(iii) where applicable, the definitions, methods and data for estimation and validation of conversion factors, including assumptions employed in the derivation of those variables.

To quantify its credit risks, the Bank calculates the probability of default, PD, the exposure the Bank is expected to have if a default occurs, EAD, and the proportion of the loan that the Bank would be expected to lose in the case of default, LGD. A default shall be considered to have occurred when the obligor is unlikely to pay its credit obligation to the institution or the obligor is past due more than 90 days on any material credit obligation.

The PD value is expressed as a percentage where, for example, a PD value of 0.5% means that one borrower of 200 with the same PD value would be expected to default within one year.

For exposures to corporates and to institutions, as well as for exposures to central governments, central banks, regional governments and local authorities (sovereign exposures), the internal rating set for each counterparty is directly converted into a risk class on a scale from 1 to 10 (where risk class 10 refers to defaulted counterparties). Corporate exposures are divided into four counterparty types, based on the business evaluation template used for the counterparty. PD is calculated individually for each risk class and counterparty type.

Regional governments and local authorities share the sovereign risk class scale with central governments and central banks. However, to account for the higher risk of the former they are assigned one risk class worse than the latter, given the same internal rating. Hence, the risk class scale for regional governments and local authorities is from 2 to 10, not 1 to 10.

The models for sovereigns, institutions and large corporates are global and the ones for medium sized corporates, real estate corporates, and housing co-operative associations apply to exposures in Sweden, Norway, Denmark (divested as of 1 December 2022), and Finland.

For retail exposures, the risk class is also based on the internal rating assigned to all credit customers. The rating is, however, not translated directly into a risk class as for corporate exposures; instead, the different exposures are sorted into a number of smaller groups on the basis of certain factors. Such factors include the type of credit, the counterparty's debt-servicing record and whether there are one or more borrowers. An average default rate is calculated for each of the smaller groups, and on the basis of this, the groups are sorted into one of the 10 risk classes. Different models are used for exposures to private individuals and to small companies (that are also classified as retail exposures), and by country, Sweden, Norway, Denmark (divested as of 1 December 2022), and Finland, but the principle is the same.

For exposures to medium-sized corporates, property companies and housing co-operative associations as well as for retail exposures, the LGD is determined using the Bank's own loss history. For exposures to large corporates that are subject to a capital requirement using the IRB approach with own estimates of LGD and CCF, the LGD is determined on the basis of internal losses and external observations. For retail exposures secured by property in Sweden and for property exposures to medium-sized companies, property companies and housing co-operative associations, different LGD values are applied depending on the loan-to-value ratio of the collateral. For other exposures, the LGD value is determined by factors that may depend on the existence and valuation of collateral, the type of product and similar factors. For exposures that are subject to a capital requirement according to the IRB approach without own estimates of LGD and CCF, prescribed values are applied for those parameters. The prescribed value that may be used is determined by the collateral provided for each exposure.

For each exposure class, the PD is calculated for each of the risk classes that refer to non-defaulted counterparties or agreements.

CREDIT RISK

The PD models for corporates are based on historical default frequencies, by risk class and by portfolio. The estimates on portfolio level are based partly on the Bank's internal data and partly on data from other sources, such as external credit rating agencies, and are based on the duration of a hypothetical business cycle in which one of five years is a downturn year and the Swedish banking crisis in the 1990s is taken into account, as required by the Swedish Financial Supervisory Authority. Significant margins of conservatism are added to the estimates at portfolio level, and these PD values are normally not expected to vary year on year. The estimates by risk class are based on the Bank's internal default data and a model that determines the relationship of PD between different risk classes. Margins are then added so that each portfolio's aggregate PD coincides with the estimate of portfolio PD. The models are recalibrated at least annually as the distribution of counterparties over risk classes varies over time. This process assures that aggregate PD does not deviate significantly from the estimated portfolio PD. This implies that the PD for each risk class may vary over time as the model is recalibrated.

PD values for institutions are estimated by mapping internal ratings to external ratings. External default rates are then used to estimate an implied internal default rate per risk class. PD values for sovereign exposures are based on default rates and PD for large corporates and expert assessments, as the Bank has no defaults at all to this type of counterparty.

The PD values for retail are based on calculations of the historical default frequencies for each risk class. The average default rates are then adjusted such that one year out of five represents a downturn year, and margins of conservatism are added.

When establishing LGD, the risk measure shall reflect the loss rates in economically unfavourable circumstances, known as 'downturn LGD'. For collateral in property, the downturn LGD is based on observed loss rates from the property crisis in the early 1990s. For other collateral relating to retail exposures, observed LGD is adjusted for downturns by a factor which depends on the PD and type of product. For corporate exposures in the IRB approach with own estimates of LGD and CCF, the LGD is adjusted for downturns so that the Bank's observed losses in the crisis years of 1991–1996 can be explained by the risk measures with a good margin. For exposures with property collateral, in many cases LGD is estimated on the basis of the property's loan-to-value-ratio (LTV). Since the value of the property, and consequently also the LTV, usually varies with the business cycle, this means that the capital requirement will also to some extent have a cyclical dependency.

When the exposure amount, EAD, is to be calculated, certain adjustments are made to the carried exposure. Examples of this are committed loan offers or revolving credits, where the Bank agrees with the customer that the customer may borrow up to a certain amount in the future. This type of commitment constitutes a credit risk that must also be covered by adequate capital. Normally this means that the credit granted is adjusted using a certain credit conversion factor (CCF) for the part of the credit that is utilised at the time of reporting. For certain product categories for corporate exposures and exposures to institutions, the credit conversion factors are determined by the regulatory code, while for retail exposures and certain product categories for large corporates, medium-sized companies, property companies and housing co-operative associations, the Bank uses its own calculated conversion factors. Here, it is the product referred to that mainly governs the CCF, but the utilisation level may also be relevant.

In Sweden and Norway different national regulatory floors apply. In Sweden, the average risk weight of the portfolio of mortgage loans must not be below 25%. In Norway, the LGD for mortgage loans must not be below 20% and the average risk weight must not be below 20%. Furthermore, in Norway, corporate exposures with collateral in real estate must not have a risk weight below 35%.

The following methods are used for the validation of PD, LGD and CCF models:

Risk quantification. Assessment of the predictive ability. Primarily quantitative tests: one-sided outcome tests on observed outcomes (default rates, realised LGDs or realised CCFs) versus estimates and historical outcomes. Two-sided outcome tests on observed outcomes versus historical outcomes. For PD models binomial tests are applied, except for low default portfolios where alternative tests are used such as Jeffrey's test. For LGD and CCF models t-tests are applied, except for low default portfolios where exact tests such as the sign test are applied.

Risk differentiation. Assessment of rank order ability (AR, Somers' D, gAUC), concentration (adjusted Herfindahl index) and heterogeneity (Z-test, Welch's F-test).

Model structure tests. Qualitative and quantitative assessment of the conceptual approach, segmentation, risk factor selection and other structural components of the model.

Review of model documentation and source code. Qualitative assessment of the quality and completeness of model documentation and source code.

Data quality assessment. Assessment of the accuracy, completeness and appropriateness of data.

Population stability and representativeness. Assessment of the representativeness of data used in model development and model calibration, based on qualitative and quantitative tests (PSI).

Model implementation. Qualitative and quantitative tests to assess the integrity of the implemented model.

Migration analysis (PD models). Analysis of migrations based on qualitative and quantitative (Notches, MWB) tests.

Long-run average default rate (PD models). Assessment based on regulatory requirements concerning long-run average default rate, complemented with quantitative tests including outcome tests.

Downturn adjustment (LGD and CCF models). Validation of conditional LGDs and CCFs appropriate for an economic downturn. This includes a qualitative assessment on the identification of an economic downturn and downturn estimation method, based on relevant regulatory requirements, complemented with quantitative tests including outcome tests.

Margin of conservatism and appropriate adjustments. Qualitative assessment based on regulatory requirements, complemented with quantitative tests including outcome tests.

Comparison with external data sources. Comparison of PD, LGD and CCF estimates and outcomes with those of other comparable banks.

In general, the data used for validation consists of all available data from the model development period (including model calibration) until the date of the validation. All available data is used, meaning the time period and data series used for validation is as long as possible. In general quantitative tests are performed on the most recent available data, depending on the test and model. In many cases this means the most recent annual data. In other cases, for instance for low default portfolios, longer time periods may be used for quantitative tests (that also include the most recent data).

EU CR6 IRB approach - Credit risk exposures by exposure class and PD range

The following table shows the total EAD, undrawn commitments, exposure-weighted average PD, LGD and CCF, and exposure-weighted average risk weights broken down by exposure class and obligor grade. RWA and RWA density is here calculated using the IRB approach not including risk weight floors implemented by national authorities.

IRB approach - Credit risk exposures by exposure class and PD range 2022													
A-IRB		On-balance sheet exposures	Off-balance-sheet exposures pre-CCF	Exposure weighted average CCF	Exposure post CCF and post CRM	Exposure weighted average PD (%)	Number of obligors ¹	Exposure weighted average LGD (%)	Exposure weighted average maturity (years)	Risk weighted exposure amount after supporting factors	Density of risk weighted exposure amount	Expected loss amount	Value adjustments and provisions
SEK m	PD range												
Corporates SME	0.00 to < 0.15	463 072	18 351	38.22%	470 086	0.08%	24 577	15.01%	2.0	24 957	5.31%	66	-53
Corporates SME	0.00 to < 0.10	307 042	8 734	39.19%	310 465	0.05%	17 403	10.02%	2.0	7 413	2.39%	14	-17
Corporates SME	0.10 to < 0.15	156 030	9 617	37.34%	159 621	0.13%	7 174	24.72%	2.0	17 544	10.99%	53	-36
Corporates SME	0.15 to < 0.25	53 047	2 214	35.70%	53 837	0.21%	4 015	7.08%	3.0	2 531	4.70%	8	-2
Corporates SME	0.25 to < 0.50	54 032	1 373	42.67%	54 618	0.47%	2 866	24.57%	2.0	11 846	21.69%	63	-11
Corporates SME	0.50 to < 0.75	26 752	5 179	40.71%	28 861	0.55%	3 122	22.56%	2.0	6 904	23.92%	36	-68
Corporates SME	0.75 to < 2.50	28 733	2 412	38.97%	29 673	1.74%	4 256	24.79%	2.0	11 130	37.51%	132	-212
Corporates SME	0.75 to < 1.75	22 102	479	34.30%	22 267	1.63%	2 408	21.91%	2.0	7 006	31.46%	81	-17
Corporates SME	1.75 to < 2.5	6 631	1 933	40.12%	7 406	2.08%	1 848	33.46%	2.0	4 124	55.68%	52	-195
Corporates SME	2.50 to < 10.00	3 818	561	39.03%	4 037	6.46%	431	24.33%	2.0	2 420	59.96%	66	-79
Corporates SME	2.5 to < 5	147	28	30.94%	155	3.75%	16	8.39%	3.0	29	18.45%	0	-1
Corporates SME	5 to < 10	3 671	533	39.45%	3 881	6.57%	415	24.97%	1.0	2 392	61.62%	66	-78
Corporates SME	10.00 to < 100.00	1 484	235	40.01%	1 578	33.41%	451	32.88%	2.0	1 915	121.38%	166	-124
Corporates SME	10 to < 20	530	175	41.00%	601	19.82%	222	38.07%	2.0	812	134.96%	45	-63
Corporates SME	20 to < 30	-	-	-	-	-	-	-	-	-	-	-	-
Corporates SME	30.00 to < 100.00	954	60	37.10%	977	41.79%	229	29.68%	2.0	1 104	113.02%	120	-61
Corporates SME	100.00 (Default)	708	85	37.55%	740	100.00%	95	43.02%	2.0	1 063	143.71%	377	-377
Corporates SME	Subtotal	631 645	30 409	38.75%	643 428	0.46%	39 813	16.08%	2.1	62 767	9.76%	914	-926
Corporates Other	0.00 to < 0.15	216 365	175 436	32.77%	273 863	0.08%	1 827	31.51%	2.0	47 896	17.49%	69	-27
Corporates Other	0.00 to < 0.10	110 664	88 292	33.26%	140 034	0.04%	839	30.77%	3.0	16 656	11.89%	17	-12
Corporates Other	0.10 to < 0.15	105 701	87 145	32.28%	133 829	0.12%	988	32.29%	2.0	31 240	23.34%	52	-14
Corporates Other	0.15 to < 0.25	-	-	-	-	-	4	-	-	-	-	-	-
Corporates Other	0.25 to < 0.50	47 461	22 097	34.44%	55 070	0.36%	601	34.29%	2.0	23 971	43.53%	64	-39
Corporates Other	0.50 to < 0.75	-	-	-	-	-	2	-	-	-	-	-	-
Corporates Other	0.75 to < 2.50	20 203	9 376	36.54%	23 628	1.27%	302	31.61%	2.0	15 359	65.00%	88	-48
Corporates Other	0.75 to < 1.75	19 572	9 134	36.91%	22 943	1.24%	237	31.39%	2.0	14 686	64.01%	82	-38
Corporates Other	1.75 to < 2.5	631	242	22.42%	685	2.18%	65	39.00%	2.0	673	98.20%	6	-10
Corporates Other	2.50 to < 10.00	446	0	1.00%	446	5.99%	14	22.83%	1.0	348	78.01%	6	0
Corporates Other	2.5 to < 5	-	-	-	-	-	-	-	-	-	-	-	-
Corporates Other	5 to < 10	446	0	1.00%	446	5.99%	14	22.83%	1.0	348	78.01%	6	0
Corporates Other	10.00 to < 100.00	679	1 193	49.36%	1 268	14.85%	41	38.94%	1.0	2 397	189.02%	73	-33
Corporates Other	10 to < 20	668	1 192	49.40%	1 257	14.63%	28	39.00%	1.0	2 376	188.99%	72	-32
Corporates Other	20 to < 30	-	-	-	-	-	-	-	-	-	-	-	-
Corporates Other	30.00 to < 100.00	11	1	15.38%	11	39.93%	13	32.59%	4.0	21	191.91%	1	-1
Corporates Other	100.00 (Default)	243	72	47.24%	277	100.00%	10	39.00%	2.0	221	79.87%	137	-137
Corporates Other	Subtotal	285 397	208 175	33.22%	354 552	0.34%	2 801	31.97%	2.0	90 192	25.44%	437	-283

IRB approach - Credit risk exposures by exposure class and PD range 2022													
A-IRB		On-balance sheet exposures	Off-balance-sheet exposures pre-CCF	Exposure weighted average CCF	Exposure post CCF and post CRM	Exposure weighted average PD (%)	Number of obligors ¹	Exposure weighted average LGD (%)	Exposure weighted average maturity (years)	Risk weighted exposure amount after supporting factors	Density of risk weighted exposure amount	Expected loss amount	Value adjustments and provisions
SEK m	PD range												
Retail Secured by Immovable Property SME	0.00 to < 0.15	1 902	17	100.00%	1 919	0.08%	903	23.51%	-	75	3.91%	0	-1
Retail Secured by Immovable Property SME	0.00 to < 0.10	1 545	-	-	1 545	0.06%	722	20.00%	-	40	2.58%	0	-1
Retail Secured by Immovable Property SME	0.10 to < 0.15	357	17	100.00%	374	0.14%	181	38.00%	-	35	9.42%	0	0
Retail Secured by Immovable Property SME	0.15 to < 0.25	1 061	257	79.00%	1 260	0.17%	1 380	22.80%	-	82	6.55%	0	-1
Retail Secured by Immovable Property SME	0.25 to < 0.50	2 128	179	80.43%	2 267	0.43%	1 959	23.68%	-	304	13.42%	2	-4
Retail Secured by Immovable Property SME	0.50 to < 0.75	347	163	79.00%	475	0.64%	975	32.11%	-	114	24.01%	1	-1
Retail Secured by Immovable Property SME	0.75 to < 2.50	1 544	161	85.59%	1 665	1.57%	1 599	31.83%	-	702	42.18%	8	-6
Retail Secured by Immovable Property SME	0.75 to < 1.75	1 033	93	89.60%	1 114	1.23%	963	32.13%	-	412	36.96%	4	-4
Retail Secured by Immovable Property SME	1.75 to < 2.5	511	68	80.10%	551	2.27%	636	31.22%	-	291	52.74%	4	-3
Retail Secured by Immovable Property SME	2.50 to < 10.00	679	48	83.78%	714	6.44%	616	32.48%	-	652	91.38%	14	-15
Retail Secured by Immovable Property SME	2.5 to < 5	348	17	83.20%	362	3.75%	257	37.01%	-	307	84.59%	5	-2
Retail Secured by Immovable Property SME	5 to < 10	331	31	84.11%	351	9.22%	359	27.80%	-	346	98.38%	9	-13
Retail Secured by Immovable Property SME	10.00 to < 100.00	60	4	86.64%	63	16.51%	47	32.57%	-	89	141.53%	3	-1
Retail Secured by Immovable Property SME	10 to < 20	60	4	86.64%	63	16.51%	47	32.57%	-	89	141.53%	3	-1
Retail Secured by Immovable Property SME	20 to < 30	-	-	-	-	-	-	-	-	-	-	-	-
Retail Secured by Immovable Property SME	30.00 to < 100.00	-	-	-	-	-	-	-	-	-	-	-	-
Retail Secured by Immovable Property SME	100.00 (Default)	89	2	79.45%	89	100.00%	57	33.97%	-	193	215.83%	32	-32
Retail Secured by Immovable Property SME	Subtotal	7 809	831	81.33%	8 451	2.23%	7 536	26.51%	-	2 212	26.18%	62	-60
Retail Secured by Immovable Property Non-SME	0.00 to < 0.15	883 922	38 006	100.00%	922 035	0.06%	452 955	12.91%	-	21 681	2.35%	82	-40
Retail Secured by Immovable Property Non-SME	0.00 to < 0.10	708 982	35 335	100.00%	744 424	0.05%	331 087	12.32%	-	12 815	1.72%	44	-26
Retail Secured by Immovable Property Non-SME	0.10 to < 0.15	174 940	2 671	100.00%	177 611	0.14%	121 868	15.38%	-	8 866	4.99%	38	-13
Retail Secured by Immovable Property Non-SME	0.15 to < 0.25	63 294	2 087	100.02%	65 381	0.17%	22 574	21.87%	-	5 463	8.35%	25	-10
Retail Secured by Immovable Property Non-SME	0.25 to < 0.50	72 570	428	92.41%	72 891	0.30%	61 422	18.95%	-	8 079	11.08%	43	-9
Retail Secured by Immovable Property Non-SME	0.50 to < 0.75	15 211	-	-	15 211	0.64%	4 505	20.92%	-	3 105	20.41%	20	-4
Retail Secured by Immovable Property Non-SME	0.75 to < 2.50	27 130	209	96.68%	27 333	1.84%	17 215	18.13%	-	9 455	34.59%	87	-17
Retail Secured by Immovable Property Non-SME	0.75 to < 1.75	7 482	207	96.76%	7 683	1.40%	4 857	26.42%	-	3 375	43.93%	29	-9
Retail Secured by Immovable Property Non-SME	1.75 to < 2.5	19 648	3	91.00%	19 650	2.01%	12 358	14.89%	-	6 080	30.94%	59	-8
Retail Secured by Immovable Property Non-SME	2.50 to < 10.00	333	16	91.00%	343	3.11%	184	22.00%	-	203	59.18%	2	-1
Retail Secured by Immovable Property Non-SME	2.5 to < 5	333	16	91.00%	343	3.11%	184	22.00%	-	203	59.18%	2	-1
Retail Secured by Immovable Property Non-SME	5 to < 10	-	-	-	-	-	-	-	-	-	-	-	-
Retail Secured by Immovable Property Non-SME	10.00 to < 100.00	5 983	4	97.67%	5 987	11.78%	4 347	17.68%	-	5 490	91.71%	132	-14
Retail Secured by Immovable Property Non-SME	10 to < 20	5 983	4	97.67%	5 987	11.78%	4 347	17.68%	-	5 490	91.71%	132	-14
Retail Secured by Immovable Property Non-SME	20 to < 30	-	-	-	-	-	-	-	-	-	-	-	-
Retail Secured by Immovable Property Non-SME	30.00 to < 100.00	-	-	-	-	-	-	-	-	-	-	-	-
Retail Secured by Immovable Property Non-SME	100.00 (Default)	1 581	1	99.50%	1 582	100.00%	1 087	18.70%	-	2 892	182.84%	141	-141
Retail Secured by Immovable Property Non-SME	Subtotal	1 070 022	40 750	99.90%	1 110 762	0.34%	564 289	14.11%	-	56 368	5.07%	533	-236
Retail Other SME	0.00 to < 0.15	200	3	100.00%	203	0.06%	210	20.24%	-	6	2.83%	0	0
Retail Other SME	0.00 to < 0.10	200	-	-	200	0.06%	204	20.00%	-	5	2.74%	0	0
Retail Other SME	0.10 to < 0.15	-	3	100.00%	3	0.14%	6	38.00%	-	0	9.70%	0	0
Retail Other SME	0.15 to < 0.25	302	2 233	79.00%	2 014	0.17%	23 592	34.78%	-	205	10.18%	1	-1
Retail Other SME	0.25 to < 0.50	1 610	1 436	72.42%	2 622	0.44%	12 694	34.70%	-	489	18.65%	4	-4
Retail Other SME	0.50 to < 0.75	206	1 282	79.00%	1 209	0.64%	10 020	34.47%	-	277	22.89%	3	-3
Retail Other SME	0.75 to < 2.50	1 739	678	75.60%	2 180	1.77%	7 433	37.15%	-	789	36.18%	14	-26
Retail Other SME	0.75 to < 1.75	1 194	277	70.38%	1 382	1.42%	2 382	38.18%	-	484	35.02%	7	-21
Retail Other SME	1.75 to < 2.5	545	401	79.21%	798	2.37%	5 051	35.36%	-	305	38.20%	7	-5
Retail Other SME	2.50 to < 10.00	436	242	79.03%	595	7.66%	2 839	34.61%	-	262	44.04%	16	-27

IRB approach - Credit risk exposures by exposure class and PD range 2022													
A-IRB		On-balance sheet exposures	Off-balance-sheet exposures pre-CCF	Exposure weighted average CCF	Exposure post CCF and post CRM	Exposure weighted average PD (%)	Number of obligors¹	Exposure weighted average LGD (%)	Exposure weighted average maturity (years)	Risk weighted exposure amount after supporting factors	Density of risk weighted exposure amount	Expected loss amount	Value adjustments and provisions
SEK m	PD range												
Retail Other SME	2.5 to < 5	44	106	79.61%	127	3.23%	1 030	36.04%	-	52	41.04%	1	-3
Retail Other SME	5 to < 10	392	135	78.58%	468	8.87%	1 809	34.22%	-	210	44.86%	14	-24
Retail Other SME	10.00 to < 100.00	45	8	89.53%	52	17.63%	96	42.25%	-	36	70.11%	4	-7
Retail Other SME	10 to < 20	38	8	89.72%	46	15.80%	75	43.25%	-	32	69.74%	3	-3
Retail Other SME	20 to < 30	-	-	-	-	-	-	-	-	-	-	-	-
Retail Other SME	30.00 to < 100.00	6	0	19.00%	6	30.99%	21	35.00%	-	5	72.77%	1	-3
Retail Other SME	100.00 (Default)	179	13	53.65%	185	100.00%	320	43.36%	-	175	94.72%	144	-144
Retail Other SME	Subtotal	4 716	5 895	76.97%	9 060	3.32%	57 204	35.17%	-	2 239	24.71%	186	-213
Retail Other Non-SME	0.00 to < 0.15	8 169	7 773	91.36%	15 151	0.08%	273 653	41.57%	-	1 415	9.34%	5	-4
Retail Other Non-SME	0.00 to < 0.10	5 252	7 773	91.36%	12 233	0.07%	264 491	41.20%	-	993	8.12%	3	-2
Retail Other Non-SME	0.10 to < 0.15	2 918	-	-	2 918	0.14%	9 162	43.09%	-	421	14.44%	2	-1
Retail Other Non-SME	0.15 to < 0.25	922	3 914	98.41%	4 776	0.17%	238 868	50.08%	-	913	19.12%	4	-3
Retail Other Non-SME	0.25 to < 0.50	8 922	1 318	65.95%	9 639	0.38%	127 126	24.94%	-	1 477	15.33%	8	-6
Retail Other Non-SME	0.50 to < 0.75	1 397	-	-	1 397	0.53%	10 346	42.54%	-	470	33.65%	3	-3
Retail Other Non-SME	0.75 to < 2.50	2 496	874	73.49%	3 010	1.50%	93 693	34.18%	-	1 238	41.13%	15	-18
Retail Other Non-SME	0.75 to < 1.75	1 213	601	77.74%	1 609	1.08%	57 330	41.25%	-	741	46.04%	7	-7
Retail Other Non-SME	1.75 to < 2.5	1 283	274	64.15%	1 401	1.98%	36 363	26.05%	-	497	35.50%	7	-11
Retail Other Non-SME	2.50 to < 10.00	941	184	73.17%	1 033	5.51%	37 523	40.94%	-	668	64.66%	23	-27
Retail Other Non-SME	2.5 to < 5	44	5	91.00%	48	3.01%	326	36.34%	-	26	53.78%	1	0
Retail Other Non-SME	5 to < 10	897	179	72.71%	985	5.63%	37 197	41.16%	-	642	65.19%	23	-26
Retail Other Non-SME	10.00 to < 100.00	792	121	75.33%	857	21.52%	27 664	47.05%	-	896	104.57%	87	-21
Retail Other Non-SME	10 to < 20	556	89	80.97%	614	13.30%	16 256	47.32%	-	579	94.30%	39	-12
Retail Other Non-SME	20 to < 30	-	-	-	-	-	-	-	-	-	-	-	-
Retail Other Non-SME	30.00 to < 100.00	236	32	59.52%	243	42.28%	11 408	46.36%	-	317	130.48%	48	-9
Retail Other Non-SME	100.00 (Default)	413	8	90.76%	420	100.00%	10 877	51.47%	-	549	130.95%	278	-278
Retail Other Non-SME	Subtotal	24 053	14 192	89.47%	36 281	2.12%	819 750	37.92%	-	7 626	21.02%	423	-358
Total	0.00 to < 0.15	1 573 631	239 586	45.76%	1 683 256	0.07%	655 662	16.79%	1.0	96 029	5.70%	223	-124
Total	0.00 to < 0.10	1 133 685	140 133	53.68%	1 208 901	0.05%	516 913	14.17%	1.0	37 922	3.14%	78	-59
Total	0.10 to < 0.15	439 946	99 452	34.60%	474 355	0.13%	138 749	23.48%	1.0	58 107	12.25%	145	-65
Total	0.15 to < 0.25	118 626	10 704	81.24%	127 268	0.19%	287 845	16.89%	1.0	9 194	7.22%	38	-17
Total	0.25 to < 0.50	186 723	26 831	39.67%	197 107	0.37%	204 765	25.35%	1.0	46 167	23.42%	184	-72
Total	0.50 to < 0.75	43 912	6 624	49.06%	47 151	0.58%	28 844	23.02%	1.0	10 870	23.05%	63	-79
Total	0.75 to < 2.50	81 844	13 711	42.75%	87 489	1.63%	122 576	25.32%	1.0	38 673	44.20%	344	-327
Total	0.75 to < 1.75	52 595	10 791	41.53%	56 997	1.41%	66 494	27.47%	2.0	26 703	46.85%	210	-96
Total	1.75 to < 2.5	29 249	2 920	47.26%	30 491	2.04%	56 082	21.29%	1.0	11 970	39.26%	134	-231
Total	2.50 to < 10.00	6 653	1 050	57.00%	7 167	6.23%	41 556	28.18%	1.0	4 554	63.53%	128	-148
Total	2.5 to < 5	916	172	73.45%	1 036	3.44%	1 803	27.60%	1.0	616	59.50%	10	-6
Total	5 to < 10	5 737	878	53.79%	6 132	6.70%	39 753	28.28%	1.0	3 937	64.21%	118	-142
Total	10.00 to < 100.00	9 042	1 566	50.40%	9 804	16.57%	31 819	25.67%	1.0	10 823	110.40%	465	-199
Total	10 to < 20	7 835	1 472	50.77%	8 567	12.93%	20 148	24.61%	-	9 377	109.45%	295	-126
Total	20 to < 30	-	-	-	-	-	-	-	-	-	-	-	-
Total	30.00 to < 100.00	1 207	93	44.41%	1 237	41.81%	11 671	33.01%	2.0	1 446	116.94%	170	-74
Total	100.00 (Default)	3 211	180	45.49%	3 292	100.00%	12 251	31.85%	1.0	5 093	154.73%	1 109	-1 109
Total	Subtotal	2 023 641	300 252	46.48%	2 162 534	0.43%	1 385 318	18.16%	1.0	221 403	10.24%	2 554	-2 075

¹ The amount is based on the number of agreements rather than counterparties for retail exposures

IRB approach - Credit risk exposures by exposure class and PD range 2022													
F-IRB		On-balance sheet exposures	Off-balance-sheet exposures pre-CCF	Exposure weighted average CCF	Exposure post CCF and post CRM	Exposure weighted average PD (%)	Number of obligors ¹	Exposure weighted average LGD (%)	Exposure weighted average maturity (years)	Risk weighted exposure amount after supporting factors	Density of risk weighted exposure amount	Expected loss amount	Value adjustments and provisions
SEK m	PD range												
Central Governments and Central Banks	0.00 to < 0.15	592 725	27 577	28.99%	600 721	-	310	44.82%	1.0	8 627	1.44%	7	-10
Central Governments and Central Banks	0.00 to < 0.10	592 725	27 577	28.99%	600 721	-	310	44.82%	1.0	8 627	1.44%	7	-10
Central Governments and Central Banks	0.10 to < 0.15	-	-	-	-	-	-	-	-	-	-	-	-
Central Governments and Central Banks	0.15 to < 0.25	189	0	43.98%	190	0.20%	13	43.85%	3.0	81	42.87%	0	0
Central Governments and Central Banks	0.25 to < 0.50	-	-	-	-	-	-	-	-	-	-	-	-
Central Governments and Central Banks	0.50 to < 0.75	-	-	-	-	-	-	-	-	-	-	-	-
Central Governments and Central Banks	0.75 to < 2.50	52	0	20.00%	52	1.00%	2	45.00%	3.0	51	97.86%	0	0
Central Governments and Central Banks	0.75 to < 1.75	52	0	20.00%	52	1.00%	2	45.00%	3.0	51	97.86%	0	0
Central Governments and Central Banks	1.75 to < 2.5	-	-	-	-	-	-	-	-	-	-	-	-
Central Governments and Central Banks	2.50 to < 10.00	-	-	-	-	-	-	-	-	-	-	-	-
Central Governments and Central Banks	2.5 to < 5	-	-	-	-	-	-	-	-	-	-	-	-
Central Governments and Central Banks	5 to < 10	-	-	-	-	-	-	-	-	-	-	-	-
Central Governments and Central Banks	10.00 to < 100.00	1	-	-	1	20.00%	1	45.00%	3.0	2	252.53%	0	0
Central Governments and Central Banks	10 to < 20	-	-	-	-	-	-	-	-	-	-	-	-
Central Governments and Central Banks	20 to < 30	1	-	-	1	20.00%	1	45.00%	3.0	2	252.53%	0	0
Central Governments and Central Banks	30.00 to < 100.00	-	-	-	-	-	-	-	-	-	-	-	-
Central Governments and Central Banks	100.00 (Default)	-	-	-	-	-	-	-	-	-	-	-	-
Central Governments and Central Banks	Subtotal	592 967	27 578	28.99%	600 963	0.00%	326	44.82%	1.0	8 761	1.46%	7	-10
Institutions	0.00 to < 0.15	26 800	5 913	45.83%	29 510	0.11%	56	17.70%	3.0	4 814	16.31%	6	-3
Institutions	0.00 to < 0.10	1 516	1 640	19.82%	1 841	0.06%	18	20.20%	3.0	259	14.05%	0	0
Institutions	0.10 to < 0.15	25 283	4 274	55.82%	27 669	0.12%	38	17.54%	3.0	4 555	16.46%	6	-3
Institutions	0.15 to < 0.25	2 704	1 336	25.44%	3 044	0.21%	20	38.87%	3.0	1 612	52.94%	2	-1
Institutions	0.25 to < 0.50	-	-	-	-	-	-	-	-	-	-	-	-
Institutions	0.50 to < 0.75	1	218	40.52%	89	0.56%	7	45.00%	3.0	91	101.43%	0	0
Institutions	0.75 to < 2.50	8	100	49.86%	58	1.28%	14	44.93%	3.0	76	131.37%	0	0
Institutions	0.75 to < 1.75	7	75	49.82%	44	1.04%	10	44.91%	3.0	55	124.80%	0	0
Institutions	1.75 to < 2.5	1	25	50.00%	14	2.05%	4	45.00%	3.0	21	152.25%	0	0
Institutions	2.50 to < 10.00	-	-	-	-	-	-	-	-	-	-	-	-
Institutions	2.5 to < 5	-	-	-	-	-	-	-	-	-	-	-	-
Institutions	5 to < 10	-	-	-	-	-	-	-	-	-	-	-	-
Institutions	10.00 to < 100.00	-	25	50.00%	13	22.00%	2	45.00%	3.0	34	271.77%	1	-
Institutions	10 to < 20	-	10	50.00%	5	10.00%	1	45.00%	3.0	12	239.17%	0	-
Institutions	20 to < 30	-	-	-	-	-	-	-	-	-	-	-	-
Institutions	30.00 to < 100.00	-	15	50.00%	8	30.00%	1	45.00%	3.0	22	293.50%	1	-
Institutions	100.00 (Default)	-	-	-	-	-	-	-	-	-	-	-	-
Institutions	Subtotal	29 513	7 593	42.16%	32 714	0.13%	99	19.80%	3.0	6 626	20.25%	10	-4

IRB approach - Credit risk exposures by exposure class and PD range 2022													
F-IRB		On-balance sheet exposures	Off-balance-sheet exposures pre-CCF	Exposure weighted average CCF	Exposure post CCF and post CRM	Exposure weighted average PD (%)	Number of obligors ¹	Exposure weighted average LGD (%)	Exposure weighted average maturity (years)	Risk weighted exposure amount after supporting factors	Density of risk weighted exposure amount	Expected loss amount	Value adjustments and provisions
SEK m	PD range												
Corporates SME	0.00 to < 0.15	5 394	4 227	72.32%	8 451	0.09%	1 006	25.11%	3.0	967	11.45%	2	-6
Corporates SME	0.00 to < 0.10	2 601	1 934	73.17%	4 016	0.04%	301	16.11%	3.0	168	4.19%	0	-1
Corporates SME	0.10 to < 0.15	2 793	2 293	71.61%	4 435	0.14%	705	33.26%	3.0	799	18.01%	2	-4
Corporates SME	0.15 to < 0.25	12	141	72.20%	114	0.21%	13	34.74%	3.0	25	22.06%	0	0
Corporates SME	0.25 to < 0.50	783	150	73.70%	894	0.47%	82	35.11%	3.0	322	36.04%	1	0
Corporates SME	0.50 to < 0.75	1 840	832	68.21%	2 407	0.55%	458	32.08%	3.0	863	35.86%	4	-10
Corporates SME	0.75 to < 2.50	672	569	61.63%	1 023	1.87%	455	31.56%	3.0	523	51.12%	6	-12
Corporates SME	0.75 to < 1.75	354	184	73.94%	490	1.63%	51	32.34%	3.0	247	50.33%	3	-1
Corporates SME	1.75 to < 2.5	318	385	55.72%	533	2.08%	404	30.85%	3.0	276	51.84%	3	-11
Corporates SME	2.50 to < 10.00	51	45	60.06%	77	7.77%	53	38.37%	3.0	72	92.53%	2	-4
Corporates SME	2.5 to < 5	-	-	-	-	-	-	-	-	-	-	-	-
Corporates SME	5 to < 10	51	45	60.06%	77	7.77%	53	38.37%	3.0	72	92.53%	2	-4
Corporates SME	10.00 to < 100.00	50	50	35.26%	68	27.34%	57	34.13%	3.0	86	126.52%	6	-7
Corporates SME	10 to < 20	29	32	38.68%	41	19.82%	36	38.33%	3.0	59	141.94%	3	-3
Corporates SME	20 to < 30	-	-	-	-	-	-	-	-	-	-	-	-
Corporates SME	30.00 to < 100.00	21	18	29.38%	26	39.13%	21	27.54%	3.0	27	102.33%	3	-4
Corporates SME	100.00 (Default)	12	20	8.50%	13	100.00%	11	42.03%	3.0	-	-	2	-25
Corporates SME	Subtotal	8 813	6 034	70.17%	13 047	0.63%	2 135	27.81%	3.0	2 858	21.91%	24	-64
Corporates Other	0.00 to < 0.15	18 297	86 696	61.05%	71 227	0.07%	457	40.71%	3.0	16 191	22.73%	21	-6
Corporates Other	0.00 to < 0.10	10 502	54 010	60.84%	43 364	0.04%	213	38.72%	3.0	6 931	15.98%	7	-1
Corporates Other	0.10 to < 0.15	7 795	32 686	61.40%	27 863	0.12%	244	43.80%	3.0	9 259	33.23%	14	-5
Corporates Other	0.15 to < 0.25	1	227	58.81%	134	0.21%	4	45.00%	3.0	85	63.61%	0	0
Corporates Other	0.25 to < 0.50	3 698	9 908	33.47%	7 014	0.31%	161	37.09%	3.0	3 356	47.85%	8	-10
Corporates Other	0.50 to < 0.75	3	0	20.00%	3	0.56%	3	45.00%	3.0	3	100.88%	0	0
Corporates Other	0.75 to < 2.50	1 410	2 647	53.70%	2 831	1.04%	110	43.00%	3.0	2 584	91.27%	12	-13
Corporates Other	0.75 to < 1.75	1 061	2 578	53.34%	2 436	0.85%	90	42.81%	3.0	2 100	86.23%	8	-11
Corporates Other	1.75 to < 2.5	349	70	67.07%	395	2.18%	20	44.17%	3.0	484	122.32%	4	-1
Corporates Other	2.50 to < 10.00	-	-	-	-	-	-	-	-	-	-	-	-
Corporates Other	2.5 to < 5	-	-	-	-	-	-	-	-	-	-	-	-
Corporates Other	5 to < 10	-	-	-	-	-	-	-	-	-	-	-	-
Corporates Other	10.00 to < 100.00	240	154	72.45%	352	14.90%	20	44.05%	3.0	803	228.27%	23	-11
Corporates Other	10 to < 20	240	144	74.69%	347	14.63%	11	44.41%	3.0	799	230.01%	23	-11
Corporates Other	20 to < 30	-	-	-	-	-	-	-	-	-	-	-	-
Corporates Other	30.00 to < 100.00	1	10	40.10%	5	35.24%	9	16.80%	3.0	4	96.98%	0	0
Corporates Other	100.00 (Default)	-	16	89.19%	15	100.00%	3	45.00%	3.0	-	-	5	-3
Corporates Other	Subtotal	23 649	99 648	58.13%	81 577	0.21%	758	40.50%	3.0	23 023	28.22%	68	-43

IRB approach - Credit risk exposures by exposure class and PD range 2022													
F-IRB		On-balance sheet exposures	Off-balance-sheet exposures pre-CCF	Exposure weighted average CCF	Exposure post CCF and post CRM	Exposure weighted average PD (%)	Number of obligors ¹	Exposure weighted average LGD (%)	Exposure weighted average maturity (years)	Risk weighted exposure amount after supporting factors	Density of risk weighted exposure amount	Expected loss amount	Value adjustments and provisions
SEK m	PD range												
Total	0.00 to < 0.15	643 216	124 413	53.61%	709 909	0.01%	1 829	43.05%	1.0	30 599	4.31%	35	-25
Total	0.00 to < 0.10	607 345	85 161	50.02%	649 942	0.01%	842	44.17%	1.0	15 986	2.46%	14	-12
Total	0.10 to < 0.15	35 871	39 253	61.39%	59 967	0.12%	987	30.90%	3.0	14 613	24.37%	22	-12
Total	0.15 to < 0.25	2 906	1 704	33.75%	3 481	0.21%	50	39.24%	3.0	1 803	51.80%	3	-1
Total	0.25 to < 0.50	4 482	10 058	34.07%	7 908	0.32%	243	36.86%	3.0	3 678	46.51%	9	-10
Total	0.50 to < 0.75	1 844	1 050	62.45%	2 500	0.55%	468	32.56%	3.0	957	38.29%	4	-10
Total	0.75 to < 2.50	2 141	3 317	54.94%	3 964	1.25%	581	40.10%	3.0	3 234	81.59%	19	-25
Total	0.75 to < 1.75	1 473	2 838	54.58%	3 022	0.98%	153	41.18%	3.0	2 453	81.17%	12	-12
Total	1.75 to < 2.5	668	479	57.07%	942	2.12%	428	36.65%	3.0	781	82.91%	7	-12
Total	2.50 to < 10.00	51	45	60.06%	77	7.77%	53	38.37%	3.0	72	92.53%	2	-4
Total	2.5 to < 5	-	-	-	-	-	-	-	-	-	-	-	-
Total	5 to < 10	51	45	60.06%	77	7.77%	53	38.37%	3.0	72	92.53%	2	-4
Total	10.00 to < 100.00	292	229	61.85%	433	17.07%	80	42.52%	3.0	925	213.63%	30	-18
Total	10 to < 20	269	186	67.21%	394	15.12%	48	43.77%	3.0	869	220.85%	26	-14
Total	20 to < 30	1	-	-	1	20.00%	1	45.00%	3.0	2	252.53%	0	0
Total	30.00 to < 100.00	22	43	38.96%	39	36.89%	31	29.65%	3.0	54	138.89%	4	-4
Total	100.00 (Default)	12	36	45.22%	28	100.00%	14	43.58%	3.0	-	-	6	-28
Total	Subtotal	654 943	140 852	52.08%	728 301	0.04%	3 318	42.91%	1.1	41 269	5.67%	109	-121
Total	(all exposures classes)	2 678 584	441 104	48.27%	2 890 835	0.33%	1 388 636	24.39%	1.0	262 672	9.09%	2 663	-2 196

¹ The amount is based on the number of agreements rather than counterparties for retail exposures

EU CR6-A Scope of the use of IRB and SA approaches

Scope of the use of IRB and SA approaches 2022		Exposure value as defined in Article 166 CRR for exposures subject to IRB approach	Total exposure value for exposures subject to the Standardised approach and to the IRB approach	Percentage of total exposure value subject to the permanent partial use of the SA (%)	Percentage of total exposure value subject to IRB approach (%)	Percentage of total exposure value subject to a roll-out plan (%)
SEK m						
1	Central governments or central banks	571 584	677 456	15.62%	0.01%	84.37%
1.1	<i>Of which Regional governments or local authorities</i>	-	16 598	-	-	100.00%
1.2	<i>Of which Public sector entities</i>	-	1 027	100.00%	-	-
2	Institutions	50 470	53 060	4.30%	0.58%	95.12%
3	Corporates	1 356 400	1 651 096	0.25%	17.60%	82.15%
3.1	<i>Of which Corporates - Specialised lending, excluding slotting approach</i>	-	-	-	-	-
3.2	<i>Of which Corporates - Specialised lending under slotting approach</i>	-	-	-	-	-
4	Retail	1 168 277	1 301 445	0.54%	9.70%	89.77%
4.1	<i>of which Retail – Secured by real estate SMEs</i>	-	9 445	0.82%	7.69%	91.49%
4.2	<i>of which Retail – Secured by real estate non-SMEs</i>	-	1 222 971	0.51%	8.66%	90.83%
4.3	<i>of which Retail – Qualifying revolving</i>	-	-	-	-	-
4.4	<i>of which Retail – Other SMEs</i>	-	12 047	0.90%	10.95%	88.15%
4.5	<i>of which Retail – Other non-SMEs</i>	-	56 561	0.95%	31.43%	67.62%
5	Equity	570	7 273	92.17%	-	7.83%
6	Other non-credit obligation assets	10 530	10 530	-	-	100.00%
7	Total	3 157 830	3 700 860	3.40%	11.27%	85.33%

EU CR7 IRB approach - Effect on the RWEAs of credit derivatives used as CRM techniques

The table shows gross risk exposure amount and net risk exposure amount after taking into account the impact of netting agreements and collateral posting. Handelsbanken's risk exposure amount is not affected by credit derivatives.

IRB approach - Effect on the RWEAs of credit derivatives used as CRM techniques 2022		Pre-credit derivatives risk weighted exposure amount	Actual risk weighted Exposure amount
SEK m			
1	Exposures under F-IRB	41 269	41 269
2	Central governments and central banks	8 761	8 761
3	Institutions	6 626	6 626
4	Corporates	25 881	25 881
4.1	<i>of which Corporates – SMEs</i>	2 858	2 858
4.2	<i>of which Corporates - Specialised lending</i>	-	-
5	Exposures under A-IRB	221 403	221 403
6	Central governments and central banks	-	-
7	Institutions	-	-
8	Corporates	152 959	152 959
8.1	<i>of which Corporates – SMEs</i>	62 767	62 767
8.2	<i>of which Corporates - Specialised lending</i>	-	-
9	Retail	68 444	68 444
9.1	<i>of which Retail – SMEs - Secured by immovable property collateral</i>	2 212	2 212
9.2	<i>of which Retail – non-SMEs - Secured by immovable property collateral</i>	56 368	56 368
9.3	<i>of which Retail – Qualifying revolving</i>	-	-
9.4	<i>of which Retail – SMEs – Other</i>	2 239	2 239
9.5	<i>of which Retail – Non-SMEs- Other</i>	7 626	7 626
10	TOTAL (including F-IRB exposures and A-IRB exposures)	262 672	262 672

EU CR7-A IRB approach - Disclosure of the extent of the use of CRM techniques

IRB approach – Disclosure of the extent of the use of CRM techniques 2022		Credit risk Mitigation techniques												Credit risk Mitigation methods in the calculation of RWEAs	
		Funded credit Protection (FCP)										Unfunded credit Protection (UFCP)		RWEA without substitution effects (reduction effects only)	RWEA with substitution effects (both reduction and substitution effects)
		Total exposures	Part of exposures covered by Financial Collaterals (%)	Part of exposures covered by Other eligible collaterals (%)	Part of exposures covered by Immovable property Collaterals (%)	Part of exposures covered by Receivables (%)	Part of exposures covered by Other physical collateral (%)	Part of exposures covered by Other funded credit protection (%)	Part of exposures covered by Cash on deposit (%)	Part of exposures covered by Life insurance policies (%)	Part of exposures covered by Instruments held by a third party	Part of exposures covered by Guarantees (%)	Part of exposures covered by Credit Derivatives (%)		
SEK m															
1	Central governments and central banks	-	-	-	-	-	-	-	-	-	-	-	-	-	-
2	Institutions	-	-	-	-	-	-	-	-	-	-	-	-	-	-
3	Corporates	997 980	-	79.34%	78.19%	-	1.14%	0.00%	0.00%	-	-	4.20%	-	174 335	152 959
3.1	Of which Corporates - SMEs	643 428	-	97.19%	95.44%	-	1.75%	0.00%	0.00%	-	-	2.93%	-	80 960	62 767
3.2	Of which Corporates Specialised lending	-	-	-	-	-	-	-	-	-	-	-	-	-	-
3.3	Of which Corporates Other	354 552	-	46.94%	46.89%	-	0.05%	-	-	-	-	6.46%	-	93 375	90 192
4	Retail	1 164 554	0.26%	97.27%	96.11%	-	1.17%	0.06%	0.06%	-	-	0.75%	-	282 815	68 444
4.1	Of which Retail - Immovable property SMEs	8 451	0.01%	102.05%	100.00%	-	2.05%	0.00%	0.00%	-	-	0.00%	-	2 373	2 212
4.2	Of which retail - Immovable property non-SMEs	1 110 762	0.01%	100.01%	100.00%	-	0.01%	0.00%	0.00%	-	-	-	-	270 577	56 368
4.3	Of which retail - Qualifying revolving	-	-	-	-	-	-	-	-	-	-	-	-	-	-
4.4	Of which retail - Other SMEs	9 060	1.91%	54.32%	-	-	54.32%	0.51%	0.51%	-	-	0.09%	-	2 239	2 239
4.4	Of which retail - Other non-SMEs	36 281	7.50%	23.26%	-	-	23.26%	0.91%	0.91%	-	-	2.79%	-	7 626	7 626
5	Total	2 162 534	0.14%	89.00%	87.84%	-	1.16%	0.02%	0.02%	-	-	2.02%	-	457 150	221 403

IRB approach – Disclosure of the extent of the use of CRM techniques 2022		Credit risk Mitigation techniques												Credit risk Mitigation methods in the calculation of RWEAs	
		Funded credit Protection (FCP)										Unfunded credit Protection (UFCP)		RWEA without substitution effects (reduction effects only)	RWEA with substitution effects (both reduction and substitution effects)
		Total exposures	Part of exposures covered by Financial Collaterals (%)	Part of exposures covered by Other eligible collaterals (%)	Part of exposures covered by Immovable property Collaterals (%)	Part of exposures covered by Receivables (%)	Part of exposures covered by Other physical collateral (%)	Part of exposures covered by Other funded credit protection (%)	Part of exposures covered by Cash on deposit (%)	Part of exposures covered by Life insurance policies (%)	Part of exposures covered by Instruments held by a third party	Part of exposures covered by Guarantees (%)	Part of exposures covered by Credit Derivatives (%)		
SEK m															
1	Central governments and central banks	600 963	-	1.82%	1.80%	-	0.02%	-	-	-	-	0.08%	-	6 495	8 761
2	Institutions	32 714	0.00%	-	-	-	-	0.00%	0.00%	-	-	5.82%	-	6 746	6 626
3	Corporates	94 624	13.03%	4.05%	3.88%	-	0.17%	1.08%	1.08%	-	-	8.77%	-	26 065	25 881
3.1	Of which Corporates - SMEs	13 047	34.05%	18.64%	18.64%	-	-	5.46%	5.46%	-	-	9.77%	-	2 978	2 858
3.2	Of which Corporates Specialised lending	-	-	-	-	-	-	-	-	-	-	-	-	-	-
3.3	Of which Corporates Other	81 577	9.67%	1.72%	1.52%	-	0.20%	0.40%	0.40%	-	-	8.61%	-	23 087	23 023
4	Total	728 301	1.69%	2.03%	1.99%	-	0.04%	0.17%	0.17%	-	-	1.83%	-	39 307	41 269

EU CR8 RWEA flow statements of credit risk exposures under the IRB approach

The following table shows the change for risk exposure amount for credit risk calculated by the IRB approach. It further specifies the capital requirement. The change of risk exposure amount is broken down by type of driver. The risk exposure amount has decreased compared to the previous Period.

RWEA flow statements of credit risk exposures under the IRB approach 2022		Risk weighted exposure amount
SEK m		
1	RWAs as at the end of the previous reporting period	537 074
2	Asset size	1 338
3	Asset quality	1 678
4	Model updates	
5	Methodology and policy	
6	Acquisitions and disposals	-25 019
7	Foreign exchange movements	3 176
8	Other	-224
9	Risk weighted exposure amount as at the end of the reporting period	518 024

EU CR9 IRB approach - Back-testing of PD per exposure class (fixed PD scale)

IRB approach – Backtesting of PD by exposure class 2022		Number of obligors at the end of the previous year					
A- IRB							
Exposure class	PD range		Of which number of obligors which defaulted in the year	Observed average default rate (%)	Exposures weighted average PD (%)	Average PD (%)	Average historical annual default rate (%)
Corporate exposures: SMEs	0.00 to <0.15	23 574	3	0.01%	0.08%	0.08%	0.02%
Corporate exposures: SMEs	0.00 to <0.10	16 169	-	-	0.05%	0.05%	0.00%
Corporate exposures: SMEs	0.10 to <0.15	7 405	3	0.04%	0.13%	0.13%	0.04%
Corporate exposures: SMEs	0.15 to <0.25	4 199	-	-	0.21%	0.17%	0.05%
Corporate exposures: SMEs	0.25 to <0.50	4 287	-	-	0.47%	0.43%	0.02%
Corporate exposures: SMEs	0.50 to <0.75	2 404	3	0.12%	0.55%	0.52%	0.14%
Corporate exposures: SMEs	0.75 to <2.50	5 055	18	0.36%	1.74%	1.68%	0.44%
Corporate exposures: SMEs	0.75 to <1.75	2 822	3	0.11%	1.63%	1.46%	0.34%
Corporate exposures: SMEs	1.75 to <2.5	2 233	15	0.67%	2.08%	1.96%	0.58%
Corporate exposures: SMEs	2.50 to <10.00	595	6	1.01%	6.46%	6.51%	1.77%
Corporate exposures: SMEs	2.5 to <5	23	-	-	3.75%	3.04%	-
Corporate exposures: SMEs	5 to <10	572	6	1.05%	6.57%	6.65%	1.78%
Corporate exposures: SMEs	10.00 to <100.00	562	19	3.38%	33.41%	27.12%	7.26%
Corporate exposures: SMEs	10 to <20	277	4	1.44%	19.82%	16.31%	2.70%
Corporate exposures: SMEs	20 to <30	89	2	2.25%	-	26.87%	5.52%
Corporate exposures: SMEs	30.00 to <100.00	196	13	6.63%	41.79%	42.51%	11.35%
Corporate exposures: SMEs	100.00 (Default)	147	9	6.12%	100.00%	100.00%	8.46%
Corporates Other	0.00 to <0.15	1 888	-	-	0.08%	0.08%	0.01%
Corporates Other	0.00 to <0.10	754	-	-	0.04%	0.03%	-
Corporates Other	0.10 to <0.15	1 134	-	-	0.12%	0.11%	0.02%
Corporates Other	0.15 to <0.25	-	-	-	-	-	-
Corporates Other	0.25 to <0.50	592	-	-	0.36%	0.31%	-
Corporates Other	0.50 to <0.75	215	-	-	-	0.73%	-
Corporates Other	0.75 to <2.50	113	1	0.88%	1.27%	1.77%	0.82%
Corporates Other	0.75 to <1.75	45	-	-	1.24%	1.51%	0.66%
Corporates Other	1.75 to <2.5	68	1	1.47%	2.18%	1.95%	0.37%
Corporates Other	2.50 to <10.00	4	-	-	5.99%	5.42%	0.80%
Corporates Other	2.5 to <5	-	-	-	-	-	-
Corporates Other	5 to <10	4	-	-	5.99%	5.42%	0.80%
Corporates Other	10.00 to <100.00	50	-	-	14.85%	19.27%	5.66%
Corporates Other	10 to <20	31	-	-	14.63%	10.78%	0.85%
Corporates Other	20 to <30	12	-	-	-	25.79%	1.09%
Corporates Other	30.00 to <100.00	7	-	-	39.93%	45.71%	12.19%
Corporates Other	100.00 (Default)	15	-	-	100.00%	100.00%	13.19%
Retail Secured by real estate property: SME	0.00 to <0.15	913	-	-	0.08%	0.08%	0.08%
Retail Secured by real estate property: SME	0.00 to <0.10	735	-	-	0.06%	0.06%	0.06%
Retail Secured by real estate property: SME	0.10 to <0.15	178	-	-	0.14%	0.14%	0.12%
Retail Secured by real estate property: SME	0.15 to <0.25	1 366	1	0.07%	0.17%	0.17%	0.04%
Retail Secured by real estate property: SME	0.25 to <0.50	2 505	6	0.24%	0.43%	0.43%	0.33%
Retail Secured by real estate property: SME	0.50 to <0.75	1 087	1	0.09%	0.64%	0.64%	0.16%
Retail Secured by real estate property: SME	0.75 to <2.50	2 128	6	0.28%	1.57%	1.67%	0.48%
Retail Secured by real estate property: SME	0.75 to <1.75	1 356	1	0.07%	1.23%	1.29%	0.24%
Retail Secured by real estate property: SME	1.75 to <2.5	772	5	0.65%	2.27%	2.34%	1.04%
Retail Secured by real estate property: SME	2.50 to <10.00	1 002	19	1.90%	6.44%	6.46%	3.53%
Retail Secured by real estate property: SME	2.5 to <5	317	5	1.58%	3.75%	3.42%	2.03%
Retail Secured by real estate property: SME	5 to <10	685	14	2.04%	9.22%	7.87%	3.92%
Retail Secured by real estate property: SME	10.00 to <100.00	118	3	2.54%	16.51%	22.30%	6.05%
Retail Secured by real estate property: SME	10 to <20	71	2	2.82%	16.51%	17.02%	5.92%
Retail Secured by real estate property: SME	20 to <30	-	-	-	-	-	8.33%
Retail Secured by real estate property: SME	30.00 to <100.00	47	1	2.13%	-	30.28%	6.21%
Retail Secured by real estate property: SME	100.00 (Default)	77	5	6.49%	100.00%	100.00%	20.64%

IRB approach – Backtesting of PD by exposure class 2022		Number of obligors at the end of the previous year					
A- IRB							
Exposure class	PD range		Of which number of obligors which defaulted in the year	Observed average default rate (%)	Exposures weighted average PD (%)	Average PD (%)	Average historical annual default rate (%)
Retail Secured by real estate property: Other Non-SME	0.00 to <0.15	487 755	208	0.04%	0.06%	0.07%	0.06%
Retail Secured by real estate property: Other Non-SME	0.00 to <0.10	362 949	78	0.02%	0.05%	0.05%	0.04%
Retail Secured by real estate property: Other Non-SME	0.10 to <0.15	124 806	130	0.10%	0.14%	0.14%	0.13%
Retail Secured by real estate property: Other Non-SME	0.15 to <0.25	33 634	19	0.06%	0.17%	0.18%	0.06%
Retail Secured by real estate property: Other Non-SME	0.25 to <0.50	65 049	133	0.20%	0.30%	0.30%	0.29%
Retail Secured by real estate property: Other Non-SME	0.50 to <0.75	11 271	18	0.16%	0.64%	0.61%	0.34%
Retail Secured by real estate property: Other Non-SME	0.75 to <2.50	20 011	183	0.91%	1.84%	1.62%	1.22%
Retail Secured by real estate property: Other Non-SME	0.75 to <1.75	9 107	43	0.47%	1.40%	1.16%	0.81%
Retail Secured by real estate property: Other Non-SME	1.75 to <2.5	10 904	140	1.28%	2.01%	2.01%	4.37%
Retail Secured by real estate property: Other Non-SME	2.50 to <10.00	266	10	3.76%	3.11%	3.11%	3.28%
Retail Secured by real estate property: Other Non-SME	2.5 to <5	266	10	3.76%	3.11%	3.11%	3.26%
Retail Secured by real estate property: Other Non-SME	5 to <10	-	-	-	-	-	6.28%
Retail Secured by real estate property: Other Non-SME	10.00 to <100.00	4 459	349	7.83%	11.78%	11.95%	11.24%
Retail Secured by real estate property: Other Non-SME	10 to <20	4 459	349	7.83%	11.78%	11.95%	11.14%
Retail Secured by real estate property: Other Non-SME	20 to <30	-	-	-	-	-	26.67%
Retail Secured by real estate property: Other Non-SME	30.00 to <100.00	-	-	-	-	-	14.29%
Retail Secured by real estate property: Other Non-SME	100.00 (Default)	1 105	115	10.41%	100.00%	100.00%	22.21%
Retail Other SME	0.00 to <0.15	304	-	-	0.06%	0.09%	0.01%
Retail Other SME	0.00 to <0.10	199	-	-	0.06%	0.06%	-
Retail Other SME	0.10 to <0.15	105	-	-	0.14%	0.14%	0.01%
Retail Other SME	0.15 to <0.25	23 483	10	0.04%	0.17%	0.17%	0.08%
Retail Other SME	0.25 to <0.50	14 010	13	0.09%	0.44%	0.43%	0.22%
Retail Other SME	0.50 to <0.75	11 194	68	0.61%	0.64%	0.64%	0.59%
Retail Other SME	0.75 to <2.50	8 706	80	0.92%	1.77%	2.04%	1.18%
Retail Other SME	0.75 to <1.75	3 254	17	0.52%	1.42%	1.44%	0.77%
Retail Other SME	1.75 to <2.5	5 452	63	1.16%	2.37%	2.40%	1.43%
Retail Other SME	2.50 to <10.00	3 691	137	3.71%	7.66%	6.81%	4.32%
Retail Other SME	2.5 to <5	1 123	26	2.32%	3.23%	3.13%	2.66%
Retail Other SME	5 to <10	2 568	111	4.32%	8.87%	8.42%	5.16%
Retail Other SME	10.00 to <100.00	194	14	7.22%	17.63%	21.65%	12.36%
Retail Other SME	10 to <20	116	7	6.03%	15.80%	15.65%	10.56%
Retail Other SME	20 to <30	-	-	-	-	-	15.15%
Retail Other SME	30.00 to <100.00	78	7	8.97%	30.99%	30.58%	17.42%
Retail Other SME	100.00 (Default)	434	11	2.53%	100.00%	100.00%	9.95%
Retail Other Non-SME	0.00 to <0.15	286 697	95	0.03%	0.08%	0.07%	0.06%
Retail Other Non-SME	0.00 to <0.10	275 130	86	0.03%	0.07%	0.07%	0.06%
Retail Other Non-SME	0.10 to <0.15	11 567	9	0.08%	0.14%	0.14%	0.13%
Retail Other Non-SME	0.15 to <0.25	18 828	18	0.10%	0.17%	0.17%	0.16%
Retail Other Non-SME	0.25 to <0.50	356 233	738	0.21%	0.38%	0.31%	0.33%
Retail Other Non-SME	0.50 to <0.75	13 096	60	0.46%	0.53%	0.52%	0.63%
Retail Other Non-SME	0.75 to <2.50	99 031	1 015	1.02%	1.50%	1.38%	1.12%
Retail Other Non-SME	0.75 to <1.75	61 422	472	0.77%	1.08%	1.01%	0.96%
Retail Other Non-SME	1.75 to <2.5	37 609	543	1.44%	1.98%	1.98%	1.72%
Retail Other Non-SME	2.50 to <10.00	39 983	1 469	3.67%	5.51%	5.60%	4.69%
Retail Other Non-SME	2.5 to <5	391	22	5.63%	3.01%	3.01%	5.36%
Retail Other Non-SME	5 to <10	39 592	1 447	3.65%	5.63%	5.63%	4.76%
Retail Other Non-SME	10.00 to <100.00	21 535	3 229	14.99%	21.52%	23.28%	15.72%
Retail Other Non-SME	10 to <20	14 513	1 211	8.34%	13.30%	14.08%	11.75%
Retail Other Non-SME	20 to <30	-	-	-	-	-	17.99%
Retail Other Non-SME	30.00 to <100.00	7 022	2 018	28.74%	42.28%	42.28%	30.93%
Retail Other Non-SME	100.00 (Default)	13 296	250	1.88%	100.00%	100.00%	9.03%
Total A-IRB	0.00 to <0.15	780 870	298	0.04%	0.07%	0.07%	0.06%
Total A-IRB	0.00 to <0.10	636 570	158	0.02%	0.05%	0.06%	0.05%
Total A-IRB	0.10 to <0.15	144 300	140	0.10%	0.13%	0.14%	0.12%
Total A-IRB	0.15 to <0.25	78 311	40	0.05%	0.19%	0.17%	0.12%
Total A-IRB	0.25 to <0.50	442 002	889	0.20%	0.37%	0.31%	0.31%
Total A-IRB	0.50 to <0.75	39 156	150	0.38%	0.58%	0.58%	0.45%
Total A-IRB	0.75 to <2.50	133 132	1 284	0.96%	1.63%	1.48%	1.12%
Total A-IRB	0.75 to <1.75	76 209	519	0.68%	1.41%	1.06%	0.92%
Total A-IRB	1.75 to <2.5	56 923	765	1.34%	2.04%	2.03%	1.57%
Total A-IRB	2.50 to <10.00	45 488	1 640	3.61%	6.23%	5.72%	4.42%
Total A-IRB	2.5 to <5	2 109	62	2.94%	3.44%	3.15%	3.41%
Total A-IRB	5 to <10	43 379	1 578	3.64%	6.70%	5.84%	4.69%
Total A-IRB	10.00 to <100.00	26 125	3 541	13.55%	16.57%	21.73%	14.51%
Total A-IRB	10 to <20	18 674	1 500	8.03%	12.93%	13.69%	11.30%
Total A-IRB	20 to <30	101	2	1.98%	-	26.74%	5.90%
Total A-IRB	30.00 to <100.00	7 350	2 039	27.74%	41.81%	42.09%	23.81%
Total A-IRB	100.00 (Default)	14 892	374	2.51%	100.00%	100.00%	10.21%

IRB Approach – Backtesting of PD by exposure class 2022		Number of obligors at the end of the previous year					
F- IRB							
Exposure class	PD range		Of which number of obligors which defaulted in the year	Observed average default rate (%)	Exposures weighted average PD (%)	Average PD (%)	Average historical annual default rate (%)
Central governments or central banks	0.00 to <0.15	332	-	-	-	0.01%	-
Central governments or central banks	0.00 to <0.10	332	-	-	-	0.01%	-
Central governments or central banks	0.10 to <0.15	-	-	-	-	-	-
Central governments or central banks	0.15 to <0.25	15	-	-	0.20%	0.20%	-
Central governments or central banks	0.25 to <0.50	-	-	-	-	-	-
Central governments or central banks	0.50 to <0.75	-	-	-	-	-	-
Central governments or central banks	0.75 to <2.50	3	-	-	1.00%	1.00%	-
Central governments or central banks	0.75 to <1.75	3	-	-	1.00%	1.00%	-
Central governments or central banks	1.75 to <2.5	-	-	-	-	-	-
Central governments or central banks	2.50 to <10.00	-	-	-	-	-	-
Central governments or central banks	2.5 to <5	-	-	-	-	-	-
Central governments or central banks	5 to <10	-	-	-	-	-	-
Central governments or central banks	10.00 to <100.00	1	-	-	20.00%	20.00%	-
Central governments or central banks	10 to <20	-	-	-	-	-	-
Central governments or central banks	20 to <30	1	-	-	20.00%	20.00%	-
Central governments or central banks	30.00 to <100.00	-	-	-	-	-	-
Central governments or central banks	100.00 (Default)	-	-	-	-	-	-
Corporates SME	0.00 to <0.15	1 498	1	0.07%	0.09%	0.11%	0.05%
Corporates SME	0.00 to <0.10	414	-	-	0.04%	0.04%	0.02%
Corporates SME	0.10 to <0.15	1 084	1	0.09%	0.14%	0.13%	0.06%
Corporates SME	0.15 to <0.25	37	-	-	0.21%	0.17%	0.05%
Corporates SME	0.25 to <0.50	251	-	-	0.47%	0.42%	0.04%
Corporates SME	0.50 to <0.75	644	1	0.16%	0.55%	0.52%	0.13%
Corporates SME	0.75 to <2.50	738	2	0.27%	1.87%	1.85%	0.66%
Corporates SME	0.75 to <1.75	177	-	-	1.63%	1.49%	0.85%
Corporates SME	1.75 to <2.5	561	2	0.36%	2.08%	1.96%	0.62%
Corporates SME	2.50 to <10.00	106	1	0.94%	7.77%	6.99%	1.93%
Corporates SME	2.5 to <5	3	-	-	-	3.04%	-
Corporates SME	5 to <10	103	1	0.97%	7.77%	7.11%	1.94%
Corporates SME	10.00 to <100.00	112	3	2.68%	27.34%	23.23%	6.67%
Corporates SME	10 to <20	72	1	1.39%	19.82%	16.31%	1.88%
Corporates SME	20 to <30	18	1	5.56%	-	26.87%	6.20%
Corporates SME	30.00 to <100.00	22	1	4.55%	39.13%	42.88%	11.29%
Corporates SME	100.00 (Default)	20	1	5.00%	100.00%	100.00%	9.06%
Corporates Other	0.00 to <0.15	503	-	-	0.07%	0.08%	0.03%
Corporates Other	0.00 to <0.10	210	-	-	0.04%	0.04%	-
Corporates Other	0.10 to <0.15	293	-	-	0.12%	0.10%	0.04%
Corporates Other	0.15 to <0.25	5	-	-	0.21%	0.21%	-
Corporates Other	0.25 to <0.50	160	1	0.63%	0.31%	0.28%	0.20%
Corporates Other	0.50 to <0.75	102	-	-	0.56%	0.73%	-
Corporates Other	0.75 to <2.50	25	-	-	1.04%	1.91%	0.36%
Corporates Other	0.75 to <1.75	2	-	-	0.85%	1.51%	0.39%
Corporates Other	1.75 to <2.5	23	-	-	2.18%	1.95%	-
Corporates Other	2.50 to <10.00	-	-	-	-	-	-
Corporates Other	2.5 to <5	-	-	-	-	-	-
Corporates Other	5 to <10	-	-	-	-	-	-
Corporates Other	10.00 to <100.00	19	-	-	14.90%	14.73%	1.05%
Corporates Other	10 to <20	14	-	-	14.63%	10.78%	2.90%
Corporates Other	20 to <30	5	-	-	-	25.79%	-
Corporates Other	30.00 to <100.00	-	-	-	35.24%	-	-
Corporates Other	100.00 (Default)	3	-	-	100.00%	100.00%	15.67%
Special lending	0.00 to <0.15	-	-	-	-	-	-
Special lending	0.00 to <0.10	-	-	-	-	-	-
Special lending	0.10 to <0.15	-	-	-	-	-	-
Special lending	0.15 to <0.25	-	-	-	-	-	-
Special lending	0.25 to <0.50	-	-	-	-	-	-
Special lending	0.50 to <0.75	-	-	-	-	-	-
Special lending	0.75 to <2.50	-	-	-	-	-	-
Special lending	0.75 to <1.75	-	-	-	-	-	-
Special lending	1.75 to <2.5	-	-	-	-	-	-
Special lending	2.50 to <10.00	-	-	-	-	-	50.00%
Special lending	2.5 to <5	-	-	-	-	-	-
Special lending	5 to <10	-	-	-	-	-	50.00%
Special lending	10.00 to <100.00	-	-	-	-	-	-
Special lending	10 to <20	-	-	-	-	-	-
Special lending	20 to <30	-	-	-	-	-	-
Special lending	30.00 to <100.00	-	-	-	-	-	-
Special lending	100.00 (Default)	-	-	-	-	-	-

IRB Approach – Backtesting of PD by exposure class 2022		Number of obligors at the end of the previous year					
F- IRB							
Exposure class	PD range		Of which number of obligors which defaulted in the year	Observed average default rate (%)	Exposures weighted average PD (%)	Average PD (%)	Average historical annual default rate (%)
Total F-IRB	0.00 to <0.15	2 333	1	0.04%	0.01%	0.09%	0.04%
Total F-IRB	0.00 to <0.10	956	-	-	0.01%	0.03%	0.01%
Total F-IRB	0.10 to <0.15	1 377	1	0.07%	0.12%	0.13%	0.06%
Total F-IRB	0.15 to <0.25	57	-	-	0.21%	0.18%	0.04%
Total F-IRB	0.25 to <0.50	411	1	0.24%	0.32%	0.37%	0.10%
Total F-IRB	0.50 to <0.75	746	1	0.13%	0.55%	0.55%	0.13%
Total F-IRB	0.75 to <2.50	766	2	0.26%	1.25%	1.85%	0.60%
Total F-IRB	0.75 to <1.75	182	-	-	0.98%	1.48%	0.61%
Total F-IRB	1.75 to <2.5	584	2	0.34%	2.12%	1.96%	0.60%
Total F-IRB	2.50 to <10.00	106	1	0.94%	7.77%	6.99%	1.87%
Total F-IRB	2.5 to <5	3	-	-	-	3.04%	-
Total F-IRB	5 to <10	103	1	0.97%	7.77%	7.11%	1.92%
Total F-IRB	10.00 to <100.00	132	3	2.27%	17.07%	21.98%	5.92%
Total F-IRB	10 to <20	86	1	1.16%	15.12%	15.41%	3.12%
Total F-IRB	20 to <30	24	1	4.17%	20.00%	26.36%	4.49%
Total F-IRB	30.00 to <100.00	22	1	4.55%	36.89%	42.88%	9.69%
Total F-IRB	100.00 (Default)	23	1	4.35%	100.00%	100.00%	10.64%

EU CR9.1 IRB approach – Back-testing of PD per exposure class (only for PD estimates according to point (f) of Article 180(1) CRR)

IRB approach – Back-testing of PD per exposure class (only for PD estimates according to point (f) of Article 180(1) CRR) 2022			Number of obligors at the end of the previous year				
F-IRB							
				Of which number of obligors which defaulted in the year	Observed average default rate (%)	Average PD (%)	Average historical annual default rate (%)
Exposure class	PD range	External rating equivalent					
Institutions	0,00% to < 0,10%	Aaa,Aa	22	-	-	0.06%	-
Institutions	0,10% to < 0,20%	Aa,A	41	-	-	0.12%	-
Institutions	0,20% to < 0,50%	A,Baa	26	-	-	0.21%	-
Institutions	0,50% to < 1,00%	Baa	9	-	-	0.56%	-
Institutions	1,00% to < 2,00%	Baa,Ba	10	-	-	1.04%	-
Institutions	2,00% to < 5,00%	Ba	6	-	-	2.05%	-
Institutions	5,00% to < 25,00%	B	1	-	-	10.00%	-
Institutions	25,00% to < 35,00%	B,Caa	-	-	-	-	-
Institutions	35,00% to < 100.00%	Caa,C	1	-	-	40.00%	-

SPECIALISED LENDING

EU CR10 Specialised lending and equity exposures under the simple risk-weighted approach

The following table shows carrying values, exposure amounts, risk-weighted assets and capital requirements for specialised lending and equity exposures. Risk-weighted assets are calculated using the simple risk-weighted approach. Risk-weighted assets have decreased compared to the previous period.

Equity exposures under the simple risk-weighted approach 2022						
SEK m	On-balance-sheet exposure	Off-balance-sheet exposure	Risk weight	Exposure value	Risk weighted exposure amount	Expected loss amount
Private equity exposures	-	-	190%	-	-	-
Exchange-traded equity exposures	-	-	290%	-	-	-
Other equity exposures	570	-	370%	570	2 108	14
Total	570	-		570	2 108	14

COUNTERPARTY CREDIT RISK

EU CCRA Qualitative disclosure related to CCR

Article 439 (a) CRR

Description of the methodology used to assign internal capital and credit limits for counterparty credit exposures, including the methods to assign those limits to exposures to central counterparties.

The value fluctuation risk for transactions longer than spot (foreign exchange risk, equity risk, commodity risk and interest rate risks) is included in the Bank's credit limit for the client. For limitation purposes, the exposure for counterparty credit risk is calculated as the current mark-to-market value (MTM) plus an Add-on to cover future changes in the MTM value.

The Bank assigns limits to central counterparties for value fluctuation risk in terms of the replacement cost should the central counterparty default, and for the risk of the central counterparty needing to utilise the Bank's funds to cover losses as a result of other members defaulting.

Article 439 (b) CRR

Description of policies related to guarantees and other credit risk mitigants, such as the policies for securing collateral and establishing credit reserves.

The counterparty credit risk in derivatives is reduced through close-out netting agreements, which involve offsetting positive values against negative values in all derivative transactions with the same counterparty. Netting agreements are supplemented with credit support annex (CSA) agreements, for issuing collateral for the net exposure, which further reduces the counterparty credit risk. The collateral for these transactions is mainly cash, but government instruments and covered bonds are also used. Due to the high proportion of cash, the concentration risks in the collateral are limited.

Article 439 (c) CRR

Description of policies with respect to Wrong-Way risk as defined in Article 291 of the CRR.

The Bank has very limited exposure to wrong-way risk, as derivative transactions are generally client driven with the purpose of hedging the clients' business from market risk exposures (i.e. the opposite of wrong-way risk). In order to formalise the evaluation of specific wrong-way risk to ensure no customer deviates from the general assessment of correlation, a formal evaluation will be integrated into the customer onboarding process.

Article 431 (3) and (4) CRR

Any other risk management objectives and relevant policies related to CCR.

The credit policy describes the Bank's risk tolerance for counterparty credit risk. The risk tolerance concerning counterparty credit risk is expressed in terms of a level derived from a forward-looking stress test for CVA. Limits based on the stress test result are monitored daily and distributed to the business unit responsible for managing the counterparty credit risk in the Bank.

Counterparty credit risk is reported to the Board periodically via the Group risk report. Counterparty credit risk is also reported through the Bank's risk committee. The risk tolerance is monitored and reported daily within the risk control function and the business unit responsible for managing the counterparty credit risk in the Bank.

Article 439 (d) CRR

The amount of collateral the institution would have to provide if its credit rating was downgraded.

A small number of the collateral agreements entered into by the Bank include terms and conditions concerning ratings-based threshold amounts for Handelsbanken. These conditions mean that the Bank must provide further collateral for the counterparty in question, in the event of external parties lowering the Bank's rating. At year-end, a downgrading from AA/Aa2 to AA-/Aa3 would have meant the Bank having to provide additional collateral of SEK 0m (0).

CREDIT RISK

EU CCR1 Analysis of CCR exposure by approach

The table shows the approach used to calculate credit counterparty risk (CCR) exposure and REA and the main parameters used within each approach.

Analysis of CCR exposure by approach 2022		Replacement cost (RC)	Potential future exposure (PFE)	EEPE	Alpha used for computing regulatory exposure value	Exposure value pre-CRM	Exposure value post-CRM	Exposure value	RWEA
SEK m									
EU-1	EU - Original Exposure Method (for derivatives)	-	-		1.4	-	-	-	-
EU-2	EU - Simplified SA-CCR (for derivatives)	-	-		1.4	-	-	-	-
1	SA-CCR (for derivatives)	3 609	14 165		1.4	69 051	24 550	24 651	8 255
2	IMM (for derivatives and SFTs)			-	-	-	-	-	-
2a	Of which securities financing transactions netting sets			-		-	-	-	-
2b	Of which derivatives and long settlement transactions netting sets			-		-	-	-	-
2c	Of which from contractual cross-product netting sets			-		-	-	-	-
3	Financial collateral simple method (for SFTs)					-	-	-	-
4	Financial collateral comprehensive method (for SFTs)					6 699		3 958	517
5	VaR for SFTs					-	-	-	-
6	Total					75 750	24 550	28 610	8 772

EU CCR2 Transactions subject to own funds requirements for CVA risk

The table shows exposure value and risk-weighted assets for credit value adjustment (CVA) broken down by approach. Risk-weighted assets are in line with previous year.

Transactions subject to own funds requirements for CVA risk 2022		Exposure value	RWEA
SEK m			
1	Total transactions subject to the Advanced method	-	-
2	(i) VaR component (including the 3x multiplier)		-
3	(ii) stressed VaR component (including the 3x multiplier)		-
4	Transactions subject to the Standardised method	12 913	2 802
EU-4	Transactions subject to the Alternative approach (Based on the Original Exposure Method)	-	-
5	Total transactions subject to own funds requirements for CVA risk	12 913	2 802

EU CCR3 Standardised approach - CCR exposures by regulatory exposure class and risk weights

The table shows EAD for credit counterparty risk (CCR) according to the standardised approach. Amounts are broken down by exposure class and risk weight. The regulatory capital requirement has decreased compared to the previous year.

Standardised approach - CCR exposures by regulatory portfolio and risk 2022		Risk weight											Total exposure value
SEK m		0%	2%	4%	10%	20%	50%	70%	75%	100%	150%	Others	
1	Central governments or central banks	-	-	-	-	-	-	-	-	-	-	-	-
2	Regional governments or local authorities	-	-	-	-	-	-	-	-	-	-	-	-
3	Public sector entities	-	-	-	-	-	-	-	-	-	-	-	-
4	Multilateral development banks	21	-	-	-	-	-	-	-	-	-	-	21
5	International organisations	-	-	-	-	-	-	-	-	-	-	-	-
6	Institutions	-	2 105	-	-	237	-	-	-	-	-	-	2 342
7	Corporates	-	-	-	-	-	-	-	-	2	-	-	2
8	Retail	-	-	-	-	-	-	-	22	-	-	-	22
9	Institutions and corporates with a short-term credit assessment	-	-	-	-	-	-	-	-	-	-	-	-
10	Other items	-	-	-	-	-	-	-	-	1	-	0	1
11	Total exposure value	21	2 105	-	-	237	-	-	22	3	-	0	2 388

EU CCR4 IRB approach-CCR exposures by portfolio and PD scale

The table shows credit counterparty risk (CCR) exposures and risk-weighted assets subject to the IRB approach. Amounts are broken down by exposure class and obligor grade. The table further specifies average PD, average LGD and resulting risk weights. The total exposure has decreased compared to the previous period.

IRB approach – CCR exposures by exposure class and PD scale 2022			Exposure value	Exposure weighted average PD (%)	Number of obligors	Exposure weighted average LGD (%)	Exposure weighted average maturity (years)	RWEA	Density of risk weighted exposure amounts
SEK m		PD scale							
1	Central Governments and Central Banks	0.00 to < 0.15	5 607	-	40	45.00%	2.00	139	2.48%
2	Central Governments and Central Banks	0.15 to < 0.25	-	-	-	-	-	-	-
3	Central Governments and Central Banks	0.25 to < 0.50	-	-	-	-	-	-	-
4	Central Governments and Central Banks	0.50 to < 0.75	-	-	-	-	-	-	-
5	Central Governments and Central Banks	0.75 to < 2.50	-	-	-	-	-	-	-
6	Central Governments and Central Banks	2.50 to < 10.00	-	-	-	-	-	-	-
7	Central Governments and Central Banks	10.00 to < 100.00	-	-	-	-	-	-	-
8	Central Governments and Central Banks	100.00 (Default)	-	-	-	-	-	-	-
9	Central Governments and Central Banks	Subtotal (exposure class)	5 607		40	45.00%	2.00	139	2.48%
10	Institutions	0.00 to < 0.15	9 105	0.11%	45	44.92%	2.00	3 736	41.04%
11	Institutions	0.15 to < 0.25	1 343	0.21%	7	45.00%	2.00	836	62.27%
12	Institutions	0.25 to < 0.50	-	-	-	-	-	-	-
13	Institutions	0.50 to < 0.75	348	0.56%	4	45.00%	3.00	353	101.43%
14	Institutions	0.75 to < 2.50	3	1.04%	1	45.00%	3.00	4	126.60%
15	Institutions	2.50 to < 10.00	-	-	-	-	-	-	-
16	Institutions	10.00 to < 100.00	-	-	-	-	-	-	-
17	Institutions	100.00 (Default)	-	-	-	-	-	-	-
18	Institutions	Subtotal (exposure class)	10 799	0.13%	57	44.93%	2.00	4 930	45.65%
37	Corporates other	0.00 to < 0.15	10 797	0.07%	794	46.00%	2.00	2 891	47.08%
38	Corporates other	0.15 to < 0.25	230	0.21%	6	45.00%	3.00	146	92.19%
39	Corporates other	0.25 to < 0.50	929	0.33%	151	44.05%	2.14	493	98.00%
40	Corporates other	0.50 to < 0.75	54	0.55%	59	43.40%	3.00	28	149.59%
41	Corporates other	0.75 to < 2.50	151	1.23%	87	44.44%	3.00	138	173.50%
42	Corporates other	2.50 to < 10.00	6	7.69%	13	45.00%	3.00	8	289.73%
43	Corporates other	10.00 to < 100.00	9	14.85%	13	43.65%	3.00	19	377.60%
44	Corporates other	100.00 (Default)	-	-	-	-	-	-	-
45	Corporates other	Subtotal (exposure class)	12 177	0.12%	1 123	45.80%	2.05	3 724	58.89%
54	Total	Total (all exposures classes)	28 583	0.10%	1 220	45.31%	2.00	8 793	30.76%

EU CCR5 Composition of collateral for CCR exposures

The table shows collateral posted or received to support or reduce counterparty credit risk (CCR) exposures related to derivative transactions and securities finance transactions, including transactions cleared through a CCP.

Composition of collateral for CCR exposures 2022		Collateral used in derivative transactions				Collateral used in SFTs			
		Fair value of collateral received		Fair value of posted collateral		Fair value of collateral received		Fair value of posted collateral	
		Segregated	Unsegregated	Segregated	Unsegregated	Segregated	Unsegregated	Segregated	Unsegregated
SEK m									
1	Cash – domestic currency	-	6 758	-	187	-	8 270	-	9 889
2	Cash – other currencies	-	27 129	-	19 141	-	1 041	-	11 353
3	Domestic sovereign debt	-	-	-	-	-	8 766	-	8 325
4	Other sovereign debt	-	-	-	-	-	11 198	-	-
5	Government agency debt	-	-	-	-	-	-	-	-
6	Corporate bonds	-	164	5 869	459	51	298	24	300
7	Equity securities	-	-	-	-	609	5 820	113	10 137
8	Other collateral	-	-	-	-	-	-	-	-
9	Total	-	34 050	5 869	19 787	661	35 393	136	40 003

EU CCR6 Credit derivative exposures

The table shows exposures to credit derivative transactions broken down to derivatives bought or sold as well as notional amounts and fair value. Total fair value have decreased compared to the previous year.

Credit derivative exposures 2022			
SEK m		Protection bought	Protection sold
Notionals			
1	Single-name credit default swaps	-	532
2	Index credit default swaps	-	40
3	Total return swaps	-	-
4	Credit options	-	-
5	Other credit derivatives	-	-
6	Total notionals	-	572
Fair values			
7	Positive fair value (asset)	21	44
8	Negative fair value (liability)	-4	-86

EU CCR8 Exposures to CCPs

The table shows exposures to QCCPs. The total exposure has decreased compared to the previous year.

Exposures to CCPs 2022		Exposure value	RWEA
SEK m			
1	Exposures to QCCPs (total)		174
2	Exposures for trades at QCCPs (excluding initial margin and default fund contributions); of which	2 105	42
3	(i) OTC derivatives	1 727	35
4	(ii) Exchange-traded derivatives	251	5
5	(iii) SFTs	127	3
6	(iv) Netting sets where cross-product netting has been approved	-	-
7	Segregated initial margin	5 869	-
8	Non-segregated initial margin	405	-
9	Prefunded default fund contributions	394	132
10	Unfunded default fund contributions	746	-
11	Exposures to non-QCCPs (total)		-
12	Exposures for trades at non-QCCPs (excluding initial margin and default fund contributions); of which	-	-
13	(i) OTC derivatives	-	-
14	(ii) Exchange-traded derivatives	-	-
15	(iii) SFTs	-	-
16	(iv) Netting sets where cross-product netting has been approved	-	-
17	Segregated initial margin	-	-
18	Non-segregated initial margin	-	-
19	Prefunded default fund contributions	-	-
20	Unfunded default fund contributions	-	-

Operational risk

EU ORA Qualitative information on operational risk

Points (a), (b), (c) and (d) Article 435(1) CRR

Disclosure of the risk management objectives and policies.

Operational risk refers to the risk of loss due to inadequate or failed internal processes, human error, erroneous systems or external events. The definition includes legal risk as well as IT risks and information security risks (ICT risks).

The Board establishes the Handelsbanken Group's tolerance for operational risk. Handelsbanken has a low tolerance for operational risk, although this risk is an inevitable component in the Bank's operations. As far as possible, Handelsbanken must endeavour to prevent this risk and to reduce the losses in this area. An operational risk which could lead to serious consequences for the Bank, the Bank's customers, or the financial system in the event of an incident must be reduced to a lower risk level. Risk mitigation measures must be taken so that the risk is made acceptable. Losses resulting from an operational risk event can be covered by insurance or other solutions. Assessments of operational risks are conducted by assessing the impact and probability of events occurring, based on a scale from 1 to 5. The assessed consequences, coupled with the assessed probability of the event, will determine the scope of the risk limitation measures required. If the assessment of impact and probability are 3/3 or higher, an action plan with risk mitigation measures must be established. If an action plan is missing or if risk control considers that the work is taking too long or not progressing according to plan the risk is outside of the Bank's risk tolerance. Handelsbanken's operational losses during 2022, which comprise expected and recognised operational losses above SEK 25 000 and any recoveries, totalled SEK 61m (38). It is not unusual that the amount referring to operational losses is adjusted over time due to recoveries, or that additional losses are added which are related to a previously reported incident. This may affect the comparison figures for previously reported losses. Operational risks and incidents which have occurred are reported continuously by branches and units throughout the Handelsbanken Group to Group Risk Control, where they are subsequently monitored. In turn, Group Risk Control reports operational risks and incidents which have occurred to the risk committee and the Board's risk committee.

Organisational Structure

The responsibility for identifying, assessing and managing operational risk is an integral part of managerial responsibility at all levels in the Handelsbanken Group. The Bank's decentralised way of working and cost-consciousness promote good management of operational risk, which leads to vigilance against potential loss risks in daily procedures and events.

Methods For Identifying, Assessing And Managing Operational Risk

The business operations are responsible for owning and managing risks associated with day-to-day operational activities by gathering relevant risk facts within their units. The Bank monitors the development of operational risk according to the following categories:

- execution, delivery and process management
- business disruptions and system failures
- clients, products and business practices
- external crime
- damage to physical assets
- employment practices and workplace safety
- internal fraud

The Group wide operational risk methods for identifying, assessing and managing operational risk are incident reporting, risk indicators and operational risk self-assessments.

Incident reporting: Reporting of operational risk incidents which have resulted in direct financial losses in excess of SEK 25 000 is mandatory. Other incidents illustrating material operational risk must also be reported, and risk facts must be collected.

Risk indicators: Risk indicators are monitored in order to warn of heightened operational risk. If a threshold for a risk indicator is exceeded, a risk assessment must be carried out to serve as a basis for assessing any risk management measures to be taken. For some risk indicators, thresholds are set by the CEO.

Self-assessment OPRA Risk Analysis: OPRA Risk Analysis is a method and self-assessment procedure to document and assess operational risks. It is carried out on a regular basis at all units. OPRA Risk Analysis can also be event driven and shall be performed in case of serious incident, threshold breaches or serious external events.

Change Management

The change management area covers new or materially changed products, services, markets, processes or IT systems, or when there are material changes in the Group's operations or organisational structure. The activities and actors involved in the process are described in the Bank's instructions and approval process for change management, which also describe how and when to involve the control functions. The process also includes requirements that risk analyses are carried out and that these consider, for example, areas such as financial crime, sustainability, information security and data quality. Decisions related to changes must also be documented.

Continuity Planning And Crisis Management

The CEO's guidelines for continuity planning and crisis management as well as supplementary instructions state that consequence analyses are to be performed each year, in order to ascertain which operations and IT systems are of such critical importance that they require continuity plans. The continuity plans include planning the maintenance of operations during the disruption and recovery to normal operations. For essential processes, the plans must include the longest permitted duration of a stoppage. There is a Central Crisis Team for the entire Group. In addition, the CEO has specified that certain units require a designated crisis function. Work in the crisis functions is to be undertaken according to special crisis manuals. Continuity plans and crisis manuals must be revised on an annual basis at a minimum. The plans must be tested each year, at the least, and crisis drills are carried out by the units required to have crisis functions. The work is evaluated annually and reported to the Board, which is also informed of the Bank's strategy for continuity management.

Article 446 CRR

Disclosure of the approaches for the assessment of minimum own funds requirements.

Handelsbanken uses the standardised approach to calculate the capital requirement for operational risk. According to the standardised approach, the capital requirement is calculated by multiplying a factor specified in the regulations by the average operating income during the last three years of operation. Different factors are applied in different business segments.

At the end of 2022, the total capital requirement for operational risk for the consolidated situation was SEK 5 732m (5 573).

Article 446 CRR

Description of the AMA methodology approach used (if applicable)
Not applicable.

Article 454 CRR

Disclose the use of insurance for risk mitigation in the Advanced Measurement Approach (if applicable).
Not applicable.

EU OR1 Operational risk own funds requirements and risk-weighted exposure amounts

Operational risk own funds requirements and risk-weighted exposure amounts 2022		Relevant indicator			Own funds requirements	Risk weighted exposure amount
		Year-3	Year-2	Last year		
SEK m						
1	Banking activities subject to basic indicator approach (BIA)					
2	Banking activities subject to standardised (TSA) / alternative standardised (ASA) approaches	42 922	42 594	45 393	5 732	71 651
3	Subject to TSA:	42 922	42 594	45 393		
4	Subject to ASA:	-	-	-		
5	Banking activities subject to advanced measurement approaches AMA	-	-	-	-	-

Remuneration policy

The Bank's principles for remuneration to employees are long established. In general, Handelsbanken has low tolerance of risk and holds the opinion that fixed remuneration contributes to healthy and sustainable operations. Performance-based variable remuneration is applied with great caution and to a very limited extent. Performance-based variable remuneration is not given to risktakers.

EU REMA Remuneration policy

Institutions shall describe the main elements of their remuneration policies and how they implement these policies. In particular, the following elements, where relevant, shall be described:

Information relating to the bodies that oversee remuneration

Disclosures shall include: Name, composition and mandate of the main body (management body and remuneration committee where established) overseeing the remuneration policy and the number of meetings held by that main body during the financial year.

Management body: CEO and the Central Board ("the Board").

Remuneration Committee: Chairman of the Board and two Board members.

Mandate: The Board's remuneration committee evaluates the employment conditions for the Bank's executive officers in the light of prevailing market terms. The committee's tasks include preparing the Board's proposals to the AGM concerning guidelines for remuneration to executive officers, monitoring and evaluating the application of these guidelines, and preparing the Board's decisions on remuneration and other terms of employment for executive officers, as well as for the Chief Audit Executive. The committee also makes an assessment of Handelsbanken's remuneration policy and remuneration system.

Number of meetings: 8

External consultants whose advice has been sought, the body by which they were commissioned, and in which areas of the remuneration framework.

No advice has been sought.

A description of the scope of the institution's remuneration policy (eg by regions, business lines), including the extent to which it is applicable to subsidiaries and branches located in third countries.

The remuneration policy applies throughout the Handelsbanken Group. The Group policy is implemented within our subsidiaries and branches. If there are obstacles to this policy being applied, due to binding regulations in a country where Handelsbanken pursues its operations, or due to regulations that are binding upon subsidiaries, adapted rules are to be formulated for these operations.

A description of the staff or categories of staff whose professional activities have a material impact on institutions' risk profile (identified staff).

The following categories have been identified as risk-takers at Handelsbanken:

- Members of the Board of the parent company and the Boards of material subsidiaries
- Heads of units or staff functions at Central Head Office
- Heads of business areas
- CEOs of material subsidiaries
- The Country Heads for Sweden, Denmark, Finland, Norway and the CEO of Handelsbanken plc, as well as the Head of Business Support who reports to the CEO
- County Managers/District Heads
- The Chief Compliance Officer, Chief Risk Officer and Chief Audit Executive
- Managers who report to the heads specified in points b-g above
- The Country Head of the Bank's operations in a country of operations not specified in e) above

- The Head of Group Treasury and managers who report to the Head of Group Treasury
- Members of the risk committee and the capital committee
- Persons taking decisions on new products
- Any person with total earned remuneration equal to or exceeding the average remuneration paid to members of the parent company's Board, as well as employees who are part of executive management and who have total earned remuneration equal to or exceeding EUR 500,000 and work in an essential business unit, where there their position has a significant impact on the risk profile of the unit concerned.
- Any person who is among the 0.3% of employees at Handelsbanken with the highest remuneration, or who has a total earned remuneration equal to or exceeding EUR 750,000
- Any person who is not covered by points a-n above, but who is considered to have a material impact on the Bank's risk profile.

Information relating to the design and structure of the remuneration system for identified staff

An overview of the key features and objectives of remuneration policy, and information about the decision-making process used for determining the remuneration policy and the role of the relevant stakeholders (e.g. the shareholders' meeting).

The Bank's principles for remuneration to employees are long established. In general, Handelsbanken has a low tolerance of risk and holds the opinion that fixed remuneration contributes to healthy and sustainable operations. This is, therefore, the main principle. Performance-based variable remuneration is applied with great caution and to a very limited extent. It is only offered to employees in the Capital Markets business area and in mutual fund and asset management operations. The profit-sharing system covers all employees in the Handelsbanken Group. The provision is classified as variable remuneration and is based on profitability metrics linked to Handelsbanken's corporate goals being met, in combination with the Board's overall assessment regarding the Bank's performance.

At Handelsbanken, the Board decides on the remuneration policy. The AGM decides on guidelines for remuneration to executive officers.

Information on the criteria used for performance measurement and ex ante and ex post risk adjustment.

Salaries are based on factors known in advance: the nature and level of difficulty of the work, competency and skills, work performance and results achieved, leadership, and being a cultural ambassador for the Bank.

Performance-based variable remuneration is based on Handelsbanken's factors for setting salaries and it must be designed so that it does not encourage unhealthy risk-taking. The financial results of business areas with performance-based variable remuneration is adjusted for risk and charged with the actual cost of the capital and liquidity required by the operations.

Whether the management body and the remuneration committee, where established, reviewed the institution's remuneration policy during the past year, and if so, an overview of any changes that were made, the reasons for those changes and their impact on remuneration.

The remuneration policy was reviewed by the remuneration committee during the past year. In light of the EBA's guidelines for a sound remuneration policy (EBA/GL/2021/04 dated 2 July 2021) and the Swedish Financial Supervisory Authority's regulation (FFFS 2011:1), the remuneration policy has been further clarified by including the concept of gender neutrality in relation to compensation. Furthermore, adaptation to the wording in regulations regarding the identification of risk takers was undertaken. The identification of risk takers still determines the same individuals.

Information of how the institution ensures that staff in internal control functions are remunerated independently of the businesses they oversee.

No performance-related variable remuneration is provided at internal control functions. Internal control functions only participate in the profit-sharing scheme. For employees within the Bank's control functions, the contribution is based on criteria adapted to the control function's assignment, independent of profitability. Fixed remuneration is determined independently of the business areas the control functions are assigned to control.

Policies and criteria applied for the award of guaranteed variable remuneration and severance payments.

Guaranteed variable remuneration is not permitted according to the remuneration policy. Termination benefits can only be paid when an employment contract is terminated by means of mutual agreement on the remuneration, taking into account laws, collective bargaining agreements and the prevailing practices in the labour market; they must not encourage failure or negligence.

Description of the ways in which current and future risks are taken into account in the remuneration processes.

Disclosures shall include an overview of the key risks, their measurement and how these measures affect remuneration.

The Bank's principles for remuneration to employees are long established. In general, Handelsbanken has a low tolerance of risk and holds the opinion that fixed remuneration contributes to healthy operations. This is, therefore, the main principle.

Performance-based variable remuneration:

An assessment of performance, which forms the basis for the allocation and transfer of performance-based variable remuneration, must be primarily based on risk-adjusted profit metrics. Both current and future risks are to be taken into consideration. The performance assessment must be based on a perspective of several years, to take into account the underlying business cycle and any business risks, and on long-term sustainable profits. The assessment must also take into account the operations' cost of capital and liquidity. In the assessment, it must be possible to take into account the employee and the unit's contribution to Handelsbanken's total business operations, even if these cannot be quantified. Proposals for the allocation and transfer of performance-based variable remuneration must include thorough documentation of performance and risks.

In addition to the stipulations above regarding performance assessments, the results that form the basis for performance-based variable remuneration must be based on results achieved without incurring credit, market or liquidity risk for Handelsbanken. The assessment must also include how well the unit has been able to attract, recruit, retain and develop competent employees, thus being able to maintain high quality in its operations, in order to contribute to the achievement of Handelsbanken's corporate goal in the long term. The individual performance-based variable remuneration must also reflect a sustainable, risk-adjusted performance, with the Bank's salary-setting factors being taken into account

Profit-sharing scheme:

Assessments that form the basis for the allocation to the profit-sharing scheme are to be based on Handelsbanken's corporate goals, calculated as return on equity (ROE) compared with peer competitors in the home markets, and on the Board's overall assessment of the

Bank's performance.

The performance assessment must be risk adjusted, and based on a perspective over several years, to take into account the underlying business cycle and any business risks, and on long-term sustainable profits. The assessment must also take into account the Bank's cost of capital and liquidity.

The ratios between fixed and variable remuneration set in accordance with point (g) of Article 94(1) of Directive (EU) 2013/36("CRD")².

No employee may receive performance-based variable remuneration equivalent to more than 100% of their fixed remuneration. According to the rules of the profit-sharing scheme, the amount per employee is limited to maximum of SEK 100,000 per year. The total amount allocated for performance-based variable remuneration for one year for Handelsbanken employees must not exceed 0.4% of the Bank's common equity tier 1 capital.

For 2022, the allocation for performance-based variable remuneration corresponds to approximately 0.5% of total salaries and approximately 0.03% of the Bank's common equity tier 1 capital.

Description of the ways in which the institution seeks to link performance during a performance measurement period with levels of remuneration.

Disclosures shall include:

An overview of main performance criteria and metrics for institution, business lines and individuals.

Fixed remuneration:

The level of fixed remuneration is based on salary factors known in advance: the nature and level of difficulty of the work, competency and skills, work performance and results achieved, leadership, and being a cultural ambassador for the Bank.

Profit-sharing scheme:

Assessment that forms the basis for allocation to the profit-sharing scheme shall be based on Handelsbanken's corporate objectives, measured as return on equity (ROE) compared with peer competitors in the home markets, and the Board's overall assessment of the Bank's performance. The performance assessment must be risk-adjusted and made with a multi-year perspective to take into account the underlying business cycle and any business risks and on long-term sustainable results. The assessment must also take into account the Bank's costs for capital and liquidity.

In order to receive an allocation from the profit-sharing scheme, it is required that the employee does not act in violation of Handelsbanken's internal policies and guidelines. This is followed up based on issued written warnings or local equivalent.

The quantitative criterion is based on the employee's contribution to the Group's financial performance. For employees within those of the Bank's control functions which are covered by the scheme, the allocation is instead based on criteria adapted to the particular control function's assignment, independent of profitability considerations. This is followed up within the annual review process.

Performance-based variable remuneration:

The performance assessment must be based on a perspective over several years, to take into account the underlying business cycle and any business risks, and on long-term sustainable profits. The assessment must also take into account the operations' cost of capital and liquidity. In the assessment, it must be possible to take into account the employee's and the unit's contributions to Handelsbanken's total business operations. In addition the results that form the basis for performance-based variable remuneration must be based on results achieved without incurring credit, market or liquidity risk for Handelsbanken. The assessment must also include how well the unit has been able to attract, recruit, retain and develop competent employees, thus being able to maintain high quality in its operations, in order to contribute to the achievement of Handelsbanken's corporate goal in the long term.

Evaluation takes place in an evaluation tool, which is based on the Bank's salary-based factors: The nature and degree of difficulty of the work, Performance ability and achieved work results, Competence, Leadership, Culture bearer including Compliance & Risk and the Market. Through the evaluation, the Bank considers that excessive risk-taking on the part of the employee is counteracted.

The manager evaluates employees where specific issues under each salary-based factor have been formulated by business unit managers for their respective operations. There are different sets of questions based on whether the employee is a manager or employee. In units where there are several different roles, questions have been adapted based on the role of the employee. The individual evaluations per salary-based factor are documented in a separate system support and form the basis for the award of performance-based variable remuneration.

An overview of how amounts of individual variable remuneration are linked to institution-wide and individual performance.

Profit-sharing scheme

The assessment that forms the basis for allocation to the profit-sharing scheme shall be based on Handelsbanken's corporate objectives, measured as return on equity (ROE) compared with peer banks in the Bank's home markets and the Board's overall assessment of the Bank's development. The assessment must also take into account the Bank's costs for capital and liquidity.

The allocated amount is based on working hours and the fulfilment of individual qualitative and quantitative criteria.

Performance-based variable remuneration

The performance assessment must be based on a perspective over several years, to take into account the underlying business cycle and any business risks, and on long-term sustainable profits. The assessment must also take into account the operations' cost of capital and liquidity. In the assessment, it must be possible to take into account the employee's and the unit's contributions to Handelsbanken's total business operations. In addition the results that form the basis for performance-based variable remuneration must be based on results achieved without incurring credit, market or liquidity risk for Handelsbanken. The assessment must also include how well the unit has been able to attract, recruit, retain and develop competent employees, thus being able to maintain high quality in its operations, in order to contribute to the achievement of Handelsbanken's corporate goal in the long term.

The individual allocation is based on the Bank's salary base factors.

Information on the criteria used to determine the balance between different types of instruments awarded including shares, equivalent ownership interest, options and other instruments.

Only mutual funds are used as instruments as regards performance-based variable remuneration within subsidiaries where required.

Information of the measures the institution will implement to adjust variable remuneration in the event that performance metrics are weak, including the institution's criteria for determining performance metrics when the performance metrics are considered "weak". In accordance with point (n) of Article 94 (1) CRD, to be paid or vested the variable remuneration has to be justified on the basis of the performance of the institution, the business unit and the individual concerned. Institutions shall explain the criteria/thresholds for determining that the performance is weak and that does not justify that the variable remuneration can be paid or vested.

Profit-sharing scheme:

The allocation to the profit-sharing scheme is adjusted based on an evaluation of Handelsbanken's corporate goals, calculated as return on equity (ROE) compared with peer competitors in the home markets, and on the Board's overall assessment of the Bank's performance, as well as evaluation of the individual criteria.

Performance-based variable remuneration:

The allocation is adjusted based on the unit's contribution to Handelsbanken's total business operations.

The following criteria are considered:

- whether Handelsbanken's financial position or ability to fund its operations is materially weakened, or whether the Bank is subject to specific regulations under the legislation on state support to credit institutions or similar, in order to continue pursuing its operations
- whether unknown risks or losses materialise in the remuneration-setting profit figures/data at the unit or individual level
- whether there has been exposure to long-term illiquid assets, whose value has declined materially since the decision on allocation of variable remuneration and has thus incurred significant losses for Handelsbanken
- whether there has been exposure to assets which, following the decision on allocation of performance-based variable remuneration, have declined in value without the employee taking appropriate precautionary measures to minimise the risk of loss
- whether the allocation of performance-based variable remuneration was based on clearly erroneous grounds, of which the employee was aware, and
- the employee's compliance with internal and external regulations and instructions.

Description of the ways in which the institution seeks to adjust remuneration to take account of long-term performance.

Disclosures shall include:

An overview of the institution's policy on deferral, pay out in instrument, retention periods and vesting of variable remuneration including where it is different among staff or categories of staff.

The main rule for performance-based variable remuneration is that at least 40% is to be deferred for at least four years. For particularly large amounts of performance-based variable remuneration, 60% is deferred. Payment and the right of ownership to the variable remuneration do not accrue to the person with the entitlement until the expiry of the deferment period. Deferred variable remuneration can be removed or reduced if losses, increased risks or increased expenses arise during the deferment period, or if payment is deemed to be unjustifiable in view of the Bank's financial situation. No employee may receive performance-based variable remuneration equivalent to more than 100% of their fixed remuneration.

Variable remuneration may consist solely of cash remuneration, or partly of cash remuneration and partly of financial instruments including mutual fund units, or solely of mutual fund units if the prevailing rules or the subsidiary's remuneration rules so specify.

Performance-based variable remuneration is applied with great caution and to a very limited extent. It is only offered to employees in the Capital Markets business area and in mutual fund and asset management operations. In these operations, performance-based variable remuneration may only be paid to employees at units whose profits derive from commissions or intermediary transactions that take place without the Bank being subject to credit risk, market risk or liquidity risk. 1% of the Group's employees are eligible to receive performance-based variable remuneration.

Information of the institution's criteria for ex post adjustments (malus during deferral and clawback after vesting, if permitted by national law).

The following criteria are considered:

- whether Handelsbanken's financial position or ability to fund its operations is materially weakened, or whether the Bank is subject to specific regulations under the legislation on state support to credit institutions or similar, in order to continue pursuing its operations
- whether unknown risks or losses materialise in the remuneration-setting profit figures/data at the unit or individual level
- whether there has been exposure to long-term illiquid assets, whose value has declined materially since the decision on

allocation of variable remuneration and has thus incurred significant losses for Handelsbanken

- d) whether there has been exposure to assets which, following the decision on allocation of performance-based variable remuneration, have declined in value without the employee taking appropriate precautionary measures to minimise the risk of loss
- e) whether the allocation of performance-based variable remuneration was based on clearly erroneous grounds, of which the employee was aware, and
- f) the employee's compliance with internal and external regulations and instructions.

Where applicable, shareholding requirements that may be imposed on identified staff.

Not applicable.

The description of the main parameters and rationale for any variable components scheme and any other non-cash benefit in accordance with point (f) of Article 450(1) CRR.

Disclosures shall include:

Information on the specific risk/performance indicators used to determine the variable components of remuneration and the criteria used to determine the balance between different types of instruments awarded, including shares, equivalent ownership interests, share-linked instruments, equivalent non cash-instruments, options and other instruments.

Allocations under the profit-sharing scheme are distributed in cash, and performance-based variable remuneration is distributed in cash to employees that are not identified as risk-takers, and in mutual funds to risk-takers, where required.

Upon demand from the relevant Member State or competent authority, the total remuneration for each member of the management body or senior management.

In line with point (j) of Article 450 (1) CRR.

Not applicable.

Information on whether the institution benefits from a derogation laid down in Article 94(3) CRD in accordance with point (k) of Article 450(1) CRR.

For the purposes of this point, institutions that benefit from such a derogation shall indicate whether this is on the basis of point (a) and/or point (b) of Article 94(3) CRD. They shall also indicate which of the remuneration requirements they apply the derogation(s), (i.e., point (l) and/or (m) and/or (o) of Article 94(1) CRD), the number of staff members that benefit from the derogation(s) and their total remuneration, split into fixed and variable remuneration.

Employees whose professional activities have a material impact on the Bank's risk profile are not eligible for performance-based variable remuneration.

The profit-sharing scheme covers all employees in the Handelsbanken Group. The amount per employee is limited according to the rules of the profit-sharing scheme (maximum SEK 100,000 per year), and article 94(3) b) CRD has been applied.

Large institutions shall disclose the quantitative information on the remuneration of their collective management body, differentiating between executive and non-executive members in accordance with Article 450(2) CRR.

The total remuneration to the executive member of the management body amounts to SEK 19.5 million and the total remuneration to the non-executive members of the management body amounts to SEK 25.4 million.

EU REM1 Remuneration awarded for the financial year

Excluded rows are deemed not relevant (rows 4, 6 and 8 in the template)

Remuneration awarded for the financial year 2022			MB Supervisory function	MB Management function	Other senior management	Other identified staff
1		Number of identified staff	9	1	33	818
2		Total fixed remuneration	18	20	157	1 407
3		Of which: cash-based	18	20	157	1 407
EU-4a	Fixed remuneration	Of which: shares or equivalent ownership interests				
5		Of which: share-linked instruments or equivalent non-cash instruments				
EU-5x		Of which: other instruments				
7		Of which: other forms				
9		Number of identified staff		1	25	815
10		Total variable remuneration				84
11		Of which: cash-based				84
12		Of which: deferred				
EU-13a		Of which: shares or equivalent ownership interests				
EU-14a	Variable remuneration	Of which: deferred				
EU-13b		Of which: share-linked instruments or equivalent non-cash instruments				
EU-14b		Of which: deferred				
EU-14x		Of which: other instruments				
EU-14y		Of which: deferred				
15		Of which: other forms				
16		Of which: deferred				
17	Total remuneration (2 + 10)		18	20	157	1 491

EU REM2 Special payments to staff whose professional activities have a material impact on institutions' risk profile (identified staff)

Special payments to staff whose professional activities have a material impact on institutions' risk profile (identified staff) 2022		MB Supervisory function	MB Management function	Other senior management	Other identified staff
SEK m					
Guaranteed variable remuneration awards					
1	Guaranteed variable remuneration awards - Number of identified staff				
2	Guaranteed variable remuneration awards -Total amount				
3	Of which guaranteed variable remuneration awards paid during the financial year, that are not taken into account in the bonus cap				
Severance payments awarded in previous periods, that have been paid out during the financial year					
4	Severance payments awarded in previous periods, that have been paid out during the financial year - Number of identified staff				9
5	Severance payments awarded in previous periods, that have been paid out during the financial year - Total amount				12
Severance payments awarded during the financial year					
6	Severance payments awarded during the financial year - Number of identified staff				45
7	Severance payments awarded during the financial year - Total amount				76
8	Of which paid during the financial year				5
9	Of which deferred				
10	Of which severance payments paid during the financial year, that are not taken into account in the bonus cap				
11	Of which highest payment that has been awarded to a single person				7

EU REM4 Remuneration of 1 million EUR or more per year

Remuneration of 1 million EUR or more per year 2022		Identified staff that are high earners as set out in Article 450(i) CRR
EUR		
1	1 000 000 to below 1 500 000	1
2	1 500 000 to below 2 000 000	1
3	2 000 000 to below 2 500 000	
4	2 500 000 to below 3 000 000	
5	3 000 000 to below 3 500 000	
6	3 500 000 to below 4 000 000	
7	4 000 000 to below 4 500 000	
8	4 500 000 to below 5 000 000	
9	5 000 000 to below 6 000 000	
10	6 000 000 to below 7 000 000	
11	7 000 000 to below 8 000 000	

EU REM5 Information on remuneration of staff whose professional activities have a material impact on institutions' risk profile (identified staff)

Information on remuneration of staff whose professional activities have a material impact on institutions' risk profile (identified staff) 2022	Management body remuneration		Business areas							Total
	MB Supervisory function	MB Management function	Total MB	Investment banking	Retail banking	Asset management	Corporate functions	Independent internal control functions	All other	
Total number of identified staff										861
Of which: members of the MB	9	1	10							
Of which: other senior management				2	6	6	18	1		
Of which: other identified staff				20	676	8	92	32		
Total remuneration of identified staff	18	20	38	93	1 150	52	328	63		
Of which: variable remuneration				0	75	0	9	0		
Of which: fixed remuneration	18	20	38	93	1 075	52	319	63		

ESG Prudential disclosures

In line with the EBA Guidelines issued in January 2022, a new section has been included in this Pillar 3 Disclosure on ESG (Environmental, Social and Governance) risks. The purpose is to describe the integration of ESG risks in Handelsbanken's business strategy and processes, governance and risk management, constituting the application of Article 449a in conjunction with Article 435 CRR. Sustainability risk for Handelsbanken is the risk that the Bank fails to identify and manage risks related to the environment and climate, social conditions, and corporate governance in accordance with the policies, guidelines and positions in the area, which could ultimately have negative financial consequences for the Bank, or damage the Bank's reputation. Also included is the risk that the Bank overlooks sustainability risks in its operations that fall outside the framework of existing policies and guidelines. The disclosure consists of three qualitative sections to define Environmental, Social and Governance risks, and five quantitative tables covering climate change related transition and physical risks.

QUALITATIVE INFORMATION ON ENVIRONMENTAL RISK

Environmental risk - Business strategy and processes

In accordance with Article 449a and Article 449a in conjunction with Article 435(1) points (a), (c), (d), (e) and (f) CRR.

Sustainability is integrated into Handelsbanken's corporate culture and working methods, permeating the Group's operations in all markets. For Handelsbanken, the customer meeting is at the centre of all we do and the starting point for the Bank's business operations. Through a decentralised way of working, stable finances, accountability regarding sustainability issues and a low risk tolerance, Handelsbanken builds long-term customer relationships. By developing and offering sustainable products within the Bank's core operations of financing, investment and advisory services, the Bank can work to maximise positive impact, minimise negative impact and, by doing so, promote a more sustainable society. The essence of Handelsbanken's business model has remained unchanged for a long time, which has created the right conditions to apply the principles mentioned above.

To mitigate and reduce environmental risks, Handelsbanken has policies and guidelines which apply to and affect both new and existing counterparties. Handelsbanken's Policy for sustainability sets the direction for the Bank's sustainability activities, in terms of Handelsbanken's approach to material topics relating to customers, the Bank's actions as an employer and part of society, and the relationship with owners and investors. The policy includes the environment, human rights and working conditions, anti-corruption, money laundering and taxes. Handelsbanken has guidelines established by the CEO for business decisions related to the environment and climate change. These state that Handelsbanken must be aware of, and act upon, the risks linked to climate change and environmental damage faced by the companies the Bank does business with. The guidelines state that Handelsbanken must not directly finance (e.g. via project financing) new extraction of oil or gas, or the expansion thereof, or any infrastructure directly linked with such activities. This is also applicable to coal mining and new coal power plants. Nor will Handelsbanken initiate any new business relationships with or finance companies which are involved in coal power production, unless the company is deemed to be a company in transition. Handelsbanken will not enter into any new business relationships with, or provide new financing to, companies or groups that are active in the extraction of oil or gas, or in the construction of infrastructure directly linked thereto.

Handelsbanken has several Group-wide sustainability targets established by the CEO, including an overarching climate goal to achieve net-zero emissions of greenhouse gases as soon as possible but no later than 2040. The climate goal refers to the entire Group and covers lending, leasing and investments, as well as direct emissions from Handelsbanken's own operations, such as energy consumption and business travel. In addition to the net-zero goal in 2040 the Bank has set an interim target for 2030 to reduce emissions linked to the Bank's real estate-related lending (CO₂e/m²) by 36 per cent from its 2021 level. The target encompasses approximately 80 per cent of the Bank's lending to the public. The target is scientifically based and in line with the objective to limit the increase in the global average

temperature to 1.5 degrees. The Bank's objective is to draw up climate goals for all business operations in accordance with the Science Based Targets initiative (SBTi) requirements, and that these should be validated before year-end 2023.

In addition to the general climate goal, the Bank has set a target that, by 2025, 20 per cent of the Bank's financing volume shall consist of green financing, social financing or financing that contributes to the borrower's measurable, sustainable transition. To achieve these goals, Handelsbanken has developed a climate strategy. This strategy is founded on four pillars: Scientific targets, Measure and report, Support Handelsbanken's customers and Responsibility and collaboration. The climate goal and accompanying target regarding financing volume will primarily be achieved by supporting customers via products and advisory services that lead to reduced emissions and greater energy efficiency.

The Bank's process for identifying, assessing and managing climate risks is an integral part of the Bank's credit process. At Handelsbanken, the credit process is based on a conviction that a decentralised way of working with a local presence ensures a high quality in credit decisions. The Bank's overall credit risk profile is that credit risks, in which environmental aspects are integrated, are to be kept low.

With Handelsbanken's decentralised way of working, each branch has full credit responsibility. Identifying and assessing a company's climate-related risks is part of the Bank's credit risk assessment of its customers. This includes assessing whether, and if so to what extent, climate change affects the risk of financial strain and the credit risk that could arise accordingly. In addition to the decentralised structure, the Chief Credit Officer reports to the CEO and is a member of the credit committee established by the Board. The Chief Credit Officer also reports to the Board on losses and risk in the credit portfolio. In 2022, Handelsbanken updated and expanded its framework for green bonds. The new financing framework is partly adapted to the EU taxonomy and gives the Bank greater opportunities to assess and finance projects that lead to climate change adaptation and greater energy efficiency.

Environmental risk – Governance

In accordance with Article 449a in conjunction with Article 435(1) point (b) and Article 435(2), points (a), (b), (c), (d) and (e) CRR.

Handelsbanken's Board has overall responsibility for the Bank's risk management and establishes internal rules for this. The Board has established a risk committee, an audit committee and a remuneration committee, which prepare matters to be decided by the Board. The members of the risk committee, audit committee and remuneration committee are comprised entirely of Board members. In addition, the CEO has instituted the Risk and Compliance Committee, which aims to highlight and comment on the Bank's most material risks, including ESG risks, in order to ensure that they are managed effectively. The Risk and Compliance Committee is thus also a forum for preparing the CEO on matters to be discussed by the Board or risk committee. The work of the Board is undertaken at strategy meetings, usually twice per year, and at regular Board meetings, with sustainability a recurring

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topic at both of these. The Board receives regular updates on the operation's progress towards the fulfilment of the Bank's sustainability goals.

The Board has adopted an overarching Policy for sustainability, which sets out the direction for the Group's sustainability work. The direction of the sustainability work is that Handelsbanken aims to integrate financial, social and environmental sustainability into all the Bank's operations, which means that the Bank is to run financially sound, sustainable operations and to encourage and contribute to sustainable development. This way, risks and costs can be reduced, while new business opportunities can be identified, employees stay motivated, and confidence in Handelsbanken is maintained. The CEO also establishes guidelines describing how various risks should be managed and reported including the Guidelines on Environment and Climate change.

Handelsbanken's sustainability work is coordinated by a Group-wide specialist function headed by Handelsbanken's Chief Sustainability and Climate Officer, who reports directly to the CEO. The Chief Sustainability and Climate Officer is part of the executive management team which means that sustainability-related matters are factored into the ongoing executive work and strategic decisions.

The Chief Sustainability and Climate Officer is also the Chair of Handelsbanken's Sustainability Committee which convenes at least three times per year, or more often if necessary. The Sustainability Committee analyses the sustainability work undertaken by the Bank and, where necessary, takes on a co-ordinating role. Potential problems and business opportunities are highlighted, and pre-emptive plans of action are established. Decision-makers from both the business operations and central departments make up the Sustainability Committee. Several of the members are also part of the Bank's executive management. In other respects, Handelsbanken's work on climate-related issues adheres to the decentralised structure.

In order to ensure that Handelsbanken makes the best use of the its capability for innovation, and works together across all parts of the Bank, there are additional working groups with a remit relating to sustainability. One example is the Green Finance Committee (GFC), which is responsible for determining technical criteria for green/sustainability related loans and products, and for approving assets for inclusion in Handelsbanken's portfolio of green assets. GFC is a Group-wide committee where the Group's in-depth sustainability expertise is represented. The committee evaluates the overall ESG benefits according to a standardised process that includes qualifications such as life cycle considerations, potential rebound effects, resilience, scientific targets and possible significant harm to other sustainability objectives. Technical criteria for green loans are approved by a majority vote by the GFC, where the Bank's Chief Sustainability and Climate Officer holds a veto.

There are also cross-regional teams with sustainability managers for different geographical markets, as well as sustainability committees within the Group's subsidiaries, such as Handelsbanken Fonder, Handelsbanken Liv, Optimix and Handelsbanken Wealth and Asset Management. The committees handle matters such as methodology development, exclusion lists and whether companies meet the requirements to qualify as being in transition.

Handelsbanken has launched a programme to meet the growing reporting and transparency requirements relating to ESG data. The programme will support the business operations and enable the Bank to follow up and communicate on the sustainability goals, as well as report according to regulations, requirements from public authorities and external obligations.

Performance-based variable remuneration is applied with great prudence and to a very limited extent. Remuneration must also be structured in a manner that promotes a healthy and efficient management of ESG risks. For more information about remuneration, see Pillar 3, chapter Remuneration Policy.

Environmental risk - Risk management

In accordance with Article 449a and Article 449a in conjunction with Article 435(1) points (a), (d) and (f) CRR.

In accordance with the Policy for Sustainability, environmental risks must be identified and be an integral part of risk assessment in the Bank's general risk areas, such as credit risk, liquidity risk, market risk,

operational risk and compliance risk. ESG risks must be managed in line with Handelsbanken's generally low risk tolerance and comply with risk tolerance for the types of risk in which ESG risks is an integral part of the risk assessment. Handelsbanken is selective in its choice of customers, which means that the Bank seeks customers with high creditworthiness. The quality requirement is never neglected in favour of higher credit volumes or to achieve higher returns. The Bank also avoids participating in financing where there are high ESG risks. Furthermore, business activities for achieving the Bank's sustainability goals must comply with the Bank's generally low risk tolerance.

Handelsbanken supports the EU's action plan for financing sustainable growth and works actively to incorporate the various parts of the action plan, including the EU taxonomy, into the Bank's business operations. The Bank's reporting of key figures linked to the EU taxonomy will, over time, become increasingly important as a metric of business opportunities linked to climate change mitigation as well as for identification and management of environmental risks.

Climate change is a global problem requiring global solutions and co-operation. Handelsbanken advocates co-operation and supports international initiatives aimed at reinforcing global efforts to ensure a reduced environmental impact and to counteract climate change. These initiatives form an important basis for Handelsbanken's sustainability activities. Therefore, Handelsbanken has endorsed the Principles for Responsible Banking (PRB), and the Bank continues to support other international initiatives for sustainable business: the 2030 Agenda for Sustainable Development and the Sustainable Development Goals, the UN Global Compact and the Principles for Responsible Investment (PRI), to name a few. Handelsbanken has also joined the UN's Net-Zero Banking Alliance (NZBA) as one of the founding signatories. The objective of the alliance is to recalibrate the financial system to achieve net-zero emissions of greenhouse gases globally. By joining the NZBA, Handelsbanken commits to setting targets that, at the very least, align with the temperature goals of the Paris Agreement and support the transition towards a net-zero economy.

Handelsbanken does not take part in lobbying activities aimed at weakening international climate-related activities, and we expect the same approach to be taken by the companies with which the Bank has business relationships. In the environmental and climate-related field, the following initiatives, guidelines, conventions and agreements can be mentioned as examples. Such initiatives and guidelines have become increasingly important for identification and management of environmental risks:

Initiatives and guidelines

- Business Ambition for 1.5°C
- CDP
- The Equator Principles
- The UN Global Compact
- The UN Environmental Programme Finance Initiative (UNEP FI)
- The UN Principles for Responsible Banking (PRB)
- The UN Principles for Responsible Investment (PRI)
- The UN Guiding Principles on Business and Human Rights
- International Finance Corporation's Performance Standards
- Montreal Carbon Pledge
- Net Zero Asset Managers Initiative (NZAM)
- Net-Zero Banking Alliance (NZBA)
- OECD Guidelines for Multinational Enterprises
- Partnership for Carbon Accounting Financials (PCAF)
- Science Based Target Initiative (SBTi)

International conventions and agreements

- The Basel Convention on the Control of Transboundary Movements of Hazardous Wastes and Their Disposal
- The UN Framework Convention on Climate Change (UNFCCC)
- The Kyoto Protocol
- The Paris Agreement
- The Convention on Wetlands of International Importance, especially as Waterfowl Habitat (the Ramsar Convention)
- The International Convention on Civil Liability for Oil Pollution Damage
- The Convention on Biological Diversity

- The Convention on International Trade in Endangered Species of Wild Fauna and Flora
- The Convention on the Conservation of Migratory Species of Wild Animals
- The Convention Concerning the Protection of the World Cultural and Natural Heritage (the UNESCO Convention)
- The UNECE Convention on Access to Information, Public Participation in Decision-making and Access to Justice in Environmental Matters (the Aarhus Convention)
- The Rio Declaration on Environment and Development

An analysis of financial, social and environmental sustainability risks in the customer's business must always be considered when credit is granted. ESG risks are also integrated into Handelsbanken's analysis of the customer's repayment capacity. The credit policy states that the Bank's lending must be responsible and meet high ethical standards. The CEO's Guidelines on Environment and climate change state for example, that the Bank will not enter into new business relationships with, or finance, companies that operate within coal mining, and is restrictive in its lending to companies that extract fossil fuels. Handelsbanken also excludes financing for new oil or gas extraction, or the expansion of existing oil or gas extraction, or any infrastructure directly linked thereto. In the Bank's lending, we must assess and evaluate each customer's stance on above mentioned principles and guidelines. The Bank can abstain from granting a credit if the ESG risks are considered too high, and if, for example, a company does not adhere to the above mentioned guidelines.

To assess how sustainable a company is, and to identify potential ESG risks, the credit-granting process must consider environmental, social and governance factors and the associated risks – particularly environmental factors and the impact of climate change. In order to contribute to Handelsbanken's responsible financing goal – by 2025, 20 per cent of the Bank's financing volume shall consist of green financing, social financing or financing that contributes to the borrower's measurable, sustainable transition – and to ensure that the Bank complies with applicable regulations, clarifications in the credit process have been made regarding climate risks. Handelsbanken has separated climate risks from the environment section of the credit assessment, making it its own main area. At the same time, the instructions for assessing climate risk were clarified, and documentation requirements for larger credits were expanded. Handelsbanken does not normally establish any limits at the aggregated level, and this applies to ESG risks as well. The Bank's limit processing is integrated into the standard credit process, whereby the Bank sets limits at the counterparty level, based on an assessment of the customer's repayment capacity, in which ESG risks are factored in. Since the assessment is integrated into the Bank's standard credit process, the regular monitoring of the impact of ESG risks is also carried out in this process. The Bank's assessment creates an understanding of the customer's need for transition, and how Handelsbanken can support their work to reduce the risks in their business. Handelsbanken's work to support its real estate customers' energy efficiency enhancements is an example of how the Bank works in a concrete way with sustainability when granting credit. One aim of this is to reduce the risks relating to the future EU minimum requirements for energy efficiency.

The actions Handelsbanken has taken to mitigate the environmental and climate-related risks are:

- Continuous development and improvement of Handelsbanken's capacity to identify, measure, manage and report risks associated with both physical climate-related risks and transition risks in the investment and credit processes, as well as the Bank's process for risk control and reporting. This involves developing existing procedures and processes in relevant areas, with the aim of being able to more effectively identify, value and stress test assets exposed to climate-related risks
- Checklists in the credit assessment process, supported by the guidance of sector specific ESG risks established by external experts, documentation requirements and systems support
- Periodic screening of companies Handelsbanken invests in
- Supplier Code of Conduct
- Policy documents and instructions for responsible investment and responsible credits
- Reporting in line with the TCFD recommendations.

With regards to climate risks the Bank has intensified to the work of increasing its capabilities to assess potential risk in the lending portfolio. An extensive analysis was carried out which covered two separate aspects – property-specific risk from mean sea level rise, coastal nationwide in Sweden, and property-specific analysis of flooding risk in Stockholm, Sweden. The analysis was based on externally calculated climate scenarios, provided by the Swedish Meteorological and Hydrological Institute (SMHI).

In the coastal nationwide analysis, flooding due to mean sea level rise was evaluated, i.e. chronic flooding. A scenario in line with current estimations for mean sea level rise up until the year 2100 in RCP 8.5 was applied. For the greater Stockholm area, an analysis of extreme sea level rise was performed. The analysis was also based on a RCP 8.5 scenario. The result of the coastal nationwide analysis of property-specific risk from mean sea level rise showed that less than 0.3 per cent of the Bank's exposure value to Swedish property collateral was assessed as chronically flooded in a worst-case scenario. This demonstrated that a sea level rise of 1 metre would have a limited effect on Handelsbanken. The result of the property-specific analysis of flooding risk in the Stockholm area showed that less than 0.1 per cent of the exposure value was assessed as being chronically flooded due to a sea level rise of 1 metre.

To meet the many new requirements for ESG-related data, the Bank has identified its needs and worked on solutions to obtain this data and make it available. Implementation is in progress, and the data requirements will gradually be fulfilled through existing data, purchased data, and data obtained from the customer. Access to data is currently limited, but this is expected to improve in the next few years, as customers/companies expand their reporting.

Handelsbanken's view is that responsible actions are thus essential to long-term value creation. The climate-related risks and environmental risks are primarily linked to increased credit losses and capital costs that would arise from a deterioration of customers' financial positions. They are also linked to non-compliance, which could eventually lead to legal consequences in the form of fines or other sanctions, risk of impaired reputation and decreased customer satisfaction.

QUALITATIVE INFORMATION ON SOCIAL RISK

Social risk - Business strategy and processes

In accordance with Article 449a in conjunction with Article 435(1) points (a), (c), (d), (e) and (f) CRR.

Sustainability is integrated into Handelsbanken's corporate culture and working methods, permeating the Group's operations in all markets. For Handelsbanken, the customer meeting is at the centre of all we do and the starting point for the Bank's business operations. Through a decentralised way of working, stable finances, accountability regarding sustainability issues and a low risk tolerance, Handelsbanken builds long-term customer relationships. By developing and offering sustainable products within the Bank's core operations of financing, investment and advisory services, we can work to maximise positive impact, minimise negative impact and, by doing so, promote a more sustainable society. The essence of Handelsbanken's business model has remained unchanged for a long time, which has created the right conditions to apply the principles mentioned above.

Handelsbanken's values and strong corporate culture are vital to the Bank's success. The concept of how to run a successful bank is based on trust and respect for the individual – applying to both customers and employees. The Bank's decentralised way of working generates commitment and gives every employee both responsibility and the opportunity to make an impact on the Bank's operations.

In line with the Bank's sustainability goals, by 2025, 20 per cent of the Bank's financing volume shall consist of social financing, green financing, or financing that contributes to the borrower's measurable sustainable transition. Handelsbanken expects the area of social financing to develop in the financial industry in the coming years.

Handelsbanken's Sustainability Committee has analysed the 17 Sustainable Development Goals and their 169 targets to determine the focus of the operations, and how the Bank can integrate them into operations within the framework of the Bank's material topics. The analysis was based on the degree of influence, both indirect and direct, identified risks and opportunities, and the Bank's most material

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sustainability topics. Consequently, in the next few years Handelsbanken will focus on the following goals regarding the social aspects of sustainability:

- Gender equality
- Decent work and economic growth
- Industry, innovation and infrastructure
- Sustainable cities and communities
- Climate action
- Peace, justice and strong institutions

To mitigate and reduce social risks, Handelsbanken has policies and guidelines which apply to and affect both new and existing counterparties. Handelsbanken's Policy for sustainability sets the direction for the Bank's sustainability activities, in terms of Handelsbanken's approach to material topics relating to customers, the Bank's actions as an employer and part of society, and the relationship with owners and investors. The policy covers issues such as the environment, human rights and working conditions, anti-corruption, money laundering and taxes. The Bank has clear guidelines for its business relations regarding, among other things, human rights and working conditions. Handelsbanken's CEO guidelines for human rights and working conditions state that Handelsbanken stands behind the UN's Guiding Principles on Business and Human Rights. Handelsbanken aims to avoid causing or contributing to any negative impact on human rights in its own operations, through business relationships and in the supply chain. This also includes working to ensure no discrimination, child labour, slave labour or human trafficking occurs in the supply chain.

Handelsbanken does not accept any form of child labour, slave labour or human trafficking. The Bank works to prevent the occurrence of these in the Group's supply chain and in other companies with which Handelsbanken has business relations. The UK Modern Slavery Act 2015 requires that certain organisations annually state the actions that they have taken to ensure that modern slavery and human trafficking do not occur in their supply chains or in their operations. Internal instructions and procedures are in place so that employees know what to do if they are faced with or suspect a case of modern slavery or human trafficking. More information and a statement on the Modern Slavery Act 2015 may be found at handelsbanken.co.uk.

Employees of the Bank must conduct themselves in a manner that upholds confidence in Handelsbanken. All operations in the Bank must be characterised by high ethical standards. Financial advice must be based on the customer's requirements. Conflicts of interest must be identified and handled correctly vis á vi all parties involved. In the case of doubt as to what is ethically acceptable, the matter must be discussed with the employee's immediate superior. There must be no discrimination on grounds such as gender or religion. The Policy for ethical standards also describes how employees who suspect internal fraud or other irregularities should act, for example with the aid of Handelsbanken's separate whistleblowing system provided by an external supplier.

Social risk – Governance

In accordance with Article 449a in conjunction with Article 435(1) points (b) and Article 435(2) points (a), (b), (c) and (e) CRR.

Handelsbanken's Board has overall responsibility for the Bank's risk management and establishes internal rules for this. The Board has established a risk committee, an audit committee and a remuneration committee, which prepare matters to be decided by the Board. The members of the risk committee, audit committee and remuneration committee are comprised entirely of Board members. In addition, the CEO has instituted the Risk and Compliance Committee, which aims to highlight and comment on the Bank's most material risks, including ESG risks, in order to ensure that they are managed effectively. The Risk and Compliance Committee is thus also a forum for preparing the CEO on matters to be discussed by the Board or risk committee. The work of the Board is undertaken at strategy meetings, usually twice per year, and at regular Board meetings, with sustainability a recurring topic at both of these meetings. The Board receives regular updates on the operation's progress towards the fulfilment of the Bank's sustainability goals.

The Board has adopted an overarching Policy for sustainability, which sets out the direction for the Group's sustainability work. The direction of the sustainability work is that Handelsbanken aims to integrate financial, social and environmental sustainability into all of the Bank's

operations, which means that the Bank is to run financially sound, sustainable operations and to encourage and contribute to sustainable development. This way, risks and costs can be reduced, while new business opportunities can be identified, employees stay motivated, and confidence in Handelsbanken is maintained. The CEO also establishes guidelines describing how various risks should be managed and reported.

Handelsbanken's sustainability is coordinated by a Group-wide specialist function headed by Handelsbanken's Chief Sustainability and Climate Officer, who reports directly to the CEO. The Chief Sustainability and Climate Officer is part of the executive management team which means that sustainability-related matters are factored into the ongoing executive work and strategic decisions.

The Chief Sustainability and Climate Officer is also the Chair of Handelsbanken's Sustainability Committee which convenes at least three times per year, or more often if necessary. The Sustainability Committee analyses the sustainability work undertaken by the Bank and, where necessary, takes on a co-ordinating role. Potential problems and business opportunities are highlighted, and pre-emptive plans of action are established. Decision-makers from both the business operations and central departments make up the Sustainability Committee. Several of the members are also part of the Bank's executive management. In other respects, Handelsbanken's work on climate-related issues adheres to the decentralised structure.

In order to ensure that Handelsbanken makes the best use of the Bank's capability for innovation, and works together across all parts of the Bank, there are additional working groups with a remit relating to sustainability. One example is the Green Finance Committee (GFC), which is responsible for determining technical criteria for green/sustainability related loans and products. GFC is a Group-wide committee where the Group's in-depth sustainability expertise is represented. The committee evaluates the overall ESG benefits according to a standardised process that includes qualifications such as life cycle considerations, potential rebound effects, resilience, scientific targets and possible significant harm to other sustainability objectives. Technical criteria for green loans are approved by a majority vote by the GFC, where the Bank's Chief Sustainability and Climate Officer holds a veto.

There are also cross-regional teams with sustainability managers for different geographical markets, as well as sustainability committees within the Group's subsidiaries, such as Handelsbanken Fonder Handelsbanken Liv, Optimix and Handelsbanken Wealth and Asset Management. The committees handles matters such as methodology development, exclusion lists and whether companies meet the requirements to qualify as being in transition.

Handelsbanken has launched a programme to meet the growing reporting and transparency requirements relating to ESG data. The programme will support the business operations and enable the Bank to follow up and communicate on the sustainability goals, as well as report according to regulations, requirements from public authorities and external obligations.

Performance-based variable remuneration is applied with great prudence and to a very limited extent. Remuneration must also be structured in a manner that promotes a healthy and efficient management of ESG risks. For more information about remuneration, see Pillar 3, chapter Remuneration Policy.

Social risk - Risk management

In accordance with Article 449a and Article 449a in conjunction with Article 435(1) points (a) and (f) CRR.

According to Handelsbanken's Policy for sustainability, social risks must be identified and be an integral part of risk assessment in the Bank's general risk areas, such as credit risk, liquidity risk, market risk, operational risk and compliance risk. ESG risks must be managed in line with Handelsbanken's generally low risk tolerance and comply with the specific risk tolerance for the types of risk in which ESG risks are an integral part of the risk assessment.

The 2030 Agenda and the Sustainable Development Goals provide a clear direction and objectives as regards human rights, good working conditions and gender equality. As an important provider of financial services, Handelsbanken has a role to play in the realisation of the 2030 Agenda and the transition to a sustainable economy.

Handelsbanken stands behind the UN's Guiding Principles on Business and Human Rights and undertakes to act in accordance with national plans of action regarding these principles in the countries where the Group operates. Handelsbanken advocates co-operation and supports international initiatives aimed at reinforcing global efforts to ensure sustainable development. Initiatives and guidelines to encourage and facilitate corporate sustainability and sustainable development are an important basis for Handelsbanken's sustainability work. Regarding human rights and working conditions, the following initiatives, guidelines and conventions can be mentioned. Such initiatives, guidelines and conventions become increasingly important for the identification and management of social risks:

Initiatives and guidelines

- The UN Convention on the Rights of the Child (developed by the United Nations Global Compact, UNICEF and Save the Children)
- The Equator Principles
- The UN Global Compact
- The UN Principles of Responsible Investment (PRI)
- The UN Principles for Responsible Banking (PRB)
- The UN Guiding Principles on Business and Human Rights
- OECD Guidelines for Multinational Enterprises
- Modern Slavery Act 2015

International conventions

- The UN Universal Declaration of Human Rights
- The International Labour Organisation's core conventions

The Bank's overarching Policy for sustainability applies across the Group and states that the Bank must integrate financial, social and environmental sustainability into all its business operations. In the credit-granting process, the corporate customer's operations must be conducted in line with the Bank's guidelines as these apply to business relationships within certain sectors. As regards the Bank's credit process, this is partly dictated by the Bank's credit policy and partly by Group-wide instructions which clearly stipulate how credit risks are to be assessed.

Handelsbanken supports the international initiatives and guidelines mentioned above. In the Bank's lending, we must therefore assess and evaluate each customer's stance on these principles and guidelines. Handelsbanken can abstain from granting a credit if the ESG risks are considered too high, and if, for example, a company does not adhere to such guidelines. To gain an idea of how sustainable a company is, and to identify potential ESG risks, the credit-granting process must consider environmental, social and governance factors and the associated risks. This contributes to Handelsbanken's responsible financing goal and ensures that the Bank complies with applicable regulations.

One requirement in the process is that the Bank's lending must be responsible and meet high demands for sound ethical standards. Moreover, it is also made clear that the Bank must respect human rights and fundamental principles for working conditions and supporting anti-corruption measures. The policy and instructions also clarify the Bank's method for assessing credit risks, and specify which risks are of relevance when making a credit decision.

The Bank's instructions for assessing ESG risks include a checklist, which can be used to support and document the credit assessment. The checklist includes several questions about whether the company has policies regarding different sustainability topics, such as a policy for human rights or a policy for working conditions. In addition, an internal project is under way at the Bank aiming to create improved support for the analysis and documentation of relevant ESG risks within the credit process.

A key part of the Bank's credit risk assessment is assessing the customer's repayment capacity, in order to ensure that the customer can meet its obligations to the Bank. The assessment includes an analysis of the customer's financial position, as well as the risks to which the customer is exposed which could affect the stability of the customer's financial position over time. The Bank's instructions provide guidance on how the ESG research and rating firm can support the Bank's internal assessment of repayment capacity. Part of the risk analysis is the Bank's assessment of how the customer is

affected by ESG risks, including social risks. One of the steps in analysing the repayment capacity is determining which sector the customer belongs to. Handelsbanken has to understand the challenges and the risks that are specific to the sector in question before the Bank can analyse the individual customer.

In addition to the Bank's internal instructions, credit analysts also review external sources to support their assessments of how ESG risks affect customers. The primary source is the information received directly from the customer. This is comprised of both the information made publicly available by the customer in the form of its sustainability reporting and steering documents for sustainability, as well as information obtained through direct dialogue with the customer. A further source of information is if the customer is monitored by external credit rating agencies – one example being Moody's, whose analysis includes the effects of ESG risks. If the customer is monitored by an ESG research and rating firm, such as Sustainalytics, this also serves as a source of information. The latter two external sources do not, however, monitor all customers. They are mainly used in analyses of publicly listed companies.

The actions Handelsbanken has taken to mitigate social risks are the following:

- Mandatory training for employees
- Supplier Code of Conduct and supplier audits
- The revision and strengthening of related processes connected with the Bank's operations and its range of products and services
- Periodic screening of companies Handelsbanken invests in
- Checklists in the credit assessment process, support with the guidance of sector-specific sustainability risks established by external experts, documentation requirements and systems support
- Policy documents for responsible investment and responsible credits.

Social risks, such as human rights, social conditions and working conditions, are also inherent to other risks. The potential risk impact stemming from these risks on Handelsbanken is: Reputational damage and weaker financial position and non-compliance, which could lead to legal consequences in the form of fines or other sanctions.

QUALITATIVE INFORMATION ON GOVERNANCE RISK

Governance risk – Governance

In accordance with Article 449a in conjunction with Article 435(2) CRR.

The Bank's overarching Policy for sustainability applies across the Group and states that the Bank must integrate financial, social and environmental sustainability into all its business operations. Moreover, it is also made clear that the Bank must respect human rights and fundamental principles for working conditions and environmental considerations, as well as supporting anti-corruption measures. The Bank also supports international initiatives and guidelines with the common aim of encouraging and facilitating corporate sustainability.

As regards the Bank's credit process, this is partly dictated by the Bank's credit policy and partly by Group-wide instructions which clearly stipulate how credit risks are to be assessed. One requirement in the process is that the Bank's lending must be responsible and meet high demands for sound ethical standards. The policy and instructions also clarify the Bank's method for assessing credit risks, and specify which risks are of relevance when making a credit decision.

Governance risk - Risk management

In accordance with Article 449a in conjunction with Article 435(1) CRR.

According to Handelsbanken's Policy for sustainability, sustainability risks must be identified and be an integral part of risk assessment in the Bank's general risk areas, such as credit risk, liquidity risk, market risk, operational risk and compliance risk. ESG risks must be managed in line with Handelsbanken's generally low risk tolerance and comply with the specific risk tolerance for the types of risk in which sustainability risks are an integral part of the risk assessment.

In the credit risk assessment, the Bank must consider whether the customer's operations involve risks relating to the field of sustainability, and the extent to which these might lead to financial strain for the customer. The business evaluation must take into account whether the Bank wishes to be associated with the customer's operations, the approach to and work undertaken in the field of sustainability. The assessment of the customer's repayment capacity is also a key part of the Bank's credit risk assessment. This allows the credit analysts to ensure that the customer can meet its obligations to the Bank. The assessment includes an analysis of the customer's financial position, as well as the risks to which the customer is exposed, which could affect the stability of the customer's financial position over time. Part of the risk analysis is the Bank's assessment of how the customer is affected by ESG risks. Handelsbanken has to understand the challenges and the risks that are specific to the sector in question before the Bank can analyse the individual customer.

The Bank's instructions for assessing ESG risks include a checklist, which can be used to support and document credit assessments. The Bank's instructions on corporate governance risks are formulated to

apply at a more general level, the purpose of these being to discover which policies a customer has, how these are followed up, and whether the customer has signed up to any relevant international initiatives. Handelsbanken's objective is to gain an understanding of the overall situation based on published external information and dialogue with the customer. The Bank does not apply any internationally listed indicators within these areas.

In addition to Handelsbanken's internal instructions, credit analysts also review external sources to support their assessments of how ESG risks affect customers. The primary source is the information received directly from the customer. This is comprised of both the information made publicly available by the customer in the form of its sustainability reporting and steering documents for sustainability, as well as information obtained through direct dialogue with the customer. A further source of information is if the customer is monitored by external credit rating agencies – one example being Moody's, whose analysis includes the effects of ESG risks. If the customer is monitored by an ESG rating agency, such as Sustainalytics, this can also serve as a source of information. The latter two external sources do not, however, monitor all customers. They are mainly used in analyses of large publicly listed companies. The information is obtained from the ESG research and rating firm on the basis of a contractual agreement. Under the terms of the contract, the Bank gains access to the ESG research and rating firm's services, including their ESG ratings of customers, with the Bank able to authorise credit analysts to access the ESG research and rating firm's database.

The Bank's management of corporate governance risks is undertaken at the level of individual customer, and a description of the risks in the area, if any are identified, is provided in the relevant credit case.

QUANTITATIVE INFORMATION

Banking book - Climate change transition risk: Credit quality of exposures by sector, emissions and residual maturity

The template includes assets in the banking book representing loans and advances, debt securities and equity exposures to non-financial counterparties in all countries. Exposures to financial corporations, sovereigns, central banks, general and local governments and household exposures to private individuals are excluded, as are assets held for trading and held for sale.

We have in recent years seen a reduction in exposures to high emitting sectors, in line with our pathway, policies and strategies to reduce financed emissions. Our aim is to reduce our financed emissions both through financing the transition of our customers and strict policies on new credits to sectors such as oil and gas. It has proven to be beneficial for the reputation of the bank and is perceived to be a tool to reduce risk in face of future impact of climate change.

Maturity is defined as residual contractual maturity. Average maturity is defined as exposure-weighted average contractual maturity. Contractual maturity is defined based on the remaining days to final payment date. Exposures without contractual maturity for leasing, credit cards and other revolving credits are set to the first bucket. The estimated maturity for these exposures is set to 1.5 years for leasing, the midpoint of the average duration, and to 1 year for all other exposures without maturity, such as revolving credits and cards. This is due to instructions in the credit process for annual reviews of credit counterparties.

The identification of exposures to counterparties excluded from EU Paris-aligned benchmarks in accordance with Article 12.1 (d to g) and Article 12.2 (column b) is made using external data from BvD/Moody's.

Company NACE codes are collected from external official sources. The information is of good quality, but may differ from definitions used in other reporting such as Finrep, where other sources are used. Reporting of emissions (Scope 1 to 3) is voluntary until June 2024. Handelsbanken calculates emissions as part of our membership in PCAF, but only for the collateral of our real estate portfolio in 2021.

Disclosure of estimated financed emission is made in TCFD, SBTi and NZBA reports. Work is underway to align methods with ESG Pillar 3 definitions, to include a larger part of the portfolio in the calculations and to extend the calculation to include reported emissions of our counterparties, when reporting by sector for the entire portfolio will be more meaningful. The plan is to start disclosing emissions in Pillar 3 in 2023. Until such time we refer to the aforementioned disclosures for estimates of financed emissions for parts of the portfolio

Banking book - Climate change transition risk: Credit quality of exposures by sector, emissions and residual maturity 2022	Gross carrying amount				Accumulated impairment, accumulated negative changes in fair value due to credit risk and provisions			
		Of which exposures towards companies excluded from EU **	Of which environmentally sustainable (CCM)	Of which stage 2 exposures	Of which non-performing exposures	Of which Stage 2 exposures	Of which non-performing exposures	
SEK m								
Exposures towards sectors that highly contribute to climate change*	923 568	1 016		30 749	1 299	-965	-432	-308
A - Agriculture, forestry and fishing	7 841	-		285	3	-29	-18	-3
B - Mining and quarrying	2 017	-		216	0	-3	-3	0
B.05 - Mining of coal and lignite	-	-		-	-	-	-	-
B.06 - Extraction of crude petroleum and natural gas	-	-		-	-	-	-	-
B.07 - Mining of metal ores	0	-		-	-	0	-	-
B.08 - Other mining and quarrying	524	-		10	0	0	0	0
B.09 - Mining support service activities	1 493	-		205	-	-3	-2	-
C - Manufacturing	33 795	-		2 634	32	-149	-108	-12
C.10 - Manufacture of food products	4 110	-		779	4	-37	-32	-2
C.11 - Manufacture of beverages	1 365	-		297	1	-9	-8	-1
C.12 - Manufacture of tobacco products	0	-		-	-	0	-	-
C.13 - Manufacture of textiles	173	-		7	0	-2	-1	0
C.14 - Manufacture of wearing apparel	10	-		1	-	0	0	-
C.15 - Manufacture of leather and related products	22	-		0	-	0	0	-
C.16 - Manufacture of wood and of products of wood and cork, except furniture; manufacture of articles of straw and plaiting materials	1 171	-		585	2	-16	-13	-1
C.17 - Manufacture of pulp, paper and paperboard	93	-		5	-	0	0	-
C.18 - Printing and service activities related to printing	112	-		9	2	-2	0	-2
C.19 - Manufacture of coke oven products	201	-		105	-	-1	-1	-
C.20 - Production of chemicals	3 696	-		7	-	-3	0	-
C.21 - Manufacture of pharmaceutical preparations	2 036	-		2	-	-2	0	-
C.22 - Manufacture of rubber products	3 359	-		62	-	-2	-1	-
C.23 - Manufacture of other non-metallic mineral products	456	-		6	0	-4	-3	-1
C.24 - Manufacture of basic metals	849	-		20	2	-6	-2	-2
C.25 - Manufacture of fabricated metal products, except machinery and equipment	1 421	-		240	6	-20	-17	0
C.26 - Manufacture of computer, electronic and optical products	5 367	-		9	2	-3	-1	-1
C.27 - Manufacture of electrical equipment	1 589	-		120	2	-10	-8	-2
C.28 - Manufacture of machinery and equipment n.e.c.	4 251	-		142	-	-15	-12	-
C.29 - Manufacture of motor vehicles, trailers and semi-trailers	379	-		30	7	-4	-4	0
C.30 - Manufacture of other transport equipment	118	-		13	-	-1	0	-
C.31 - Manufacture of furniture	1 260	-		24	4	-4	-2	0
C.32 - Other manufacturing	1 619	-		130	1	-4	-3	0
C.33 - Repair and installation of machinery and equipment	137	-		43	0	-3	-2	0
D - Electricity, gas, steam and air conditioning supply	11 214	-		667	1	-7	-2	-2
D35.1 - Electric power generation, transmission and distribution	5 806	-		10	-	-2	0	-
D35.11 - Production of electricity	4 123	-		622	1	-4	-2	-2
D35.2 - Manufacture of gas; distribution of gaseous fuels through mains	47	-		-	-	0	-	-
D35.3 - Steam and air conditioning supply	1 238	-		35	-	0	0	-
E - Water supply; sewerage, waste management and remediation activities	1 473	-		21	-	-1	-1	-
F - Construction	40 106	-		4 202	112	-294	-166	-61
F.41 - Construction of buildings	33 104	-		3 226	72	-182	-102	-39
F.42 - Civil engineering	663	-		192	8	-19	-9	-7
F.43 - Specialised construction activities	6 339	-		784	32	-93	-55	-14
G - Wholesale and retail trade; repair of motor vehicles and motorcycles	41 004	-		652	65	-69	-10	-45
H - Transportation and storage	8 435	1 016		986	233	-131	-37	-79
H.49 - Land transport and transport via pipelines	4 039	-		242	5	-43	-31	-2
H.50 - Water transport	2 287	1 016		11	221	-80	-2	-77
H.51 - Air transport	62	-		2	8	-1	-1	0
H.52 - Warehousing and support activities for transportation	1 367	-		63	0	-6	-3	0
H.53 - Postal and courier activities	681	-		668	-	0	0	-
I - Accommodation and food service activities	27 841	-		6 868	14	-55	-39	-4
L - Real estate activities	749 841	-		14 218	838	-226	-49	-104
Exposures towards sectors other than those that highly contribute to climate change*	107 347	-		7 781	168	-155	-26	-99
K - Financial and insurance activities	28 142	-		144	8	-8	-1	-2
Exposures to other sectors (NACE codes J, M - U)	79 205	-		7 637	160	-146	-25	-97
Total	1 030 915	1 016		38 530	1 467	-1 119	-458	-407

ESG PRUDENTIAL DISCLOSURES

Banking book - Climate change transition risk: Credit quality of exposures by sector, emissions and residual maturity 2022	GHG financed emissions (scope 1, scope 2 and scope 3 emissions of the counterparty) (in tons of CO2 equivalent)	GHG emissions gross carrying amount percentage of the portfolio derived from company- specific reporting				Average weighted maturity
	Of which Scope 3 financed emissions	<= 5 years	> 5 year <= 10 years	> 10 year <= 20 years	> 20 years	
SEK m						
Exposures towards sectors that highly contribute to climate change*		834 530	58 221	9 395	21 422	2.8
A - Agriculture, forestry and fishing		7 458	317	66	0	2.3
B - Mining and quarrying		1 653	57	307	0	3.2
B.05 - Mining of coal and lignite		-	-	-	-	-
B.06 - Extraction of crude petroleum and natural gas		-	-	-	-	-
B.07 - Mining of metal ores		0	0	0	0	1.0
B.08 - Other mining and quarrying		467	57	0	0	2.6
B.09 - Mining support service activities		1 186	0	307	0	3.5
C - Manufacturing		32 189	1 582	10	14	1.9
C.10 - Manufacture of food products		4 062	47	0	0	1.1
C.11 - Manufacture of beverages		1 358	7	0	0	1.3
C.12 - Manufacture of tobacco products		0	0	0	0	1.0
C.13 - Manufacture of textiles		137	37	0	0	3.1
C.14 - Manufacture of wearing apparel		10	0	0	0	1.5
C.15 - Manufacture of leather and related products		21	1	0	0	1.7
C.16 - Manufacture of wood and of products of wood and cork, except furniture; manufacture of articles of straw and plaiting materials		1 128	39	2	3	2.2
C.17 - Manufacture of pulp, paper and paperboard		86	7	0	0	1.7
C.18 - Printing and service activities related to printing		103	7	0	2	3.7
C.19 - Manufacture of coke oven products		201	0	0	0	3.5
C.20 - Production of chemicals		3 641	55	0	0	2.4
C.21 - Manufacture of pharmaceutical preparations		922	1 114	0	0	4.4
C.22 - Manufacture of rubber products		3 343	12	2	2	2.8
C.23 - Manufacture of other non-metallic mineral products		449	7	0	0	1.4
C.24 - Manufacture of basic metals		826	20	0	3	2.2
C.25 - Manufacture of fabricated metal products, except machinery and equipment		1 270	147	1	3	2.4
C.26 - Manufacture of computer, electronic and optical products		5 362	5	0	0	0.8
C.27 - Manufacture of electrical equipment		1 589	0	0	0	1.8
C.28 - Manufacture of machinery and equipment n.e.c.		4 199	49	2	0	1.4
C.29 - Manufacture of motor vehicles, trailers and semi-trailers		373	4	1	0	2.1
C.30 - Manufacture of other transport equipment		118	0	0	0	1.4
C.31 - Manufacture of furniture		1 259	1	0	0	2.8
C.32 - Other manufacturing		1 599	20	0	0	1.9
C.33 - Repair and installation of machinery and equipment		132	4	0	1	1.9
D - Electricity, gas, steam and air conditioning supply		10 823	386	1	4	2.2
D35.1 - Electric power generation, transmission and distribution		5 805	1	0	0	1.9
D35.11 - Production of electricity		3 736	383	1	4	2.2
D35.2 - Manufacture of gas; distribution of gaseous fuels through mains		47	0	0	0	1.0
D35.3 - Steam and air conditioning supply		1 236	2	0	0	4.1
E - Water supply; sewerage, waste management and remediation activities		839	623	12	0	4.8
F - Construction		37 649	1 516	774	167	2.3
F.41 - Construction of buildings		31 199	984	765	156	2.3
F.42 - Civil engineering		505	153	1	4	3.6
F.43 - Specialised construction activities		5 945	378	9	7	2.2
G - Wholesale and retail trade; repair of motor vehicles and motorcycles		40 735	230	32	8	1.5
H - Transportation and storage		7 176	1 240	19	0	2.9
H.49 - Land transport and transport via pipelines		2 872	1 165	2	0	4.0
H.50 - Water transport		2 284	3	0	0	2.2
H.51 - Air transport		62	0	0	0	0.5
H.52 - Warehousing and support activities for transportation		1 277	72	18	0	2.2
H.53 - Postal and courier activities		681	0	0	0	0.2
I - Accommodation and food service activities		27 426	349	39	28	1.5
L - Real estate activities		668 582	51 923	8 136	21 201	3.0
Exposures towards sectors other than those that highly contribute to climate change*		97 712	7 577	1 079	980	2.7
K - Financial and insurance activities		24 741	3 367	29	7	2.8
Exposures to other sectors (NACE codes J, M - U)		72 971	4 210	1 050	974	2.7
Total		932 242	65 798	10 473	22 402	2.8

* In accordance with the Commission delegated regulation EU/ 2020/1818 supplementing regulation (EU) 2016/1011 as regards minimum standards for EU Climate Transition Benchmarks and EU Paris-aligned Benchmarks - Climate Benchmark Standards Regulation - Recital 6:

Sectors listed in Sections A to H and Section L of Annex I to Regulation (EC) No 1893/2006

** EU Paris-aligned Benchmarks in accordance with points (d) to (g) of Article 12.1 and in accordance with Article 12.2 of Climate Benchmark Standards Regulation

Banking book - Climate change transition risk: Loans collateralised by immovable property - Energy efficiency of the collateral

The availability of EPC labels for the real estate portfolio is limited due to the fact that energy declarations are not compulsory, and is generally required only when selling or letting properties. The source of information is public registries in each market and internal data originating from bilateral information from clients. EPC labels are defined according to national rules. No estimates of EPC labels are made, in accordance with EBA instructions. As the bank is a member of PCAF, the methods prescribed by that organisation for estimation of energy efficiency score is utilised for the part of the portfolio lacking EPC data.

Exposures may be collateralised by other types of collateral or the value of the property may not cover the entire exposure. In such cases only the exposure allocated to and collateralised by property collateral is classified as collateralised by immovable property and reported here. This approach is in accordance with methods used for capital adequacy and in coherence with other credit risk Pillar 3 templates.

If several EPC labels exist for the same property, for example for different buildings on a plot, the worst of these is chosen. Furthermore, exposures may be collateralised by several properties, which may have different energy efficiency scores or EPC labels. The instruction prescribes the use of valuation of the properties as the basis for weighing in such case. Exposures are assigned to EPC labels based on the share of the total valuation amount for the physical properties as per instruction. This method of weighing differs from methods used for TCFD and for the calculation of financed emissions.

Non-EU exposures are largely comprised of the real estate portfolios in the UK and Norway. The location of the collateral is used to determine the country.

Banking book - Climate change transition risk: Loans collateralised by immovable property - Energy efficiency of the collateral 2022	Level of energy efficiency (EP score in kWh/m ² of collateral)							Level of energy efficiency (EPC label of collateral)							Without EPC label of collateral	
		0; ≤ 100	> 100; ≤ 200	> 200; ≤ 300	> 300; ≤ 400	> 400; ≤ 500	> 500	A	B	C	D	E	F	G		Of which level of energy efficiency (EP score in kWh/m ² of collateral) estimated
Total gross carrying amount SEK m																
Total EU area	1 559 632	356 072	1 051 825	148 298	2 614	713	109	18 807	53 236	141 317	208 522	279 752	137 715	42 872	677 410	99.9%
Of which Loans collateralised by commercial immovable property	220 831	40 239	52 525	126 283	1 193	514	77	7 398	11 936	19 279	22 751	18 162	12 348	5 034	123 921	99.7%
Of which Loans collateralised by residential immovable property	1 338 801	315 833	999 300	22 015	1 421	199	33	11 409	41 300	122 038	185 771	261 589	125 367	37 837	553 489	100.0%
Of which Collateral obtained by taking possession: residential and commercial immovable properties	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Of which Level of energy efficiency (EP score in kWh/m ² of collateral) estimated	708 343	15 377	567 418	124 431	633	485	-								676 880	100.0%
Total non-EU area	524 872	30 273	354 746	111 374	20 506	4 911	3 062	9 129	32 996	76 266	78 405	48 348	25 083	24 539	230 105	97.1%
Of which Loans collateralised by commercial immovable property	203 596	14 339	120 817	53 720	10 996	2 269	1 456	7 255	14 578	34 166	29 773	16 476	6 845	3 583	90 920	92.5%
Of which Loans collateralised by residential immovable property	321 276	15 935	233 929	57 654	9 510	2 642	1 606	1 874	18 418	42 100	48 632	31 873	18 238	20 956	139 186	100.0%
Of which Collateral obtained by taking possession: residential and commercial immovable properties	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Of which Level of energy efficiency (EP score in kWh/m ² of collateral) estimated	448 125	14 430	335 466	86 424	10 088	1 716	-								223 325	100.0%

Banking book - Climate change transition risk: Exposures to top 20 carbon-intensive firms

The list of top carbon-emitting companies is sourced from Carbon Majors database from the Climate Accountability Institute ("Top Twenty 2018 IATP Apr20", a non-cumulative global list). Identification of any banking book exposures to counterparties in the listed groups is made from data in internal systems and manually reviewed by the credit organisation for accuracy. Maturity is defined as residual contractual maturity. Average maturity is defined as exposure-weighted average contractual maturity. For definition, please refer to description in the narrative to template Climate change transition risk.

No materiality restrictions have been applied to exposures. All loans and advances, debt securities and equity instrument exposures in the banking book to the identified corporations have been included, regardless of purpose, line of business or economic activity. It should therefore be considered that the purpose of the credit may be to aid transition or to instigate mitigation, and that the financed economic activity may even be included in the taxonomy.

Banking book - Climate change transition risk: Exposures to top 20 carbon-intensive firms 2022					
SEK m	Gross carrying amount (aggregate)	Gross carrying amount towards the counterparties compared to total gross carrying amount (aggregate)*	Of which environmentally sustainable (CCM)	Weighted average maturity	Number of top 20 polluting firms included
	2	0.0%		1.5	1

*For counterparties among the top 20 carbon emitting companies in the world

Banking book - Climate change physical risk: Exposures subject to physical risk

The gross carrying amount (GCA) column includes all exposure to non-financial counterparties in the sector for all countries and regions of the bank, regardless of exposure to physical risk. Subsequent columns include only gross carrying amount linked to collateral and counterparties exposed to physical risk. Additional sectors are included, and represent sectors where the physical risk is estimated to exceed 10 percent of gross carrying amount due to chronic and/or acute climate change events.

The physical risk data is sourced from the Moody's Climate Risk Assessment application and covers several aspects of chronic and acute physical risks listed in Appendix A of the delegated climate act, 2021/2139 (EU). The scenario used is RCP 8.5 (the worst case scenario of business as usual with no climate mitigating actions) and the time horizon is year 2040.

Regions (NUTS3) and counterparties are scored from 1 (low risk) to 100 (high risk) for physical risk due to flooding, hurricanes and wildfires (acute climate change events) and sea level rise, heat stress and water stress (chronic climate change events). The corporates scored for physical risks are large corporations (approximately 250 counterparties). For exposures covered by real estate collateral, the location of the property is used for the application of regional risk (NUTS3 level). To assign exposures to physical properties, and thus location, the same method as described in Template Climate change transition risk: Loans collateralised by immovable property, whereby the valuation of properties is used for weighing. For exposures not collateralised by immovable property and without a corporate score, the region of the counterparty address is primarily used, as the information on the geographical location of the financed business activity is unavailable.

Moody's solution provides a classification of the risk score, where regions and counterparties are classified as 'High' and 'Red flag' for each physical risk dimension. Under the assumption that our population is representative for the region, the risk of the bank's exposures to non-financial counterparties with or without commercial immovable property is weighted by the percentage of GDP exposed to each physical risk dimension in the region. Exposures to residential immovable property are weighted by the percentage of the population living in the region exposed to each physical risk dimension.

The exposures sensitive to the impact of climate change events are reported in gross amounts, i.e. before mitigating actions such as insurance, mitigating actions taken by counterparties, local governments or other parties (such as flooding or sea erosion barriers, sewage upgrades) etc. It is expected that the effects of physical risk to the bank's portfolio is significantly decreased by such mitigating factors.

Banking book - Climate change physical risk: Exposures subject to physical risk 2022	Gross carrying amount													
	of which exposures sensitive to impact from climate change physical events													
	Breakdown by maturity bucket					of which exposures sensitive to impact from chronic climate change events	of which exposures sensitive to impact from acute climate change events	of which exposures sensitive to impact both from chronic and acute climate change events	Of which Stage 2 exposures	Of which non-performing exposures	Accumulated impairment, accumulated negative changes in fair value due to credit risk and provisions			
	<= 5 years	> 5 year <= 10 years	> 10 year <= 20 years	> 20 years	Average weighted maturity							of which Stage 2 exposures	Of which non-performing exposures	
SEK m														
A - Agriculture, forestry and fishing	7 841	161	115	0	0	4	13	64	199	48	0	-3	-2	0
B - Mining and quarrying	2 017	422	0	218	-	5	638	1	0	124	0	0	0	0
C - Manufacturing	33 795	4 492	0	0	0	1	108	93	4 292	49	0	-5	-3	0
D - Electricity, gas, steam and air conditioning supply	11 214	610	2	0	0	2	108	3	501	0	0	0	0	0
E - Water supply; sewerage, waste management and remediation activities	1 473	23	1	2	-	4	10	0	16	0	-	0	0	-
F - Construction	40 106	2 267	421	0	0	3	867	1 405	416	288	4	-17	-11	-3
G - Wholesale and retail trade; repair of motor vehicles and motorcycles	41 004	4 139	2	0	0	2	253	121	3 767	8	0	-1	0	0
H - Transportation and storage	8 435	191	0	0	-	3	23	12	155	3	0	-1	0	0
L - Real estate activities	749 841	24 733	4 068	206	131	3	12 448	13 136	3 554	2 477	21	-33	-11	-1
Loans collateralised by residential immovable property	341 151	26 559	3 538	380	1	3	12 067	14 763	3 648	2 805	14	-54	-24	-2
Loans collateralised by commercial immovable property	515 781	8 989	3 105	86	131	4	3 168	6 344	2 799	1 239	13	-16	-4	-2
Reposessed collaterals	0	-	-	-	-	-	-	-	-	-	-	-	-	-
Other relevant sectors (breakdown below where relevant)														
J - Information and communication	3 638	616	0	1	0	2	8	13	596	0	0	0	0	0
K - Financial and insurance activities	28 142	5 646	1 382	0	0	4	296	4 707	2 025	65	0	-6	0	0
M - Professional, scientific and technical activities	38 106	5 088	585	2	0	3	87	1 209	4 379	2 139	2	-7	-5	0

Other Climate change mitigating actions that are not covered in the EU Taxonomy

The assets covering other climate mitigating actions in the template per 2022, includes sustainable linked and green loans and advances and bonds in the banking book, some of which are covered by the EU taxonomy but which are not assessed for alignment and are not yet reported in the Pillar 3 green asset ratio (GAR) templates. However, from the financial year of 2023 exposures covered by the taxonomy will be included in the GAR calculation and reported in templates 6 to 8. Until such time, they may be included in template 10, according to information conveyed by EBA in June 2022.

The assets included are green or sustainable-linked exposures such as loans collateralized by energy efficient properties, loans financing low emitting vehicles or loans improving energy efficiency in buildings. Furthermore, loans that are in line with Handelsbanken Green Bond Framework or otherwise approved by Handelsbanken Green Finance Committee Bonds are included. The bonds included are bonds in the banking book, classified as green by Bloomberg.

All exposures collateralized by immovable property with EPC labels A and B are included, including those to housing associations and real estate corporations which are non-financial counterparties not subject to NFRD reporting requirements, and therefore not part of the green asset ratio. Buildings with Energy label A and B and/or environmental certified buildings are considered to be energy efficient and therefore loans towards this type of buildings leads to greenhouse gas emissions savings.

Household exposures for the purpose of leasing, renting or purchasing electric and hybrid motor vehicles with CO2 emissions below 50 g/km are included. Loans towards low carbon vehicles reduce greenhouse gas emissions compared to fossil driven vehicles (ICE). Green loans to households for improving energy efficiency in buildings, but not collateralised by immovable property, are classified as building renovation loans. Through the financing of solar panels, geothermal heating and improvements in heating, insulation etc. leading to renewable energy production or energy savings these loans are contributing to greenhouse gas emissions savings.

The determination of green or sustainable linked exposures is made based on information in source systems and based on information in the Green registry. The Green registry is an internal database which holds information on exposures in line with Handelsbanken Green Bond Framework or otherwise approved by Handelsbanken Green Finance Committee.

The assessment of whether exposures mitigate transition and physical risk is mainly qualitative and made on the basis of product definitions and information in the Green registry. Detailed and easily accessible information on the purpose of the loan from loan or credit origination systems, is as of yet not available or easily accessible within the Bank.

Other Climate change mitigating actions that are not covered in the EU Taxonomy 2022					
Type of financial instrument	Type of counterparty	Gross carrying amount (SEK m)	Type of risk mitigated (Climate change transition risk)	Type of risk mitigated (Climate change physical risk)	Qualitative information on the nature of the mitigating actions
Bonds (e.g. green, sustainable, sustainability-linked under standards other than the EU standards)	Financial corporations	648	Yes	No	Bonds classified as green by Bloomberg
	Non-financial corporations	-			
	Of which Loans collateralised by commercial immovable property	-			
	Other counterparties	51	Yes	No	Bonds classified as green by Bloomberg
Loans (e.g. green, sustainable, sustainability-linked under standards other than the EU standards)	Financial corporations	909	Yes	No	Buildings with Energy label A and B and/or environmental certified buildings are considered to be energy efficient and Therefore loans towards this type of buildings leads to greenhouse gas emissions savings. Loans towards low carbon vehicles (electric and hybrid cars with CO2 emissions below 50 g/km) reduces greenhouse gas emissions compared to fossil driven cars (ICE).
	Non-financial corporations	67 315	Yes	No	Buildings with Energy label A and B and/or environmental certified buildings are considered to be energy efficient. Therefore loans towards this type of buildings leads to greenhouse gas emissions savings. Loans towards low carbon vehicles (electric and hybrid cars with CO2 emissions below 50 g/km) reduces greenhouse gas emissions compared to fossil driven cars (ICE). Loans that are in line with Handelsbanken Green Bond Framework or otherwise approved by Handelsbanken Green Finance Committee, and in the Handelsbanken green registry.
	Of which Loans collateralised by commercial immovable property	40 931	Yes	No	
	Households	59 679	Yes	No	Buildings with Energy label A and B and/or environmental certified buildings are considered to be energy efficient and Therefore loans towards this type of buildings leads to greenhouse gas emissions savings. Loans towards low carbon vehicles (electric and hybrid cars with CO2 emissions below 50 g/km) reduces greenhouse gas emissions compared to fossil driven cars (ICE). Green loans for improving energy efficiency in buildings (building renovation loans) through solar panels, geothermal heating and improvements in heating, insulation etc. leading to renewable energy production or energy savings contributing to greenhouse gas emissions savings.
	Of which Loans collateralised by residential immovable property	56 598	Yes	No	
	Of which building renovation loans	145	Yes	No	
	Other counterparties	602	Yes	No	Loans towards low carbon vehicles (electric and hybrid cars with CO2 emissions below 50 g/km) reduces greenhouse gas emissions compared to fossil driven cars (ICE). Loans that are in line with Handelsbanken Green Bond Framework or otherwise approved by Handelsbanken Green Finance Committee, and in the Handelsbanken green registry.

Definitions and explanations

ADDITIONAL TIER 1 CAPITAL

Additional tier 1 capital comprises perpetual subordinated loans which meet the requirements stated in Regulation (EU) No 575/2013 and can therefore be included in the tier 1 capital.

AFR

Available financial resources (AFR) is the Bank's equity with the addition of other financial values on and off the balance sheet, available to cover losses with a one-year time horizon.

BUFFER REQUIREMENT FOR SYSTEMICALLY IMPORTANT INSTITUTIONS

The buffer requirement for banks considered especially important to the financial system. For institutions that are systemically important on a global scale, the requirement can be up to 3.5%. For other systemically important institutions, it can be up to 2%.

CAPITAL CONSERVATION BUFFER

The purpose of this buffer requirement of 2.5% is to ensure that all banks maintain buffer capital exceeding the minimum capital requirements.

CAPITAL REQUIREMENT

The statutory capital requirement means that an institution which is subject to CRR must have a common equity tier 1 ratio of at least 4.5%, a tier 1 ratio of at least 6% and a total capital ratio of at least 8%. This means that own funds must be at least the percentage of the risk exposure amount specified for each ratio. For definitions of each of the own funds amounts, see Common equity tier 1 capital, Tier 1 capital, and Total capital. In addition to the general requirements, the supervisory authority may add institution-specific requirements in accordance with pillar 2 of the regulations.

COMBINED BUFFER REQUIREMENT

The sum of the capital conservation buffer, the countercyclical buffer, and the buffer requirement which is the higher of the requirement for systemically important institutions or the systemic risk buffer.

COMMON EQUITY TIER 1 CAPITAL

Common equity tier 1 capital is one of the components of own funds and mainly comprises equity. Deductions are made for dividends generated, goodwill, and other intangible assets as well as the difference between an expected loss and provisions made for probable loan losses.

COMMON EQUITY TIER 1 RATIO

Common equity tier 1 capital in relation to total risk exposure amount.

COUNTERCYCLICAL BUFFER

A buffer requirement that varies over the business cycle to counteract excessively high credit growth. The level is set by the Swedish Financial Supervisory Authority and can be between 0 and 2.5%.

CRR IV

The EU Credit Institutions Directive: Directive 2013/36/EU on access to the activity of credit institutions and the prudential supervision of credit institutions and investment firms.

CREDIT CONVERSION FACTOR (CCF)

A percentage value by which off-balance sheet exposures are multiplied to calculate the exposure amount. The credit conversion factor corresponds to the expected utilisation level of the exposure in the event of default.

CREDIT RISK PROTECTION

Risk-mitigation factors and measures.

CREDITS IN DEFAULT

Impaired exposures that are also classified as 'defaulted' under Article 178 of CRR.

CRR

Regulation (EU) No 575/2013 of the European Parliament and of the Council of 26 June 2013 on prudential requirements for credit institutions and investment firms and amending Regulation (EU) No 648/2012.

CVA

The credit valuation adjustment (CVA) risk means the risk that the market value of a derivative will decrease, owing to deterioration of the creditworthiness of the counterparty. The CVA is a component in the regulations for the valuation of derivatives. An exposure to a counterparty with weaker creditworthiness must have a lower carrying amount than the equivalent exposure to a counterparty with better creditworthiness. In this context, credit risk means that if a given counterparty's creditworthiness weakens, the balance sheet values of all derivative transactions with this counterparty with a positive market value decrease – and thus the Bank's equity decreases.

DEFAULT

A default shall be considered to have occurred with regard to a particular obligor when either or both of the following have taken place:

(a) the institution considers that the obligor is unlikely to pay its credit obligations to the institution, the parent undertaking or any of its subsidiaries in full, without recourse by the institution to actions such as realising security;

(b) the obligor is more than 90 days past due on any material credit obligation to the institution, the parent undertaking or any of its subsidiaries.

ECONOMIC CAPITAL (EC)

Economic capital is a model for calculating economic capital which, in one measurement, identifies the Group's overall risks and indicates the capital that, with very high probability, will cover unexpected losses or decreases in value.

EXPECTED LOSS (EL)

Expected loss or EL means the ratio of the amount expected to be lost on an exposure from a potential default of a counterparty or dilution over a one-year period to the amount outstanding at default.

ELIGIBLE LIABILITIES AND OWN FUNDS

The sum of qualified eligible senior liabilities according to the definition in Swedish Resolution Act (SFS 2015:1016) and own funds.

EXPOSURE AMOUNT

Exposure amount (exposure at default) is the amount which is subject to capital adequacy requirements. For off-balance-sheet items, the amounts are recalculated using the credit conversion factor (CCF). For derivatives, the exposure value is calculated according to the standardised approach for counterparty credit risk (SA-CCR).

EXPOSURE VALUE

Exposure value is the same as exposure amount. The exposure value concept is used in the standardised approach for credit risk.

FORBEARANCE MEASURE

Forbearance measure is a concession by an institution towards an obligor that is experiencing or is likely to experience difficulties in meeting its financial commitments.

IRB

Internal Ratings Based approach.

IRB APPROACH

The Internal Ratings Based approach or the IRB approach is the approach provided for in Chapter 3 of regulation (EU) No 575/2013 to calculate the risk-weighted exposure amounts for the purposes of points (a) and (f) of Article 92(3).

LEVERAGE RATIO

Tier 1 capital in relation to total assets, including certain off-balance-sheet items recalculated with conversion factors defined in the standardised approach and regulatory adjustments from own funds.

LOSS GIVEN DEFAULT (LGD)

Loss given default or LGD means the ratio of the loss on an exposure due to the default of a counterparty to the amount outstanding at default.

LIQUIDITY COVERAGE RATIO (LCR)

High-quality liquid assets in relation to an estimated net outflow of liquidity over a period of 30 days.

LOAN LOSS RATIO

Loan losses and changes in value of repossessed property in relation to loans to the public and credit institutions (excluding banks), and also repossessed property and credit guarantees at the beginning of the year.

MREL REQUIREMENT

Minimum requirement for eligible liabilities and own funds. Requirement is determined annually by the SNDO, the resolution authority, in accordance with the Swedish resolution Act (SFS 2015:1016).

NET STABLE FUNDING RATIO (NSFR)

The structural liquidity measure that is the ratio between available stable funding and the stable funding required.

NPL NON-PERFORMING LOANS/NPE NON-PERFORMING EXPOSURES

Non-performing loans/exposures are defined as defaulted exposures plus forborne exposures. A default shall be considered to have occurred when the obligor is unlikely to pay its credit obligation to the institution or the obligor is past due more than 90 days on any material credit obligation.

OWN FUNDS/TOTAL CAPITAL

Own funds are the sum of tier 1 and tier 2 capital.

PD

Probability of default or PD means the probability of default of a counterparty over a one-year period.

PERFORMING CREDITS

Credits that are neither impaired nor defaulted.

PILLAR 2 GUIDANCE

According to the Pillar 2 framework, the regulatory authority may inform the Bank of the assessed appropriate level of capital to be held in excess of the minimum- and buffer requirements to cover risks and future financial stress.

PILLAR 2 REQUIREMENT

The requirement consists of an additional minimum requirement based on a formal decision from the regulatory authorities within the Pillar 2 framework and concerns risks that a bank is or could be exposed to that are not covered by the general minimum requirements.

RISK EXPOSURE AMOUNT

The capital requirement in accordance with CRR, multiplied by 12.5. The risk exposure amount is used in conjunction with market risk and operational risk.

RISK WEIGHT

A measure to describe the level of risk an exposure is expected to have according to the capital adequacy regulations.

RISK-WEIGHTED EXPOSURE AMOUNT

Exposure amount multiplied by risk weight. The risk-weighted exposure amount is used in conjunction with credit risk including counterparty risks.

SECURITISATION

Securitisation means a transaction or scheme, whereby the credit risk associated with an exposure or a pool of exposures is tranching, having all of the following characteristics: (a) payments in the transaction or scheme are dependent upon the performance of the exposure or of the pool of exposures; (b) the subordination of tranches determines the distribution of losses during the ongoing life of the transaction or scheme; (c) the transaction or scheme does not create exposures which possess all of the characteristics listed in Article 147(8) of Regulation (EU) No 575/2013.

SPECIFIC CREDIT RISK ADJUSTMENT

Specific credit risk adjustments consist of collective and individual credit risk adjustments. These apply to exposures covered by either the standardised approach or the IRB approach.

STANDARDISED APPROACH

The Standardised approach is the approach provided for in Chapter 2 of Regulation (EU) No 575/2013 to calculate the risk-weighted exposure amounts for the purposes of points (a) and (f) of Article 92(3). The standardised approach means that the risk weights used when calculating the capital requirement for credit risk are specified in the regulations.

SYSTEMIC RISK BUFFER

A buffer requirement of 3% for the largest banks in Sweden. The aim of the systemic risk buffer is to protect the banking system as a whole in times of financial instability.

TIER 1 CAPITAL

Common equity tier 1 capital including additional tier 1 capital.

TIER 1 RATIO

Tier 1 capital in relation to total risk exposure amount.

TIER 2 CAPITAL

Tier 2 capital is one of the components of own funds and mainly consists of subordinated loans which fulfil the requirements stated in Regulation (EU) No 575/2013 and can therefore be included as tier 2 capital.

TOTAL CAPITAL RATIO

Total capital in relation to total risk exposure amount.

TOTAL LIABILITIES AND OWN FUNDS

The sum of the Bank's total liabilities and own funds

TOTAL RISK EXPOSURE AMOUNT

The sum of risk exposure amount and risk-weighted exposure amount.

Information items not disclosed according to Article 432

Tables not applicable, non-material or confidential 2022

Table	Description	Reason for non-disclosure
EU CCR7	RWEA flow statements of CCR exposures under the IMM	Not applicable
EU MRB	Qualitative disclosure requirements for institutions using the internal Market Risk Models	Not applicable
EU MR2-A	Market risk under the internal Model Approach (IMA)	Not applicable
EU MR2-B	RWA flow statements of market risk exposures under the IMA	Not applicable
EU MR3	IMA values for trading portfolios	Not applicable
EU MR4	Comparison of VaR estimates with gains/losses	Not applicable
EU CRC	The description of the main types of guarantors and counterparties for credit derivatives and their creditworthiness	Confidential
EU CR2a	Changes in the stock of non-performing loans and advances and related net accumulated recoveries	Not applicable
EU CQ2	Quality of forbearance	Not applicable
EU CQ6	Collateral valuation - loans and advances	Not applicable
EU CQ8	Collateral obtained by taking possession and execution processes – vintage breakdown	Not applicable
EU REM3	Deferred remuneration	Not applicable
EU-SECA	Qualitative disclosure requirements related to securitisation exposures	Non-material
EU-SEC1	Securitisation exposures in the non-trading book	Non-material
EU-SEC2	Securitisation exposures in the trading book	Non-material
EU-SEC3	Securitisation exposures in the non-trading book and associated regulatory capital requirements - institution acting as originator or as sponsor	Non-material
EU-SEC4	Securitisation exposures in the non-trading book and associated regulatory capital requirements - institution acting as investor	Non-material
EU-SEC5	Exposures securitised by the institution - Exposures in default and specific credit risk adjustments	Non-material

Signatures of the CEO, CFO and CRO

The Information Policy for the Handelsbanken Group, adopted by Handelsbanken's Board, and the CEO's Guidelines for communication in the Handelsbanken Group are Handelsbanken's steering documents for compliance with the disclosure requirements in Regulation (EU) No 575/2013.

The control environment described in the Annual Report's Corporate Governance Report and in this report is fundamental to Handelsbanken's internal control of disclosures under Part Eight of Regulation (EU) No 575/2013: organisational structure, division of responsibilities, guidelines and steering documents. Another part of the internal control process is the identification and management of the risks that may affect the preparation of disclosures under Part Eight of Regulation (EU) No 575/2013 and the control activities incorporated in the process for preparing disclosures. The Bank has information and communication paths intended to promote the completeness, accuracy, meaningfulness, and consistency over time of disclosures under Part Eight of Regulation (EU) No 575/2013.

The responsibility for internal control of disclosures under Part Eight of Regulation (EU) No 575/2013 has been delegated from the CEO to managers who report directly to the CEO and who are in charge of internal control within their respective units.

We hereby declare that the disclosures under Part Eight of Regulation (EU) No 575/2013 have been prepared in accordance with Handelsbanken's internal control framework. The information which is provided under Part Eight of Regulation (EU) No 575/2013 is satisfactory, including in terms of control and frequency, in relation to the disclosure requirements in the Regulation and provides market participants with a comprehensive picture of Handelsbanken's risk profile.

STOCKHOLM FEBRUARY 2023

Carina Åkerström

President and Chief Executive Officer

Carl Cederschiöld

Chief Financial Officer

Maria Hedin

Chief Risk Officer

